

Amāna Bank



It's *Your* Bank

RESILIENCE OUR WAY

ANNUAL REPORT 2020

Amāna Bank PLC

RESILIENCE OUR WAY

Challenging times brings out true character; a trial that tests resilience.

The year under review, with all its uncertainty and change was surely a global impediment. While many were challenged, Your Bank stood firm, recording growth and profit, while fortifying its purpose.

We didn't choose to be resilient alone in the face of the pandemic, rather we worked hard to assure our customers, our people, our shareholders and other stakeholders, that we are in this together. In line with our principles and values, we chose to face it together by supporting each other.

The year, we demonstrated Resilience, Our Way.

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VISION

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

MISSION

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.



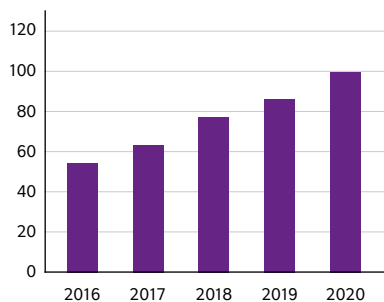
Scan to view this Annual Report online or visit
<https://www.amanabank.lk/investor-relations/annual-reports.html>



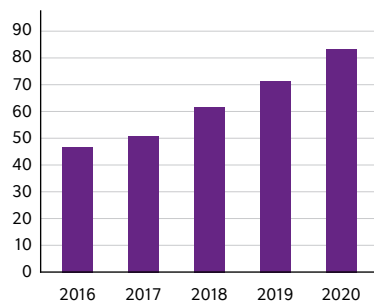
Financial Highlights

	2020	2019	Change %
Operating Results for the Year - LKR '000			
Financing Income	7,211,643	7,709,286	(6)
Financing Expenses	3,757,313	4,544,371	(17)
Total Operating Expenses	2,565,418	2,591,016	(1)
Operating Profit Before VAT on Financial Services, NBT and DRL	1,154,616	1,376,674	(16)
Profit Before Tax	761,449	844,848	(10)
Profit for the Year	463,695	460,931	1
Assets and Liabilities - LKR '000			
Advances	62,566,964	57,716,961	8
Total Assets	100,172,368	86,579,570	16
Deposits	83,554,241	71,614,753	17
Shareholders' Funds	12,467,278	11,853,568	5
Key Ratios - %			
Net Financing Margin	3.7	3.9	
Return on Assets (after Tax)	0.5	0.6	
Return on Equity	3.8	3.9	
Dividend Yield	2.4	3.5	
Net Non-Performing Advances Ratio	1.4	1.5	
Gross Non-Performing Advances Ratio	4.0	3.7	
Investor Information - LKR			
Net Asset Value Per Share	4.79	4.74	
Market Value Per Share - as at 31 December	3.40	2.30	
Earnings Per Share - Basic/Diluted	0.18	0.18	
Dividend Per Share	0.08	0.08	
Regulatory Ratios - %			
Capital Adequacy Ratios			
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7%)	15.6	15.4	
Tier I Capital Ratio (Minimum Requirement - 8.5%)	15.6	15.4	
Total Capital Ratio (Minimum Requirement - 12.5%)	17.4	16.9	
Leverage Ratio (Minimum Requirement - 3%)	8.0	9.7	
Statutory Liquid Asset Ratio			
Domestic Banking Unit (Minimum Requirement - 20%)	23.3	27.7	
Offshore Banking Unit (Minimum Requirement - 20%)	25.1	38.0	
Liquidity Coverage Ratio			
Rupee (Minimum Requirement 2020 - 90% ; 2019 - 100%)	483.0	142.9	
All Currency (Minimum Requirement 2020 - 90% ; 2019 - 100%)	340.3	110.0	
Net Stable Funding Ratio (Minimum Requirement 2020 - 90% ; 2019 - 100%)	205.7	183.8	

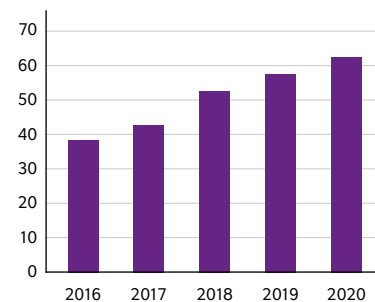
Total Assets (LKR Bn)



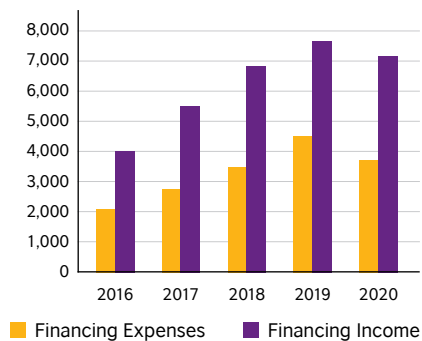
Deposits (LKR Bn)



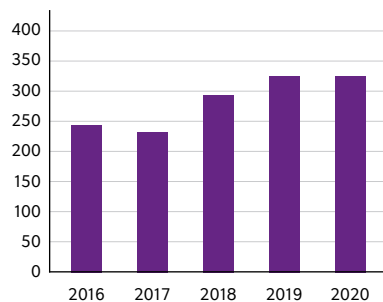
Advances (LKR Bn)



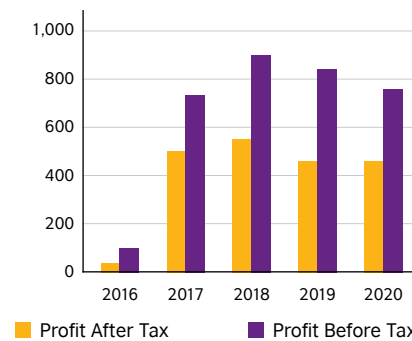
Financing Income and Financing Expenses (LKR Mn)



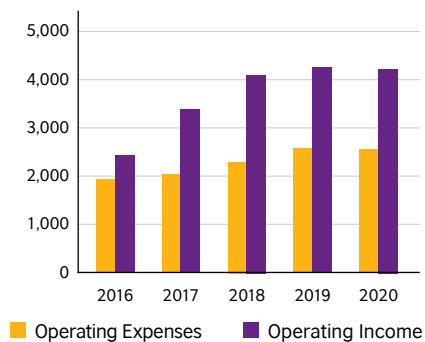
Net Fee and Commission Income (LKR Mn)



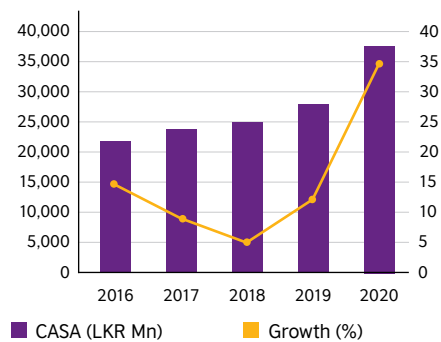
Profit Before Tax and Profit After Tax (LKR Mn)



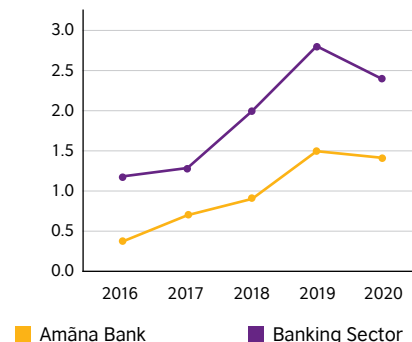
Operating Income and Operating Expenses (LKR Mn)



Current Account and Savings Account (CASA)



Net NPA (%)



Other Highlights

> 366,695 No. of Customers 2020 338,636 2019 	> 32 No. of Branches 2020 31 2019 	> 19 No. of Self Banking Centres 2020 19 Centres 2019 
> 5,297 No. of Points for Withdrawals 2020 5,132 2019 	> 900+ No. of Points for Deposits 2020 750+ 2019 	> 30 No. of Gold Safekeeping Units 2020 29 Units 2019 
> BB+(Ika) External Rating 2020 BB(Ika) 2019 	> 85th LMD Top 100 Ranking 2020 91st 2019 	> 79th Brand Finance - Brand Ranking 2020 85th 2019 
> LKR 602 Mn Brand Finance - Brand Value 2020 LKR 602 Mn 2019 	> 9 No. of Awards Won 2020 13 2019 	> 11th Most Awarded Companies of Sri Lanka Ranking Index 2020 11th 2019 

We helped our customers stay
safe by providing access to a
range of banking solutions at the
comfort of their homes...
RESILIENCE, OUR WAY



Farewell Message from Founder Chairman



*In the Name of Allah, the Most Gracious
the Most Merciful*

With praise to the Almighty, I share this farewell message for the Annual Report 2020, with a deep sense of happiness and satisfaction.

Amāna Bank has always been a dream and a passion for me which will continue to strongly echo in my heart. Amongst many purposeful initiatives I have pursued during my 40+ entrepreneurial years, I regard Amāna Bank as one of the most challenging initiatives while noting that it is also the one which has brought the most satisfaction and happiness to me.

I am extremely thankful to His Excellency Mahinda Rajapaksa and his then Government along with Hon. Ajith Nivard Cabraal who was the Governor of the Central Bank for their vision and leadership in facilitating the birth of the Alternative Banking & Finance Industry in Sri Lanka.

My sincere appreciation goes out to our strategic partners especially foreign investors such as Islamic Development Bank, Islamic Corporation for the Development of the Private Sector and Bank Islam Malaysia who believed in our vision, and our Country and channelled financial investments to Sri Lanka during the most challenging times.

I wish to thank all our shareholders for their continued confidence over the years without which we could not have

progressed thus far. I am happy to note that we have been able to reciprocate and reward our shareholders with successive dividends during the last three years, a momentum which I strongly believe will continue.

Our customers have always been our biggest strength and encouragement, especially in the early days, who were early adopters, without whom this model would have never taken off.

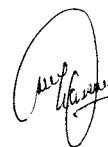
I am thankful to the Bank's Management Committee lead by CEO Mohamed Azmeer, the staff and their families, whose dedication and commitment has always been a blessing for the Bank. With digital becoming the new norm I am confident that Amāna Bank is in the right path to provide our customers a seamless, convenient and meaningful banking experience coupled with its people friendly approach.

I would like to extend my heartfelt gratitude to my fellow founder Directors Tyeab Akbarally, Jazri Magdon Ismail, Harsha Amarasekara, Ruzly Hussain and Dr. A. A. M. Haroon, who bid adieu to Amāna Bank having served long tenures making valuable contributions. They have been great pillars of strength to the Bank since its formation and I cannot thank them enough for being there with me during both happy and trying times.

As we enter the 10th year of Amāna Bank, I am confident that the new Board of Directors along with the new leadership provided by Asgi Akbarally, will take the

Bank to greater heights. It is indeed delightful for me to know that Asgi, whose business acumen and experience gained through building and guiding a homegrown conglomerate to become a world renowned brand, is leading the Bank's forward journey.

I conclude with a sincere prayer that the Almighty continues to bless Amāna Bank to achieve its full potential by ensuring this unique model of banking is enjoyed by every Sri Lankan whilst expanding further beyond the shores of Sri Lanka.



Osman Kassim
Founder Chairman

20 February 2021
Colombo

නිර්මාතෘ-සභාපතිවරයාගේ සමුගැනීමේ පණිවුඩය

දයාවන්ත වූ කරුණාවන්ත වූ අල්ලාන් දෙවියන්ගේ නාමයෙන්

දෙවියන් වහන්සේ වෙත කරන්නා වූ ස්තූතිය පෙරදැරිව, අතීතය තෘප්තිමත් හැඟීමකින් යුතුව, 2020 වාර්ෂික වාර්තාව වෙනුවෙන් වූ මාගේ පණිවිඩය මෙසේ ඉදිරිපත් කරමි.

අමානා බැංකුව මාගේ සිහිනයක් මෙන්ම මාගේ පරමාර්ථයක්ද වූ අතර, එය සදාකල් මාගේ හදවතෙහි රැඳෙනු ඇත. මාගේ හතළිස් වසරකට අධික ව්‍යවසායකත්ව ඉතිහාසය තුළ මා හඹා ගිය නොයෙකුත් ඉලක්කයන් අතරින් අමානා බැංකුව වඩාත්ම අභියෝගකාරී ව්‍යාපෘතියක් මෙන්ම මට වැඩිම සතුටක් හා තෘප්තියක් රැගෙන ආ ව්‍යාපෘතියක්ද විය.

ශ්‍රී ලංකාවේ පොලී රහිත ක්ෂේත්‍රයේ බැංකුකරණ හා මූල්‍ය කර්මාන්තයේ ආරම්භය උදෙසා ඉටුකරන ලද මෙහෙවර සහ ලබාදුන් නායකත්වය වෙනුවෙන් මම එවකට ජනාධිපති වූ අතිගරු මහින්ද රාජපක්ෂ මැතිතුමන්ටත්, එවකට ශ්‍රී ලංකා මහ බැංකුවේ අධිපති වූ අජිත් නිවාඩ් කබිරාල් මැතිතුමන්ටත් හෘදයාංගම ස්තූතිය පුද කරමි.

අපගේ දැක්ම කෙරෙහි විශ්වාසය තබමින්, ඉතාමත් අභියෝගකාරී අවස්ථාවන් හමුවේ පවා ශ්‍රී ලංකාවට මූල්‍ය ආයෝජනයන් යොමු කළා වූ Islamic Development Bank, Islamic Corporation for the Development of the Private Sector සහ Bank Islam Malaysia වැනි විදේශ ආයෝජකයන් ඇතුළුව අපගේ සියලුම ක්‍රමෝපායික හවුල්කරුවන් වෙතද මාගේ හද පිරි කෘතඥතාව ප්‍රකාශ කරමි.

එමෙන්ම වසර ගණනාවක් මුළුල්ලේ අප කෙරෙහි විශ්වාසය තැබූ කොටස් හිමියන්ටද මාගේ ස්තූතිය පළකරමි. ඔවුන්ගේ විශ්වාසය හා දායකත්වය නොමැතිව අපට මෙතරම් ප්‍රගතියක් අත්පත් කරගැනීම සිහිනයක් වන්නට ඉඩ තිබිණි. මෙම විශ්වාසය අගයමින්, පසුගිය වසර තුන තුළ

අඛණ්ඩව ඔවුන් වෙත ලාභාංශ ගෙවීමට අපට හැකිවීම පිළිබඳව මා සතුටු වන අතර, එම ප්‍රවණතාවය ඉදිරියටද අඛණ්ඩව පවතිනු ඇතැයි මම තරයේ විශ්වාස කරමි.

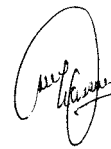
කවදත් අප දිරිමත් කරමින් අපගේ ගමනට වැඩිම ශක්තියක් ලබාදුන්නේ අපගේ ගනුදෙනුකරුවන් ය. විශේෂයෙන්ම අපගේ සේවාවන් ආරම්භ වූ කාලයේ ඔවුන් ලබාදුන් සහයෝගය සිහිපත් කළ යුතු අතර, එම සහයෝගය නොවන්නට මෙම විශේෂ බැංකුකරණ ආකෘතියේ සාර්ථකත්වය හා පැවැත්ම ප්‍රේමාදර්ශයක් වන්නට තිබිණි.

එමෙන්ම ප්‍රධාන විධායක නිලධාරී මොහොමඩ් අස්මීර් මහතාගේ ප්‍රධානත්වයෙන් යුත් කළමනාකරණ කමිටුවටත්, කාර්ය මණ්ඩලය සහ ඔවුන්ගේ පවුල් වල සාමාජික සාමාජිකාවන්ටත් මාගේ ස්තූතිය හිමිවිය යුතුය. ඔවුන්ගේ නොවෙනස් කැපවීම බැංකුවට ලැබුණු ආර්ථිකවිද්‍යාත්මක විය. ලෝකයම ඩිජිටල් තාක්ෂණය වෙත යොමුවෙමින් පවතින පසුබිමක් තුළ, සිය මානුෂ හිතවාදී ප්‍රවේශය ඔස්සේ ගනුදෙනුකරුවන්ට කාර්යක්ෂම, පහසු හා අර්ථවත් සේවාවක් සැලසීම සඳහා අමානා බැංකුව නිවැරදි මාවතක පෙරට යමින් සිටින බව මාගේ විශ්වාසයයි.

දීර්ඝ කාලයක් තිස්සේ අමානා බැංකුවේ ප්‍රගතිය උදෙසා තම දායකත්වය ලබා දී විශ්‍රාම ගත් මාගේ හිතවත් නිර්මාතෘ-අධ්‍යක්ෂවරුන් වන තයෙබ් අක්බර්අලි, ජැසර් මැග්ඩන් ඉස්මයිල්, හර්ෂ අමරසේකර, රුස්ලි හුසේන් සහ චෛද්‍ය ඒ. ඒ. එම්. හාරුන් යන මහත්වරුන්ටද මේ මොහොතේදී මාගේ හදපිරි ස්තූතිය පළකරමි. ආරම්භයේ සිටම ඔවුන් අමානා බැංකුවට ඉමහත් ශක්තියක් වූ අතර, බැංකුවේ ජයග්‍රහණයන් මෙන්ම නොයෙකුත් අභියෝග හමුවේ ද නොසැලී මා සමග එක්ව කටයුතු කළහ.

අමානා බැංකුව සිය 10 වැනි වසරට පිය නගන මේ අවස්ථාවේ, අස්ගි අක්බරලි මහතාගේ නායකත්වය යටතේ නව අධ්‍යක්ෂ මණ්ඩලය විසින් බැංකුව සාර්ථකත්වයේ ඉහල තලයකට රැගෙන යනු ඇති බවට මට කිසිදු සැකයක් නොමැත. දේශීය ව්‍යාපාරයක් ජාත්‍යන්තර තලයේ සන්නාමයක් බවට පත්කිරීම ඔස්සේ ලද අත්දැකීම් සම්භාරයක් හිමි අස්ගි අක්බරලි මහතා බැංකුවේ ඉදිරි ගමනේ පෙරමුණ ගෙන සිටිනු දැකීම මට මහත් සතුටකි.

අවසාන වශයෙන්, අමානා බැංකුවේ බැංකුකරණ ආකෘතිය සමස්ත ශ්‍රී ලංකා වාසීන්ගේ පැසසුමට පාත්‍ර වී, ඉන් ඔබ්බට කලාපීය රටවල් වලටද පුළුල් වී ස්ථාපිත වන්නට දෙවියන් වහන්සේගේ ආශීර්වාදය ඉමහත් හක්කියෙන් යුතුව ප්‍රාර්ථනා කරමි.



ඔස්මාන් කාසිම්
නිර්මාතෘ-සභාපති

2021 පෙබරවාරි 20
කොළඹ

ஸ்தாபக தலைவரின் பிரியாவிடை செய்தி

அளவற்ற அருளாளனும், நிகரற்ற அன்புடையோனுமாகிய அல்லாஹ்வின் திருநாமத்தால் ஆரம்பம் செய்கின்றேன்.

எல்லாம் வல்ல இறைவனின் புகழுடன், இந்த பிரியாவிடை செய்தியை, 2020 ஆம் ஆண்டறிக்கைக்கு நான் பகிர்ந்து கொள்வதையிட்டு, மிகவும் மகிழ்ச்சியும் திருப்தியும் அடைகின்றேன்.

அமானா வங்கி என்பது எப்போதும் எனது கனவாகவும் மற்றும் அதிகளவு ஆர்வம் கொண்ட விடயமாக அமைந்திருப்பதுடன், இது எப்போதும் என் இதயத்தில் தொடர்ந்தும் உறுதியாக நிலைத்திருக்கும். எனது 40 வருடங்களுக்கு அதிகமாக தொழில்முயற்சியுடைய காலப்பகுதியில் நான் முன்னெடுத்த பல அர்த்தமுள்ள செயற்பாடுகளில், அமானா வங்கியை மிகவும் சவால் மிக்க முன்னெடுப்பாக நான் கருதுவதுடன், இது எனக்கு அதிகளவு திருப்தியை மற்றும் மகிழ்ச்சியைக் கொண்டு வந்த ஒரு முயற்சியாக கருதுகின்றேன்.

இலங்கையில் மாற்றிட்டு வங்கியியல் மற்றும் நிதியியல் தோற்றத்திற்கு பங்களிப்பதில் மேன்மை தாங்கிய மஹிந்த ராஜபக்ச மற்றும் அவரின் அரசாங்கத்தின் அப்போதைய இலங்கை மத்திய வங்கியின் ஆளுநராகத் திகழ்ந்த கௌரவ. அஜித் நிவார்ட் கப்ரால் அவர்களது தொலைநோக்குடைய தலைமைத்துவத்திற்கு நான் மிகவும் நன்றி கடமைப்பட்டவனாக இருக்கின்றேன்.

எமது மூலோபயப் பங்காளர்கள் குறிப்பாக வெளிநாட்டு முதலீட்டாளர்களான Islamic Development Bank, Islamic Corporation for the Development of the Private Sector மற்றும் Bank Islam Malaysia ஆகியன எமது தொலை நோக்கு முயற்சியிலும், எமது நாட்டிலும் நம்பிக்கை கொண்டு சவால்கள் நிறைந்த காலப்பகுதியிலும் தமது நிதியியல் முதலீடுகளை இலங்கையில் மேற்கொண்டிருந்தமைக்கு எனது மனமார்ந்த பாராட்டுகளைத் தெரிவித்துக் கொள்கின்றேன்.

தொடர்ச்சியாக எம் மீது நம்பிக்கை வைத்து செயலாற்றிய எமது சகல பங்குதாரர்களுக்கும் நான் நன்றி தெரிவித்துக் கொள்கின்றேன். அவர்களின் ஆதரவின்றி எம்மால் இன்றைய நிலைக்கு வளர்ந்திருக்க முடியாது. கடந்த மூன்றாண்டு காலப்பகுதியில் எமது பங்குதாரர்களுக்கு பங்கிலாபங்களை எம்மால் வழங்க முடிந்ததையிட்டு நான் மகிழ்ச்சியடைவதுடன், இந்த நிலை தொடர்ந்தும் காணப்படும் என்பதில் நான் உறுதியாக நம்பிக்கை கொண்டுள்ளேன்.

எமது பாரிய வலிமையாகவும் ஊக்கமாகவும் எமது வாடிக்கையாளர்கள் அமைந்துள்ளனர். குறிப்பாக, ஆரம்ப காலத்தில், இவர்கள் எமது சேவைகளை பயன்படுத்த ஆரம்பித்தமையின் காரணமாகவே எம்மால் தொடர்ந்து இயங்க முடிந்தது.

வங்கியின் பிரதம நிறைவேற்று அதிகாரி மொஹமட் அஸ்மீரின் தலைமையின் கீழ் இயங்கும் வங்கியின் முகாமைத்துவக் குழு, ஊழியர்கள் மற்றும் அவர்களின் குடும்பத்தாரின் அர்ப்பணிப்பு மற்றும் கடப்பாடு வங்கிக்கு எவ்வேளையிலும் ஆசிர்வாதமாக இருந்ததையிட்டு, நான் நன்றி தெரிவித்துக் கொள்கின்றேன். இவர்களின் அர்ப்பணிப்பு மற்றும் ஈடுபாடு என்பது வங்கிக்கு எப்போதும் நல்லாசியாக அமைந்திருக்கும். டிஜிட்டல் என்பது புதிய வழமையாக மாறி வரும் நிலையில், எமது வாடிக்கையாளர்களுக்கு ஒப்பற்ற, சௌகரியமான மற்றும் அர்த்தமுள்ள வங்கியியல் அனுபவத்தை அமானா வங்கியின் மக்களுக்கு நட்பான வழிமுறையைப் பின்பற்றி வழங்கக்கூடியதாக இருக்கும்.

வங்கியியல் நீண்ட காலமாக பணியாற்றி பெறுமதி வாய்ந்த பங்களிப்புகளை வழங்கி ஓய்வு பெற்ற, எனது சக ஸ்தாபக பணிப்பாளர்களான தையிப் அக்பரலி, ஜஸீரி மக்தொன் இஸ்மாயில், ஹர்ஷ அமர்சேகர, ருஸ்லி ஹுஸைன் மற்றும் வைத்தியர் ஏ.ஏ.எம். ஹாருன் ஆகியோருக்கு எனது மனமார்ந்த நன்றியைத் தெரிவித்துக் கொள்கின்றேன். வங்கி ஸ்தாபிக்கப்பட்டது முதல் அதன் பலம் மிக்க தூண்களாகவும் வலிமையாகவும்

அவர்கள் அமைந்திருந்ததுடன், மகிழ்ச்சியான மற்றும் நெருக்கடியான தருணங்களில் என்னுடன் கைகோர்த்திருந்தமைக்காக என்னால் வார்த்தைகளால் மாத்திரம் நன்றி கூறிவிட முடியாது.

அமானா வங்கியின் 10 ஆம் ஆண்டில் நாம் பிரவேசித்துள்ள நிலையில், புதிய பணிப்பாளர் சபை அங்கத்தவர்கள், அஸ்கி அக்பரலியின் புதிய தலைமைத்துவத்தின் கீழ், வங்கியை மேலும் உயர்ந்த ஸ்தானத்துக்கு கொண்டு செல்வார்கள் என்பதில் நான் நம்பிக்கை கொண்டுள்ளேன். உள்நாட்டில் இயங்கும் பன்முகப்படுத்தப்பட்ட நிறுவனமொன்றை கட்டியெழுப்பி உலகப் புகழ்பெறச் செய்த அஸ்கியின் வணிகப் புத்திக்கூர்மை மற்றும் அனுபவத்தினூடாக, வங்கியின் முன்னோக்கிய பயணம் வழிநடத்தப்படும் என்பதை அறிய முடிந்ததையிட்டு நான் மிகவும் மகிழ்ச்சியடைகின்றேன்.

சகல இலங்கையர்களுக்கும் அனுபவிக்கக்கூடிய பிரத்தியேகமான வங்கியியல் மாதிரியை எய்தி, இலங்கையின் கரைகளுக்கு அப்பாலும் தனது செயற்பாடுகளை விஸ்தரித்து செயலாற்றுவதற்கு இறைவனின் ஆசிகள் என்றும் அமானா வங்கிக்கு கிடைக்கட்டும் என்ற மனமார்ந்த பிரார்த்தனையுடன் நிறைவு செய்கின்றேன்.



ஒஸ்மான் காசிம்
ஸ்தாபக தலைவர்

20 பெப்ரவரி 2021
கொழும்பு

Chairman’s Message



“Our efforts to proactively reorient our business strategy to adapt to market conditions enabled Amāna Bank to deliver a commendable financial performance even in these uncertain times.”

It is with great pleasure that I present to you the Annual Report and Audited Financial Statements of Amāna Bank PLC for the year ended 31 December 2020.

From a humble beginning in 2011, Amāna Bank today is a fast growing institution steadily progressing towards making a strong impact within the local Banking industry serving all Sri Lankans.

I am pleased to report that Amāna Bank recorded healthy results for the year, despite the turbulent economic environment that we have all come to associate with the year 2020. Let me provide some context on the broader operating environment, which will help you appreciate the significance of our performance.

MACROECONOMIC ENVIRONMENT

The year under review was one of the toughest the global economy has faced owing to the existential crisis arising from the Covid-19 pandemic. As the pandemic caused significant loss of human lives, global economic activity came to a virtual standstill, with both advanced and emerging economies enforcing lockdowns, announcing travel restrictions and closing air and sea ports in a bid to curb the spread of the virus. Global trade took a nosedive, with crude oil prices plummeting and stock market indices declining sharply, all in the span of a few months.

Amidst this backdrop, the Government of Sri Lanka aptly extended businesses and individuals a host of relief measures articulated through several circulars issued by Central Bank of Sri Lanka (CBSL) to Licensed Commercial Banks. These relief measures were primarily in the form of moratoria effectively extending repayment terms and the Saubagya Renaissance Facility schemes aimed at providing adequate stimulus to businesses affected by the economic slowdown.

With almost all sectors being affected for six month of the year, the Sri Lankan economy is estimated to have contracted by 3.9% in 2020. Subdued demand from key export markets and lower foreign inflows were a few of the other factors that contributed towards the negative growth rate.

Stemming from the economic downturn, demand for private sector credit declined leaving the Banking industry with excess liquidity for much of the year. This led to CBSL's decision to cut policy rates in a bid to expand credit growth and spur economic activity.

KEY PERFORMANCE HIGHLIGHTS

Amāna Bank was able to take these challenges thanks to the underlying strengths of our business model, balance sheet and strong capital position. Moreover our efforts to

proactively reorient our business strategy to adapt to market conditions enabled Amāna Bank to deliver a commendable financial performance even in these uncertain times. Pre-tax profits amounted to LKR 761 million in 2020, compared to the LKR 845 million recorded in the previous year. Meanwhile after accounting for tax expenses of LKR 298 million, the Bank recorded post-tax profits of LKR 463 million in 2020 compared to the LKR 461 million reported in 2019.

As the key highlight and a significant milestone, Amāna Bank's Asset Base crossed the LKR 100 billion mark to end the year at LKR 100.2 billion, which was backed by a steady balance sheet growth. Achieving this milestone within a very short time frame, in a context where the Bank is yet to complete 10 years in operations, is noteworthy. The fact that this achievement comes at a time when market conditions have been unfavourable, makes this achievement even more significant. I must also reiterate that while we sustained our asset growth strategy, we made sure it was not at the expense of asset quality. Testifying to this, is Amāna Bank's net NPA ratio of 1.4% as at 31 December 2020 which is significantly below the industry average of 2.4% as at the same date.

At the same time, we continued to exercise prudent balance sheet management strategies to safeguard the Bank's liquidity position and maintain adequate buffers. Further, strong capital discipline resulted in a total capital ratio of 17.4% as at 31 December 2020, substantially above the regulatory minimum of 12.5%.

Chairman's Message

I am also pleased to announce that along with our consistent performance notwithstanding the pandemic-related challenges, the recalibration of Fitch Ratings' Sri Lankan national rating scale took place prompting an upward revision of Amāna Bank's credit rating by the agency from BB(lka); Positive Outlook in 2019 to BB+(lka); Stable Outlook in June 2020. This was reaffirmed in Fitch Ratings' latest review in October 2020.

Meanwhile, the Bank's healthy financial results and sound capital position enabled the Bank's shareholders to benefit from a dividend for the 3rd consecutive year. Complying with CBSL regulations which prevented the payment of cash dividends in 2020, we declared a scrip dividend amounting to LKR 200 million in the third quarter.

AWARDS AND ACCOLADES

Amāna Bank has continued to excel in many spheres as evidenced by the numerous awards and accolades accumulated over the past few years. This year was no different. However, among the accolades received during the year, what I value most is the Bank's growing recognition as an employer of choice, where we were recognised amongst Sri Lanka's Best Employer Brands adjudicated by World HRD Congress. Employee engagement is an important element of our Strategic Plan and I am glad to note that such initiatives are bearing fruit, resulting in global recognition. Owing to the multiple awards and recognitions bestowed, Amāna Bank was ranked 11th in the inaugural edition of LMD's Most Awarded Entities of Sri Lanka ranking index.

Please refer the section on Management Discussion and Analysis of the Annual Report for details on awards and accolades.

GOVERNANCE AND STEWARDSHIP

As Chairman of the Board, I wish to reiterate the importance Amāna Bank places on good governance and stewardship. As in the past, this year too, the Board focused on continuously reviewing the framework within which the Bank operates and the processes implemented to ensure that they reflect the rapidly evolving business landscape. Based on this, we believe it is prudent to continue with Amāna Bank's broader strategy which has proven successful in delivering value to shareholders even during the most challenging times such as the one seen in 2020. Whilst focusing on the broader goals, the Bank will significantly enhance its digital offerings as it embarks on a revamped digital strategy to compete in a fast evolving digital landscape.

Continuing the process of capacity building for Directors, the Bank in Q4 of 2020, invited a senior Professional with expertise to enhance awareness of Board members on Regulatory guidelines relevant to the Banking industry.

OUTLOOK AND PROSPECTS

I remain quite optimistic about the economic stimulus plans outlined by the CBSL in its 2021 Road Map. On this basis, I have reason to believe it is only a matter of time before Sri Lanka's post-Covid economic turnaround kicks in.

Amāna Bank's primary focus will be to reach out to all Sri Lankans helping them realise and enjoy the benefits of the unique Banking model we follow. We will do so guided by our strategy to transform Amāna Bank to a truly Digital Bank and while living up to our commitment to our valued shareholders to continue our dividend Journey. Amāna Bank will also keenly work towards expanding its presence beyond the shores of Sri Lanka in the upcoming years.

BOARD CHANGES

In compliance with the CBSL directive stipulating the mandatory retirement of all Directors serving on the board for 9 years, our Founder Chairman Mr. Osman Kassim, Deputy Chairman Mr. Tyeab Akbarally and Senior Director Mr. Jazri Magdon Ismail retired from their positions on the Amāna Bank Board in 2020. During the early part of the year under review, Mr. Harsha Amarasekara also resigned after having served the Board for almost 9 years to make room for new directors to come onboard. I take this opportunity to thank our Founder Chairman for his visionary leadership and untiring efforts in launching the country's first non-interest based Bank in 2011. To the other Directors, I wish to extend my heartfelt gratitude for your invaluable contributions over the years and being a key stakeholder in the success of the Bank.

It gives me pleasure in welcoming our new Directors who have come onboard with whom we intend to build a strong Board with multi-disciplinary expertise, capable of taking Amāna Bank to the next level as one of the most sought after banks by all Sri Lankans.

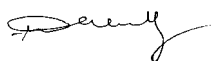
APPRECIATIONS

I take this opportunity to express my gratitude to all my colleagues on the Board for their enthusiastic participation in all board matters and the unstinted support extended to me at all times. I also wish to thank the Sharia Supervisory Council, the CEO Mohamed Azmeer, the Management team and all Amāna Bank employees for their commitment during this difficult time.

Many thanks also to the regulatory bodies including the Central Bank of Sri Lanka and the Colombo Stock Exchange for their guidance and support.

On our community care front, I am truly pleased to see the progress and impact made by our flagship CSR project OrphanCare, ensuring continuity to benefit over 2,800 orphans despite the challenges resulting from the pandemic. I am forever grateful to our independent Board of Trustees, OrphanCare management team, donors, partners including our honorary Auditors Messrs Ernst & Young and other well-wishers for believing in our cause and supporting us to make a true difference in the lives of orphan children as they reach adulthood.

In conclusion, I would like to extend my sincere appreciation to our valued customers, shareholders and other stakeholders. On behalf of the Board, I wish to state that Amāna Bank will center its focus in the years ahead not only to meet your varied expectations, but to exceed them consistently.



Asgi Akbarally
Chairman

20 February 2021
Colombo

සහාපතිවරයාගේ පණිවුඩය

2020 දෙසැම්බර් 31 දිනෙන් අවසන් වූ වර්ෂය සඳහා වන වාර්ෂික වාර්තාව සහ විගණනය කරන ලද මූල්‍ය ප්‍රකාශයන් ඔබ වෙත ඉදිරිපත් කරන්නේ ඉමහත් සතුටිනි.

2011 වසරේ තම නිහතමානී ආරම්භයෙන් අනතුරුව අද වනවිට අමානා බැංකුව වේගයෙන් වර්ධනය වෙමින්, සමස්ත ශ්‍රී ලංකාවාසීන් වෙනුවෙන් තම සේවය සලසමින්, මෙරට බැංකු ක්ෂේත්‍රය තුළ සුවිශේෂී ප්‍රගතියක් වාර්තා කරමින් පවතින ආයතනයක් බවට පත්වී තිබේ.

2020 වසරේදී අප සියලුම දෙනාට මුහුණ දීමට සිදුවූ අභියෝග හමුවේ පවා අමානා බැංකුව යහපත් ප්‍රතිඵල වාර්තා කරගෙන ඇති බව ඔබ වෙත සතුටින් දැනුම් දෙමි. මෙහිදී අපට ක්‍රියාත්මක වීමට සිදුවූ සන්දර්භය තරමක් පුළුල් ලෙස විග්‍රහ කිරීම මගින් අපගේ ක්‍රියාකාරීත්වය පිළිබඳ වඩාත් හොඳින් වටහා ගැනීමට හැකිවනු ඇත.

සාර්ව ආර්ථික වාතාවරණය

Covid-19 රෝග ව්‍යාප්තිය හේතුවෙන් මෙම අදාළ වර්ෂය ලෝක ආර්ථිකයට මුහුණ දීමට සිදු වූ වඩාත්ම අභියෝගකාරී වසරක් බවට පත්විය. Covid-19 රෝගය නිසා ජීවිත විශාල සංඛ්‍යාවක් අහිමි වෙද්දී ගෝලීය ආර්ථික ක්‍රියාකාරකම් මුළුමනින්ම පාහේ නැවතීම්. වෛරසය පැතිරීම වැළැක්වීම සඳහා ඇදිරි නීතිය පැනවීම, ගමනාගමන කටයුතු සීමා කිරීම, වරාය සහ ගුවන් තොටුපළවල් වසා දැමීම වැනි පියවර ගැනීමට දියුණු ආර්ථිකයන් මෙන්ම දියුණු වෙමින් පවතින ආර්ථිකයන් සහිත රටවලට සිදුවිය. මාස කිහිපයක් තුළ ගෝලීය වෙළඳාම් කටයුතු අඩපණ වී බොරතෙල් මිල ගණන් පහළ ගිය අතර කොටස් වෙළඳපොළවල්ද කඩා වැටිණි. මෙම පසුබිම තුළ ශ්‍රී ලංකා මහ බැංකුව විසින් මෙරට බලපත්‍රලාභී වාණිජ බැංකු වෙත නිකුත් කරන ලද වක්‍රලේඛ කිහිපයක් ඔස්සේ ව්‍යාපාර වලටත් පුද්ගලයන්ටත් සහන සැලසීමට ශ්‍රී ලංකා රජය වහාම පියවර ගත්තේය. මෙම සහන වලට, ණය ආපසු ගෙවීම් සඳහා සහන

කාලයන් ලබාදීම සහ ආර්ථිකය මන්දගාමී වීම හේතුවෙන් බලපෑමට ලක්වූ ව්‍යාපාර වෙනුවෙන් සෞභාග්‍ය පුනරුද සහන යෝජනා ක්‍රමය හඳුන්වා දීම ආදිය ඇතුළත් විය.

වසරේ මුල් මාස 6 තුළදී රටේ සියලුම ක්ෂේත්‍ර වලට ඇතිවූ බලපෑම හේතුවෙන් ශ්‍රී ලංකා ආර්ථිකය 2020 වසර තුළදී 3.9% කින් සංකෝචනය වූ බව ඇස්තමේන්තු කර තිබේ. ප්‍රධාන අපනයන වෙළඳපොළවල ඉල්ලුම පහළ යාම සහ විදේශ විනිමය අවම වීමද මෙම සංඝාතමක වර්ධන අනුපාතයට බලපා ඇත.

මෙම ආර්ථික අපගමනය නිසා ණය සඳහා පෞද්ගලික අංශයේ ඉල්ලුම පහළ යාම හේතුවෙන් බැංකු ක්ෂේත්‍රයට වසරේ වැඩි කාලයක් අතිරික්ත ද්‍රවශීලතාවකට මුහුණ දීමට සිදුවිය. මේ නිසා ණය වර්ධනය පුළුල් කර ආර්ථික ක්‍රියාකාරකම් පණගැන්වීම සඳහා ශ්‍රී ලංකා මහ බැංකුව විසින් පොලී අනුපාත අඩුකරන ලදී.

ප්‍රධාන කාර්යය සාධනයේ කැපීපෙනෙන අංශ
අපගේ මූලික ශක්තීන් වන ව්‍යාපාර ආකෘතිය, ශේෂ පත්‍රය සහ ශක්තිමත් ප්‍රාග්ධන ආස්ථානය වැනි සාධක නිසා අමානා බැංකුවට මෙම අභියෝග වලට සාර්ථක ලෙස මුහුණ දීමට හැකියාව ලැබිණි. වෙළඳපොළ තත්ත්වයන්ට ගැළපෙන ආකාරයට අපගේ ව්‍යාපාරික ක්‍රමෝපාය හැඩගස්වා ගැනීම සඳහා අප විසින් දරන ලද සක්‍රීය උත්සාහයන් හේතුවෙන් මෙම අවිනිශ්චිත කාලපරිච්ඡේදය තුළ පවා යහපත් මූල්‍ය ක්‍රියාකාරීත්වයක් වාර්තා කිරීමට අමානා බැංකුව සමත් විය. පෙර වසරේදී බදු වලට පෙර ලාභය රු. මිලියන 845 ක් වූ අතර 2020 වසරේදී එය වාර්තා වූයේ රු. මිලියන 761 ක් වශයෙනි. බදු වියදම් ලෙස රු. මිලියන 298 ක් ගණනය කිරීමෙන් අනතුරුව, 2019 වසරේ වාර්තා වූ බදු වලට පසු ලාභය වන රු. මිලියන 461 ට සාපේක්ෂව 2020 වසරේදී රු. මිලියන 463 ක බදු වලට පසු ලාභයක් වාර්තා කිරීමට අමානා බැංකුවට හැකි විය.

තවත් සුවිශේෂී සන්ධිස්ථානයක් සනිටුහන් කරමින්, ස්ථාවර ශේෂ පත්‍ර වර්ධනය හේතුකොට ගෙන, වසර අවසානයේදී අමානා බැංකුවේ වත්කම් පදනම රු. බිලියන 100 සීමාව ඉක්මවා රු. බිලියන 100.2 මට්ටමට වාර්තා කළේය. අමානා බැංකුව මෙම සන්ධිස්ථානය වෙත ළඟා වීමට සමත් වී ඇත්තේ වසර 10 ක් සම්පූර්ණ වීමට පවා පෙර බව මෙහිදී විශේෂයෙන් සඳහන් කළ යුතු වේ. වෙළඳපොළ තත්ත්වය යහපත් නොවන පසුබිමක මෙම සන්ධිස්ථානය පසුකිරීමට සමත් වීම මෙහි විශේෂත්වය තවත් වැඩි කරයි. එමෙන්ම, අපගේ වත්කම් වර්ධන ක්‍රමෝපාය අඛණ්ඩව ක්‍රියාත්මක කරන අතරම වත්කම් වල ගුණාත්මකභාවය (Asset Quality) පහළ යාමට ඉඩ නොදුන් බවද මෙහිදී අවධාරණය කිරීමට කැමැත්තෙමි. 2020 දෙසැම්බර් 31 දින වන විට, ක්ෂේත්‍රයේ ශුද්ධ අක්‍රීය ණය අනුපාතයේ සාමාන්‍යය 2.4% මට්ටමේ තිබියදී අමානා බැංකුවේ එම අනුපාතය 1.4% මට්ටමේ පැවතීම මීට සාක්ෂි දරයි.

මේ අතරම, බැංකුවේ ද්‍රවශීලතා ආස්ථානය ආරක්ෂා කරමින් ප්‍රමාණවත් අවරෝධකයන් පවත්වා ගැනීම සඳහා දැඩි ශේෂ පත්‍ර කළමනාකරණ ක්‍රමෝපායන් ක්‍රියාවට නැංවීමටද අපි කටයුතු කළෙමු. ශක්තිමත් ප්‍රාග්ධන ශික්ෂණය නිසා 2020 දෙසැම්බර් 31 වන විට සමස්ත ප්‍රාග්ධන අනුපාතය 17.4% මට්ටමේ පැවති අතර, මෙය අවම නියාමන මට්ටම වූ 12.5% ට වඩා පැහැදිලි ලෙසම ඉහළ අගයකි.

වසංගත රෝග ව්‍යාප්තිය හමුවේ පවා අප පෙන්නුම් කළ ස්ථාවර ක්‍රියාකාරීත්වයට සමගාමීව, Fitch Ratings ආයතනය විසින් ශ්‍රී ලංකාවේ ජාතික ශ්‍රේණිගත කිරීම් මට්ටම් සංශෝධනය කළ අවස්ථාවේදී, 2019 වසරේදී අප වෙත හිමිවී තිබූ BB(ika); Positive Outlook හි සිට BB+(ika); Stable Outlook දක්වා ඉහළට නැංවීමට අමානා බැංකුව 2020 ජූනි මාසයේදී සමත් විය. 2020 ඔක්තෝබර් මාසයේදී Fitch Ratings ආයතනය මගින් සිදුකරන ලද වාර්ෂික සමාලෝචනයේදීද මෙය

නැවත වරක් තහවුරු කරන ලදී. මේ අතර අමාත්‍යා බැංකුවේ සාර්ථක මූල්‍ය ප්‍රතිඵල සහ ශක්තිමත් ප්‍රාග්ධන තත්ත්වය නිසා අඛණ්ඩව තෙවන වරටත් කොටස් හිමිකරුවන් වෙත ලාභාංශ ගෙවීමට බැංකුවට හැකියාව ලැබිණි. 2020 වසරේදී මුදල් වලින් ලාභාංශ ගෙවීම වළක්වමින් ශ්‍රී ලංකා මහා බැංකුව විසින් නිකුත් කරන ලද මාර්ගෝපදේශයට අනුව කටයුතු කරමින්, තුන්වන කාර්තුවේදී රු. මිලියන 200 කට සමාන වටිනාකමකින් යුතු ලාභාංශ ප්‍රමාණයක්, කොටස් වලින් ලාභාංශ ගෙවීමක් ලෙස කොටස් හිමියන් වෙත ගෙවන ලදී.

සම්මාන සහ ඇගයුම්

අමාත්‍යා බැංකුව අංශ කිහිපයකින්ම විශිෂ්ටත්වය ළඟා කරගැනීමට සමත් වී ඇති බව, පසුගිය වසර කිහිපය තුළ හිමි වූ සම්මාන සහ ඇගයුම් සාක්ෂි දරයි. මෙම වසරේදීත් අපි එලෙසම සම්මාන සහ ඇගයුම් රැසකින් පිදුම් ලැබීමු. මේ අතරින් මට වඩාත්ම වැදගත් වන්නේ, World HRD Congress විසින් අමාත්‍යා බැංකුව ශ්‍රී ලංකාවේ ජනප්‍රියම සේව්‍යෝජකයෙකු ලෙස සලකා මෙරට විශිෂ්ටතම සේව්‍යෝජක සන්නාමයන් අතරට ඇතුළත් කරනු ලැබීමය. කාර්ය මණ්ඩලයේ දායකත්වය යනු අපගේ ක්‍රමෝපායක සැලසුමේ අතිශයින්ම වැදගත් අංගයක් වන අතර, එබඳු විධිවිධාන වල සාර්ථකත්වය නිසා අපි ජාත්‍යන්තර පිළිගැනීමට ලක්වෙමින් සිටින්නෙමු. මේ ආකාරයට සම්මාන සහ ඇගයුම් රැසකින් පිදුම් ලැබීමට සමත් වීම නිසා LMD විසින් ප්‍රථම වරට ප්‍රකාශයට පත්කරන ලද, මෙරට වැඩිම සම්මාන ගණනකින් පිදුම් ලැබූ සමාගම් සහ ආයතන දර්ශකයේ 11 වන ස්ථානයට පත්වීමට අමාත්‍යා බැංකුවට හැකියාව ලැබිණි. අප ලැබූ ප්‍රධාන පෙළේ සම්මාන සහ ඇගයුම් සම්බන්ධ විස්තර සඳහා අපගේ වාර්ෂික වාර්තාවේ 'කළමනාකාරිත්ව සංවාදය සහ විශ්ලේෂණය' (Management Discussion and Analysis) කොටස බලන්න.

ආයතනික පාලනය සහ භාරකාරත්වය

අධ්‍යක්ෂ මණ්ඩලයේ සභාපති ලෙස, අමාත්‍යා බැංකුව ආයතනික පාලනය සහ භාරකාරත්වය

(Governance and Stewardship) කෙතරම් වැදගත් කොට සලකන්නේද යන්න අවධාරණය කිරීමට කැමැත්තෙමි. පසුගිය කාලයේ මෙන්ම මෙම වසරේදීද, වේගයෙන් වෙනස් වන ව්‍යාපාරික ලෝකයේ තත්ත්වයන් නිසි පරිදි නිරූපණය වන බව සහතික කරගැනීම සඳහා, බැංකුව තම ව්‍යාපාර කටයුතු සිදුකරන වැඩරාමුව සහ ක්‍රියාත්මක කර ඇති ක්‍රියාවලි අඛණ්ඩව සමාලෝචනය කිරීමට අධ්‍යක්ෂ මණ්ඩලය කටයුතු කළේය. වඩාත් පුළුල් වූ ඉලක්ක කෙරෙහි අවධානය යොමුකරන අතරම, වේගයෙන් පරිණාමය වෙමින් පවතින ඩිජිටල් අවකාශය තුළ තරගකාරී වීම සඳහා වැඩිදියුණු කරන ලද ඩිජිටල් ක්‍රමෝපායක් භාවිතයට ගනිමින් අපගේ ඩිජිටල් සේවාවන් කැපීපෙනෙන ලෙස පුළුල් කිරීම බැංකුවේ අපේක්ෂාව වේ.

අධ්‍යක්ෂවරුන්ගේ ශක්‍යතා වර්ධන ක්‍රියාවලිය අඛණ්ඩව ඉදිරියට ගෙනයමින්, බැංකු ක්ෂේත්‍රයට අදාළ නියාමන මාර්ගෝපදේශ සම්බන්ධයෙන් අධ්‍යක්ෂ මණ්ඩල සාමාජිකයන් සතු දැනුම පුළුල් කිරීම සඳහා, 2020 වර්ෂයේ 4 වැනි කාර්තුවේදී, විශේෂඥ දැනුම සහිත ජ්‍යෙෂ්ඨ වෘත්තිකයෙකුගේ ප්‍රධානත්වයෙන් දැනුම වර්ධනය කිරීමේ වැඩසටහන් පවත්වන ලදී.

ඉදිරි දැක්ම සහ අපේක්ෂාව

ශ්‍රී ලංකා මහ බැංකුව සිය 2021 ඉදිරි වැඩපිළිවෙළ තුළ දක්වා ඇති ආර්ථික උත්තේජන සැලසුම් සම්බන්ධයෙන් මම සුභවාදීව මතයක් දරමි. මෙම තත්ත්වය මත, සාපේක්ෂව කෙටි කාලයක් තුළ පශ්චාත් Covid-19 ආර්ථික පුනරුදය ආරම්භ වනු ඇති බව මම විශ්වාස කරමි.

සියලුම ශ්‍රී ලාංකිකයන් වෙතට සමීප වෙමින්, අපගේ සුවිශේෂී බැංකුකරණ ආකෘතිය වටහා ගැනීමට සහ එමගින් ප්‍රතිලාභ ලැබීමට ඔවුන්ට අවස්ථාව සලසා දීම සම්බන්ධයෙන් අමාත්‍යා බැංකුවේ ප්‍රමුඛතම අවධානය යොමු වේ. ලාභාංශ සම්බන්ධයෙන් අපගේ කොටස් හිමිකරුවන් කෙරෙහි අප සතු කැපවීම

නොවෙනස්ව ලෙස පවත්වා ගන්නා අතරම, අමාත්‍යා බැංකුව සැබැවින්ම ඩිජිටල් බැංකුවක් බවට පත්කිරීමට කටයුතු කරන්නෙමු. එමෙන්ම ඉදිරි වසර වලදී ශ්‍රී ලංකාවේ දේශසීමාවන්ගෙන් ඔබ්බට ගමන් කිරීමටද අමාත්‍යා බැංකුවේ සේවාවන් පුළුල් කිරීමට අප ඉමහත් උනන්දුවෙන් යුතුව කටයුතු කරන්නට බලාපොරොත්තු වෙමු.

අධ්‍යක්ෂ මණ්ඩලයේ වෙනස්කම්

වසර 9 ක කාලයක් සේවය කළ අධ්‍යක්ෂවරුන් අනිවාර්යයෙන් විශ්‍රාම යා යුතු බවට ශ්‍රී ලංකා මහ බැංකුව විසින් නියම කරන ලද විධිවිධානවලට අනුකූලව, නිර්මාතෘ-සභාපති ඔස්මාන් කාසිම් මහතා, නියෝජ්‍ය සභාපති තයෙබ් අක්බර්අලි මහතා, සහ ජ්‍යෙෂ්ඨ අධ්‍යක්ෂ ජ්‍යෙෂ්ඨ මැග්ඩන් ඉස්මයිල් මහතා 2020 වසරේදී අමාත්‍යා බැංකුවේ අධ්‍යක්ෂ මණ්ඩලයේ තමන් දැරූ තනතුරු වලින් විශ්‍රාම ලැබූහ. වසර 9 කට ආසන්න කාලයක් අධ්‍යක්ෂවරයෙකු ලෙස කටයුතු කළ හර්ෂ අමරසේකර මහතාද නව අධ්‍යක්ෂවරුන්ට ඉඩ සලසමින් වර්ෂයේ මුල් භාගයේදී විශ්‍රාම ගත්තේය. 2011 වසරේදී ශ්‍රී ලංකාවේ ප්‍රථම පොලී රහිත බැංකුව ආරම්භ කිරීම සඳහා ඉටුකළ අතිමහත් වූ කාර්යභාරය සහ ලබාදුන් දුරදර්ශී නායකත්වය වෙනුවෙන් අපගේ නිර්මාතෘ-සභාපතිතුමන්ට මාගේ ප්‍රණාමය පුදකිරීමට මම මෙය අවස්ථාවක් කරගනිමි. එමෙන්ම වසර ගණනාවක් පුරා බැංකුව වෙනුවෙන් සුවිශාල දායකත්වයක් ලබාදෙමින් එහි සාර්ථකත්වය වෙනුවෙන් ඉටුකළ මහඟු වූ මෙහෙවර උදෙසා අනෙකුත් අධ්‍යක්ෂවරුන්ටද මාගේ කෘතඥතාව පළ කරමි.

අපගේ අධ්‍යක්ෂ මණ්ඩලයට එක්වී සිටින නව අධ්‍යක්ෂවරුන් මම සාදරයෙන් පිළිගන්නා අතර ක්ෂේත්‍ර රාශියක් ආවරණය කරන ඔවුන්ගේ දැනුම සහ අත්දැකීම් සම්භාරය සමගින් අපට අමාත්‍යා බැංකුව සමස්ත ශ්‍රී ලංකාවාසීන්ගේ ප්‍රමුඛතම තේරීමක් බවට පත්කරමින් එය දියුණුවේ නව මානයක් වෙත රැගෙන යාමට හැකිවනු ඇතැයි මම තරයේ විශ්වාස කරමි.

සභාපතිවරයාගේ පණිවුඩය

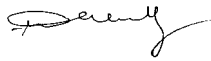
ස්තූතිය

අධ්‍යක්ෂ මණ්ඩලය සම්බන්ධ කටයුතු වලදී ඉමහත් උද්යෝගයෙන් යුතුව දක්වන ලද දායකත්වය සහ, සෑම විටම මා වෙත ලබාදුන් නොසැලෙන සහයෝගය වෙනුවෙන්, අධ්‍යක්ෂ මණ්ඩලයේ සාමාජිකයන් වන මාගේ සියලුම වෘත්තීය සගයන්ට මාගේ ස්තූතිය හිමි වේ. එමෙන්ම මෙම දූෂිත කාලසීමාව තුළදී අප වෙත දැක්වූ සහයෝගය වෙනුවෙන් ශරියා අධීක්ෂණ සභාව, ප්‍රධාන විධායක නිලධාරී මොහොමඩ් අස්මීර් මහතා, කළමනාකාරීත්ව කණ්ඩායම සහ අමාත්‍ය බැංකුවේ සියලුම සේවක සේවිකාවන්ටද මාගේ ස්තූතිය පළකර සිටිමි.

එමෙන්ම අප වෙත ලබාදුන් මගපෙන්වීම සහ සහයෝගය වෙනුවෙන්, ශ්‍රී ලංකා මහ බැංකුව සහ කොළඹ කොටස් හුවමාරුව ඇතුළු නියාමන ආයතන වලටද අපගේ ස්තූතිය හිමි විය යුතුයි.

ප්‍රජා සත්කාර සම්බන්ධයෙන් ගත්විට, අපගේ ප්‍රමුඛතම ආයතනික ප්‍රජා සත්කාර ව්‍යාපෘතිය වන 'OrphanCare' වැඩසටහනේ ප්‍රගතිය සහ එමගින් ඇතිවී තිබෙන යහපත් සමාජීය බලපෑම සම්බන්ධයෙන් මම සැබවින්ම සතුටු වෙමි. වසංගත රෝග ව්‍යාප්තිය නිසා මුහුණදීමට සිදුවූ අභියෝග හමුවේ පවා, රැකවරණය අහිමි දරුවන් 2,800 කට අධික පිරිසකට අබණ්ඩව අරමුදල බෙදා දීමට අපට හැකි විය. ඒ සම්බන්ධයෙන් අප කෙරෙහි විශ්වාසය තබමින්, මෙම දරුවන්ට සාර්ථක ලෙස අනාගතයට මුහුණ දීමට අවශ්‍ය අත්වැල පිරිනැමීම සඳහා ලබාදුන් සහයෝගය වෙනුවෙන් අපගේ OrphanCare ස්වාධීන භාරකාර මණ්ඩලය, OrphanCare වැඩසටහන් කළමනාකරණ කණ්ඩායම, දානපතින්, ගරු විගණකවරුන් වන Ernst & Young ආයතනය ඇතුළු නන් අයුරින් සහයෝගය දක්වන්නා වූ හවුල්කරුවන් සහ අප දිරිමත් කරන්නා වූ සියලුම දෙනාට මාගේ කෘතඥතාව හිමි වේ.

අවසන් වශයෙන්, අපගේ වටිනා ගනුදෙනුකරුවන්, කොටස් හිමියන් සහ අනෙකුත් පාර්ශ්වකරුවන් වෙත මාගේ කෘතඥතාව පිරිනමමි. එමෙන්ම ඉදිරි කාලයේදීද, ඔබගේ අපේක්ෂාවන් ඉටුකිරීමට පමණක් නොව, එම අපේක්ෂාවන් ඉක්මවා ගිය මෙහෙවරක් ඉටුකිරීමටද අප බලාපොරොත්තු වන බව, අමාත්‍ය බැංකුවේ අධ්‍යක්ෂ මණ්ඩලය වෙනුවෙන් මම ප්‍රකාශ කර සිටිමි.



අස්ගි අක්බර්අලි
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தலைவரின் செய்தி

2020 டிசம்பர் 31 ஆம் திகதியுடன் நிறைவடைந்த ஆண்டுக்கான அமானா வங்கியின் கணக்காய்வு செய்யப்பட்ட நிதிக் கூற்றுகள் மற்றும் வருடாந்த அறிக்கையை உங்கள் மத்தியில் சமர்ப்பிப்பதையிட்டு மிகவும் மகிழ்ச்சியடைகின்றேன்.

2011 ஆம் ஆண்டில் பணிவுடன் தனது செயற்பாடுகளை ஆரம்பித்த அமானா வங்கி, இன்று உள்நாட்டு வங்கியியல் துறையில் உறுதியான தாக்கத்தை ஏற்படுத்தும் நிலைக்கு வேகமாக வளர்ச்சியடைந்து வருவதுடன், சகல இலங்கையர்களுக்கும் சேவைகளை வழங்குகின்றது.

நிறைவடைந்த ஆண்டில் எம் அனைவருக்கும் சவால்களை ஏற்படுத்தியிருந்த தளம்பல்கள் நிறைந்த பொருளாதார சூழல் காணப்பட்ட போதிலும், உறுதியான நிதிப் பெறுபேறுகளை அமானா வங்கி பதிவு செய்துள்ளது என்பதை அறியத்தருவதில் நான் மகிழ்ச்சியடைகின்றேன். பாரிய பொருளாதார தொழிற்சாலை சூழலில் எமது செயற்பாடுகள் தொடர்பில் தெளிவான வெளிப்பாட்டை விளக்குவதற்காக சில குறிப்புகளை வழங்குகின்றேன்.

பாரிய பொருளாதாரச் சூழல்

மீளாய்வுக்குட்படுத்தப்பட்ட ஆண்டானது கொவிட்-19 தொற்றுப் பரவல் காரணமாக, உலகப் பொருளாதார வரலாற்றில் பெருமளவு சவால்களை ஏற்படுத்தியிருந்த ஆண்டாக அமைந்திருந்தது. தொற்றுப் பரவல் காரணமாக பல மனித உயிர்கள் காவு கொள்ளப்பட்டதுடன், உலகப் பொருளாதார செயற்பாடுகள் இடைநிறுத்தப்படும் நிலைக்கு தள்ளப்பட்டிருந்தன. அபிவிருத்தியடைந்த மற்றும் வளர்ந்து வரும் பொருளாதாரங்கள் அனைத்திலும் முடக்க நிலைகள் அமுலாக்கப்பட்டிருந்ததுடன், வைரஸ் பரவலைக் கட்டுப்படுத்துவதற்காக பிரயாணக் கட்டுப்பாடுகள் விதிக்கப்பட்டு, விமான நிலையங்கள் மற்றும் கடல் மார்க்கமான பயணங்களும் நிறுத்தப்பட்டன. சர்வதேச வர்த்தகம் என்பது பெரும் வீழ்ச்சியை எதிர்கொண்டதுடன், மசகு எண்ணெய் விலை பெருமளவு வீழ்ச்சி கண்டன. பிரதான பங்குப் பரிவர்த்தனைகளின் சுட்டிகளும் வீழ்ச்சிப்

பெறுமதிகளை பதிவு செய்திருந்தன. இவை அனைத்தும் சில மாதங்களினுள் இடம்பெற்றன.

இதனை அடிப்படையாகக் கொண்டு, இலங்கை அரசாங்கத்தினால் வியாபாரங்கள் மற்றும் தனிநபர்களுக்கு பெருவாரியான நிவாரணத் திட்டங்கள் அறிமுகப்படுத்தப்பட்டிருந்தன. அங்கீகாரம் பெற்ற வணிக வங்கிகளுக்கு, இலங்கை மத்திய வங்கியினால் வெளியிடப்பட்ட பல சுற்றறிக்கைகளினூடாக இந்த நிவாரணங்கள் பற்றிய அறிவித்தல்கள் வழங்கப்பட்டன. இந்த நிவாரணத் திட்டங்களில் பெரும்பாலானவை பெற்றுக் கொண்ட கடன் வசதிகளை மீளச் செலுத்துவதற்கு சலுகைக் கால நீட்டிப்பு வழங்கப்பட்டதுடன், பொருளாதார மந்தமடைந்திருந்ததைத் தொடர்ந்து பாதிக்கப்பட்ட வியாபாரங்களுக்கு போதியளவு செளபாக்கியா மறுமலர்ச்சித் திட்டத்தினூடாக ஊக்குவிப்புக்கள் வழங்கப்பட்டன.

ஆண்டின் முதல் அரையாண்டில் அநேகமாக சகல துறைகளும் பாதிக்கப்பட்டிருந்த நிலையில், 2020 ஆம் ஆண்டில் இலங்கையின் பொருளாதாரம் 3.9% இனால் சரிவடைந்திருக்கும் என மதிப்பிடப்பட்டுள்ளது. பிரதான ஏற்றுமதி சந்தைகளிலிருந்து குறைந்தளவு கேள்வி மற்றும் அந்நியச் செலாவணி கிடைப்பனவில் வீழ்ச்சி போன்றன இந்த வீழ்ச்சியில் பங்களிப்பு வழங்கியிருந்த மற்றும் சில காரணிகளாக அமைந்திருந்தன.

பொருளாதார வீழ்ச்சியின் காரணமாக, தனியார் துறையிடமிருந்து கடன் கோரிக்கைகள் வீழ்ச்சியடைந்ததால், ஆண்டு முழுவதிலும் வங்கித் துறையில் மேலதிக திரவத் தன்மை நிலவியது. இதன் காரணமாக கடன் வளர்ச்சியை விஸ்தரித்து பொருளாதாரச் செயற்பாடுகளை ஊக்குவிக்கும் வகையில், இலங்கை மத்திய வங்கி தனது கொள்கை வீதத்தை குறைக்கத் தீர்மானித்தது.

பிரதான செயல்திறன் சிறப்பம்சங்கள்

எமது வியாபார மாதிரியின் வலிமை, ஐந்தொகை மற்றும் உறுதியான மூலதன நிலை போன்றவற்றின் காரணமாக அமானா வங்கி இந்த சவால்களுக்கு வெற்றிகரமாக முகங்கொடுக்க கூடியதாயிருந்தது. மேலும், சந்தைச் சூழலுக்கு பொருத்தமான வகையில்

எமது வியாபார தந்திரோபாயத்தை நாம் மீளமைத்திருந்தமை காரணமாக, இந்த நெருக்கடியான காலப்பகுதியிலும், சிறந்த நிதிப் பெறுபேறுகளை அமானா வங்கியினால் பதிவு செய்ய முடிந்தது. 2020 ஆம் ஆண்டில் வரிக்கு முந்திய இலாபமாக ரூ. 761 மில்லியன் பதிவாகியிருந்தது. முன்னைய ஆண்டில் இந்தப் பெறுமதி ரூ. 845 மில்லியனாக பதிவாகியிருந்தது. வரிச் செலவுகளாக ரூ. 298 மில்லியனை ஒதுக்கிய பின்னர், வங்கி ரூ. 463 மில்லியனை வரிக்குப் பிந்திய இலாபமாக 2020 ஆம் ஆண்டில் பதிவு செய்திருந்தது. 2019 ஆம் ஆண்டில் இந்தப் பெறுமதி ரூ. 461 மில்லியனாகக் காணப்பட்டது.

அமானா வங்கியின் சொத்துக்களின் மதிப்பு ரூ. 100 பில்லியன் பெறுமதியைக் கடந்து, ஆண்டிறுதியில் ரூ. 100.2 பில்லியனாக பதிவாகியிருந்தமை பிரதான சிறப்புக்கூறாகவும், மைல்கல் சாதனையாகவும் அமைந்திருந்தது. உறுதியான ஐந்தொகை வளர்ச்சி இதில் முக்கிய பங்களிப்பை வழங்கியிருந்தது. வங்கியின் செயற்பாடுகள் ஆரம்பிக்கப்பட்டு பத்து வருடங்கள் கூட பூர்த்தியாகாத நிலையில், குறுகிய காலப்பகுதியில் இந்த மைல்கல் சாதனையை எய்துவது என்பது விசேட அம்சமாக குறிப்பிடப்பட வேண்டியுள்ளது. சந்தைச் சூழல்கள் பாதகமான நிலையில் காணப்படும் ஒரு நிலையில் இந்த சாதனை எய்தப்பட்டுள்ளமையால், இது மிகவும் முக்கியத்துவம் வாய்ந்ததாக காணப்படுகின்றது. எமது சொத்துக்களின் வளர்ச்சி தந்திரோபாயத்தை நாம் நிலைபெறான வகையில் பின்பற்றியிருந்ததுடன், அது சொத்துக்களின் தரத்தில் ஒரு செலவீனமாக அமைந்திராமையையும் நாம் உறுதி செய்திருந்தோம் என்பதை நான் குறிப்பிட விரும்புகின்றேன். இதை மேலும் உறுதி செய்யும் வகையில், 2020 டிசம்பர் 31ஆம் திகதியன்று அமானா வங்கியின் தொழிற்படா கடன் விகிதம் 1.4% ஆக பதிவாகியிருந்தது. இது வங்கித் துறையின் சராசரிப் பெறுமதியான 2.4% ஐ விட பெருமளவு குறைவாகும்.

அதேவேளை, வங்கியின் திரவத் தன்மை நிலையை பாதுகாப்பதற்காகவும் போதியளவு மேலதிகக் கையிருப்புகளை பேணுவதற்காகவும் நாம் விவேகமான ஐந்தொகை முகாமைத்துவ

தலைவரின் செய்தி

தந்திரோபாயங்களை தொடர்ந்தும் பேணியிருந்தோம். உறுதியான மூலதன ஒழுக்கத்தினூடாக, 2020 டிசம்பர் 31 ஆம் திகதியன்று மொத்த மூலதன விகிதம் 17.4% ஆக பதிவாகியிருந்தது. இது ஆகக்குறைந்த மூலதன ஒழுங்குபடுத்தல் பெறுமதியான 12.5% ஐ விட குறிப்பிடத்தக்களவு உயர்வாக காணப்பட்டது.

தொற்றுப்பரவலுடன் எழுந்த சவால்களுக்கு மத்தியிலும் எமது தொடர்ச்சியான வினைத்திறன் காரணமாக, இலங்கையின் தேசிய மட்டத்தில் ஃபிட்ச் ரேட்டிங்ஸ் அமைப்பினால் வழங்கப்பட்ட தரப்படுத்தல்களின் அடிப்படையில் அமானா வங்கியின் தரப்படுத்தல் மேலும் உயர்த்தப்பட்டிருந்தது. 2019 ஆம் ஆண்டில் BB(lka) Positive Outlook என்பதிலிருந்து 2020 ஆம் ஆண்டின் ஜூன் மாதத்தில் BB+(lka) Stable Outlook என வழங்கப்பட்டிருந்தது. இது 2020 ஒக்டோபர் மாதத்தில் மேற்கொள்ளப்பட்ட மீளாய்வின் போது மீண்டும் உறுதி செய்யப்பட்டிருந்தது.

அதேவேளை, வங்கியின் ஆரோக்கியமான நிதிப் பெறுபேறுகள் மற்றும் உறுதியான மூலதன நிலை போன்றன வங்கியின் பங்காளர்களுக்கு தொடர்ச்சியாக மூன்றாவது வருடமாகவும் பங்கிலாப அனுகூலத்தைப் பெற்றுக் கொள்ள வழியமைத்திருந்தது. 2020ஆம் ஆண்டில் பண அடிப்படையிலான பங்கிலாபங்களை வழங்குவதை தவிர்க்க கோரிய இலங்கை மத்திய வங்கியின் வழிகாட்டல்களின் பிரகாரம், மூன்றாம் காலாண்டில் ரூ. 200 மில்லியன் பெறுமதியான ஆவணப் பங்கிலாபங்கள் வழங்கப்படுவது பற்றி அறிவித்திருந்தோம்.

விருதுகள் மற்றும் கௌரவிப்புகள்

கடந்த சில ஆண்டுகளில் அமானா வங்கி பெற்றுக் கொண்ட பெருமளவான விருதுகள் மற்றும் கௌரவிப்புகளினூடாக, பல பிரிவுகளில் அமானா வங்கி சிறப்பாக செயலாற்றி வருகின்றமைக்கு சான்றாக அமைந்துள்ளன. இந்த ஆண்டும் இதற்கு வேறுபட்டதல்ல. எவ்வாறாயினும், இவ்வாண்டில் பெற்றுக் கொண்ட பெருமளவான விருதுகளில், வேர்ஸ்ட் HRD காங்கிரசினால் இலங்கையின்

சிறந்த தொழில் வழங்குநர் வர்த்தக நாமத்தில் ஒன்றாக கௌரவிக்கப்பட்டிருந்தமையை உயர் பெறுமதி வாய்ந்த விடயமாகக் கருதுகின்றேன். எமது தந்திரோபாயத் திட்டத்தில் ஊழியர் ஈடுபாடு என்பது மிகவும் முக்கியத்துவம் வாய்ந்த அங்கமாக அமைந்திருப்பதுடன், அவ்வாறான செயற்பாடுகளினூடாக சர்வதேச கௌரவிப்புகள் போன்றவற்றை எம்மால் எய்தி பயனடைய முடிந்துள்ளதையிட்டு நான் மிகவும் பெருமை கொள்கின்றேன். அமானா வங்கி பெற்றுக் கொண்ட பல விருதுகள் மற்றும் கௌரவிப்புகளின் காரணமாக, LMD இன் இலங்கையில் அதிகளவு விருதுகளை வென்ற நிறுவனங்கள் வரிசையில் 11ஆம் ஸ்தானத்தில் அமானா வங்கி தரப்படுத்தப்பட்டிருந்தது. பெற்றுக் கொள்ளப்பட்ட பிரதான விருதுகள் மற்றும் கௌரவிப்புகள் பற்றிய மேலதிக விவரங்களுக்கு ஆண்டறிக்கையின் முகாமைத்துவ கலந்துரையாடல் மற்றும் ஆய்வுகள் பிரிவைப் பார்க்கவும்.

ஆளுகை மற்றும் நிர்வகிப்பு

பணிப்பாளர் சபையின் தலைவர் எனும் வகையில், சிறந்த ஆளுகை மற்றும் நிர்வகித்தல் என்பதில் அமானா வங்கி காண்பிக்கும் முக்கியத்துவத்தை மீளறுதி செய்ய விரும்புகின்றேன். கடந்த காலங்களைப் போன்று, இந்த ஆண்டிலும் வங்கி தொழிற்படும் கட்டமைப்பையும் மற்றும் 2020 ஆம் ஆண்டில் துரிதமாக வளர்ச்சியடைந்து சென்ற வியாபார கட்டமைப்புகளை பிரதிபலிக்கும் வகையிலான செயன்முறைகளையும் பணிப்பாளர் சபை தொடர்ச்சியாக மீளாய்வு செய்திருந்தது. அதன் பிரகாரம், 2020 ஆம் ஆண்டில் நிலவிய மிகவும் நெருக்கடியான சவால்கள் நிறைந்த சூழலிலும் பங்குதாரர்களுக்கு பெறுமதியைப் பெற்றுக் கொடுப்பதில் பங்களிப்பு வழங்கிய அமானா வங்கியின் பரந்த தந்திரோபாயத்தை முன்னெடுப்பது சிறந்தது என்பதில் நாம் நம்பிக்கை கொண்டிருந்தோம். பரந்த இலக்குகளில் கவனம் செலுத்தியதுடன், வேகமாக வளர்ந்துவரும் டிஜிட்டல் சூழலில் போட்டியிடக்கூடிய வகையில் மீளமைக்கப்பட்ட டிஜிட்டல் தந்திரோபாயத்தை பின்பற்றி டிஜிட்டல் சேவைகளை மேம்படுத்தி வழங்குவது என்பதில் வங்கி கவனம் செலுத்தியிருந்தது.

2020 ஆம் ஆண்டின் நான்காம் காலாண்டில், பணிப்பாளர்களின் செயற்திறனை கட்டியெழுப்பல் செயன்முறையை தொடர்ந்து முன்னெடுத்திருந்ததுடன், வங்கியியல் துறைக்கு பொருத்தமான ஒழுங்குபடுத்தல் வழிகாட்டல்கள் தொடர்பில் பணிப்பாளர் சபை அங்கத்தவர்கள் மத்தியில் விழிப்புணர்வை மேம்படுத்துவதற்கு சிரீட் நிபுணரை அழைத்திருந்தது.

எதிர்கால கண்ணோட்டம் மற்றும் வாய்ப்புகள்

2021 ஆம் ஆண்டுக்கான தமது திட்டத்தில் இலங்கை மத்திய வங்கியினால் குறிப்பிடப்பட்டிருந்த பொருளாதார ஊக்குவிப்புத் திட்டங்கள் தொடர்பில் நான் அதிகளவு மிகவும் நம்பிக்கை கொண்டுள்ளேன். இதன் பிரகாரம், இலங்கையில் கொவிட் தொற்றுக்குப் பின்னரான பொருளாதார மறுமலர்ச்சி என்பது மிகவும் வேகமாக இடம்பெறும் என நான் நம்புவதற்கு இதுவே காரணமாக உள்ளது.

நாம் பின்பற்றி வரும் பிரத்தியேகமான வங்கியியல் மாதிரியினூடாக கிடைக்கும் அனுகூலங்களை அனைத்து இலங்கையர்களுக்கும் கிடைக்கச் செய்வதில் அமானா வங்கி பிரதானமாக கவனம் செலுத்தும். அமானா வங்கியை டிஜிட்டல் வங்கியாக மாற்றியமைக்கும் எமது நோக்கத்துக்கமையவும், எமது பெறுமதி வாய்ந்த பங்குதாரர்களுக்கான பங்கிலாப பயணம் தொடர்வதற்கான எமது அர்ப்பணிப்பு என்பதனூடாக இதை நாம் முன்னெடுப்போம். எதிர்வரும் ஆண்டுகளில் இலங்கையின் எல்லைகளுக்கு அப்பால் தமது செயற்பாடுகளை விஸ்தரிப்பது என்பது தொடர்பிலும் அமானா வங்கி அதிகளவு அக்கறையுடன் செயலாற்றி வருகின்றது.

பணிப்பாளர் சபை மாற்றங்கள்

பணிப்பாளர் சபையில் 9 வருடங்கள் சேவையாற்றிய பின்னர் தமது பணியிலிருந்து கண்டிப்பாக ஓய்வு பெற வேண்டும் என்ற இலங்கை மத்திய வங்கியின் வழிகாட்டல்களின் பிரகாரம், எமது ஸ்தாபக தலைவர் திரு. ஒஸ்மான் காசிம், பிரதி தலைவர் திரு. தையிப் அக்பரலி மற்றும் சிரேஷ்ட பணிப்பாளர் திரு. ஜஸ்ரீ மக்தொன்

இஸ்மாயில் ஆகியோர் தமது பதவிகளிலிருந்து 2020 ஆம் ஆண்டில் ஓய்வு பெற்றனர். மீளாய்வுக்குட்படுத்தப்பட்ட ஆண்டின் முற்பகுதியில், பணிப்பாளர் சபையில் 9 வருடங்களாக சேவையாற்றியிருந்த திரு. ஹர்' அமரசேகரவும் தமது பதவியிலிருந்து விலகி, புதிய பணிப்பாளர்களுக்கு இணைந்து கொள்வதற்கு வாய்ப்பளித்திருந்தார். எமது ஸ்தாபக தலைவரின் தூர நோக்குடைய தலைமைத்துவம், 2011 ஆம் ஆண்டில் இலங்கையின் முதலாவது வட்டியற்ற வங்கியை அறிமுகம் செய்வதில் காண்பித்திருந்த அயராது அர்ப்பணிப்பு ஆகியவற்றுக்காக இச் சந்தர்ப்பத்தில் அவருக்கு நன்றி தெரிவிக்கின்றேன். கடந்த காலங்களில் ஏனைய பணிப்பாளர்கள் அனைவரும் வழங்கியிருந்த அளப்பரிய பங்களிப்புகளுக்காக இதயபூர்வமான நன்றியை தெரிவித்துக் கொள்கின்றேன். வங்கியின் வெற்றிகரமான செயற்பாட்டில் பிரதான பங்களாளராக இணைந்திருந்தமைக்கு நன்றி.

எமது புதிய பணிப்பாளர்களை வரவேற்பதில் மகிழ்ச்சி கொள்வதுடன், பல துறைகளில் அனுபவத்தைக் கொண்ட இவர்களுடன் இணைந்து, உறுதியான பணிப்பாளர் சபையைக் கட்டியெழுப்பி, அதனூடாக சகல இலங்கையர்களும் அதிகளவு விரும்பி நாடக்கூடிய வங்கிகளில் ஒன்றாக அமானா வங்கியை கட்டியெழுப்புவதற்கு எதிர்பார்க்கின்றேன்.

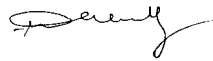
பாராட்டுதல்கள்

சகல பணிப்பாளர் சபை விடயங்கள் தொடர்பிலும் பெரும் ஆர்வத்துடன் பங்கேற்று எவ்வேளையிலும் தமது ஆதரவை வழங்கும் பணிப்பாளர் சபையைச் சேர்ந்த அனைத்து அங்கத்தவர்களுக்கும் நான் நன்றி தெரிவித்துக் கொள்கின்றேன். இந்த நெருக்கடியான காலப்பகுதியில் ஷரியா மேற்பார்வை சபை, பிரதம நிறைவேற்று அதிகாரி மொஹமட் அஸ்மீர் மற்றும் முகாமைத்துவ குழு மற்றும் அமானா வங்கியின் சகல ஊழியர்களுக்கும் அவர்களின் அர்ப்பணிப்புக்காக நன்றி தெரிவிக்கின்றேன்.

இலங்கை மத்திய வங்கி மற்றும் கொழும்பு பங்குப்பரிவர்த்தனை போன்ற முறைப்படுத்தல் அமைப்புகளால் வழங்கப்பட்ட வழிகாட்டல் மற்றும் உறுதுணைக்கும் நன்றிகள் உரித்தாகட்டும்.

சமூகப் பராமரிப்பு மட்டத்தில், எமது பிரதான சமூகப் பொறுப்புணர்வுத் திட்டமான OrphanCare ஊடாக எய்தியிருந்த சாதனைகளைக் காண்பதையிட்டு நான் மிகவும் மகிழ்ச்சியடைகின்றேன். தொற்றுப் பரவலுடனான சூழலில் எழுந்த சவால்களுக்கு மத்தியிலும் 2800க்கும் அதிகமான அநாதரவான சிறுவர்களுக்கு தொடர்ந்தும் அனுசூலமளிக்கக்கூடியதாக இருந்தது. எமது சுயாதீன நம்பிக்கைக்காப்பாளர்கள் சபை, OrphanCare நிர்வாக அணி, நன்கொடை வழங்குநர்கள், பங்காளர்கள் மற்றும் எமது கணக்காய்வாளர்களான Ernst & Young மற்றும் இதர நலன்விரும்பிகளுக்கு, அவர்களின் நம்பிக்கைக்கும், உறுதுணைக்கும், நான் என்றும் நன்றியுள்ளவனாக இருக்க விரும்புகின்றேன்.

நிறைவாக, எமது பெறுமதி வாய்ந்த வாடிக்கையாளர்களுக்கு, பங்குதாரர்களுக்கு மற்றும் இதர பங்காளர்களுக்கு எனது மனமுவந்த வாழ்த்துகளை தெரிவித்துக் கொள்கின்றேன். எதிர்வரும் ஆண்டுகளில் உங்களின் பல்வேறு எதிர்பார்ப்புகளை நிறைவேற்றுவதில் மாத்திரமன்றி, அவற்றை விஞ்சிச் செயலாற்றுவது என்பதில் அமானா வங்கி தொடர்ந்தும் அர்ப்பணிப்புடன் செயலாற்றும் என்பதை பணிப்பாளர் சபையின் சார்பாக தெரிவித்துக் கொள்ள விரும்புகின்றேன்.



அனூர் அக்பர்லி
தலைவர்

20 பெப்ரவரி 2021
கொழும்பு

Chief Executive Officer's Review



“The pandemic presented an opportunity to the Bank to demonstrate its true values and purpose towards supporting customers, businesses, communities and the nation at large”

The year 2020 will go down in world history as a year which presented itself with an unprecedented social and economic crisis brought on by the Covid-19 pandemic. Sri Lanka too faced its fair share of challenges during the year. The Banking sector was no exception.

Nevertheless, Amāna Bank was able to respond and overcome these challenges comparatively well thanks to the strong principles of the versatile business model followed by the Bank, the upheld discipline of preparedness and readiness and the well-engaged and optimised team we have been blessed with. I believe the pandemic presented an opportunity for the Bank to demonstrate its true values and purpose towards supporting customers, businesses, communities and the nation at large, and I sincerely believe that we delivered in doing so at our level best.

At the outset, I would like to thank the Government of Sri Lanka, Central Bank of Sri Lanka, Health Authorities, Tri-forces and the Sri Lanka Bankers' Association along with all other authorities for their timely guidance and direction in overcoming the numerous challenges faced during these unprecedented times. I strongly feel that the support system established paved the way for the country as a whole to withstand the challenges proactively.

PEOPLE AND SYSTEM READINESS

As always our people continued to play a crucial role in supporting the Bank's strategic objectives. Having an engaged and energetic team with Board oversight was one of the main reasons for Amāna Bank's strong resilience portrayed in the face of severe economic challenges during the year. From ensuring our branches were operational during periods of lockdown to manning our 'Bank on Wheels', our staff risked their own safety and well-being to be able to serve our customers and community at large.

Testifying our team's passion and commitment to serve beyond the call of duty, Amāna Bank was recognised as one of 'Sri Lanka's Best Employer Brands' adjudicated by World HRD Congress, an accolade I dedicate to the entire team.

The pandemic surely tested the Bank's contingency planning measures, which I am happy to say proved to be strong, owing to the robust documented plans we had drawn up well ahead with sound foresight and scenario planning with guidance from the Board Integrated Risk Management Committee; enabling us to overcome the challenges in serving our customers with minimal interruptions.

SUPPORTING CUSTOMERS, STAFF, COMMUNITIES AND COUNTRY

Inherent to our core values, it has always been Amāna Bank's philosophy to stand by its customers and more so in times of need. This year, at a time where customer's main concerns were on their health, safety and well-being, our priority was to help them with their financial health and safety, while providing them with a sense of comfort and ease, through ensuring them greater convenience, access and other relief measures required to support them in being resilient to face the challenges.

Understanding the necessity for having cash in hand during an unexpected lockdown in order to brace the urgent needs during the initial phases of the pandemic, the Bank took an initiative to grant a free of charge Salary Advance to our regular salaried customers.

Meanwhile, seeking convenient ways to assist our customers to overcome the pandemic related mobility restrictions, especially for senior citizens, the Bank deployed its very own 'Bank on Wheels' service, visiting neighbourhoods where curfews were in place to provide cash withdrawal facilities. Further, doorstep cash delivery services were implemented to assist our customers who were confined to their homes due to the lockdown, including delivery of pensions for our pension customers. At the same time to encourage customers to actively use our digital banking channels, our Internet and Mobile banking registration process was simplified to allow customers to register for these services from the safety and comfort of their homes.

Chief Executive Officer's Review

“Owing to the steady balance sheet growth and effective implementation of our Strategic Plan the Bank's Total Assets crossed the LKR 100 billion mark, a laudable achievement in the context of the Bank having completed only 9 years of operations.”

Our novel Gold Certificate Financing solution was also of immense assistance in serving the much needed financial requirements of the underserved segments that were severely affected by the pandemic, for which we increased the financing amount and provided grace periods for settlement.

Based on Government directions and CBSL guidelines towards supporting SMEs, other businesses and individuals, the Bank set up a dedicated unit to extend a helping hand through a special relief moratorium, for which we received an overwhelming response which was encouraged by an online application platform offering safety and convenience. Further, we disbursed close to Rs. 1.9 billion under the Saubagya Covid-19 Renaissance Facility Scheme, a key initiative under the government-led economic stimulus package to fuel the Country's post-covid economic revival.

Improving the wellbeing of communities has always been central to Amāna Bank's purpose. Despite the burden of the pandemic, we were able to make good on this promise through our flagship CSR project OrphanCare, which by end of 2020 had on board over 2,800 orphans from 80 orphanages across the country. Undeterred by the challenging times in 2020, OrphanCare made 4 rounds of fund disbursements to its beneficiaries, for which we are sincerely thankful to our donors and well-wishers. The valiant efforts made in this regard continued to be recognised both locally and internationally as OrphanCare received the Gold Award for Best CSR Project at the IFFSA Awards and the

Gold Award for Social Upliftment Project of the Year at the SLIBFI Awards 2020 adjudicated by KPMG.

Further, reiterating its commitment to support the nation in its effort against the Covid-19 pandemic, Amāna Bank also made a notable contribution to the government's Covid-19 Healthcare and Social Security Fund, whilst also extending its support to various other relief assistance projects countrywide.

THE RESULTS

In light of the widespread challenges, the Bank has showcased strong resilience in its financial performance. Despite the subdued demand for credit owing to market uncertainty, import restrictions and diminished demand in export markets, we were able to record an 8% growth in our advances portfolio. The Bank's continued focus on prudent portfolio management and timely customer engagement resulted in containing the Bank's overall NPA at 4%, below the industry of 4.9% in 2020.

Continuing from our deposit mobilisation efforts in 2019, I am very pleased to see our deposit portfolio growing by 17% (LKR 12 billion) during the year. I am equally pleased to report the improvement in Amāna Bank's CASA ratio, which grew from 39% in 2019 to 45% in 2020, a testament to the strong emphasis we placed throughout the year to promote our CASA proposition. Owing to the steady balance sheet growth and effective implementation of our Strategic Plan the Bank's Total Assets crossed the LKR 100 billion mark, a laudable achievement in the context of the Bank having completed only 9 years of operations.

“Our key strategic focus in 2021 will be on our digital transformation journey coupled together with our focus on customer experience, through which our products, processes and service delivery will be seen as both people friendly and digitally savvy.”

Given the challenges and economic conditions for most part of the year, the Bank managed to record a commendable topline performance. Maintaining a healthy financing margin of 3.7%, the Bank's Net Financing Income grew 9% YoY to close at LKR 3.45 billion. Despite import restrictions having an adverse impact on trade related fee income, the Bank reported a Net Operating Income of LKR 3.72 billion for 2020. Having successfully curtailed operating expenses, as a result of the continued focus on cost containment, the Bank recorded an Operating Profit Before VAT, NBT and DRL of LKR 1.15 billion for 2020. The Bank's aggregate tax contribution of LKR 691 million accounted for 60% of the Bank's Operating Profit before all taxes. As a result of the Bank's resurgent performance especially during the latter part of the year, the Bank reported a notable profit before tax of LKR 761.4 million and profit after tax of LKR 463.7 million for 2020. It is noteworthy that the profit after tax of 2020 is higher than the LKR 460.9 million reported in 2019. The continued profits enabled us to pursue in rewarding our valued shareholders for the third consecutive year, this time in the form of a scrip dividend in line with CBSL directive to curtail cash dividends.

Future Focus

2020 has accelerated the Digital Revolution across the world resulting in virtual meetings, virtual AGM's, working from home and many more behavioural changes. Above all we have witnessed a sharp acceleration in customer acceptance and demand for digital banking services. The Bank has taken serious note of this, and as a result our key strategic focus in 2021 will be

on our digital transformation journey coupled together with our focus on customer experience, through which our products, processes and service delivery will be seen as both people friendly and digitally savvy. Having drawn our digital blueprint, where emphasis is placed on providing a superlative digital banking experience, I am indeed excited for our digital prospects and look forward for our customers to benefit from it.

The Bank will further leverage on the national electronic payment networks, JustPay and LankaQR, with which the Bank integrated during the latter part of 2020, to support CBSL's 'less-cash' initiative while also providing customers with convenient digital payment solutions.

While we focus on the digital frontier, our drive to succeed will remain on us living up to our people friendly banking model, through which, time after time by providing a superlative customer experience, we have enabled growth and enriched lives of our customers.

Acknowledgements

I take this opportunity to thank our Founder Chairman Osman Kassim and founder retiring directors Tyeab Akbarally, Jazri Magdon Ismail and Harsha Amarasekera for their visionary leadership, immense guidance and countless advice. They have been great pillars of strength to the Bank since its formation, paving the way for Amāna Bank to continue to grow sustainably despite all challenges. Their services will be truly missed.

Chief Executive Officer's Review

Further, I would like to welcome our new Chairman Asgi Akbarally and the newly appointed directors whom along with the rest of the Board have provided great insight, direction and leadership in guiding the Bank during this challenging period, for which I am thankful. My grateful thanks goes out also to the Sharia Supervisory Council for their guidance at all times. I also wish to convey my sincere condolences on the demise of our honoured Sharia Supervisory Council Member, late Ash-Sheikh M. M. A. Mubarak in October 2020. His contribution towards the establishment and growth of the Bank and the industry as a whole will always be treasured with a deep sense of gratitude. I would also like to thank the Trustees of OrphanCare for their active involvement and guidance towards this noble cause. I also wish to express my sincere appreciation to the management and staff who rallied together and worked tirelessly to serve our customers.

To conclude, I wish to extend my sincere thanks to all our customers and shareholders for the trust and confidence placed in the Bank.



Mohamed Azmeer
Chief Executive Officer

20 February 2021
Colombo

PROFILE OF CHIEF EXECUTIVE OFFICER

Mohamed Azmeer took over the leadership of the Bank in June 2014. Prior to that, as the Bank's Chief Operating Officer, he was overseeing the business functions of the Bank's Consumer, SME, Corporate and Treasury divisions. Before joining Amāna Bank, Azmeer had gained significant exposure to conventional and Islamic banking through his illustrious career, both locally and internationally, which spans over 30 years.

Having commenced a career in banking at Commercial Bank of Ceylon, Azmeer's leadership progression and banking intuitiveness was a result of his overseas experience, primarily at Citibank, UAE, where he had gained the unique experience of both business and risk aspects of banking, having overseen such operations at senior levels. During such tenure, he also carried out many short overseas assignments to countries such as UK, India and Kenya, where he acquainted himself to the different dynamics and challenges specific to each business and region. At the culmination of his career at Citibank he held the position of Vice President – Risk, for UAE and Oman. Azmeer's experience also includes 'start-ups' where he was a founder member of the erstwhile Dubai Bank which was established at the direction of the Dubai Government.

Azmeer's journey towards Islamic banking was a result of him wanting to have this nascent but people friendly concept accepted and embraced by a wider audience. In the field of Islamic banking, Azmeer's track record involved holding senior positions at Al-Rajhi Bank Saudi Arabia, the largest and leading Islamic Bank in the world and Sharjah Islamic Bank, a pioneering bank in UAE and the first Islamic bank in the world to fully convert its operations from being a conventional entity, in which he was an Executive Vice President.

Azmeer has served on the Boards of Sri Lanka Banks' Association (Guarantee) Ltd., LankaClear, the national payment and clearing association of Sri Lanka, and was the Chairman of the Financial Ombudsman Sri Lanka (Guarantee) Ltd.

Azmeer holds a Master's Degree in Business Administration from the University of Leicester, UK. Utilising his sound knowledge and wide experience, Azmeer has played a key role in guiding Amāna Bank towards the success it has reached thus far.

**We provided a zero cost salary advance
to our loyal customers along with many
other relief measures to help them
overcome the financial impacts of the
pandemic...**

RESILIENCE, OUR WAY



Board of Directors



Left to Right

1. **Dilshan Hettiaratchi**
Non-Executive, Independent Director
2. **Rajiv Nandlal Dvivedi**
Non-Executive, Independent Senior Director
3. **Ali Asghar (Asgi) Akbarally**
Chairman, Non-Executive, Non-Independent Director
4. **Mohammed Ataur Rahman Chowdhury**
Non-Executive, Non-Independent Director
5. **Aaron Russell-Davison**
Non-Executive, Independent Director



Left to Right

6. Khairul Muzamel Perera Bin Abdullah
Non-Executive, Non-Independent Director

7. Syed Muhammed Asim Raza
Non-Executive, Non-Independent Director

8. Omar Kassim
Non-Executive, Non-Independent Director

9. Tishan Subasinghe
Non-Executive, Independent Director

10. Mohamed Adamaly
Non-Executive, Non-Independent Director

11. Mrs. Samitha Dayani De Silva
Company Secretary

Not Pictured

1. Paul Mercer
Non-Executive, Non-Independent Director

Board of Directors

Ali Asghar (Asgi) Akbarally

*Chairman, Non-Executive,
Non-Independent Director
(Appointed w.e.f. 18 July 2020)*

Ali Asghar (Asgi) Akbarally is an Executive Director of Akbar Brothers (Pvt) Ltd, one of Sri Lanka's largest diversified corporates, globally renowned for its tea exports. Asgi Akbarally holds directorship in multiple subsidiaries and affiliates of the Akbar Group covering sectors such as Manufacturing, Property Development, Hotels & Leisure, Healthcare, Power Generation, Packaging & Printing, Logistics and Environmental Services. He is the Managing Director of Renewgen (Pvt) Ltd and Executive Deputy Chairman of Windforce (Pvt) Ltd, Chairman of Hermitage Resorts (Pvt) Ltd, Uthurumaafaru Holding (Pvt) Ltd Maldives, Lhaviyani Holdings (Pvt) Ltd and Cocoon Investments (Pvt) Ltd Maldives. He is also a director of Alumex PLC.

Asgi Akbarally is currently the Honorary Consul of the Hashemite Kingdom of Jordan. He holds a BSc Degree in Industrial Engineering from the California State University and is a Fellow Member of the Institute of Certified Professional Managers. A classic car enthusiast, Asgi Akbarally has authored a coffee table book on "Classic and Vintage Automobiles of Ceylon" and is the Patron of the Classic Car Club of Ceylon.

Rajiv Nandlal Dvivedi

*Non-Executive, Independent Senior
Director*

Rajiv Nandlal Dvivedi is currently the CEO of Eagle Investments Limited, a privately owned Investments and Advisory firm based in the DIFC, Dubai, UAE. He has over 40 years of Commercial and Investment banking, Corporate finance, and Investments experience. He spent 35 years at Citibank in various senior executive positions: 28 years in Commercial and Investment Banking, Corporate Finance and Risk Management in the Middle East and seven years in Consumer Banking with Citibank in New York, USA. In addition to Amāna Bank, Mr. Dvivedi currently sits on the Board of Candor Group of Companies (Sri Lanka), Eagle Investments Limited (UAE) and Eagle India Investments Sharia Fund Limited (Mauritius). He holds an MBA in Finance from Long Island University, New York, USA.

Dilshan Hettiaratchi

Non-Executive, Independent Director

Dilshan Hettiaratchi is a Partner/ Managing Director of Faber Capital Limited which is an investment banking firm headquartered in Dubai. The firm specialises in Capital Markets, Renewable Energy and Advisory opportunities. He has over 25 years of banking and financial markets experience. Prior to joining Faber Capital, he was the Managing Director and Head of Debt Capital Markets - MENA and Pakistan for Standard Chartered Bank. In this role he advised

many high profile issuers from the Middle East such as The Government of Dubai, The Government of Ras Al Khaimah and other Corporates and Financial Institutions from the ME region to tap the International Bond and Sukuk markets. Prior to joining SCB, he worked with Citi National Investment Bank, which was the investment banking arm of Citibank and NDB based in Colombo, as well as at Waldock Mackenzie Limited which was the investment banking arm of John Keells Holdings. He is a Director of Asset Trust Management Limited, which is a SEC regulated Asset Management Company. He was also a Steering Committee member of the Gulf Bond and Sukuk Association (GBSA), and the Chair of the Government Bond issuance committee in 2011. He has been a speaker/panellist at a number of industry conferences in Debt Markets over the last few years.

He holds an MBA from the University of Colombo, is a CFA Charter Holder and is an ACMA (UK).

Aaron Russell-Davison

Non-Executive, Independent Director

Aaron Russell-Davison is a veteran banker with 20 years' experience across banking and financial institutions, including capital markets, bond and loan syndication, sales, trading, portfolio management and brokerage. Most recently, his tenure at Standard Chartered Bank, Singapore spanned over 6 years, at the most senior levels of Capital Markets, as the Global Head of Debt Capital Markets. He also has served as Director, Capital Markets in

prominent global institutions such as Credit Suisse, Hong Kong; Standard Bank of South Africa, Hong Kong; and Hypo-Vereins Bank, London. He has also held Board positions as an Independent Non-Executive Director of leading financial institutions, whilst serving in the capacity of Chairman - Group Risk Committee and as a member in the Group Audit, Remuneration and Related Party Committees. He has worked across multiple geographies and cultures with a strong Asian aspect, and holds a Bachelor of Arts (Asian History and Politics) from the University of Western Australia.

Mohammed Ataur Rahman Chowdhury
Non-Executive, Non-Independent Director

Mohammed Ataur Rahman Chowdhury is a seasoned financial sector specialist, having spent more than 18 years across in the Financial Institutions domain covering multiple geographic regions across Middle-East, North Africa, West Africa, Central Asia and Southeast Asia. His diversified experience was spent mostly in senior roles in direct financing, investment banking, commercial banking, FI equities, board representations and turning around financial institutions. Joined in 2007, at present, Mr. Chowdhury is leading Non-Banking Financial Institutions at the Islamic Corporation for the Development of the Private Sector (ICD); the private sector arm of the Islamic Development Bank (IsDB) Group providing strategic direction and support to company and management across Ijara (Leasing), mortgage financing takaful, liquidity management and investment company

operations to become profitable and sustainable. Prior to that, Mr. Chowdhury, being Head of Banking Investment, led establishments and formulating strategies of more than 15 Islamic banks with aggregate portfolio of nearly USD 260 million. He is an experienced and veteran board member with proven track of transforming financial institutions from loss making into profitable. He is also a Board member in Maldives Islamic Bank PLC. Briefly, Mr. Chowdhury also worked as Adviser, Financial Institutions for The European Bank for Reconstruction and Development (EBRD) in London, UK on secondment from ICD.

Mr. Chowdhury's professional career, preceding his ICD tenor, included 7 years in Bangladesh's financial sector, holding the roles of: Corporate Relationship Manager in Commercial Bank of Ceylon Limited (Bangladesh operation), Investment Manager in IPDC (the first Development Financial Institution in the country) and Senior Investment Analyst in BRAC-EPL (a premier investment bank in the country).

A well-learned individual, Mr. Chowdhury holds an MBA in Finance from IE Business School, Spain, and another MBA in Finance & Accounting from North South University, Bangladesh. He has also earned a Diploma in Board Certification of Company Direction from the Institute of Directors, United Kingdom.

Syed Muhammed Asim Raza
Non-Executive, Non-Independent Director

Syed Muhammed Asim Raza has over thirty years of diverse experience in banking and engineering industries at senior management level. He is well versed in all aspects of public and private sectors projects and equity financing including identification, preparation, due diligence, implementation and post implementation activities. He has a vast experience in remedial asset management which involved recovery of classified portfolio through restructuring, liquidation and litigation activities. Currently attached to Islamic Development Bank Group (IsDB), Mr. Raza is involved in developing the enabling environment for trusts and endowments sector in OIC member and non-member countries; providing technical assistance for capacity building, regulatory and institutional development. He is deeply involved in the development of new endowments as well as establishment of commercial real estate projects on idle endowment land for transforming them in to revenue generating asset. Currently, he is supervising the global projects portfolio of more than US\$ 300 million. Prior to joining IsDB, Mr. Raza worked in Pakistan and served on various senior positions at different financial institutions. He served as Vice President at Muslim Commercial Bank and Atlas Investment Bank Limited. He worked twelve years with the National Development Finance Corporation, which was mandated for the development of infrastructure projects in Pakistan. Mr. Raza holds a bachelors degree in Mechanical

Board of Directors

Engineering and Masters in Business Administration. He is a member of various Engineering Council and Institutes and has represented IsDB as a speaker at various prestigious forums and conferences.

Khairul Muzamel Perera Bin Abdullah
Non-Executive, Non-Independent Director

Khairul Muzamel Perera has over 30 years of banking related experience including stints at a credit rating agency and a national asset management institution. He is currently the Chief Credit Officer overseeing the Credit Management Division at Bank Islam Malaysia Berhad, which covers Credit Analysis, Credit Analytics, Valuation and the Central Financing Processing function. He also Chairs various Financing Committees and the Underwriting & Investment Committee in the Bank and the Investment Committee at BIMB Investment Management Berhad, a wholly owned subsidiary of the Bank. Khairul joined the Risk Management Division of the Bank in April 2009, heading the Credit Risk Management unit. A Chartered Company Secretary by profession, Khairul is an Associate Member of the Institute of Chartered Secretaries & Administrators, London and a Chartered member of the Chartered Institute of Islamic Finance Professionals, Malaysia.

Omar Kassim
Non-Executive, Non-Independent Director
(Appointed w.e.f. 26 August 2020)

Omar Kassim is a fintech focused technology entrepreneur, who specialises in conceiving, building, and exiting interesting technology ventures. Omar is the Co-Founder and Chief Executive Officer of Nomod, a London headquartered startup building a highly efficient, scalable, business banking platform to empower millions of entrepreneurs and startups around the world to start and grow their businesses with inventive payment and banking tools. Omar also Co-founded and was the Chief Executive Officer of Esanjo, a trading, investment, and technology business based in Dubai, where he remains a member of the Board. Omar previously founded and exited JadoPado, a highly regarded e-commerce technology platform addressing the Middle East, North African, and South Asia. Omar holds a BSc in Electronics Engineering and Business Studies from the University of Warwick in the United Kingdom.

Tishan Subasinghe
Non-Executive, Independent Director
(Appointed w.e.f. 26 August 2020)

Tishan Subasinghe, is a Fellow and Council Member of the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the Managing Director and Joint Managing Partner of Moore Stephens Consulting (Private) Limited and Moore Stephens Aiyar respectively. Before that he was the Head of Audit

and Assurance at BDO Partners. He is also the Chairman of Sanasa General Insurance Company Limited and is also a Council Member of the University of Moratuwa. Tishan currently serves on the Presidential Commission for the Simplification of Existing Laws and Regulations. His profession also expands overseas where he had work experience with PricewaterhouseCoopers (PwC) in New York, Philadelphia, Chicago and Botswana spanning several years. These were supported by the international training that he has undergone in USA, Hong Kong, Bangkok, Hyderabad, Mumbai, Malaysia, Indonesia and Rome. As a member of CA Sri Lanka, Tishan has served as the Chairman of the Annual Report Awards Committee, National Conference Committee and Examinations Committee. He also held the post of Vice President of the Young Chartered Accountants Forum (YCAF). Tishan is a Certified Information Systems Auditor (CISA-USA) and has an MBA in Finance by the University of Colombo with a Gold Medal and has earned an LLB (Hons.) degree from the Buckinghamshire New University. He is also a visiting lecturer at several Government Universities and had also conducted international training in Maldives and Bhutan.

Paul Mercer

*Non-Executive, Non-Independent
Director
(Appointed w.e.f. 26 August 2020)*

Paul Mercer is an English law qualified lawyer with over 20 years of experience working in banking, particularly in Islamic Finance. Paul has extensive experience in corporate governance and has used his skills and experience as a Director on a number of boards representing the Kuwait Finance House Group. Paul was the Chairman of Bahrain Investment Bank, Ibdar Bank, and as Chairman of the Board, he oversaw a three-way bank merger involving Elaf Bank, Capital Management House and Capivest. In recent years Paul has been actively engaged on Islamic Banking regulation in Bahrain, Saudi Arabia and Kuwait and the implementation of capital and governance requirements. While working as a lawyer in private practice and as in-house legal counsel at Kuwait Finance House (Bahrain), Paul has advised on a full range of legal issues relating to Islamic Finance and helped in the preparation of transactional documentation designed to comply with Islamic Law. Paul is a member of the Chartered Institute of Arbitrators and is registered as an arbitrator on the GCC Commercial Arbitration Centre Roster of Arbitrators.

Mohamed Adamaly

*Non-Executive, Non-Independent
Director
(Appointed w.e.f. 27 August 2020)*

Mohamed Adamaly is a leading legal professional in Sri Lanka having a wide Civil Law practice in the Original Courts and Appellate Courts, with a focus on Commercial Law, Labour Law, Insurance Law, and Banking & Credit related laws. Adamaly also specialises in Investment Advisory, Business Set-up/Restructuring Services and Corporate Acquisitions. Adamaly graduated from the Faculty of Law University of Colombo with Honours while also achieving First Class Honours from the Sri Lanka Law College before being admitted as an Attorney-at-law of the Supreme Court of Sri Lanka in 1994. Adamaly has served as a visiting lecture at the University of Colombo and at the Sri Lanka Law College. He also holds a Postgraduate Diploma in Marketing from the Chartered Institute of Marketing (CIM UK) and is a leading lecture for CIM and formerly for CIMA, in Sri Lanka. Adamaly holds and has held directorships in several public and private companies including in the David Peiris Group, Bogala Graphite Lanka PLC, Assetline Leasing Company Limited and Sinwa Holdings Limited. Adamaly is also a leading thespian in the country and has received the National TOYP Award for his contribution to Drama and Literature.

Mrs. Samitha Dayani De Silva

Company Secretary

Mrs. Dayani de Silva joined Amāna Bank PLC in March 2016.

Dayani is a Fellow Member of ICSA – The Governance Institute UK. She was also awarded Founder Membership of the Institute of Chartered Corporate Secretaries Sri Lanka. Her professional experience as a Chartered Secretary counts over 30 years.

Prior to joining Amāna Bank, her experience included Corporate Secretaryship in a finance company and thereafter in a local multinational group (presently owned by a conglomerate based in UAE). Her experience in this group of companies specifically included incorporation of a finance & leasing company, an insurance company and also obtaining relevant regulatory licenses for the above companies. Additionally, she also has exposure to People Management.

Dayani had also participated as a Guest Speaker on Corporate Secretaryship and Corporate Governance organised by an Accounting Body in Sri Lanka.

Independent Sharia Supervisory Council

ASH-SHEIKH DR. MUFTI MUHAMMAD IMRAN ASHRAF USMANI

Chairman, Sharia Supervisory Council

Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani, son of Justice (Retd.) Mufti Muhammad Taqi Usmani, graduated with specialisation in Islamic Fiqh (Islamic jurisprudence) from Jamia Darul-Uloom, Karachi, where he has been teaching Fiqh since 1990. He also holds an L.L.B and Ph.D. in Islamic Finance. He is a member of the administration board of Jamia Darul-Uloom, Karachi.

Presently Dr. Imran Usmani is the Group Head and Vice Chairman of Shariah Supervisory Board at Meezan Bank Ltd and is responsible for Research and Product Development of Islamic Banking products, advisory for Sharia-compliant banking and supervision of Sharia Audit & Compliance.

He is also the President and CEO of Usmani & Co. Pvt. Ltd that provides a full suite of Islamic Finance consultancy, Shariah advisory and related ancillary services to local and international clients across all legal jurisdictions and financial & non-financial sectors.

Dr. Imran Usmani has been involved with the Government of Pakistan in various initiatives and is also a member of the Steering Committee and Implementation Committee for promotion of Islamic Banking since 2013.

Dr. Imran Usmani has served as an advisor/member of Sharia Boards of several renowned institutions in various jurisdictions since 1997 including the State Bank of Pakistan, Takaful Pakistan Ltd., Pakistan Mercantile Association, ICFAL – Australia, The Zeal – Canada and USA, Astana International Financial Centre - Kazakhstan, HSBC - Amānah Finance, UBS

- Switzerland, Guidance Financial Group USA, Lloyds TSB Bank - UK, Japan Bank for International Cooperation (JABIC), Credit Suisse Switzerland, Royal Bank of Scotland Global, Old Mutual AlBarakah Equity & Balanced Funds South Africa, AIG Takaful, ACR ReTakaful Malaysia, Premier Takaful Pakistan, Capitas Group USA, Bank of London and Middle East Kuwait, BMI Bank Bahrain, Al Khaliji Bank Qatar, Sarasin Bank Switzerland, AIFA - Amāna Islamic Finance Australia, DCD Group Dubai, Nafa Mutual Fund, Acumen Fund, Swip Sicave Fund, Old Mutual AlBarakah fund and other mutual and property funds, Takaful companies and international Sukuk, etc.

He also served as an Executive Committee Member of AAOIFI (Dubai), Sharia Supervisory Board of International Islamic Financial Market (IIFM) Bahrain and Chairman of Academic Board at International Centre for Education in Islamic Finance (INCEIF) – Malaysia, Institute of Business Administration (IBA)- Centre for Excellence in Islamic Finance (CEIF), Karachi and Director at Centre for Islamic Economics (CIE), Hira Foundation School and Hira Institute of Emerging Sciences, Karachi.

Dr. Usmani is the author of numerous publications related to Islamic Finance and other Sharia related subjects. He has presented papers in numerous national and international seminars and has delivered lectures at academic institutions including Harvard, LSE, LUMS and IBA.

He also has special interest in Entrepreneurship, Eco-system, Sustainable Development investments and works for different green projects.

ASH-SHEIKH MOHD. NAZRI CHIK

Vice Chairman, Sharia Supervisory Council

Ash-Sheikh Mohd. Nazri Chik, a Certified Sharia Adviser and Auditor (CSAA-AAOIFI) is the General Manager, Strategic Relations of Bank Islam Malaysia. He holds a Master's Degree in Sharia from University of Malaya and Certificate in Internal Auditing for Financial Institutions (CIAFIN) from Asian Institute of Chartered Bankers (AICB). He started his career as a tutor in the University until he joined Bank Islam in June 2004. He left the Bank to join Noor Investment Group, Dubai in September 2009 as its Sharia Audit Manager. During this time, he had been appointed as a member of Bank Islam's Sharia Supervisory Council. He re-joined the Bank to lead the Shariah Division in January 2011, a role he had continued until December 2019. He is also a Registered Sharia Adviser with the Securities Commission Malaysia and a Sharia Advisor to several organisations including Malaysia Professional Accountancy Centre (MyPAC), BIMB Securities Management LLC, Kelantan State Economic Development Corporation etc. He is an Accredited Panel of Finance Accreditation Agency (FAA); Deputy President of Association of Sharia Advisors Malaysia (ASAS), Distinguished Trainer for Islamic Banking and Finance Institute of Malaysia (IBFIM), a Director of Terengganu Incorporated, the investment arm of Terengganu state government and an academic advisor to various Islamic Finance programmes offered by universities in Malaysia.

ASH-SHEIKH M.M.A. MUBARAK

Member, Sharia Supervisory Council

(Deceased on 27 October 2020)

Ash-Sheikh M.M.A. Mubarak was the former President and General Secretary of the All Ceylon Jamiyyathul Ulama. He was a highly-learned and respected scholar who held a Bachelor of Islamic Law (Sharia) Degree from the Islamic University of Madina Al Munawwara, Saudi Arabia. He was a retired Principal of Sri Lanka's leading Arabic College Al-Ghaffooriya Arabic College, Maharagama and the Deputy Chairman of Abd Azeez Bin Baaz Ladies Arabic College, Malwana, Sri Lanka.

Ash-Sheikh Mubarak was a highly respected scholar and an author to several books and publications on the topic of Sharia and other Islamic Studies.

ASH-SHEIKH MUFTI M.I.M. RIZWE

Member, Sharia Supervisory Council

Mufti M.I.M. Rizwe is the President of the All Ceylon Jamiyyathul Ulama (ACJU), which is the supreme body of Islamic Theologians in Sri Lanka.

Mufti Rizwe is a prominent Islamic Religious Scholar, philanthropist and a specialist in fields of Islamic Jurisprudence and Islamic Finance. The following are some areas in which his contributions have been made:

Economy - Mufti Rizwe has contributed immensely to the world of Islamic Finance especially in Sri Lanka, as he is one of the founders of the concept of Islamic Banking in the conventional banking industry in Sri Lanka.

Religious Education - He has initiated several contributions that have greatly benefited the community at large, such as a Preliminary Religious Education System which provides fundamental religious knowledge to children.

Counselling - Careline Counselling Services, another initiative by Mufti Rizwe, which strives to assist the community especially the women, by providing counselling services and pre-marital workshops.

Skills Development – Identifying the need of grooming and developing skills of students of Religious studies, Mahmoud Institute for Skill Development of Religious Scholars was founded by Mufti Rizwe which focuses on providing skill development for religious scholars in Sri Lanka.

Social Services – ‘Masjid Based Social Services’ is another significant concept developed by Mufti Rizwe, which focuses on social needs and provides assistance in possible forms irrespective of racial or religious differences, especially during periods of adversity.

Unity and Coexistence - It is significant to note that Mufti Rizwe is one of the most important personalities of Sri Lanka renowned for his advocacy for unity within the community and for peaceful coexistence among the ethnicities.

ASH-SHEIKH MUFTI MUHAMMAD

HASSAAN KALEEM

Member, Sharia Supervisory Council

Ash-Sheikh Mufti Muhammad Hassaan Kaleem is a renowned figure in the field of Islamic Finance. He is considered as one of the most revered Sharia Scholar in the Islamic Finance Industry, who sits on the Sharia Advisory Boards of numerous financial institutions, Islamic Investment Funds and Takaful Companies, including Al-Ameen UBL Funds, Adamjee Takaful, State Life - Window Takaful Operations, Pak Qatar Family Takaful Ltd. - Pakistan, Hanover Re Takaful-Bahrain, and Takaful Emirate- UAE, etc.

In addition, Mufti Hassaan is a Sharia Consultant of Deloitte (Global Islamic Finance Team), Trainer of Sharia Standards, a Member of Subcommittee of Sharia Standards at AAOIFI-Bahrain, visiting faculty member of National Institute of Banking and Finance (State Bank of Pakistan) and Centre for Excellence in Islamic Finance (CEIF) - IBA and a permanent faculty member of Centre for Islamic Economics Karachi. Furthermore, he was the former Sharia Advisor of Bank Al Baraka and Chairman, Sharia Board of SECP.

Mufti Hassaan holds vast experience of teaching various Islamic Subjects at Jamia Darul Uloom Karachi for approximately the past 20 years.

He also works as Member - Sharia Board of Dubai Islamic Bank Pakistan Ltd. He is a frequent trainer and expert in simplifying complex issues related to Islamic Finance. He has delivered lectures and presentations in many Islamic Finance conferences and seminars in Pakistan and around the world.

Profiles of Strategic Shareholders

ISLAMIC DEVELOPMENT BANK¹

The Islamic Development Bank (IsDB) is a multilateral development bank, working to improve the lives of those it serves by promoting social and economic development in Muslim countries and communities worldwide, delivering impact at scale. IsDB provides the infrastructure to enable people to lead better lives and achieve their full potential. It brings together 57 member countries across four continents - touching the lives of 1 in 5 of the world's population. IsDB is a global leader in Islamic Finance, with an AAA rating, and operating assets of more than USD16 billion and subscribed capital of USD 70 billion. Headquartered in Jeddah, Saudi Arabia, IsDB has major hubs in Morocco, Malaysia, Kazakhstan and Senegal, and gateway offices in Egypt, Turkey, Indonesia, Bangladesh and Nigeria. IsDB's 5 pillars of activities include: (i) building partnerships between governments, the private sector and civil society through public private partnerships; (ii) adding value to the economies and societies of developing countries through increased skills and knowledge sharing; (iii) focusing on science, technology and innovation led solutions to the world's greatest development challenges, through boosted connectivity and funding, and a focus on the UN's Sustainable Development Goals; (iv) promoting global development that is underpinned by Sharia compliant long term sustainable and ethical financing structures, as global leaders in Islamic Finance; and, (v) fostering collaboration between IsDB's members nations in a uniquely non-political environment, focusing on the betterment of humanity.

¹Source: <https://www.isdb.org/who-we-are/about-isdb>

THE ISLAMIC CORPORATION FOR THE DEVELOPMENT OF THE PRIVATE SECTOR LIMITED PARTNER OF IB GROWTH FUND (LABUAN) LLP

The Islamic Corporation for the Development of the Private Sector (ICD) is a multilateral development financial institution and is part of the Islamic Development Bank (IsDB) Group. Founded in November 1999, ICD was established to support the economic development of its member countries through the extension of finance for private sector projects, promoting entrepreneurship, encouraging cross-border investments, and providing advisory services to governments and private companies. ICD's authorised capital is US\$ 4 billion, and its current shareholders are: the IsDB, fifty-five (55) Islamic countries and five (5) public financial institutions. ICD's development mandate ensures that its interventions are underpinned by factors that promote for: job creation, Islamic Finance development, contribution to exports etc. As for its advisory services, ICD looks to aid governments and private sector groups on issues ranging from policy design to the advancement of private enterprises; other areas include: development of capital markets, and adoption of best management and governance practices. ICD strives to add value in its member countries by complementing the activities of IsDB and respective national financial institutions.

BANK ISLAM MALAYSIA BERHAD

Since its inception in March 1983, Bank Islam has not only become the symbol of Islamic Banking in Malaysia, it has also played an integral role in setting the stage for a robust growth of the country's Islamic financial services industry. True to its pioneering and innovative heritage,

Bank Islam is committed to its role as a leading vehicle in transforming Malaysia into a global Islamic financial hub. To this end, Bank Islam continuously develops and introduces trendsetting financial solutions, some of which are the first-of-its kind in the world or at least in the region in widening the breadth of its innovative end-to-end Sharia based financial products and services, comparable to that offered by its conventional counterparts. Today, Bank Islam offers a diversified range of Islamic financial products and services through its network of 144 branches and more than 900 self-service terminals nationwide. Bank Islam's solutions are designed to realise the financial and banking needs of all people in line with its mission to deliver value for the good of the society and nation.

AKBAR BROTHERS (PVT) LIMITED

A 50 year old company, export of internationally renowned Sri Lankan Teas being their core business, Akbar Brothers has successfully diversified into a range of sectors through strategic reinvention and expansion, and today, the Group has a firm presence in the sectors of Tea Export, Power Generation, Healthcare & Pharmaceutical Manufacturing, Packaging, Property Development, Agriculture and Environmental Services. Akbar Brothers rank proudly as the largest exporter of Ceylon Tea in the country, a position held for the past 40 consecutive years, and has been the recipient of many top national and international awards over the years including the prestigious Presidential Award for Sri Lanka Exporter of the Year, for outstanding exports to over 90 countries worldwide.

We made our digital banking solutions
easily accessible enabling our
customers to carry out seamless
banking from wherever they are...
RESILIENCE, OUR WAY



Management Committee



Mohamed Azmeer
Chief Executive Officer



M. M. S. Quvyldih
Chief Risk Officer



M. Pharis Jazeel
*Senior Vice President - Treasury and
Financial Institutions*



Ajmal Naleer
Chief Compliance Officer



M. Ali Wahid
Chief Financial Officer



Siddeeqe Akbar
*Vice President - Retail Banking &
Marketing*



Imtiaz Iqbal
Vice President - Operations



Irshad Iqbal
Vice President - Business Banking



Rajitha Dissanayake
Chief Information Officer



Fazly Marikar
*Vice President - Strategy Management &
Product Innovation*



Numair Cassim
Chief Internal Auditor

Assistant Vice Presidents and Heads of Departments



Samitha Dayani de Silva
Company Secretary



Sulani Dayaratne
Head of Legal



Farhan Refai
Head of Human Resources



Chaminda de Silva
*Assistant Vice President - Commercial
Leasing*



Ash-Sheikh Nazhan Naurooz
In-House Sharia Advisor

Senior Managers



Azam Ameer
Head of Business - Kandy Branch



Rizah Ismail
Senior Manager - Remedial



Arshad Jamaldeen
Head of Deposits



Harindra Obeyesekere
Senior Manager - Treasury



Sujeewa Weerasinghe
Senior Manager - IT Business Systems & Support



Prince Kevitiyagala
Senior Manager - Projects



Intikab Hanifone
Head of Business – Pettah Branch



Anver Asver
Head of Branch Operations



Ramakrishnan Kirubakaran
Head of Retail Advances

Senior Managers



Rajendra Jayasinghe
*Head of Corporate Banking /
FCBU - Western Region*



Mohamed Kiyasudeen
Senior Manager - Information Security



Arshad Adhnan
Head of Credit Risk



Niyaz Aboobucker
Head of Equity Trading



Sanjeewa Fonseka
Head of Digital Banking



Azad Zaheed
Head of OrphanCare



Arkam Azeez
Senior Manager – Internal Audit

In the backdrop of the directive to curtail cash dividends, we wanted to appreciate and value the confidence placed in us by our shareholders by rewarding them with a scrip dividend...
RESILIENCE, OUR WAY

Amara Bank PLC
Company Registration No. PB 0418 PQ
880 Galle Road, Colombo 2, Sri Lanka
Tel: +94 (0) 22 750 000 Fax: +94 (0) 22 570 439
Website: www.amarabank.lk

THIS DOCUMENT IS OF VALUE AND WARRANTS YOUR CAREFUL CONSIDERATION

13th August 2020

CIRCULAR TO SHAREHOLDERS

Dear Shareholders,

INTERIM DIVIDEND FOR THE FINANCIAL YEAR 2020

The Board of Directors of Amara Bank PLC is pleased to inform its shareholders that an Interim Dividend of 8 cents per each ordinary voting share would be recommended by way of an Interim Scrip Dividend for the financial year 2020.

As recorded in the Audited Financial Statements as at 31st December 2019, Amara Bank PLC (the "Bank") has recorded a profit after tax of Rs. 400,931,597 for the year ended 31st December 2019, whilst going on to record a further Rs. 129,756,030 as profit after tax for the first quarter of the financial year 2020.

The Board of Directors of the Bank at the Meeting held on 18th July 2020 have resolved to recommend, subject to the approval of the shareholders (in respect of the fractional entitlement), an interim Dividend of 8 cents per ordinary voting share in the form of a Scrip Dividend on the Ordinary voting shares of the Bank, for the financial year 2020.

Furthermore, the Board of Directors is confident that the Bank has satisfied the solvency test set out in 237 of the Companies Act No. 7 of 2007 immediately prior payment of such dividend considering the Bank has maintained its profitability trend and its strong liquidity position.

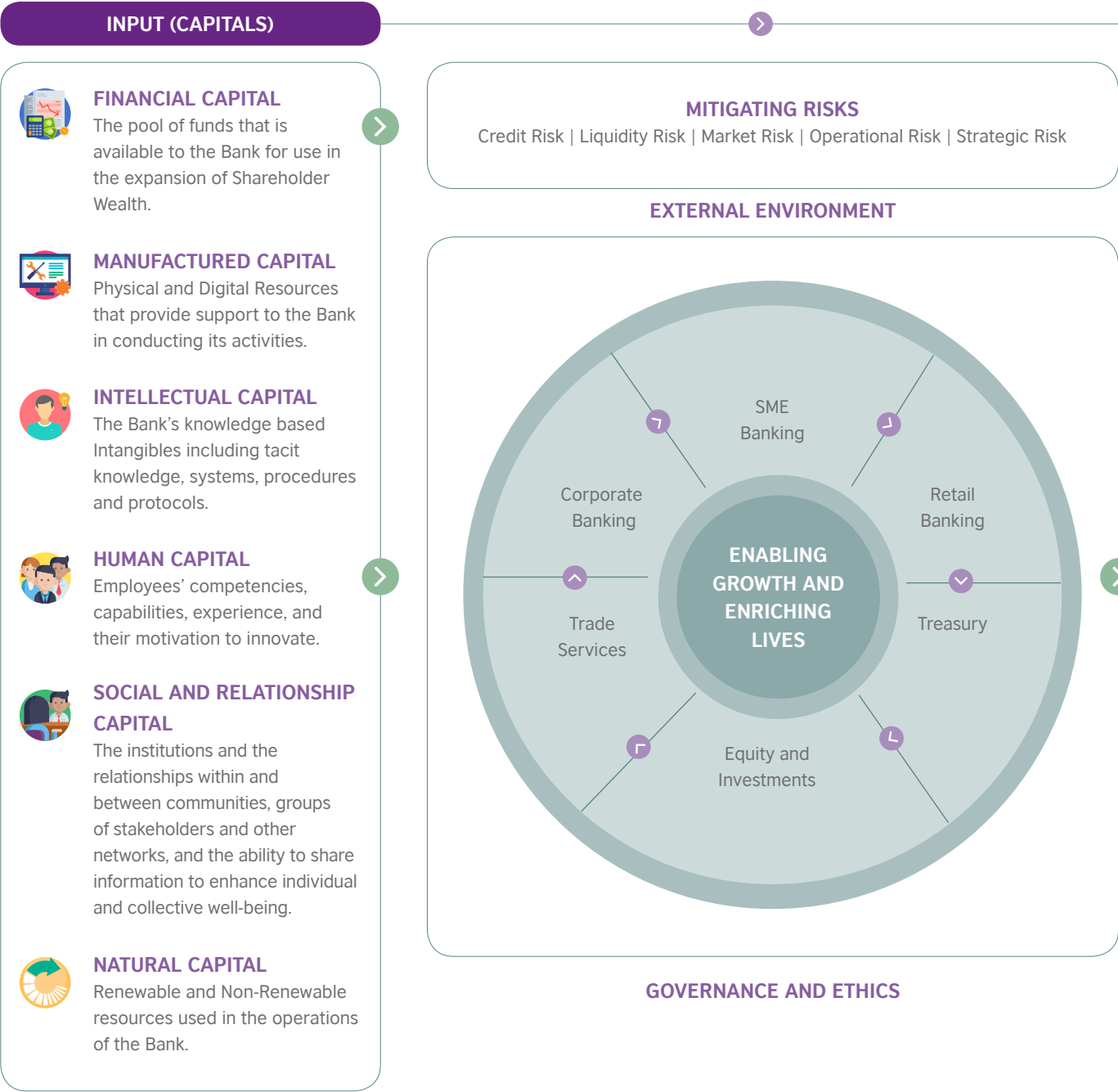
The Number of Shares to be Issued by way of Scrip Dividend

With regard to the Interim Scrip Dividend, the following table sets out the number of shares to be allotted, the proportion and considerations at which shares are to be issued out of the profits earned during the year, which is to be set aside for Interim Scrip Dividend based on the number of shares in issue at 13th September 2020.

Existing Ordinary Shares	The number of shares to be issued	On the basis of a scrip dividend of 8 cents per existing share
2,501,895,534	200,251,627	

Our Value Creation Model

The diagram below shows the value created by the Bank over time. The Capitals (Inputs) are fed to the activities and processes (improved customer products) of the Bank. This in turn generates Outputs and Outcomes. The Outputs are value created for the Bank and its stakeholders in the short-term, whilst Outcomes are the value created in medium to long term.



OUTPUT

- Growth in SME, Retail and Corporate portfolios
- Expand and optimise customer touch points
- Enhance customer service experiences
- Compliance in relation to regulations and taxation
- Expand relationships with Financial Institutions
- Improve employee engagement
- Invest in digitalisation and infrastructure
- Give back to the society and nature via OrphanCare and various other CSR projects
- Support customers to overcome financial challenges as a result of the pandemic

OUTCOME



FINANCIAL CAPITAL

Profit After Tax: **LKR 463.7 Mn**
 Total Capital Ratio: **17.4%**
 Deposit Base: **LKR 83.6 Bn**
 Net Assets Value Per Share: **4.79**
 Dividend Yield: **2.4%**



MANUFACTURED CAPITAL

No. of New Branches: **1**
 Pay&Go Deposit Touchpoints: **850**
 Asset Base: **LKR 100.2 Bn**
 Bank on Wheels Locations: **176 in 42 days**
 Facilities Granted under Saubagya Scheme: **LKR 1.8 Bn**
 Moratoria Granted as % of Total Advances: **47%**



INTELLECTUAL CAPITAL

Investment in IT: **LKR 159 Mn**
 Brand Value: **LKR 602 Mn**
 Fitch Rating: **Revised Upwards to BB+(lka)**
 LMD 100 Ranking: **89**
 Knowledge Marketing Sessions: **29**
 Knowledge Marketing Videos: **19**



HUMAN CAPITAL

Employee Retention: **97%**
 No. of Training and Development Programmes: **98**
 No. of New E-learning Courses: **15**
 No. of New E-Learning Users: **333**



SOCIAL AND RELATIONSHIP CAPITAL

No. of Customers: **Over 366,000**
 No. of Correspondent Banks: **62**
 CSR Donations: **LKR 0.98 Mn**
 Charity Fund Donations: **LKR 4.4 Mn**
 Orphans Enrolled to OrphanCare: **2,826**
 OrphanCare Fund Disbursements since launch: **LKR 17.5 Mn**



NATURAL CAPITAL

Solar Power Generated: **93,425 kWh**
 CO₂ Reduction: **65,700 kg**
 Power Generated through Financing Large Scale Renewable Energy Projects: **15,500 MWh**

Management Discussion and Analysis

FINANCIAL REVIEW

The world has faced many challenges in the recent past, but 2020 witnessed unprecedented developments with a pandemic causing disruptions to human lives across the globe, including severe economic repercussions followed by various relief measures being announced by countries to their masses and businesses alike. In the wake of the pandemic, Sri Lanka, like many other nations, recorded a negative GDP growth rate in 2020, estimated to be 3.9%. All major sectors of the local economy felt the shocks of a volatile business environment with little or no economic activity taking place for several months during the year under review. The banking sector was called upon to play a major role in facilitating various policy decisions of the Government and Central Bank of Sri Lanka (CBSL) as businesses were offered a host of relief measures including moratoria on repayment of credit facilities up to 6 months and the Saubagya Renaissance Facility in collaboration with CBSL to pass on the benefit of low financing cost to eligible customers. These measures provided a much needed lifeline for businesses to survive this challenging period and revive their operations, as the country gradually trudged towards normalcy by following strict health guidelines. The CBSL adopted various extraordinary measures to maintain and enhance the stability of banks and other financial institutions as a result of the pandemic situation. Key highlights among others were the reduction of the minimum requirement of Liquidity Coverage Ratio from 100% to 90% till 30 June 2021 and favourable changes to the qualifying

“Despite the backdrop of challenging market and economic conditions, the Bank continued to maintain a strong growth momentum in customer deposits closing the year with a portfolio of LKR 83.5 billion which reflected a significant YoY growth of 17% when compared with LKR 71.6 billion in 2019.”

criteria of Statutory Liquid Asset Ratio which were offered considering the market conditions that prevailed. The Statutory Reserve Requirement was also reduced from 5% in the beginning of the financial year to 2% by June 2020 to expand credit growth and spur economic activity.

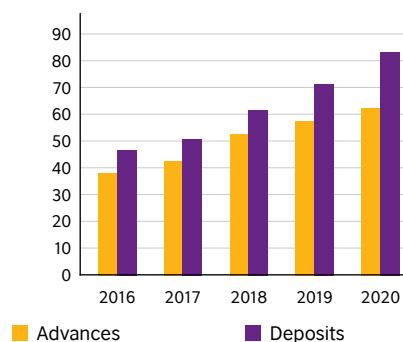
Having experienced adverse market conditions, the banking sector profitability came under pressure in 2020 due to a combination of factors including subdued demand for credit, shrinking margins in a low rate environment and a higher impairment charge. Amidst mounting difficulties Your Bank remained resilient to external shocks and performed commendably well to report a growth in post-tax profit. The Board and Senior Management formulated effective strategies to counter the effects of the pandemic and ensured that the Bank sustained its level of performance demonstrating its commitment towards its valued stakeholders. Owing to such efforts and its healthy financial profile, the Bank aptly rewarded its shareholders in 2020 with the third successive dividend in 3 years which was in the form of a scrip dividend valued at LKR 0.08 per share

totalling to a value of LKR 200.1 million, which translates to a dividend yield of 2.4%.

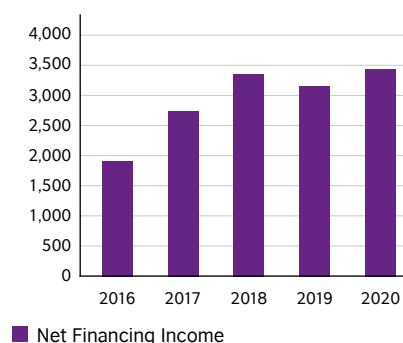
Having just completed 9 years in banking operations, Amāna Bank reached a key milestone as it crossed the landmark of LKR 100 billion in terms of Total Assets. This demonstrates the Bank's accelerated growth in its short history and its ability to record considerable balance sheet growth at a time when market conditions have not been favourable, is noteworthy. Total assets grew by 16% closing the year at LKR 100.2 billion from LKR 86.6 billion in 2019. Credit growth to the private sector which registered a rate of approx. 6.5% in 2020, remained subdued for most part of the year although policy rates were reduced and market liquidity was enhanced to accelerate growth. The Bank's core segments for financing; SME, Retail and Corporate combined effectively and assisted the advances portfolio to post a reasonable growth of over 8%, surpassing the private sector credit growth level to reach LKR 62.6 billion from LKR 57.7 billion as at 2019. Despite the backdrop of challenging market and economic conditions, the Bank continued to maintain a strong

growth momentum in customer deposits closing the year with a portfolio of LKR 83.5 billion which reflected a significant YoY growth of 17% when compared with LKR 71.6 billion in 2019. The growth in Current Accounts and Savings Accounts (CASA) deposits from a share of 39% of total deposits in 2019 to 45% in 2020 was a remarkable achievement amidst the current market context with declining market deposit rates.

Advances and Deposits (LKR Bn)



Net Financing Income (LKR Mn)

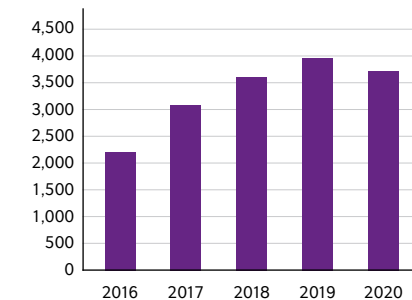


Top line income in 2020 was directly impacted by the moratorium offered to customers where almost 50% of the advances portfolio was placed under this scheme based on the requests received. With economic activity gaining momentum in the 2nd half of 2020, the Bank's advances portfolio gained momentum which helped offset the impact and minimise the reduction in financing income to 6% declining from LKR 7.7 billion in 2019 to LKR 7.2 billion in 2020. Despite this, net financing income increased significantly to LKR 3.5 billion from LKR 3.2 billion or by 9% due to the decline in financing expenses which was primarily brought about by the sharp increase in CASA deposits coupled with the downward trend in deposit rates.

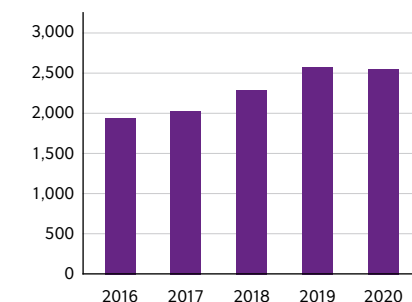
Following the outbreak of Covid-19, the Government announced measures to curb imports and implemented waivers of certain charges and fees. Although such initiatives had an adverse impact on the Bank's fee and commission income, the Bank's position recovered to a great extent in the 2nd half of 2020 to reach LKR 328.5 million for the year under review, similar to the LKR 329.0 million recorded in 2019. The total operating income reached LKR 4.2 billion for 2020, again similar to what was recorded in 2019 although the Bank's income from foreign exchange transactions declined mainly due to the performance of the foreign exchange market which too was hampered by the economic slowdown. With the business environment dominated by uncertainty and volatility, it is imperative that the Bank builds adequate buffers for any potential adverse impacts to its portfolio of advances. In this

backdrop, the management considerably augmented its charge on impairment of financial assets by 78% to LKR 513.7 million from LKR 288.9 million recorded in 2019. Despite unfavourable market conditions, the Bank's continued focus on prudent portfolio management and timely customer engagement resulted in containing non-performing advances (NPA) well below the industry averages with Net NPA and Gross NPA ratios recording 1.4% and 4.0% respectively. After providing for the enhanced level of impairment, the Bank closed the year with a net operating income of LKR 3.7 billion compared to LKR 3.9 billion in 2019.

Net Operating Income (LKR Mn)



Total Operating Expenses (LKR Mn)



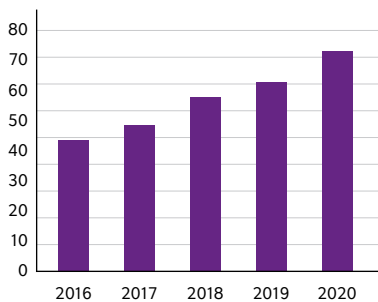
Management Discussion and Analysis

As a result of the continued focus on cost containment, the Bank recorded a reduction of LKR 25.6 million in terms of total operating expenses, from LKR 2.59 billion in 2019 to LKR 2.56 billion in 2020. This led to an Operating Profit before taxes of LKR 1.15 billion for 2020 as against LKR 1.38 billion in 2019. Value Added Tax on Financial Services, Nation Building Tax and Debt Repayment Levy amounted to LKR 393.1 million resulting in a Profit Before Tax of LKR 761.4 million for the year 2020. As income tax expenses amounted to LKR 297.7 million, the Bank ended 2020 with a Profit After Tax of LKR 463.7 million exceeding the LKR 460.9 million recorded in 2019. Other Comprehensive Income (OCI) for the year recorded a gain of LKR 150.2 million mainly through fair value appreciation of the equity portfolio designated under FVOCI which propelled the Total Comprehensive Income to LKR 613.9 million for the year under review.

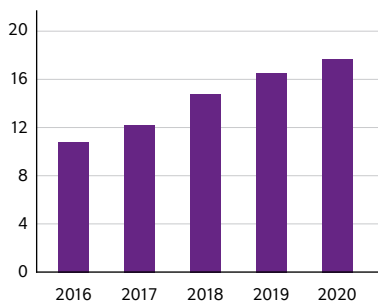
RETAIL BANKING

Having contributed significantly for the Bank's portfolio growth in 2019, Retail Banking was able to continue the positive momentum to the beginning of 2020. However due to the Covid-19 pandemic, the growth momentum was challenged, which resulted in a subdued growth at the half way point of the year, but owing to the Bank's resilience, it regained momentum during the latter stages. The key success factor for Retail Banking to overcome the challenges was its focus on customer experience, whether it was by supporting customers to safely access banking during the pandemic or through superior customer engagement, service and speed.

Retail Banking Deposits (LKR Bn)



Retail Banking Advances (LKR Bn)



Customer Support Extended during Covid-19 Pandemic

The pandemic provided the Bank an opportunity to showcase the true values of its unique model of banking, standing by its loyal customers in return for the confidence and trust placed in the Bank.

- The Bank deployed its very own 'Bank on Wheels' service, visiting neighbourhoods where curfews were in place; providing convenient cash withdrawal facilities to our customers as well as customers of other banks. To plan out the 'Bank on Wheels' route, the Bank launched a special web portal through which customers can request the Bank to visit their locality.



Bank on Wheels Operation at Dehiwala



Bank on Wheels Operation at Wattala

- The Bank waived off charges for Internet Banking fund transfers made to other banks and also enabled Convenient Digital Channel Onboarding for customers who have not yet registered for such services, through our Contact Centre and Website, minimising the need for branch visits, while taking all necessary security precautions.
- Doorstep Banking services were provided to those who were confined to their houses as well as to the Bank's senior citizen customers and pension customers.
- As the lockdown was enforced in early March, we provided a salary advance to our regular salary crediting customers completely free of charge, to help them face the challenges at that critical juncture.
- In line with the direction of the Government and the guidelines of Central Bank of Sri Lanka, the Bank introduced an inward remittance based Special Deposit Account with higher returns to help manage the financial and economic challenges of the Covid-19 outbreak.
- On the direction of the Government and the guidelines of Central Bank of Sri Lanka the Bank extended a helping hand to its customers in terms of a special relief moratorium for its retail advance customers. To provide added convenience for customers to apply for the moratorium the Bank introduced a special trilingual web portal, which benefited the application and confirmation process.

Customer Experience

Customer experience through superior customer engagement, service and speed continued to be a key focus area towards the success of Retail Banking. The Bank continued to invest and leverage on its exclusive banking propositions Amāna Bank Prestige, Amāna Bank Vantage, Amāna Bank Expat Gold and Amāna Bank Business Plus, which, as a result, saw an increase in both its customer base and portfolio.

The Bank pursued to grow its Ladies' Savings and Children's Savings propositions during the year, by carrying out novel promotional programmes while also offering added conveniences. The Bank's Ladies Customer Get Customer, Children's Savings New Born and Standing Order Bonus promotions were well taken up by the customers, testified by the growth in the Ladies and Children's Savings portfolio. Towards empowering and facilitating women entrepreneurs to make their passion their profession, the Bank introduced a Ladies Current Account to carry out seamless transactions, while ensuring focus on them to blossom their business.

As a result of having more emphasis on promoting its CASA products through many value added benefits, the Bank's CASA ratio swelled from 39% in 2019 to 45% in 2020, a ratio well above the industry average.

Along with offering a superior service, the Bank continued to offer 'Best in Speed & Best in Price' to its financing customers, thereby consolidating the retail advance portfolio in the backdrop of challenging economic conditions.



Children Savings Standing Order Bonus



Introduction of Ladies Current Account

Management Discussion and Analysis

In recognition and gratitude for the service provided by teachers and lecturers, the Bank extended the financing amount and repayment period to obtain financing without the burden of having guarantors or pledging security. Further the Bank introduced a special financing scheme for its pension savings



Nandrikadan - Special financing benefits for Pension Savers



Vantage Debit Card

customers. The Bank’s award winning Gold Certificate Financing Solution continued to be a helping hand for customers during trying times, for which the Bank extended the facility value up to LKR 70,000 while reducing the Gold Safekeeping charges.

Due to having an efficient collection system and process in place within retail advances, Retail Banking was a significant contributor to ensure the Bank’s Non-Performing Advances (NPA) was well below industry averages, in a period which saw industry NPAs rising.

The Bank’s Card business continued to grow which was complemented by offering customers merchant discounts and cash back bill wipe outs. In addition to having the general Debit Card, Prestige Debit Card and Ladies Debit Card, the Bank also introduced an exclusive Debit Card for its Vantage customers.



Bill Payment via Internet Banking

Reach and Convenience

The Bank continued to leverage on its partnership with Pay&Go, which increased its kiosks points to 850+ islandwide, to facilitate a wider reach for customers to make deposits in addition to expanding its own CDM network by introducing CDMs at existing branches. 2020 also saw the Bank introduce its Agency Banking platform, through which customers can make deposits at third party agent locations.

With a growing acceptance of the Bank’s internet banking platform, the Bank provided additional conveniences for customers to use the internet banking platform to carry out other transactions using the portal’s ‘Message to Bank’ function. As a result of this introduction customers can make utility bill payments, credit their Western Union remittance, open additional accounts, manage debit card features including change in PIN and card limits, request for Bank statements and Balance confirmations, as well as register for SMS alerts and e-statements.

For customers who do not have internet banking, the Bank facilitated its contact centre to support customers to register for internet banking as well as other digital services by sending an e-mail, while not requiring any branch visits.

BUSINESS BANKING

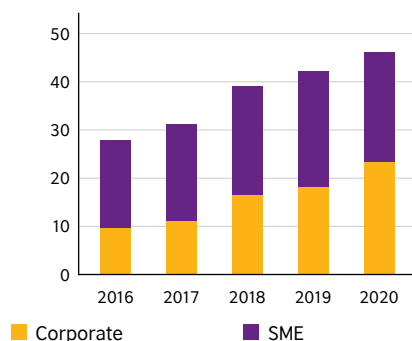
Business Banking Assets

The momentum gained in the first quarter by the Business Banking Division (BBD) was overshadowed by the unprecedented events that unfolded with the outbreak of Covid-19 pandemic, especially with the island wide lockdown in March 2020. It required a strategic shift in how financing was to be approached, where the Bank had proactively shifted to institutional placements instead of asset financing due to the sluggish private sector growth that was experienced during the second and third quarters of the year. The events of Covid-19 posed the Bank with the challenge of being prepared for change, in order to exploit the dynamic environment to its maximum potential. The Business Banking Division responded with renewed vigour and a positive mindset, which was necessary for the Bank to benefit from emerging prospects and manage change effectively. There was also resilience shown to capitalise on market potential, during this challenging period. This resulted in an improved performance during the second half, which helped BBD achieve a YoY growth of 9% for 2020 compared to 8% last year.

Supported by its reach, network, credibility and trust, the Bank positioned itself as a key player to partner with unique propositions, which assisted portfolio growth. This included syndication, refinancing and cross-selling deals, where services were bundled to provide a total banking solution to the customer ensuring the Bank's non-funds income stream remained in-tact.

The Business Banking Division continued to build on its strengths to focus on operational efficiency and support business through appropriate solutions that were focused on process effectiveness and efficiency of delivery. The BBD continued to master the way it does business through effective systems and processes and adopting a solution oriented approach.

Business Banking Portfolio (LKR Bn)



The Business Banking's share in the Asset Portfolio of the Bank has continuously made BBD a key contributor to the top line of the Bank, with income from this business segment constituting 51% of the total income.

Asset Quality

Despite the difficult period, BBD actively engaged with its customers in a timely manner to provide relief and assistance to manage the impact of the lockdown and closures that most of the Bank's customers faced due to Covid-19. As a Bank which has a unique value proposition, every effort is made to ensure credit appraisal is done in the context of an approved business strategy and target market plan, including a clear risk acceptance

criteria. Each customer has different characteristics, and a significant amount of financial and credit analysis, due diligence and seasoned credit judgment is required to approve the exposure. Such procedures have ensured that asset quality is maintained at a higher level helping the Bank contain the NPA ratio below the industry average.

Key Sectors

While remaining open to all sectors in the market, the Bank placed emphasis on specific 'Focus Sectors' with the best strategic fit and potential, in order to concentrate its efforts on building sector specific capacity and understanding. Having established the strategic fit of the Focus Sectors, the Bank achieved a higher rate of success in conversion while ensuring effective risk management. The key focus sectors were identified after considering the country's economic outlook and policy changes which included the Government's renewed focus on import substitution and curtailment of non-essential imports.

Corporate Banking

In line with the Strategic Plan, the Bank continued its selective approach towards corporate customers based on a rewarding relationship and highest level of service. The Bank focused on customers established in Free Trade Zones, Industrial Parks and other BOI approved entities with the objective of participating in infrastructure projects. This was in light of the Government's focus on many new infrastructure projects requiring a lot more engagement by local financial institutions to support and pave the

Management Discussion and Analysis

way for sustainable development in line with United Nations Sustainable Development Goals (UNSDGs) which the Bank continues to pursue. Many of these infrastructure projects required syndication where the Bank pursued strategic alliances with overseas and local banks as lead arrangers or as a participating bank.

SME Banking

The Government continues to recognise SMEs as the backbone of the economy, as it accounts for more than 75% of the total number of enterprises, provides 45% of the employment and contributes to 52% of the GDP. In line with this and the strategic focus of the Bank, we continued to give importance to this sector, despite having to face inherent challenges from SMEs including the impact of Covid-19 pandemic. The Bank continued to focus on the SME sector due to the importance it carries to the overall economy and being regarded as the driving force of the economy.



Amāna Bank's financial assistance towards Restart Sri Lanka

Commercial Leasing Unit

The Commercial Leasing Unit is a dedicated team formed to assist the Head Office and branches on facilitating and promoting leasing facilities provided to the SME category, where the main thrust sectors include Transport, Distribution, Trade, Construction, Travel and Tourism etc. The unit is also engaged in expanding the overall SME portfolio within the Bank. Motor Lorries, Motor Coaches, Trucks, Other Heavy Vehicles, Machinery and Equipment are considered for financing under this segment.

Despite the challenges experienced in the country during the year, which had a drastic impact on businesses, the Commercial Leasing Unit was able to sustain a positive growth of above 25% whilst maintaining a healthy NPA ratio below 1%.

With the ongoing restriction on importation of vehicles, the Commercial Leasing Unit is in the process of exploring new possibilities such as financing professionals and SME business customers, within the existing portfolio, with a higher weightage for machinery and equipment.

Trade Services

The Trade Service business was impacted heavily due to restrictions in motor vehicle business and other imports. However as the country's exports began to recover, the Bank was able to record considerable growth in trade service income despite the overall challenges faced globally due to Covid-19 and the rising freight cost.

Refinancing

The Bank was able to consider facilities totalling to LKR 1.8 billion. under the CBSL's Saubhagya Renaissance programme, marking the first time the Bank has participated in such a programme. In doing so, the Bank ensured that it extends its fullest support to the initiatives taken by the regulator in these unprecedented times, whilst continuing to comply with its unique business model.

Customer Engagements

Business Banking considers customer engagement to be a pivotal aspect with regard to understanding the customer's business model, expounding the Bank's business model, structuring suitable solutions and ensuring compliance to the Bank's internal processes in order to establish a successful collaborative business relationship. Engaging customers is of utmost importance for a long term relationship and BBD took every effort to closely engage with its customers especially during the height of the pandemic as they required assistance in many ways.

Product Offerings

The Bank is equipped to provide business customers with non-interest based financial solutions through its comprehensive suite of products & services to meet their various financial needs such as Capex Financing, Working Capital Financing, Project Financing, Import & Export Financing, Trade Services, Leasing etc.

Business Support

The Business Support Unit of BBD continues to perform an important role in ensuring efficient turnaround time whilst complying with the Bank's business model and following set guidelines, thereby, assuring better service levels and portfolio quality. Furthermore, the functioning of this unit allows front-liners of Business Banking with more customer facing time, which in turn increases customer engagement and more effective and efficient service to the customers.

Future Outlook

- **Customer Engagement**
Customer engagement will be a key area that BBD would continue to focus in 2021, ensuring customers' needs are correctly identified and suitable financial solutions are offered in a timely manner.
- **Automated Credit Approval Process**
The Bank expects to automate its credit approval process in the near future, which would help to streamline and improve turnaround time of facility approvals immensely. This switch is also envisaged to result in less paper use, thereby reducing our carbon footprint.
- **Specific Focus on SMEs**
In line with the Bank's strategic focus, Business Banking would continue to enhance focus towards the SME segment during the ensuing years.

- **Focus Sectors**
Understanding the nation's commitment to UNSDGs, BBD will continue to focus on these goals, further strengthening the Bank's commitment towards such initiatives.
- **Increased Focus on Branch Network and Banking Footprint**
Having made some operational changes to the reporting lines between branches and head office towards the latter part of 2020, BBD envisages to leverage such changes to good effect by acquiring new customers and strengthening existing customer relationships in the branch network. This will be complemented by the Bank's digital strategy for 2021 expanding the digital footprint providing customers with much needed convenience.
- **Catalyst in Movement of Small Entrepreneurs to the Mid-Market segment**
The real success of a bank would revolve around the success and growth of its customers. As the economy recovers from the setbacks of 2020, the Bank will strive at providing constructive and timely assistance as a catalyst for movement of SMEs to the Mid-Market segment.

- **Increase Fee Based Income**
In line with the Bank's 5 year Strategic Plan, Business Banking would pursue more on increasing the share of fee based income, thereby further diversifying from funded income lines and also serving broader financial needs of customers. In this regard, BBD intends to increase dedicated Trade Services desks at key branches.

TREASURY AND FINANCIAL INSTITUTIONS

Treasury provides the Bank's customers with an array of non-interest based products including Wakala Deposits, Foreign Exchange and Hedging solutions whilst working closely with the Business Banking and Retail Banking divisions to offer its services to all customers.

In terms of day-to-day liquidity management, the Treasury ensured that all businesses have sufficient liquidity to meet their growth objectives, whilst managing payments, receipts and financial risk.

Treasury actively engaged with the Bank's ALCO ensuring that funding/liquidity is maintained at minimal costs providing the Bank with opportunities to finance the growth of high yielding assets.

Treasury effectively managed the Liquidity and Foreign Exchange challenges that arose in 2020 due to the Covid-19 outbreak and the subsequent debt moratoria.

Management Discussion and Analysis

As at 31 December 2020, Treasury assets comprised 22% of the Bank's total assets. Despite market volatility, Amāna Bank's Treasury continued to display strong results with a total revenue of LKR 1.6 billion, through a combination of both fund based as well as non-fund based income streams.

Treasury will continue to build on its strength to support and guide customers on exposure management in an increasingly challenging economic environment, locally and globally, whilst continuing to enhance its product portfolio and invest the Bank's proprietary funds to increase the yield on Treasury assets under its management in 2021.

The Financial Institutions (FI) Unit operates in cohesion with Trade Services, Treasury, Remittance and other Business & Support units of the Bank. The FI unit plays a vital role in establishing and maintaining correspondent banking relationships whilst also serving as the central point of contact for all Financial Institutions around the globe, thereby broadening the Bank's presence and enhancing its visibility globally.

During the year, the Bank continued to add new financial institution partners, connections and new geographical locations. The FI Unit established 5 RMAs and opened 1 Vostro account. New lines for handling local and international payments, placements, LCs and LGs continued to be set up and enhanced. These relationships further diversify the Bank's global reach in addition to strengthening its relationship with existing financial institutions by

maintaining 62 correspondent banking relationships. The FI Unit aims at instituting new relationships with foreign counterparties in an effort to further enhance and develop the Bank's Trade related business, Remittances and Treasury solutions.

STRATEGY MANAGEMENT AND PRODUCT INNOVATIONS DEPARTMENT

The Bank made excellent progress in executing its Strategic Plan embarked five years ago and the year 2020 marked the final year of the 2015-2020 Strategic Plan of the Bank. The 2020 review of the Strategic Plan was centred on the theme "Engagement, Optimisation and Recovery" and set out several key focus areas. The review process started with a kick-off meeting in September 2019 with deliberations on strategic directions and initiatives at branch/department levels and subsequently at the Management Committee level.

The focus on execution of strategies continued throughout 2020 with systematic tracking of performance in all key areas. The Board of Directors were updated on the progress of strategic goals and key strategic focus areas on a quarterly basis. The Management Committee discussed the progress of the Bank at Monthly Performance Review meetings. Based on the review of the progress of the Bank, appropriate measures were undertaken by the respective units to be aligned with the Strategic Plan.

During the year, the Strategic Plan for the years 2021-2025 was formulated focusing on transforming our business to be future ready in a digital era.

The Product Innovations function of the Bank, in collaboration with relevant business units, focused on providing viable alternatives to financial solutions for customer requirements. The Bank's focus this year on developing alternative offers to the under-banked and unbanked segments received all necessary internal and regulatory approvals.

BRANCH OPERATIONS

The impact of the Covid-19 pandemic was so severe that the economy recorded successive negative growth for 2 quarters. In this backdrop the Bank continued to provide maximum assistance to all its stakeholders affected by the pandemic. In fact, the Bank's business model encompasses a value system where it provides equitable financial solutions and also focuses on earning the trust of our customers through timely assistance during genuine difficulties such as the situation faced in the year under review. Whilst doing so, we also explore ways to expand our market share in the banking industry in line with our Strategic Plan.

Increase in Business Income / Cost Savings

The following measures were implemented with the coordination of relevant business units, aimed at either increasing income or curtailing costs during this challenging period of time.

- The revision of Trade and Branch Operation Tariffs in coordination with the relevant business units to be on par with industry standards, which resulted in increased fee and commission income.

- Preliminary tests have been successful of the post-dated cheque management system which is expected to be implemented in Q1 2021.
- In collaboration with the Legal Division, the 'Floating Mortgage Bond' management system was introduced, which improved the turnaround time (TAT), leading to greater efficiency.
- Acknowledging market conditions that prevailed, branch staff were constantly updated with regulatory changes and relief offered especially by CBSL which led to effective solutions being provided to customers. Early customer engagement and proper communication from the Head Office teams ensured a smooth flow of operations in the branches.
- Successful redeployment of staff resources were carried out in a move to optimise staff costs, as those responsibilities of staff who resigned were shared amongst existing staff within the respective teams as far as possible. Outsourced operations of all units were reassessed in the post Covid-19 period to ensure optimal utilisation of these resources.
- A reduction in using normal mail and switching to the use of electronic platforms led to substantial savings in printing costs.
- The support functions of the Account Processing Unit was shifted to Kottawa, bringing the entire unit under a single supervision thus improving efficiency.

Branch and Automated Channel Expansion

We continued to focus on expanding delivery channels to increase our market share whilst maintaining the unique concept of non-interest based banking. We ensured improved service across every channel to support our customers, thus giving the Bank a competitive edge in a challenging business landscape to achieve our objectives.

As our commitment towards customers continues to grow, we have undertaken many initiatives, there by strengthening the customer experience through upgraded services. While our branch network has increased to 32, there were several developments on the digital platforms, with improvements to Internet Banking, Mobile Banking, Banking at Your Door (BAYD) and access to Cash Deposit Machines (CDMs) and ATMs.

In this challenging environment and service driven industry, the Bank cautiously explored new business opportunities to upgrade and invest in new digital platforms and technology for branch automation where necessary while keeping the convenience of customers in mind.

- Despite many challenges, the Bank expanded its services in the Central Province by opening its 32nd branch in Matale in July 2020.
- CDMs were installed at the following branches;
 - Kalmunai
 - Galle
 - Gampola
 - Mawanella
 - Kurunegala

- ATMs were installed in the following Self Banking Centres (SBC);
 - Maligawatte
 - Malawana
 - Muthur
 - Mattakuliya
 - Kalubowila
- Deployment of Automated Cheque Deposit Machines at key strategic locations is under evaluation, and will be implemented in 2021.
- eCash Deposit Tabs - pilot run at the Dehiwela Branch was completed successfully and is to be implemented at key locations shortly.
- Due to the disruption in normal banking hours, the 365 Day banking at the Main Branch was temporarily suspended. With consideration given to business needs, this service will recommence and be extended to other branches in the future.



Frontage of Matale Branch



Opening of Matale Branch

Management Discussion and Analysis

Value Added Services

- Consolidation of several application forms for value added services into the account opening mandate which will simplify processes and reduce the TAT, will be rolled out in Q1 2021.
- A process is now in place to facilitate immediate credit on Cheques received with regard to Pensions.
- Instant issuance of Automated Balance Confirmation to customers



eCash Deposit Tabs



Self Banking Zone at Dehiwala Branch

- SMS alerts sent to customers on facility recovery and new account opening
- Process facilitated to open term investment accounts via Internet Banking.
- The Cheque Clearing process was successfully upgraded.
- Installation of SWIFT Global Payment Innovation (GPI) successfully completed to enhance customer service
- Outward Return Process system modification was completed successfully bringing in considerable cost savings to the Bank.
- Introduction of Enhanced Due Diligence form to evaluate high risk customers and PEP process document to reinforce the existing guidelines.

Customer Complaints

The Bank continued to be customer focused in maintaining excellent levels of service, providing diversity in its services and responding to customer complaints within the stipulated period.

Currently, the "Service Quality Assurance" (SQA) procedure is being documented and will be introduced in 2021, along with the monitoring of customer complaints through the Amāna Customer Engagement (ACE) system which will capture complaints.

Card Centre

During 2020, the Bank's Debit Card services were optimised to improve customer convenience & reach, by shifting towards digital platforms. The issuance of Near Field Communication (NFC) enabled cards, which are connected with payment

networks such as VISA International and Lanka Pay Common ATM Switch (CAS) has expanded the Bank's reach. Mass Market Cards and product segment driven Prestige, Ladies & Vantage Debit Cards are the variants of cards currently offered to customers. From accepting customer instructions via a dedicated platform to enabling SMS and E-mail alerts for customers, the range of services offered keeps expanding as we look to progress further on the digital front.

Centralising data capturing with simplified applications & the relocation of Card Centre Unit to Head Office has significantly helped in reducing the overall lead time. The launch of pre-processed account packs equipped with pre-embossed debit cards also contributed immensely towards minimising the lead time of the overall account opening process amidst the pandemic situation.

Demonstrating our commitment towards the prevention of card fraud, we have implemented a Card Fraud monitoring system to safeguard customers from possible financial theft. Regular inspections are carried out on our ATMs and Self-Banking Centres to assess for PIN/card data skimming devices. Further, we have continuously kept the entire value chain updated on protecting personal information and accounts against fraud and misuse.

As part of our on-going efforts to upgrade the ATM network the Card Centre plans to introduce the following new measures that would enhance the overall customer experience and strengthen security in 2021:

- to optimise resources and eliminate non-value adding activities by outsourcing the function of maintaining and monitoring the ATM Network with a comprehensive SLA.
- to provide customers with more vibrant product features including instant, pre-loaded and co-branded cards.
- to upgrade the ATM network, which should further enhance security against fraud and ensure compliance with International standards.

CENTRAL PROCESSING AND TRADE SERVICES

The Central Processing Unit (CPU) and the Trade Services Division continued to support the business units and branches of the Bank with a high degree of efficiency and effectiveness, and hence, improved the quality of service delivered to customers. Despite subdued business operations in 2020, approximately 1.7 million transactions were processed as a result of the effective management of CPU and Trade Services divisions.

During the year, along with the existing processes carried out by Cash & Remittance under CPU, six additional processes were assigned. The entire cash operations of the Bank were outsourced in the first quarter of 2020 to a well-reputed company. This saved a considerable amount of cost associated with cash holding. The Central Cash Department brought about additional savings as it arranged to provide local banks with excess physical cash. Further reduction in costs was made through the arrangement of exchanging serviceable notes for unserviceable notes. A move to expedite

disbursements of pensioners' payments was launched in April 2020 through an in-house developed initiative which came in handy especially during the peak of the pandemic. Business rules on universal confirmations for MT-103 FIN have been made mandatory for all participating banks. Hence, we became the first local bank in Sri Lanka to implement the SWIFT universal confirmation (SR2020) and Global Payment Innovation (GPI) confirmation tracking system in December 2020. This provided additional features to the SWIFT system to track the status of payments and related information of all inward and outward remittances.

The Account Processing Support functions based in the corporate office were shifted to the Disaster Recovery site at Kottawa, where the Account Processing Unit had already been relocated in 2019. The outsourcing of data entry continued with a minimum number of permanent staff, whilst system authorisation of the data entered continues to be retained by the Bank's permanent staff to exercise better control and mitigate risks in operations.

The Cheque Clearing Department has taken initiatives to upgrade the web-based Core Banking System interface with the Maryland image clearing system for easy access of retrieving required system reports, instead of printing hard copies. This has enabled branches to view the images and mark the fund based cheque returns at their end and also upload the fund based and technical returns from the Maryland system to the core banking system automatically without any

manual intervention. Further, a post-dated cheque management module has been enabled in branches for clearing operations and the required training has been provided for improved efficiency.

The Treasury Processing Unit (TPU) & SWIFT Department, as part of CPU, took necessary steps to move the SWIFT system from SWIFT Alliance to SWIFT LITE-2 in February 2020. Under this project, TPU & SWIFT took up the task of completing the UAT process and report verification, which was completed successfully for the entire project. As a result, the Bank is now directly connected to SWIFT, without any intermediary, enabling users to access the system even from remote locations using the designated digital safety tokens assigned to them. Accordingly, the Bank decided to move to paperless message distribution system with an established procedure that would also enable savings on printing messages. The LITE-2 system implementation facilitated most of the operational units to complete their day to day functions more effectively and efficiently, especially during the pandemic, when staff were required to work from home.

Management Discussion and Analysis

At the Trade Services Department, the staff requirement was contained despite the increase in transaction volumes and the continuous services provided to trade customers, even during the pandemic. In addition, the introduction of the Document Management System for all products resulted in cost savings for storage, retrieving of documents for multiple requirements and also the cost of paper and printing. Further, the trade tariffs were revised in line with the market, to generate an optimal fee income for the Bank.

There were frequent directions, rules and regulations issued by CBSL, especially during the Covid-19 pandemic, in accordance with existing Foreign Exchange Act No: 12 of 2017, which were fully complied by the Bank whilst processing transactions. In addition, high standards of discipline, good governance and best practices in the banking industry were adhered to by the back office processing functions, while also continuing to support and guide the front line of the Bank. Staying focused on the strategic goal of the Bank for 2020, we witnessed growth in the customer base and an increase in fee based income, while avoiding any income leakages.

OFF SHORE BANKING

Amāna Bank PLC has become one of the fast growing off-shore banking service providers for overseas investors and local companies registered under the BOI Act. We provide total banking solutions to carry out transactions in designated foreign currencies for the following entities upon completion of proper due diligence and required KYC processes of the Bank.

- Locally incorporated companies approved under Section 17 (2) of BOI Act
- Exchange houses
- Offshore companies
- Non-resident individuals

Subject to the laws and regulations in place, this unit facilitates the full spectrum of financial services including:

- Foreign currency deposit accounts
- Foreign currency financing solutions
- Trade related transactions

INFORMATION TECHNOLOGY

Whilst our growth momentum was curtailed due to the pandemic, we forged ahead with our digital strategy, creating infrastructure that will help future growth. The Bank looked at digitalisation as the transformation change agent that would redefine the relationship with our customers.

Amāna Bank expanded its network to over 850 locations island wide and became the first Bank in Sri Lanka to facilitate account deposits through Pay&Go. Having the largest deposit touch points, this strengthened the Bank's deposit mobilisation and 24x7 service to customers across the Island. Lanka QR and JustPay ensured that the Bank is connected with the National Payment Gateway, in line with CBSL's Digital Road Map. This has enabled customers to utilise their funds in Amāna Bank accounts for payments using any third party payment application just by scanning a QR code. This was just the right time for contactless payments at merchant points as the rapid spread of Covid-19 demanded such initiatives for customers.

QR eBrochures were introduced to provide customer convenience of scanning a QR code to obtain the product offerings of the Bank. This allows customers to enjoy a futuristic experience where they can simply scan a QR code and access vibrant digital flyers on their smart devices. This move will also reduce the Bank's reliance on paper whilst enhancing customer convenience and access to information. Voucherless deposit was another green initiative, which compliments the digital journey of the Bank allowing customers to fill deposit details digitally and handover the cash to the counter for deposits while only using the Tablet reserved for this purpose.

During the year, the Bank continued the journey of strengthening its digital infrastructure. A key area of focus was laying the foundation for Omni channel, which is a platform that would provide convenience for our customers, revolutionising the Bank's digital journey.



E Brochures

Some key highlights of IT Division's proactive measures during the pandemic were:

- Setting up of the mobile ATM for cash withdrawals, that ensured our digital channels were available when customers needed it the most.
- Facilitating the required solution to work from home for key staff securely.
- Enabling the platform to host the Bank's Annual General Meeting on a virtual platform.

The Call Centre, Clearing and SWIFT operations were geared with necessary equipment and solutions to work remotely even before the lockdown was announced.

Optimisation and upgrade of the backend infrastructure such as Oracle was done successfully to ensure that the capacity and security of digital channels were managed. Security was crucial amidst all phases last year. Staff working from home were facilitated with secure

channels via the Virtual Private Network. As a Bank, we invested in upgrading the firewalls and successfully concluded the data classification project. Timely awareness for staff and customers on the use of digital channels securely was done frequently. Upholding the security culture within the Bank was further endorsed after the attainment of the ISO/IEC 27001:2013 re-certification; a standard that ensures effectiveness of the Information Security Management Systems.

Amidst the setback in 2020, the Bank remained confident and favourable on making use of an under-utilised resource, which was the data available within our reach. Hence, using in-house talent, the Bank formed a cross-functional team called the Business Intelligence Unit to disseminate timely management information in a bid to drive business decisions. Today in an era of data and information, Business Intelligence will enable the Bank to be resilient and be ahead of the rest with well informed and effective decision making.

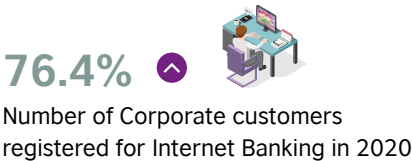
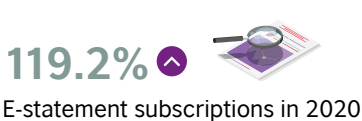
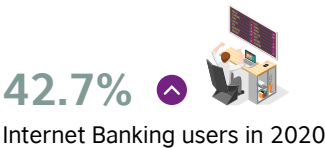


Virtual Annual General Meeting held in 2020

Drive to 2021 with the New Normal

The Bank has prioritised the customer experience to deliver convenient and user-friendly digital banking services. Our digital strategy will enable the Bank to increase digital penetration in 2021. The Banks' strategy of digital first will enable customers to do all banking needs starting from on boarding. The Bank has invested in Business Intelligent platforms to bring about better customer service.

Notable Achievements



Management Discussion and Analysis

MARKETING AND CORPORATE COMMUNICATIONS

The Bank continued its marketing and corporate communication activities along the lines of the Bank's strategic focus with a commitment to generate an above average Return on Marketing Investment.

As part of its image strategy, the Bank emphasised on ensuring consistency and uniformity in all communication activities, thereby being both relevant and appealing to all Sri Lankans.

Embracing a very selective media strategy, the Bank continued to reap success in its marketing communications by leveraging on digital media as a key form of communication.

Having established a culture of measuring effectiveness of its marketing investments, the Bank has been successful in instilling a learning culture on key success factors and areas for improvement. In addition to strengthening the core brand through various corporate campaigns, the Bank carried out promotional and awareness campaigns giving prominence to the variety of products and services offered with high visibility in selected media.

Under the theme 'Let us stand together under one flag towards enabling growth and enriching lives', the Bank carried out a corporate campaign in line with the country's 72nd Independence Day celebrations. In addition to launching a campaign video, the Bank recognised prominent personalities who have brought honour and glory to the country, as well as key officials and

customers, by gifting them Sri Lanka table top flags with a vision to instil pride and honour towards our motherland.



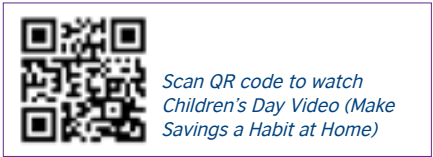
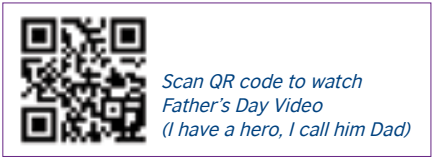
Scan QR code to watch Independence Day Video



Key personalities recognised at an event held in Amāna Bank - Janaki Kuruppu (Founder Mother Sri Lanka Trust), Rohantha Athukorala (Former Chairman Sri Lanka Tourism and Export Development Board), Nilar N Cassim (well-known Sinhala lyrics writer), Soundarie David (Founder of global award winning choral ensemble Soul Sounds), Upul Janaka (Director Asian Media Cultural Association), Roshan Watawala (Director MTV/MBC Networks), Fathoum Issadeen (Bronze Medalist at South Asian Games)

With digital media changing the landscape of marketing especially during the pandemic, the Bank leveraged on its social media presence. Customers were kept up to date on all banking operations including banking hours, Bank on Wheel routes, Covid-19 relief measures as well as other bank from home solutions through its Facebook, Instagram and Twitter platforms. Having launched a revamped website the previous year, during 2020 the Bank also availed its website in Sinhala and Tamil, catering to a wider target audience. The Bank also made available e-brochures, where customers visiting branches can download brochures by simply scanning the QR codes.

The Bank also carried out novel engagement programmes on Social Media, including a campaigns for Women’s Day, Father’s Day, Mother’s Day, Children’s Day, Teacher’s Day, Elder’s Day and Environment Day among many others.



Participants for Children's Day Campaign

The Bank also sponsored three cyclist to take part in ‘Race the Pearl’ – Sri Lanka’s one and only ultra-endurance cycling challenge which took place on 2 October 2020. Held for the 3rd time, ‘Race the Pearl’ was a 600km spanning cycling race connecting the furthestmost points of Sri Lanka, Point Pedro to Point Dondra.

Amāna Bank continued to be ranked amongst Sri Lanka’s Top 100 Brands for 2020 as per the Most Valuable Brands Index published by Brand Finance along with LMD. With Brand Value of LKR 602 million, the Bank upped its ranking from 85th to 79th position while also maintaining a Brand Rating of ‘A’. The Marketing function was recognised by winning the Gold Award for Marketing Campaign of the Year at the SLIBFI Awards for its Savings Plan campaign under the theme ‘Loan එකක් වෙනුවට Plan එකක්’.

Knowledge Marketing

The Bank continued to invest in its Knowledge Marketing activities, through which the Bank is creating awareness on its people friendly banking model. Having received wide recognition and acceptance for its animated video series on the non-interest based banking model, the dedicated Knowledge Marketing Unit, continued to produce similar videos on key topics and products. The Bank also extended the video series in Tamil and Sinhala for the benefit of its multi-ethnic customer base. The Knowledge Marketing

Unit also carried out multiple customer awareness programmes across the country. Key learning material was also developed and uploaded on the Bank’s e-learning platform.



Customer Awareness Session held in the East



Amāna Bank Website in Sinhala

Management Discussion and Analysis

AWARDS AND ACCOLADES

Best Islamic Financial Institution in Sri Lanka - Global Finance World's Best Islamic Financial Institutions Awards 2020

For the seventh consecutive year, Global Finance Magazine adjudicated Amāna Bank as the Best Islamic Financial Institution in Sri Lanka at the World's Best Islamic Financial Institutions Awards 2020 held in USA. All Global Finance award winners are picked through a rigorous process of extensive consultations with bankers, corporate finance executives and analysts throughout the world.

Best Employer Brand Award at Sri Lanka Best Employer Brand Awards 2020

Amāna Bank was recognised with the Best Employer Brand Award at the Sri Lankan edition of the Best Employer Brand Awards 2020 organised by World HRD Congress. Amāna Bank was recognised amongst many other leading corporates and conglomerates in winning this award.

Gold Award for Entity of the Year at SLIBFI Awards 2020

The Bank was bestowed the Gold Award for 'Entity of the Year' at the SLIBFI Awards 2020 which was adjudicated by the KPMG, cementing its leadership status in the non-interest based banking and finance industry in Sri Lanka.

Gold Award for Social Upliftment Project of the Year at SLIBFI Awards 2020

Amāna Bank's flagship CSR venture, OrphanCare was recognised with the Gold Award for 'Social Upliftment Project of the Year' at the SLIBFI Awards 2020 adjudicated by KPMG.



Gold Award for Marketing Campaign of the Year at SLIBFI Awards 2020

The Bank was awarded the Gold Award for 'Marketing Campaign of the Year' at the SLIBFI Awards 2020. The Award was given in recognition of the Bank's marketing campaign 'Loan එකක් වෙනුවට Plan එකක්' which was executed for its Savings Plan.

Merit Award for Product of the Year at SLIBFI Awards 2020

The Bank was awarded the Merit Award for 'Product of the Year' at the SLIBFI Awards 2020. The Award was bestowed in recognition for Amāna Bank Business Plus, a product dedicated towards SME customers.

Gold Award for CSR Project of the Year at IFFSA Awards 2020

Amāna Bank's flagship CSR venture, OrphanCare was recognised with the Gold Award for 'CSR Project of the Year' at the IFFSA Awards 2020, which recognises the performance and projects of non-interest based banking and finance institutions in the South Asian region.

Silver award for Entity of the Year at IFFSA Awards 2020

The Bank was awarded the Silver Award for 'Entity of the Year' at the IFFSA Awards 2020.

Silver award for Bank of the Year at IFFSA Awards 2020

The Bank was awarded the Silver Award for 'Bank of the Year' at the IFFSA Awards 2020.

LMD Top 100

The LMD 100, has been ranking the Top Sri Lankan listed corporates for the last 25 years. Ranked at 85th position, Amāna Bank gained 6 positions in the ranking table for 2020.

Brand Finance - LMD Top 100 Most Valuable Brands

Amāna Bank continued to be ranked amongst LMD's top 100 Brands for 2020. Ranked at 79th position, the Bank managed to secure an 'A' Brand Rating. The ranking index was published in a special issue by Brands Annual magazine, which is presented by Brand Finance along with Media Services, the publishers of the renowned LMD Magazine.

LMD's Most Awarded

Amāna Bank has been ranked overall 11th in LMD's inaugural Most Awarded Companies in Sri Lanka Ranking Index for 2019/20. The special edition features the most awarded companies in Sri Lanka from among the leading business houses.

Despite challenging times, we
did not forget our commitment
to the OrphanCare initiative
which continued to engage and
make strong progress...
RESILIENCE, OUR WAY



Human Resources Management Review

ENGAGED EMPLOYEES

Employees are a key asset of Amāna Bank. Since inception of the Bank, our employees have been the drivers of the organisation. Amāna Bank’s strategy revolves around three main factors. That is, we care for our customers, we care for our unique banking model and we care for our people. The Bank’s vision also emphasises the importance of earning the trust of its employees, for which, the Bank believes in having an engaged workforce.

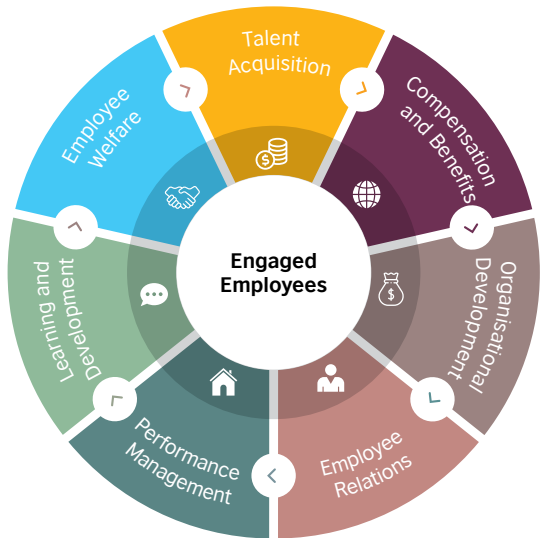
Even though we are a fairly small sized Bank with 850+ employees, we believe that our employees are the biggest asset who drive business growth. The Bank’s strategy of having an engaged workforce is overseen by the Bank’s dedicated Human Resource (HR) function.

Human Resource Formation

The HR Division actively engaged itself in activities that would be crucial in aligning the People Strategy with the Bank’s overall business and organisational goals. In measuring out strategies to make all activities productive, closer attention was given to improve HR processes and enhance the overall knowledge and capabilities of team members.

Integral to all HR activities was the on-going consultative and systematic support to the business through the provision of quality training and implementing programmes designed to enhance the leadership capabilities, knowledge and service delivery of all staff, thereby providing them a platform to build their overall career progression.

Key Attributes towards an Engaged Workforce



TALENT ACQUISITION

It is of paramount importance for the Bank to have the right people to implement its business strategy.

Talent Acquisition is the process of attracting and recruiting the best talent available to ensure that the right people, with the right skills, who are in the right job are working towards the right requirements.

Elements of an Effective Talent Acquisition Strategy

1. Conduct workforce planning
2. Building an employer brand
3. Source and recruit job candidates
4. Leverage recruiting technology
5. Effective on-boarding programme

Workforce Planning is the process the Bank uses to analyse its workforce and determine the steps it must take to prepare for future staffing needs. Every strategic staffing decision is consistent and linked with the Bank’s mission and goals. Workforce planning is integrated with the strategic business planning and budgetary processes.

The Bank always strives to build a compelling employer brand. Job candidates today research employers carefully and expect to be engaged by them in a relevant and transparent manner. The Bank uses mass media, social websites and the careers page for employer branding which essentially conveys the unique culture, benefits and growth opportunities that are competitive in the industry.

Internal sourcing is given high priority for selection. Having in place a comprehensive succession plan facilitates internal sourcing by identifying and preparing suitable employees to fill key positions when current employees leave. The Succession Planning process includes a review of key leadership and business-critical roles and identifies incumbents to move into these roles. The Bank resorts to external recruitment in the absence of a suitable internal candidate.

Leveraging recruiting technology is becoming an increasingly popular tool in the Bank for talent mining through large amounts of human capital data on the Internet, social media and networking platforms.

On-boarding is a systematic and comprehensive programme to integrate a new employee within the Bank and its culture. It gives the new employee the tools and information to become a productive member of the team.

COMPENSATION AND BENEFITS

The compensation and benefits team within HR ensures employees are paid fairly and equitably in accordance within a transparent compensation framework.

The payroll process defines clear principles by which staff members are paid while ensuring compliance with statutes and Labour edicts related to the industry. Base pay for a specific job grade is determined in par with industry rates and on the relative internal worth. Compensation & Benefits is an element that the Bank gives careful consideration to, in order to maintain a competitive advantage in the market.

EMPLOYEE RELATIONS

The importance of Employee Relations (ER) is to ensure that the best HR Industry practices are followed in the Bank. It plays a pivotal role towards building and managing healthy employment relationships.

Our focus is derived from the need to gain and retain employees. It is critical that employees understand each other's needs and expectations and to work as a team to achieve the Bank's overall goals and objectives.

The ER officer plays a crucial role to discourage conflicts, encourage team work and to build a healthy rapport among employees. In addition the ER team ensures that employees are equipped with the right working environment and enjoys his or her work without considering it as a burden. We introduced the 'HR Grievance Portal' to share one's grievances, opinions

and feedback. This portal will keep HR connected with the employee at any given time.

ORGANISATIONAL DEVELOPMENT

Organisational Development has been a key area of interest, focusing on changes to systems within the Bank. The focus on Organisational Development will enable to build and sustain the strategic expectations of the Bank towards optimisation of resources across all levels. Transparency and clarity on career growth and employee development was recognised, with HR playing a supportive role.

The Organisational Structures of every division/department of the Bank was re-aligned during 2020 to have uniformity, consistency and transparency in the structures across all divisions/departments of the Bank. This exercise enabled resource optimisation across all levels of the Bank whilst improving staff engagement and development of human resources. Many changes in terms of staff re-deployment and job upgrades were implemented during 2020 to address the re-alignment gaps.

With the objective of further enhancing the Bank's Performance Driven Culture and to best facilitate Professional and Personal Development, the revised Staff Promotion Procedure was implemented during 2020. The restrictive practice of promotions being considered only during year-end and the process of automatic promotions were discontinued.

Human Resources Management Review

As per the revised procedure, promotions can take place at any time of the year, based on the need of the Bank and availability of vacancies. Any promotion would result in added responsibilities and higher level of accountability while giving all eligible and potential candidates the opportunity to apply for Promotions whilst maintaining transparency and providing an equal opportunity. A range of techniques were used to select the Best Candidate with the right aptitude and personality. Two sub committees were formed to ensure this exercise meets its strategic goals – Interview Panel (IP) and JD Evaluation Panel (JEP). While the IP focuses on selecting the best candidate for a promotion, the JEP focuses on ensuring the optimum Job Grade is assigned to the Job Role.

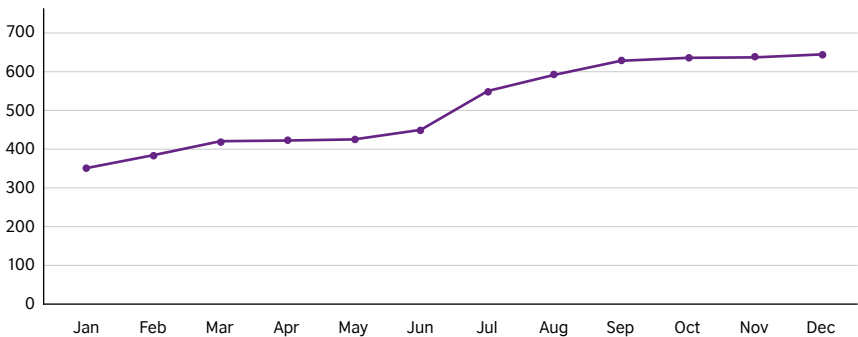
Staff grade promotions were limited to 16 during 2020 due to the post Covid-19 pandemic situation and also to be in line with the restructuring initiatives. There were 100 internal transfers during the year under review, out of which 11 were new assignments.

LEARNING AND DEVELOPMENT

As compared to previous years, the year 2020 was very different for Learning & Development (L&D). Due to the pandemic, changes in strategies were required to ensure our employees remained skilled and fit to perform their respective job roles. A drive to maximise the usage of Amāna Digital Learning platform & introducing virtual training sessions were two key initiatives adopted by the L&D team.

Mode	Number
Class room Sessions	76
Virtual Sessions	22
E-learning - New Courses Added	15

Number of E-Learning Users - 2020



Our approach to learning and development is based on the analysis of training needs, talent pipeline development and succession planning with critical components being:

- to adopt individual career development plans for the talent pipeline
- to conduct specific training programmes based on the need analysis and arrange focused group meetings
- to create awareness of mandatory regulatory requirements
- to carry out leadership, executive and managerial development programmes, including soft skills development
- to focus on retail banking training, especially at junior level and conduct outbound training sessions covering staff of business and support service units of the Bank.

In terms of training content, a key area of focus during the year was to encourage the use of Amāna Digital Learning Space, which is an e-learning platform containing learning activities laid out to achieve the learning plan. With restrictions in place due to the Covid-19 pandemic, our investment in a digital learning platform proved its worth as it gave us the benefit of carrying out most of our training through this platform, where all employees were given secure access to complete activities at their own pace.

In addition, the HR Department also focused on Professional & Leadership development, which is a process of enhancing skills and knowledge, including job mastery and professional development coupled with career planning activities such as:

- Professional Development and Executive Development Programme
- Leadership Development training
- Focusing on providing training through the e-learning platform

Virtual Training

With the Covid-19 restrictions and most parts of the country going into lockdown situations, the staff went through a completely different experience of working from home. It was really



Participants at a training programme



Training programme in action



Leadership training programme

important that our employees remained mentally and physically fit during this unprecedented time. The L&D team initiated Virtual Learning by conducting 22 virtual sessions covering topics like soft skills, technical skills and life skills which were hosted by internal and external professionals. A large number of our employees benefited from these sessions which enabled them to stay engaged and maximised their learning.

Developing Leaders

As a step towards engaging and optimising human capital, developing the next level of leadership and paving the way to achieve the aspirations of performing staff, the Bank established 'MidCom', a cross functional middle management leadership structure. The MidCom serves as a committee facilitating and expediting the decision

making process and make strategic recommendations to the Bank's Management Committee (ManCom). While paving the way for Middle Management Leadership, this initiative entrusts the operational matters of the Bank in the safe hands of MidCom, allowing the ManCom to focus more on strategic aspects of the Bank and its future. The MidCom, which meets on a monthly basis, consists of staff recommended by the ManCom, representing a cross section of business units, control units, functional units and support units. During the pandemic, there were a few virtual sessions held to discuss how the respective divisions and departments could combine to overcome the challenges posed by the outbreak of Covid-19 and continue to serve the Bank's customers uninterrupted.

Development Programmes

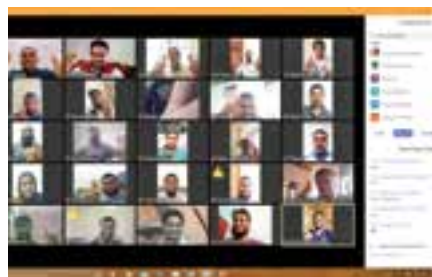
We conducted development programmes to enable our employees to upskill themselves which would help them improve their performance and have career progression within the Bank.

Leadership Development Programme

The Bank initiated a Leadership Development Programme in a bid to create the next strategic layer of leaders to accept Management positions within the Bank. This programme was created on an experiential methodology where all frameworks were based on practical scenarios. The initial batch for this programme was targeted at the middle management team, who may be called upon to assume senior leadership roles.



Participants at virtual training



Participants at virtual training

Human Resources Management Review

Individual Development Plan

Individual Development Plan (IDP) is a tool that encourages growth/development by identifying career goals and actions the employee could take to achieve those goals. Under IDP, the employee and the Line Manager agree and are committed towards the employee developing certain skills or improving overall performance within a specified time. The result is a win-win where the employee develops professionally helping the organisation raise its standards. HR plays a key role in facilitating this process with a view to develop skilled employees leading to better organisational performance. One of the key reasons why we are an employee loyal organisation is due to our approach of developing people through continuous learning.

PERFORMANCE MANAGEMENT

The Bank's performance management system seeks to ensure the delivery of desired business results by inter-relating business objectives with individual performance plans. The Bank pursued a performance-based, market-driven rewards strategy that included participation in annual compensation and benefits survey in the industry enabling the Bank to keep abreast of on-going market trends. The Bank was able to identify key talents within the Bank to groom for higher positions giving them opportunities to grow within the Bank.

DIGITALISATION OF HR FUNCTION FOR BETTER EMPLOYEE ENGAGEMENT

Further to our organisational strategy to move into digitalisation, the Human Resources function moved towards digitalising few of its operations. The Amāna Digital Learning Space is one initiative, where all employees have been given access to complete courses assigned to them from the comfort of their workstations.

Another key highlight was moving towards the cloud based Human Resource Information System (HRIS). This will add greater convenience to employees enabling them to access HR functions at their fingertips. All HR related functions can be accessed through a Mobile App or from a personal computer. Even the annual performance appraisal, from goal setting to evaluation is done via the new HRIS version. This has resulted in employees being able to monitor their performance and development areas on a regular basis.

EMPLOYEE WELFARE, HEALTH AND SAFETY

In addition to focusing on employee performance and their skill development, the Bank places great emphasis on employee welfare including health and safety.

Work from Home

Many doubted whether banking operations could adapt to the working from home concept. But considering the pandemic situation and Management concurrence, the HR team offered the option of working from home to its employees especially to those who were not involved in day-to-day customer

interactions. With the spread of the Covid-19 virus, the health and safety of our staff and their families was a priority which compelled the HR division to offer this flexibility whilst ensuring business continuity at all times.

Amāna Bank Toastmasters Club

Amāna Bank Toastmasters Club is one of the most active clubs in District 82, and same was proven when the club recently was bestowed the prestigious 'The Golden Gavel Award'. The Golden Gavel Award, the highest honour for clubs in Toastmasters, is awarded in recognition of a club's outstanding achievements in communication and leadership, having fulfilled stipulated goals set by Toastmasters International and District 82. In addition to the Golden Gavel Award, the club was also recognised with the Emerging Club Gold Award as well as the Smedely and Talk-Up Toastmasters Membership Development Awards for the year 2019/2020. Established in 2014, Amāna Bank Toastmasters Club has been at the forefront in the Toastmaster fraternity with many club and individual achievements since inception. The Club has been accredited with the President's Distinguished



TM Gihan Kehelella and TM Shabir Dole receiving the Golden Gavel Award from former District Director DTM Sarma Mahalingam

Award for three consecutive years in 2017/2018, 2018/2019 and 2019/2020. The club, which has over 30 members, meets twice each month. While the HR department absorbs the member's joining fee and other additional expenses of the Club, it also facilitates an instalment settlement plan for the members to pay their annual membership fee.

BEST EMPLOYER BRAND AWARD 2020

The people friendly culture promoted by the Human Resource division has meant that the employees of the Bank remain as one big family. By engaging employees in various L&D and career progression programmes, we were able to keep employee turnover at a very low level. Amāna Bank was awarded the 'Best Employer Brand for 2020' by World Human Resources Congress, which bore testimony to the Bank's contributions towards its employees.

EMPLOYEES ENGAGEMENT IN CSR

The Bank encourages its staff to get engaged in contributing to the Bank's CSR initiatives, to establish a culture of sharing and giving back to the society.

This important aspect was evident as the employees actively participated in the Bank's flagship CSR project 'Amāna Bank OrphanCare'. Whilst the OrphanCare programme is overseen by an independent trust and a dedicated team has been appointed to perform all day to day activities of OrphanCare, ably supported by cross functional departments including Branch Staff, Retail Banking Department, Marketing Department, Finance Department and HR Department.

Staff members across the branch network volunteer their time to visit orphanages to create awareness and enrol children to the OrphanCare programme. Staff members, from CEO to Banking Assistants have also voluntarily contributed a portion of their monthly salary through a standing order to the OrphanCare fund, which demonstrates the employees' passion towards the Bank and its activities.

HUMAN CAPITAL STATISTICS

Staff Strength – By Grade

Category	No. of Employees	%
Management Committee	11	1.3
Assistant Vice Presidents	4	0.5
Senior Managers	15	1.7
Managers	114	13.1
Executive Officers	195	22.4
Junior Executives	141	16.2
Junior Executive Assistants	160	18.4
Banking Assistants and Trainee Banking Assistants	139	16.0
Business Development Officers	83	9.6
Office Assistants	7	0.8
Total	869	100.0

Staff Strength – By Age

Category	No. of Employees	%
61 and Above	7	0.8
51 – 60	30	3.5
41 - 50	97	11.1
31 – 40	246	28.3
21 - 30	476	54.8
20 and below	13	1.5
Total	869	100.0

Human Resources Management Review

AMĀNA BANK SPORTS CLUB

Due to the social distancing restrictions, many planned activities of Amāna Bank Sports Club were called off. However during the beginning of the year Amāna Bank Sports Club achieved success in mercantile tournaments.

Mercantile Futsal Tournament 2020-Champions

Amāna Bank Futsal Team emerged overall Cup Champions at the 3rd Annual Mercantile Futsal Tournament 2020. Amāna Bank maintained an unbeaten record throughout the tournament to clinch the Championship.

Mercantile Cricket Division E Tournament - Quarter Finalists

Amāna Bank advanced to the Quarter finals of the Mercantile Cricket Division E 25 over League Tournament 2020.



Mercantile Futsal Tournament 2020-Champions



Amāna Bank Futsal Team



Mercantile Cricket Division E Tournament -Quarter Finalists

Amāna Bank Employees at 'Race the Pearl'

Three of Amāna Bank's employees undertook Sri Lanka's one and only ultra-endurance cycling challenge 'Race the Pearl' which was held on 2 October 2020. Held for the 3rd time, 'Race the Pearl' is a 600km spanning cycling race connecting the furthestmost points of Sri Lanka, Point Pedro to Point Dondra. 'Race the Pearl' is the Sri Lankan equivalent to the famous 'Race Across America', for which this race is a sanctioned qualifying event. With close to 50 cyclists taking part in the race, Amāna Bank was represented by Irshad Iqbal (VP – Business Banking), Tuan Samsudeen (Executive Central Processing) and Chathura Dayaratne (Manager – IT Infrastructure Systems), who are avid cycling enthusiasts. Tuan Samsudeen took part in the 24 hour ultra-racing challenge while Irshad Iqbal and Chathura Dayaratne took part in the relay event.



Amāna Bank Employees at Race the Pearl



Tuan Samsudeen after completing the ultra-racing challenge



Irshad Iqbal after completing the relay event.



Chathura Dayaratne after completing the relay event.

Report on Sharia Supervision



الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

By the Grace of Almighty Allah, Amāna Bank completed another year of commercial operations in 2020.

During the year under review, the Sharia Supervisory Council (SSC) of the Bank held two Sharia Council meetings to review various products, modifications, concepts, transactions & processes including the approval of 3 new products.

NEW PRODUCTS APPROVED BY SSC DURING THE YEAR

1. Gold Investment
2. Custody and Trustee Services
3. Platform-i

SHARIA GUIDELINES REVIEWED DURING THE YEAR

1. Sharia Guidelines on Equity Investment and Dividend Purification
2. Sharia Guidelines on Education Finance
3. Sharia Guidelines on Marketing and Corporate Communication
4. Sharia Guidelines on Ijara

SHARIA DOCUMENTATIONS/ AGREEMENTS REVIEWED DURING THE YEAR

1. Sharia Documentation on Thijara
2. Sharia Documentation on Istisna
3. Sharia Documentation on Ijara
4. Sharia Documentation on Travel Finance
5. Sharia Documentation on Solar Finance

SHARIA REVIEW AND COMPLIANCE PROCESS

To ensure that revenue generated by the Bank adheres strictly to conjunctions of the rules and principles of Sharia, the Sharia Supervision Department actively assessed various operational activities throughout the year. Credit approvals, restructuring of financing facilities, customer specific transaction process flows, text of Letters of Guarantee and Sharia Documents were reviewed to ensure Sharia compliance when offering financing products to the customers.

The Sharia Review function plays a vital role in achieving the objective of ensuring Sharia compliance by evaluating adherence to the rules and principles of Sharia in all activities undertaken by the Bank.

The Sharia Supervision Department focuses on matters pertaining to the rules and principles of Sharia, enabling the facilitation of smooth operations whilst ensuring Sharia compliance at all levels in the Bank. Staff within the department were encouraged to perform their duties from home, as far as possible, after the country was affected by the outbreak of Covid-19 pandemic in March 2020. But depending on the need, staff were present physically, following strict health and safety regulations, to execute certain tasks which were essential in nature.

Income generated from customer advances via retail and business banking

transactions that were reviewed are as follows:

Income Generated from Retail Financing (LKR '000)	2,066,028
Income Generated from Business Financing (LKR '000)	3,977,079
Number of Transactions Performed	8,226
Number of Transactions Reviewed	8,226
Total Gross Advances as at 31 December 2020 (LKR '000)	64,258,511
Gross Non-Performing Advances Ratio (%)	4.0

Moreover, physical inspections were conducted on a random basis and measures were taken to verify the relevant purchase evidences / invoices, further enhancing the controls.

All financing granted using various products and services during the year were reviewed by the Sharia Supervision Department and their alignment with the guidelines issued by SSC was also verified.

The process and the scope of the review included the following:

- Invoices and other related purchase evidences were verified by confirmations and the existence of suppliers was confirmed by visiting their premises on a sample basis.

- Genuine purchase evidences were provided to execute Murabaha transactions so that Murabaha disbursements are not availed to set-off previous balances with the supplier and Murabaha Status Sheets.
- Sharia documentation, security documents and procedures followed by different functional areas for Local Murabaha, Import Musawama/ Murabaha, Extended Murabaha, Ijara (Leasing), Diminishing Musharaka, Musharaka, Istisna, Thijara, Wakala, Education Financing, Travel Financing, Solar Financing, Express Cash and Gold Safekeeping Facility.
- Declarations, description of assets, relevant purchase invoices, sequence and order of the documents and time difference between purchases and declaration in Murabaha.
- Purchase deeds, certificates of registration of motor vehicles, treatment of ownership related cost and recovery of rentals in Ijara transactions, ownership ratio in Diminishing Musharaka facilities and issuance of timely unit sale receipts.
- Investments made in equity with reference to the equity stock screening criteria.
- Import finance transactions and related documentation.
- Extensive reviews of customer payment, purchase cycles and periodic assessment of customers' processes.
- Profit sharing ratio, Mudaraba pool working and the applicable profit allocation for deposit products.
- Treasury placements with other Islamic Financial Institutions and Window Operations.

ONLINE SHARIA COMPLIANCE PROCESS

The Sharia review process is carried out to ensure Sharia compliance of all transactions and also to build a zero tolerance culture within the Bank to Sharia non-compliance.

In order to streamline and make the Sharia compliance process effective & efficient, the Bank implemented an Online Sharia Compliance Process, which essentially is a live compliance process. The Online Sharia Compliance Process takes place at the fund disbursement and deal creation stages of all the Murabaha products, Ijara and Diminishing Musharaka transactions of branches and relevant departments.

REVIEW OF MARKETING AND COMMUNICATION ACTIVITIES

All Marketing and Communication activities and materials were reviewed by the Sharia Supervision Department to ensure such activities of the Bank adhere to the rules and principles of Sharia.

TRAINING AND DEVELOPMENT

During the year, 4 internal Sharia training sessions were held in which 123 employees participated. These programmes were conducted with the objective of enhancing the knowledge and skills of staff members on the rules and principles of Sharia and Sharia documentation related to the respective contracts.

During the year, the Sharia Supervision Department focused on increasing the level of awareness amongst the key stakeholders, on Islamic Banking and products offered by the Bank and to further inculcate the values of Islamic Banking. In this regard, 10 external programmes were conducted for Sharia scholars and students. The total participation at these programmes was 836.

Programme	Audience	No. of Sessions	No. of Participants
Internal			
Sharia and Islamic Banking	Branch Staff	1	65
Amāna Bank Certified Islamic Banker Level-1	Branch Frontline Staff / Business Development Officers / Retail & Business Banking Staff	3	58
External			
Awareness Programme on Islamic Finance & Products of Amāna Bank	Sharia Scholars, Students	10	836
Total		14	959

Report on Sharia Supervision

SHARIA RISK MANAGEMENT COMMITTEE

The Sharia Risk Management Committee (SRMC) is a Sub-Committee of the Bank's Management Committee that was established to discharge the responsibilities of management on Sharia Compliance.

REGIONAL SHARIA REVIEW UNITS

The regional Sharia units in the Central and Eastern regions continue to play a significant role towards accomplishment of the objective of ensuring Sharia compliance at all levels through 100% review of transactions and facilitating smooth operations in a timely manner. Despite the pandemic situation which caused severe disruptions to human lives and economic activity, regional operations were conducted by following strict health and safety guidelines issued by the authorities.

SHARIA ADVISORY SERVICES

Internal Support

Sharia Supervision Department provides advisory services on structuring of products and transactional processing on an on-going basis, based on existing guidelines and resolutions made by the SSC. Issues encountered would be escalated to the Executive Committee of the SSC based on the complexity of the issue. All such advisory provided by the Sharia Supervision Department are tabled at the subsequent SSC meetings and ratified by the SSC. The Sharia Supervision Department also reviews Credit Memorandums on pre-approval basis of both new proposals as well as at annual reviews of facilities to ensure that the most appropriate product is provided to the customer.

Number of Advisory Provided by the Executive Committee of the Sharia Supervisory Council	14
Number of Advisory/Clearances Provided by the Sharia Supervision Department based on existing guidelines and resolutions	176
Total	190
Number of Credit Memorandums reviewed by the Sharia Supervision Department	229

External Support

The Bank continued to offer Sharia Advisory Services to a public listed company engaged in commodity brokerage, in order to structure their financing operations in compliance with Sharia principles. In this regard, the Bank provides Advisory Services on Product Development, Transaction Structuring, Internal Process, Procedures and Guidelines, Documentation, Monitoring and Control, Training as well as monitoring compliance to the requirements of Sharia.

CHARITY

During the year, a total of LKR 314,463 was transferred to the Charity Fund. As at 31 December 2020, a balance of LKR 292,849 remained in the fund.

STATEMENT OF SOURCES AND UTILISATION OF CHARITY FUND

	LKR	LKR
Opening balance as at 1 January 2020		4,379,090
Additions During the Year		
Interest Accumulated in Nostro Accounts	85,911	
Excess Cash	188,571	
Purification of Dividends / Disposal Gains of Equity	39,981	314,463
		4,693,553
Less: Distribution of Charity		(4,400,704)
Closing Balance as at 31 December 2020		292,849

SUMMARY OF CHARITY FUND DISTRIBUTION

	Medical Purposes	1,165,868
	Covid-19 Relief	2,000,000
	Social Benefits	1,134,836
	Education	100,000
Total Charity Fund Distribution in 2020		4,400,704

The total amount of LKR 4,400,704 was disbursed from the Charity Fund with the approvals of Chief Executive Officer, Chief Financial Officer, In-House Sharia Advisor and was duly reported to SSC for its concurrence.

THE WAY FORWARD IN 2021

- Continue to ensure the zero tolerance culture on Sharia non-compliance.
- Strengthen the Sharia Risk Management process and mitigate Sharia violations with the involvement of the Sharia Risk Management Committee.
- Review and update the Sharia product process, guidelines, documentation and checklists to offer the most appropriate product for the customer.
- Advice and guide to provide the best-fit product to customers.
- Musharaka, Wakala, Thijara & Istisna products to be included to the Online Compliance Process.
- Digitalisation of Sharia documentation to mitigate the errors and improve efficiency in terms of speed.
- Facilitate the New Product Development process by providing advice on the appropriate Sharia principles and contracts to structure new products.
- Facilitate and conduct training sessions to develop Sharia competency levels and instil onus on all stakeholders as follows:
 - Introduction to Islamic Banking for new recruits
 - Continue the Amāna Bank Certified Islamic Banker programme

- Focused training programmes on rules and principles of Sharia, documentation and Sharia compliance
- Sharia compliance and Sharia Risk programmes for Management Committee and Other Senior Management staff
- Conduct Sharia Awareness Programmes for Academics, Students, Customers, Sharia Scholars and General Public

May Almighty Allah make us successful in accomplishing His precious tasks and reward us in this world and in the Hereafter.



Ash-Sheikh Nazhan Naurooz
*In-House Sharia Advisor and Secretary
 to the Sharia Supervisory Council
 29 Jumaadal Aakhirah 1442 A.H.*

12 February 2021

Amāna Bank OrphanCare



PROGRESS UPDATE

Amāna Bank's flagship CSR engagement programme OrphanCare continued to make strong progress amidst the setbacks due to the Covid-19 pandemic.

Amāna Bank OrphanCare was launched in 2019 and was established as an independent trust, where OrphanCare aims to address a very important yet mostly unattended need of orphan children; which is securing the fate of orphans once they reach the age of 18 and are compelled to leave institutional care. The OrphanCare initiative addresses Goal Number 10

of the UN Sustainable Development Goals (SDG) – “Reduced Inequalities”, contributing towards enabling growth and enriching the lives of orphaned young adults, saving them from a second abandonment.

As a foundational principle that defines the essence and identity of the trust, OrphanCare ensures every rupee donated to the trust is allocated for orphan accounts while Amāna Bank continues to bear all operating and administrative costs of the trust.

While certain fund collecting and orphan enrolment activities were disrupted owing to the pandemic, the Bank nevertheless ensured its beneficiaries reaped rewards by exercising 4 rounds of fund disbursements during the year. In total since launch the Bank has made 6 rounds of fund disbursements totaling over LKR 17 million. As of 31 December 2020, the Bank had enrolled over 2,800 orphans to the programme represented from 80 Child Care homes across the country.

FUND MOBILISATION

The OrphanCare team was not deterred by the challenges during 2020 and continued to engage in possible mechanisms to collect donations to the OrphanCare fund.

- OrphanCare Till placements served as a good tool of building publicity and engagement apart from the fund mobilisation benefits. In addition to till placements at Amāna Bank Branches, tills were also placed at shopping outlets and restaurants.
- Amāna Bank's 2020 complimentary material were done under the theme of OrphanCare encouraging donor contributions and engagement.
- The Banks Pay&Go partnership was leveraged to avail a convenient channel of donations powered by over 850 Pay&Go kiosks placed island-wide.
- The team continued to pursue standing orders from which a steady inflow of funds were ensured to the trust.



Flash Health collaborates with Amāna Bank OrphanCare to supply medical needs to all registered Orphanages

CARING FOR 18+ ORPHANS

The OrphanCare team identified and profiled Orphans who were registered with OrphanCare and reached the age of 18 to facilitate value adding engagement towards guiding them in the right direction with financial and qualitative support. Such profiling was done capturing their educational levels, language skills and career aspirations based on which the OrphanCare team facilitated their needs by matching their requirements with forthcoming donors of both individual and institutional capacity. This will continue to be a strong area of focus and engagement of the OrphanCare initiative.



Support extended by Paan Paan



Support extended by Pages and Coffee

Amāna Bank OrphanCare

QUALITATIVE CONTRIBUTIONS AND PARTNERSHIPS

OrphanCare engaged with multiple stakeholders to provide training, guidance and encouragement for orphans along with other partnerships to further this noble cause.

- SDG Children's Parliament of Sri Lanka - Two children representing two orphanages registered with OrphanCare were identified in February 2020 during a 'talent search' programme organised by OrphanCare at the request of SUNFO Global Federation (Sri Lanka -United Nations Friendship Organisation). The two orphan children were selected and enlisted as representatives in the SDG Children's Parliament of Sri Lanka. One of them serves as a Minister in the Cabinet.
 - Chamudhi Shehara of Disala Child Development Centre
 - Fasan Ahmed of Makola Orphanage
- Merci Lanka Foundation – Funded courses due to commence in Q1 2021. Certificate in Web Designing / Digital Marketing / Electrical & Electronics
- Sumithrayo – collaboration for emotional support
- Facilitated the donation of laptops for orphan students to pursue their studies which were confined to online learning
- Collaborated with Interact Club of Ananda College and Pioneer Foundation to assist orphans to obtain their National Identity Cards.
- Interact Club of Wesley College – Orphans Welfare project
- Asian Media and Cultural Association (AMCA) - AMCA is a proactive umbrella organisation comprising leading Media organisations from the state and private sector. Having learnt about the OrphanCare initiative, AMCA engaged with the team and established a relationship to drive forward OrphanCare publicity related activities in print and electronic media.
- Many other partnerships relating to Education and Language as well as community integration are currently being pursued.



Amāna Bank OrphanCare signing a Memorandum with Asian Media and Cultural Association (AMCA)

PUBLICITY ENGAGEMENT AND RECOGNITIONS

OrphanCare continued to be highly revered amongst donors, well-wishers and the general public for which the initiative received both local and international recognitions including the Gold Award for Social Upliftment Project at the SLIBFI Awards 2020 adjudicated by KPMG and the Gold Award for CSR Project of the Year at the South Asian regionally held IFFSA Awards. The team also engaged the general public through its OrphanCare facebook page.

TRUSTEES AND GOVERNANCE

The OrphanCare Trust is administered by a team of trustees who have a strong track record of passionate social service and have instituted a robust governance framework to maintain the highest standard of integrity and to ensure long-term sustainability of the trust. Further the trust engaged the services of M/s Ernst & Young, whom having learnt our noble cause, provided auditing services on a gratis basis, to audit the OrphanCare trust activities and accounts for its first 3 years of operation.

BOARD OF TRUSTEES



- Ruzly Hussain – Chairman of the Trust (founder of Rotaract Movement in Sri Lanka)
- Rohan Tudawe – Treasurer of the Trust (Chairman Tudawe Brothers)
- Osman Kassim (Founder Chairman Amāna Bank)
- Harsha Amarasekera (President's Counsel)
- K R Ravindran (Chairman, Board of Trustees Rotary Foundation USA and former President Rotary International)
- Sharad Amalean (Founder MAS Holdings)
- Tyeab Akbarally (Senior Director Akbar Brothers)
- Jazri Magdon Ismail (Past President AAT)
- Mohamed Azmeer (CEO Amāna Bank)
- Mrs. Samitha Dayani de Silva (Secretary to the Trust)

ORPHANCARE MANAGEMENT TEAM

- Azad Zaheed (Head of OrphanCare)
- Marshad Barry (Manager – OrphanCare)
- Rishan Tuan (Junior Executive)

LIST OF ENGAGED ORPHANAGES

Name
A C C C Child Development Centre
Al Akram Balika & Boys Child Development Centre
Al Noor Orphanage
Al-Hassanath Orphanage
Amman Mahalir Illam
Anbu Illam
Annai Saratha Girls Home
Aroma Boys/Girls Children's Home
Ash-Shifaa Children's Home
Bhakthiwedantha Child Development Centre
Bosko Sewana
Boys Industrial Home
Buddha Boys/Girls Child Development Centre
Buddhist Girls Home - Matara
Canaan Harvest Children's Home
Ceylon More Ladies Union Home For Girls
CIS Infants Home & Orphanage
Dharul Hasanath Children's Home
Disala Child Development Center
Don Bosko Child Development Centre
Fathima Welfare Centre
Girls Child Development Centre Of Child Protection Association
Give Light Home
Gnanodaya Padanama
Hindu Anbaham Child Development Centre
Holy Cross Children's Home
Islamia Home For The Needy & Orphan Children
Isura Lama Sewana Child Development Centre

Amāna Bank OrphanCare

Name
Jeevani Child Development Centre
Karunalayam Child Development Centre
Ladani Children's Home
Loris Girls Home
Lourdes Girls Home
Makola Muslim Orphanage
Manikavasager Boys' Home
Maw Sewana
Mercy Lanka
Methodistha Children's Home
Methsarana Rehabilitation Child Development Center
Noguchi Child Development Centre
Pearls Of Paradise
Peter Weerasekara Boys & Girls Development Centre
Rawlathul Athfal Child Development Centre
Ruhunu Children's Home
Salvation Army-Girls Child Development Centre
Samadi Child Development Centre
Sebamalai Mariyannai
Serving Centre For Differently Abled
Shakti Girls Home
Shalom Children's Home
Share & Care Community Home
Sharing Orphanage
Shepherd's Heart
Shri Sanghamitta Balika Development Centre
Sivan Arul Illam Trust
Sivananda Thapovanam
Sneha Development Centre

Name
SOS Children's Village Jaffna
SOS Children's Village Monaragala
SOS Children's Village Nuwara Eliya
SOS Children's Village Piliyandala
SOS Children's Village Anuradhpura
SOS Children's Village Galle
Sri Agilandeshwary Arulahm
Sri Jinananda Development Centre
Sri Lankadhara Child Development Centre
Sri Sangabo Children's Home
Sri Sri Ravishankar Children's Home
Sri Yasodara Devi Aramaya & Girls Home
St. Joseph Girls Home
St.Peter's Children's Home
Sunfor Child Development Centre
Suwami Vipulananda Children Development Centre
The Guardian Child Development Centre
Tudawe Children's Home
Udhaya Children's Home
Ursula Children's Home
Vajira Sri Boys Child Development Centre
Wijewardhana Balika Child Development Centre
Yoga Swamy Saiva Girls Home

We invite your concern, collaboration and contributions

If you are moved and driven by our cause, please join us in making a difference in the lives of young adults who have, for too long, been forgotten and neglected. You may make your contributions by visiting any of our branches or transferring your donation to the Amāna Bank OrphanCare Trust Account.

How to Donate

Account Deposit / Transfer

Account Name:	Amāna Bank OrphanCare Trust
Account Number:	037-0345503-003
Account Bank & Branch:	Amāna Bank – Main Branch
SWIFT Code:	AMNALKLX

Donate through any Pay&Go Kiosks

Contact Details

Azad Zaheed

Head of OrphanCare

Email: orphancare@amana.lk
Telephone: +94 11 775 6 775

The relentless efforts of our engaged team during these unprecedented times were recognised with the 'Best Employer Brand' award...
RESILIENCE, OUR WAY



Corporate Social Responsibility

The Covid-19 pandemic shifted many paradigms during the year, but the Bank continued to extensively support effective and sustainable Corporate Social Responsibility initiatives.

With the pandemic affecting and putting a strain on several areas of livelihood and economies, the Bank extended its support to government, healthcare workers, individuals, families, businesses and micro enterprises.

AMĀNA BANK ORPHANCARE

In 2020, despite the pandemic, the Bank has been steadfast in supporting its iconic OrphanCare programme, as it continued to distribute funds while also increasing the number of beneficiaries, showcasing the growing interest for this noble cause. For more details of the progress of OrphanCare please refer pages 76 to 80 of this report.

SUPPORTING THE BATTLE AGAINST COVID-19

- Given that the government and public sector employees are fully dedicated in the fight against Covid -19, the Bank made a significant contribution to the Covid-19 Healthcare and Social Security Fund to support their effort.
- Joining hands with the Roshan Wijerama Family Foundation, the Bank made a contribution to purchase Laryngoscope medical equipment for the Army Hospital, which is primarily used to treat Covid-19 patients.
- The Bank made a contribution to the Sri Lanka Red Cross Society, Covid-19 Response Programme 2020, to support and empower frontline public healthcare workers treating Covid-19 patients.
- The Bank donated protective wear to Kinniya Base Hospital, to support the frontline medical staff who were most vulnerable to the Covid-19 virus.
- The Bank also made a contribution to the Colombo Municipal Council towards their programme to help the under-served settlements in the city of Colombo who have been affected due to the pandemic.
- The Bank came forward to distribute dry ration packs for families in Kinniya who have been affected due to the pandemic.
- During the lockdown period, the Bank provided several aids to the forces, police and health workers in appreciation of their services.



Donation to Covid-19 Healthcare and Social Security Fund



Handing school bags to the needy in partnership with EDEX Nenepahana



Distribution of Dry ration packs for families in Kinniya



Supporting the Police during the lockdown period



Supporting the Forces during the lockdown period



Supporting the Covid-19 Health Workers

CHILDREN HEALTH AND EDUCATION

- Amāna Bank continued its benevolent work towards the Colombo South (Kalubowila) General Hospital, where the Bank undertook the servicing of medical equipment in the Children's Ward.
- As part of an annual CSR project carried out by the Bank focused on education, the Bank fulfilled the stationary requirements of the Orphans in the Makola Orphanage.
- The Bank continues to provide school bags and school essentials for less privileged children and for this purpose the Bank partnered with 'EDEX Nenapahana', the CSR arm of EDEX, in supporting their underprivileged schools outreach programme.

GENERAL WELFARE AND OTHER

- The Bank made a donation to the On Stage Association to organise a Swimming Meet for the differently-abled.
- The Bank came forward to donate sanitary equipment to the Divisional Secretariat of Beruwala.
- During 2020, the Bank donated Wheel Chairs to the Piyananda Social Service Foundation.
- The Bank sponsored the construction of a patient waiting area at The National Institute of Nephrology Dialysis Transplantation (Kidney Hospital) for patients to be screened before entering the hospital.



Amāna Bank together with EDEX Nenapahana support less privileged children



Donation of Masks to the Kinniya National Hospital



Patient waiting area at The Kidney Hospital



Donation of school essentials

Contribution to Sustainable Development Goals

In line with global initiatives towards Sustainable Development, Sri Lanka too has undertaken its drive towards achieving UN Sustainable Development Goals by inculcating objectives to its national policies. Accordingly, in line with the country initiative, Amāna Bank too, in its individual capacity renders its support to the movement.

Amāna Bank’s unique banking model enshrines sustainability in its undertaking of financing and banking activities with the logic that funds are raised and invested in asset-based transactions through equitable, contractual arrangements that promote partnership and the sharing of profit and loss for the benefit of the wider economy, for which the industry is branded as sustainable financing. Stemming from this, the Bank engaged and aligned with the larger community towards achieving UN Sustainable Development Goals in line with the Bank’s mission of enabling growth and enriching lives.

	No Poverty Our award winning Gold Certificate Financing solutions continued to be of immense assistance to the under-served segments of the country, providing financial inclusion especially for those who were financially challenged by the pandemic. At a time when the pandemic caused financial uncertainty, many people both at individual and business capacity, looked forward to the Bank’s people friendly Gold Certificate Financing solutions to assist them with their urgent financial requirements for which the Bank increased the percentage of financing against the value of gold and also provided grace periods for settlement. Over the years the acceptance for this solution has increased as it provides the option of convenient credit at grass root levels to help fund personal as well as other micro industries. Further, through the facilitation of an environment of privacy and security for lady customers through exclusive ladies units, this solution has also helped empower women, who were hitherto not provided the service they deserved.
	Quality Education While continuing to contribute towards many community reach programmes which focused on education through its CSR and Charity Fund activities, the Bank’s outlook on quality education also extends towards supporting improvement in education with specific focus on financial literacy through digital means leveraging on the Bank’s Knowledge Marketing drive. Due to the misconceptions held, and the unfamiliarity of our unique banking methodology, Amāna Bank has taken the onus upon itself to help various stakeholders understand and discover the true essence of Islamic Banking and Finance. Having reaped success from the activities done thus far, Amāna Bank is confident that with more and more customers having a proper understanding of the banking model will propel more people to adapt it.
	Affordable and Clean Energy The Bank has been an avid promoter of the use of green energy by encouraging and financing customers to invest in renewable energy projects thereby reducing dependency on fossil fuels. During the year, the Bank increased its financing on large-scale renewable energy projects which included Mini Hydro Power Plants and Solar Farms, through which over 15,500 MWh of power was generated to the National Grid reducing 12,000 tons of CO₂ emission into the atmosphere. At an individual level, the Bank has also promoted households to switch to green energy by providing affordable financing solutions. Further, testifying the Bank’s commitment to go green, the electricity to Amāna Bank’s Corporate Office is also generated through solar energy for which 93,425 kWh of energy was generated during the year.

SUSTAINABLE DEVELOPMENT GOALS

	Industry, Innovation and Infrastructure With SMEs being one of the worst hit sectors as a result of the pandemic, providing financial support and relief to them is critical for their survival through the crisis. Sensing the tribulations to come to the Bank's key segment, the Bank took initiatives to promptly allow moratoria to its customers affected by the pandemic and initiated the provision of concessionary finance beyond what was articulated by the regulator thereby ensuring the maintenance of the livelihood of our customers. This includes not only SMEs with larger facilities but equal importance was given to smaller entities as well. The Bank also continued its contribution towards key areas of economic growth such as maritime and infrastructure development.
	Reduce Inequalities By providing orphan children not only a chance at life, but a choice in their future, our OrphanCare initiative continued to provide maturing orphans an equal footing as they enter adult life. Please refer to the section on Amāna Bank OrphanCare in this Annual Report on pages 76 to 80 for a comprehensive review of the Bank's flagship community reach programme and the progress made thus far.
	Responsible Consumption and Production The Bank encouraged businesses as well as its operations to adopt responsible consumption and production best practices. While providing competitive financing for customers that promote responsible consumption and production, the Bank also took a step in this direction by facilitating and encouraging customers to switch from traditional banking methods to modern banking ways which reduces wastage of time, money and resources by promoting online account opening, SMS alerts, e-statements, voucherless deposits, PIN via SMS, as well as a host of services accessible through the 'Message to Bank' option available on the internet banking platform. The Bank has also encouraged its employees to foster a culture of responsible consumptions within their departments which has resulted in many adapting 'green' measures and initiatives towards reducing, reusing and recycling.
	Life Below Water Marine biodiversity is critical to the health of people and our planet. Marine protected areas need to be effectively managed and well-resourced while reducing overfishing, marine pollution and ocean acidification. To assist on this milestone, the Bank enabled Sri Lanka's first ever revolutionary sustainable aquaculture fish farm thereby assisting to manage and protect marine and coastal ecosystems. The Bank also supports local industries that re-use day to day plastic waste as their key raw material, thereby reducing the plastic waste entering our oceans.

Risk Management

Effective risk management is fundamental to the success of the Bank.

Risk arises from uncertainty pertaining to the Bank’s future losses as well as future gains. Therefore, there is a natural trade-off between risk and return. Risk is not necessarily related to the size of the potential loss as many potential losses are large but are quite predictable and can be provided for using risk management techniques.

The primary goals of risk management are to ensure that the outcomes of risk-taking activities are consistent with the Bank’s strategies and risk appetite, and that there is an appropriate balance between risk and reward in order to maximise shareholder returns.

Risk is inherent in every level of activity carried out by a bank, but is managed through an effective process of risk management with the aid of risk limits and related controls.



The Bank’s mission with respect to risk management is to enhance its risk management capabilities, culture and practices so as to be in line with internationally accepted standards and practices. This mission is to support the Bank’s vision which is to be an admired leader by providing a unique banking experience, through equitable financial solutions.

The strategic focus of Amāna Bank’s risk management is to create a good risk based culture that enables to take an integrative approach to Enterprise Risk Management within the entire Bank which attempts to coordinate risk management duties to maximise efficiency and add value to the overall operations whilst working towards meeting corporate objectives and investor expectations.



The major categories of risks are credit, market, liquidity and operational risks. Banks are also exposed to other risks including but not limited to reputational, legal, regulatory, etc. Success in Risk Management depends on effective management of key risk areas through an integrated approach, ensuring Enterprise-wide Risk Management, guided by the Board Integrated Risk Management Committee (BIRMC).

Amāna Bank has adopted an Integrated Risk Management (IRM) framework with a set of policies approved by its Board of Directors (BOD) along with supporting procedures. The purpose of these policies and procedures is to manage and optimise the risk-reward trade off. Through the IRM framework, the BOD assesses the risk profile and has an oversight over the implementation of the IRM framework of the Bank and its management on a regular basis, at minimum on a quarterly basis. Integrated Risk Management is a set of practices and processes supported by a risk-aware culture and enabling technologies that improves decision making and performance through an integrated view of how well the Bank manages its unique set of risks.

The IRM framework covers identification of potential risks and sources of such risks, the mechanism of managing such information and reporting on how to monitor such risks. It also defines relevant officers and committees responsible for risk control and mitigation. The risk management policies and procedures, among other matters, address:

- i. a system to aggregate overall risk exposures for monitoring and control
- ii. measures for risk diversification with limits for various exposures based on risk appetite
- iii. risk measurement approaches such as use of historical databases, stress testing and scenario analyses
- iv. capital maintenance considering expected and unexpected losses
- v. capital allocation to businesses and products in order to optimise risk adjusted returns and economic value additions
- vi. disaster recovery and contingency plans.

RISK APPETITE

An effective risk governance framework includes a strong risk culture, a well-developed risk appetite articulated through the Risk Appetite Statement, and well defined responsibilities for risk management in particular and control functions in general.



The Bank's risk appetite reflects its tolerance to accept risk. The subsequent application of the risk appetite into defined risk threshold sets boundaries to its business strategy and to its ability to exploit business opportunities.

In order to effectively apply risk appetite, the Bank has defined quantitative indicators on all risk categories (for example: capital adequacy level, risk limits, earnings

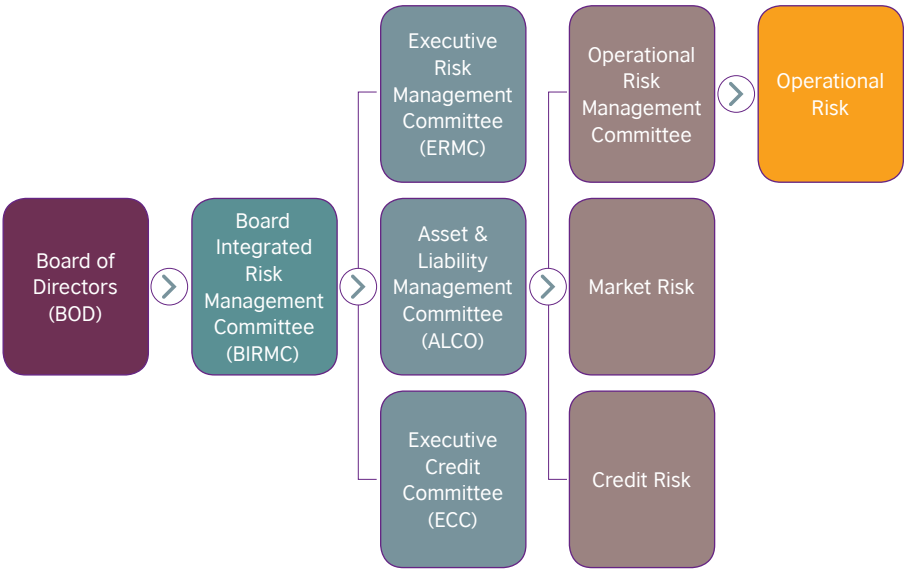
growth, foreign exchange net position, single borrower limits, liquidity gap, etc.) and embedded qualitative aspects in its policies and procedures (such as assessment criteria). The Bank's risk policy and risk limits are designed to be consistent with the defined risk appetite.

RISK MANAGEMENT STRUCTURE

The Risk Management Department (RMD) is mandated to design and operate the Bank's integrated risk management process and is independent of business lines. The Bank has developed a risk management framework adhering to the Basel III Accord, which provides guidance to the overall risk management goals and strategy. This risk management framework provides the basis for the on-going development and enhancement of the Bank's integrated risk management infrastructure and capabilities. The framework provides a structured approach to the management, measurement and control of risk i.e. a way that people and processes ensure that business activities provide an appropriate balance of return for the risks undertaken. The primary goals of risk management are to ensure that the outcomes of risk taking activities are consistent with the Bank's strategies and risk appetite. The Bank's enterprise-wide risk management framework provides the foundation for achieving these goals.

Risk Management

Integrated Risk Management Framework document was revised by RMD, reviewed by the BIRMC and approved by the BOD during the year.



The Bank’s risk management framework is applied on an enterprise-wide basis and consists of three key elements as depicted below:

Risk Management Framework



The Bank has in place a strong risk management framework which is based on the need, to assess the Bank’s exposure to risks while minimising adverse impacts of credit risk, market risk, liquidity risk and operational risk on resources, earnings and cash flows through a robust framework of integrated risk management. The Bank has ensured that its portfolios/ exposures remain aligned to the defined risk appetite and strategy whilst proactively managing risks supported by strong open-minded risk identification.

The Board is required to define the risk appetite for the Bank and is responsible for the activities and overall performance of the Bank. This risk appetite supports effective decision-making, capital allocation and is central to embedding risk management in business decisions and risk reporting across the Bank.

A strong and pervasive integrated risk management culture provides a sound foundation of risk management framework consistent with the Bank’s objectives, risk tolerance, control standards and management philosophy.

The risk governance structure at Amāna Bank stems from the Board of Directors and is monitored by the following Board and Management committees:

- Board Integrated Risk Management Committee (BIRMC)
- Board Audit Committee (BAC)
- Board Credit Committee (BCC)
- Assets and Liabilities Management Committee (ALCO)

- Executive Risk Management Committee (ERMC)
- Operational Risk Management Committee (ORMC)
- Management Audit Committee (MAC)
- Executive Credit Committees (ECCs)
- IT Steering Committee (ITSC)

The Board has defined the risk appetite for the Bank which is then rolled out to each business line and subsequently to the business unit. The Board is assisted by a number of Board level and Management level committees.

TYPICAL ROLES/RESPONSIBILITIES IN SETTING RISK APPETITE

Stakeholders	Roles/Responsibilities
Board of Directors	• Review and approve risk appetite • Review strategic objectives and positioning
BIRMC	• Understand the risk profile of the Bank and the Bank's performance against same • Set basic goals for the Bank's risk appetite and strategy, such as ratings or earnings-volatility targets with senior management and issue guidelines for senior management in implementing risk management policies and procedures throughout the Bank • Ensure that the risk function is adequately staffed with professionals who are sufficiently competent in managing and monitoring all risks within the Bank and that they can avail of appropriate systems and tools
CEO, CRO and Senior Management	• Develop Business Strategy • Identify availability of capital • Coordinate process of aligning risk appetite and risk strategy with business strategy and capital capacity • Oversee monitoring and reporting around the risk appetite process • Align business lines and goals within the risk parameters • Communicate risk appetite • Promote risk culture • Communicate and integrate objectives throughout the business processes • Embed risk appetite related goals in performance objectives
Business/Support Unit Heads	• Propose key initiatives in light of economic, risk and competitive outlook • Align risk policies, processes and limits used in managing day-to-day business operations with the metrics contained in the risk appetite statement

With the intention of being consistent with the risk-ownership concept under the Basel III Accord, the Bank's strategy to manage various risks is structured into '3 Lines of Defence' as summarised below:

1ST LINE OF DEFENCE: RISK TAKING UNITS

These are the units directly exposed to specific risks daily and must assume primary responsibility in their management. By identifying and analysing risks and shortcomings, instituting regular controls, monitoring and reporting procedures and taking appropriate action, they are in the best position to mitigate or avoid risks. The overall ownership of the risk environment and responsibility to manage the risks therefore reside with them.

2ND LINE OF DEFENCE: RISK CONTROL UNITS

This refers to the respective Risk Management Team and the Risk Control Committees, including other control and monitoring departments such as Legal, Compliance and Sharia Supervision. The RMD shall be responsible for the development and maintenance of the risk management framework and its implementation. Other controlling and monitoring departments are responsible to develop guidelines in managing risks under their purview. Both RMD and controlling/monitoring departments ensure timely receipt of reports and perform analyses before submitting them to top management and the BOD for their oversight. Where appropriate, they provide support to the risk taking units and initiate changes to policies and procedures.

Risk Management

3RD LINE OF DEFENCE: INDEPENDENT ASSURANCE

This refers to the Internal Audit function whose roles and responsibilities under the risk management policy are to provide independent assurance to the BOD on the effectiveness of the risk management framework, that the policy has been implemented with integrity.

The Bank has been continuously leveraging the risk management system capabilities to drive the following benefits:

- i. increase efficiency and reduce operating cost for risk management through optimised utilisation of resources and skills (reduction in manual operations)
- ii. reduce potential losses with enhanced risk management and increase profitability through better control over risk appetite.
- iii. adhere to regulations that may come into effect in the future (i.e. by Central Bank of Sri Lanka (CBSL), Securities and Exchange Commission (SEC), etc.)
- iv. enhance strategic decision-making with foresight into risks.
- v. enhance product and services strategy by providing confidence in introducing innovative and profitable offerings.
- vi. timely detection of risks to reduce losses due to risk events.

During the year, the country was impacted by the outbreak of Covid-19 pandemic and experienced a severe setback in social and economic environments which entailed prudent risk management measures to be

adopted in line with market conditions enabling the Bank to successfully overcome the challenges posed. In doing so, the Bank was further able to strengthen the risk based culture by applying the robust risk management framework throughout all branches and departments. During this unprecedented time, the Bank's RMD strategically managed the risks by working closely with the business units at every stage of the processes, and with the use of appropriate credit risk and operational risk management tools, the Bank has successfully managed the Non-Performing Advances (NPA) ratio at a level below the industry average and worked towards strengthening the Risk Control and Self-Assessment (RCSA) process.

ASSESSMENT OF CAPITAL ADEQUACY

In order to provide assurance that the Bank has sufficient capital to support all its business and risk taking activities, RMD carried out the Internal Capital Adequacy Assessment Process (ICAAP) in accordance with the Basel III guidelines, as required by CBSL.

ICAAP requires banks to identify and assess risks, maintain sufficient capital to face these risks and apply appropriate risk-management techniques to ensure adequate capitalisation on an on-going basis.

ICAAP guides the minimum internal capital requirement for the Bank's current and future business strategies and financial plans for the next three years via a comprehensive risk assessment process on its portfolio risk exposures, its risk management

practices towards material risks and potential capital planning buffer required in the event of stress.

CBSL directed all licensed commercial banks in Sri Lanka to formulate their ICAAP document and submit the same for regulatory evaluation within five months of the financial year end. The Bank has, in compliance with the CBSL guidelines, formulated the ICAAP document and met the said requirement.

Capital Requirement Under Basel III

Minimum Requirement covered under Pillar 1 of Basel III regulations has been complied with, which required the capital buffers to be implemented. Amāna Bank is maintaining the capital to comply with the buffer requirement and maintain CAR at 12.5% by 2019, which is the rate that is applied for banks which carry an asset base of less than LKR 500 billion.

Assessment of the capital has been reviewed by the ICAAP process which assesses the risks that are not covered in the Pillar I in order to meet the capital ratio and the buffer requirement as specified by the regulator. ICAAP was prepared in line with Basel III capital and buffer requirements and the capital was assessed under various stress scenarios for smooth functioning of the Bank.

The compilation of the ICAAP report is spearheaded by the Management Committee and a cross functional team which consists of resource personnel from risk, audit and finance departments.

ICAAP report helps the Bank meet the following objectives:

- i. ensure that the Bank is adequately capitalised beyond the minimum regulatory capital requirements under Pillar I at all times;
- ii. ensure a comprehensive coverage of risks facing the Bank, covering not only the Pillar I risks but also other risks that are covered under Pillar II and Pillar III. Further, the ICAAP document shall also aim to address inadequacies in risk management process of Pillar I risks through related risks categories (example: residual credit risk and under-estimation of credit risk in standardised approach).
- iii. formulate a process that forms an integral part of the Bank's risk management processes so as to enable the BOD and senior management to assess the risks that are inherent in their activities and are material to the Bank on an on-going basis.
- iv. have a process for assessing the overall capital adequacy in relation to the risk profile.
- v. enable the Bank to withstand adverse business conditions by evaluating the adequacy of capital in stress scenarios.
- vi. usage of risk management in general business decisions and budgets, day-to-day activities such as evaluating individual credit decision process and in overall strategic planning of the Bank.

- vii. embark upon a continuous process for improvement in risk management techniques, policies, processes, systems and overall awareness of the Bank.

The ICAAP for year 2019 was prepared in 2020 with additional analysis on operating under the ongoing pandemic.

SOURCES OF CAPITAL AND CAPITAL MANAGEMENT

The growth in profitability in the ensuing years will be a source of internally generated capital whilst external sources will include equity via rights issue and private placements.

The Bank having raised equity capital in 2017 through a rights issue, satisfied the regulator's current minimum capital requirement of LKR 10 billion. This also enabled the Bank to support its current and future expansion activities whilst continuing to maintain its regulatory capital adequacy ratios at a healthy level well above minimum requirement. Supplemented by sustained growth in profits, the Bank expects its level of capital to be adequate in the short to medium term. Based on the relief granted by CBSL due to Covid-19 outbreak, Banks have been offered an extended timeline till end 2022 to increase its capital up to LKR 20 billion and in this regard, the Board of Directors is in the process of evaluating suitable options to comply with this requirement before the revised deadline.

Whilst the current level of capital is adequate to support the planned capital expenditure as well as business growth up to the mid-term, subsequent to

meeting the requirement before 2022 the Bank expects to be well-positioned in terms of the desired capital level.

Following the third successive dividend to its shareholders in 2020, the Bank may, subject to the provisions of the Articles of Association, the Companies Act No. 07 of 2007 and any other applicable guidelines make future dividend payments by way of interim and final dividends in relation to the profits made from time to time. Such dividends will be paid after taking into consideration the Bank's earnings, investment requirements and other financial conditions.

STRESS TESTING

Stress testing is an important risk management tool that enables a bank to identify the potential sources of risk, evaluate the magnitude of it, develop tolerance levels and generate strategies to mitigate the identified risks. Sound stress testing practices enable the Board and Senior Management to make a more informed forward looking assessment of risks when determining Bank's risk appetite, business strategies and contingency plans.

Moreover, Pillar 1 of the Basel Accord related to minimum capital requirements mandates that banks undertake stress testing for assessing capital adequacy if they are using the Internal Models Approach (IMA) to determine market risk or advanced or foundation internal ratings-based (IRB) approaches to determine credit risk. Pillar 2 of the Basel Accord related to the supervisory review process (SRP) mandates that banks undertake general stress tests.

Risk Management

Compliance with Basel III requirements help banks to correctly assess risk and develop plans to reduce their actual losses. The internally developed scenarios shall include economic recession scenarios, one of which must be a prolonged recession, to assess its ability to withstand and mitigate such scenarios. These scenarios have been applied in Bank's ICAAP, annually.

Sensitivity and Scenario Analyses

The Bank uses a range of stress testing methodologies such as sensitivity and scenario analyses to ensure that its stress testing is comprehensive. Sensitivity analysis estimates the impact on the value of a portfolio of exposures arising from assumed movements in a single risk factor or several closely related risk factors.

Supervisory Review and Evaluation

As part of the Bank's risk-based supervisory framework and evaluation of ICAAP, stress testing shall be reviewed and evaluated annually. The Bank is required to take action to improve its capital or risk management processes in order to address any adverse scenario impact conducted through stress testing.

RESPONDING TO THE COVID-19 PANDEMIC

In early 2020, the coronavirus pandemic (Covid-19) severely impacted countries around the world, causing enormous challenges to the economies as all industries underwent an unprecedented economic downturn. This resulted in a global recession as the pandemic which began in the latter part of 2019, affected many advanced economies which adopted various austerity measures and

fiscal consolidation in order to address debt issues, unemployment and housing market bubbles.

More proactively, the Bank undertook comprehensive stress testing to ascertain the impact of the Covid-19 pandemic. The scenario was also incorporated into the ICAAP analysis in order to assess the impact that might arise in the forthcoming years due to the economic slowdown.

With the guidance received from BIRMC and ALCO, RMD carried out stress tests on, but not limited to, liquidity management/deposit concentration, financing portfolio and capital adequacy of the Bank on a more frequent basis during the peak of the pandemic as the external environment remained turbulent with many events unfolding, regulatory and otherwise. As countries battle to curb the spread of the Covid-19 virus and begin to use recommended vaccines, the Bank's RMD remains vigilant of local and global developments to mitigate any possible impacts to the overall operations.

CREDIT RISK MANAGEMENT

Overview

Credit Risk is the risk of potential loss arising from failure of a customer or counterparty to perform according to its contractual obligations to the Bank. It includes failure in the repayment of capital plus the Bank's profit/mark-up on direct financing or from off balance sheet assets such as letters of credit, letters of guarantee, documents against acceptance, etc. within the agreed tenure and in the agreed currency.

Credit Risk generates the largest regulatory capital requirement for the Bank. The Bank manages the Credit Risk in the entire portfolio as well as on individual credit exposures.

The main objectives of Credit Risk Management function is to:

- ensure optimal risk-reward pay off for the Bank and to maximise returns
- maintain quality of the portfolio by minimising non-performing advances and probable losses
- maintain a well-diversified portfolio by prudently managing risk in the asset portfolio to ensure that risk of excessive concentration to any industry/sector/individual customer is minimised
- ensure that all requirements as per regulatory guidelines are maintained and all related party transactions are monitored and reported to the relevant authorities as well as ensuring that clearly defined internal policies and guidelines are set and reviewed regularly to meet the current requirements of the Bank

Following are the main elements through which the Bank achieves the objectives of the Credit Risk function.

Credit Policies and Guidelines

The Bank has a well-defined Credit Risk Policy approved by the BOD and a Credit Procedure Manual which are reviewed regularly. These documents outline fundamental standards and disciplines to actively manage the credit risk across the financing portfolio of the Bank, defines the credit culture, target markets, prohibited areas of business,

set acceptable risk parameters, set standards for collateral, delegated authorities and the guide to post-disbursement monitoring of financing accommodated. The policy guidelines are used to manage the incidence of credit risk, which is spelt out in the Credit Risk Policy ensuring stringent pre/post credit risk management in line with the risk appetite of the Bank, the regulations of CBSL and Basel guidelines.

Structured Standardised Credit

Credit proposals are prepared in pre-determined formats, and comprise of financial appraisal, independent review of financial and non-financial information such as credit ratings, collateral and covenants, and credit approval based on BOD sanctioned delegation of authority (DA).

Credit is extended only to suitable and well-identified customers on evaluating and ensuring the purpose, establish that the primary source of repayment for each credit is from identifiable cash flow, sources of income, their ethical standards and records. Where the source of repayment is unknown or speculative or where the purpose/destination of funds is undisclosed such requests are not accommodated, further ensuring that risk considerations shall have priority over business and profit considerations.

A pricing mechanism is in place that reflects variation in the risk profile of various exposures to ensure that higher risks are compensated by higher returns, based on risk based pricing. The financial performance of customers are

continuously monitored and frequently reviewed as set out in each approval and as per credit procedure guidelines. The Bank obtains collateral as a possible secondary recourse or as a fall back option. These are obtained based on exposure guidelines set in the credit risk policy and collateral guidelines, which in turn are set according to regulatory guidelines on collateral.

Collateral and Credit Enhancements

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy. To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models.

Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers.

In terms of collateral repossessed, the Bank's policy is to sell the repossessed assets at the earliest possible opportunity. Such collateral repossessed are held on a memorandum basis without derecognising the underlying receivable.

Delegation of Authority

The BIRMC has been delegated with the responsibility of managing the Bank's overall risk including credit risk. At an executive level, credit authority has been further delegated to two Executive Credit Committees (ECC) which are headed by CEO and CRO respectively. The Credit Risk Department conducts independent reviews of the credit risks lying with the relevant business units and makes recommendations on credit policies, prudential limits on sector exposures and counterparty exposures in order to make improvements.

Final authority and responsibility for all activities that expose the Bank to credit risk rests with the BOD which has delegated approval authority to the CEO to re-delegate limits to Business Lines. All DAs to individual members are name specific and are based on the individual experience, judgement, ability, facility type and collateral in order to ensure accountability and mitigate any judgemental errors.

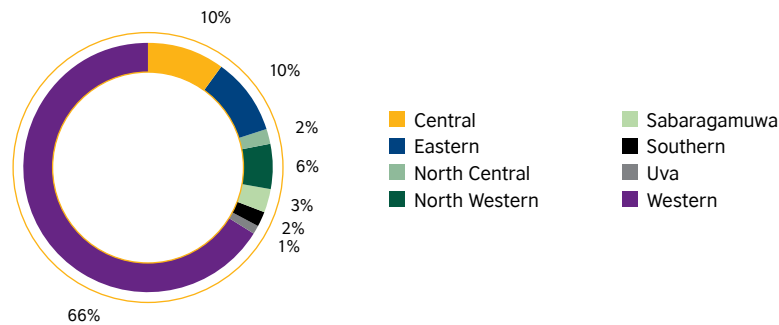
Prudential Limits

The Bank continuously strengthens its monitoring mechanism of credit risk to ensure regular and frequent review of the portfolio. This helps the Bank to understand any emerging risk trends, align its credit risk appetite to its business objectives, whilst promoting risk based business decision-making. This exercise covers analysis of the portfolio based on industry sectors, products, geographies and trends in NPA.

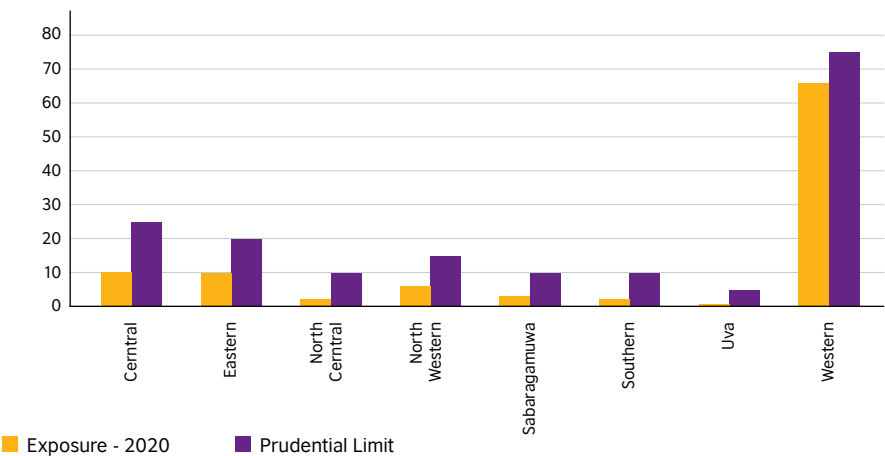
Risk Management

Prudential, industry, geographic and portfolio limits are set by the BIRMC. Credit Risk Department monitors compliance with these approved limits. Desired diversification is achieved by setting maximum exposure limits on single / group obligor exposures, where the internal limits are more stringent than the limits set by the regulator, which too are monitored by RMD for compliance.

Geographical Concentration of Portfolio



Geographical Concentration Against Prudential Limits (%)

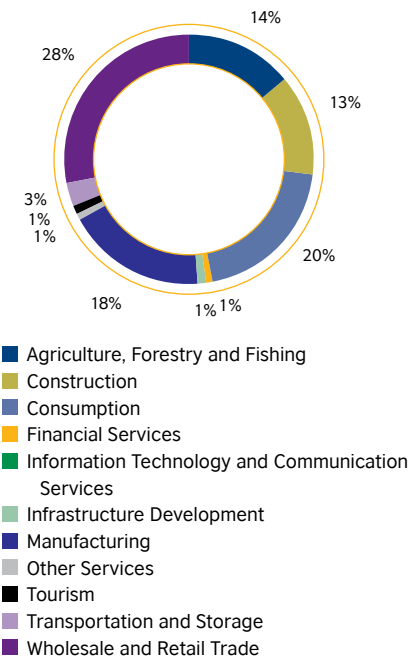


Portfolio Management

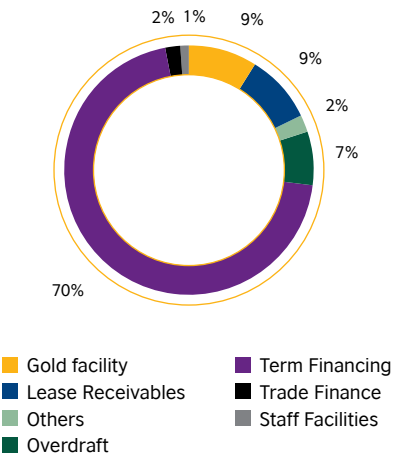
Credit portfolio management is an important function within the overall credit risk management. The need for such critical and objective portfolio management emanates from the need to optimise the benefits associated with diversification. It also helps the Bank to identify and address potential adverse impact of concentration of exposures. The Bank has a well-structured portfolio management mechanism which evaluates exposures on the basis of industry concentration, rating quality, internally established early warning indicators, apart from regulator imposed quantitative ceilings such as the single borrower and aggregate exposure. On feedback from

regular reviews and interactions with business units, the criteria for credit accommodation is amended to insulate portfolios from further deterioration.

Exposure by Sector



Exposure by Product



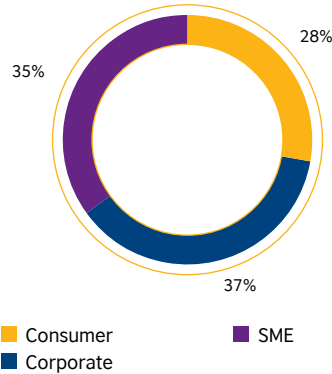
In addition, stress tests and scenario analysis are carried out to assess the impact of any material changes in the external environment with suitable recommendations to restructure the portfolio. Any deteriorating credits with emphasis on internal and external early warning signals are identified and monitored closely. Non-Performing Advances are identified at an early stage through regular interactions with business units, enabling management to take action as appropriate. In addition, a post-approval hindsight review of credits approved is carried out by an independent committee which reports to BIRMC with appropriate recommendations. All monitoring reports are submitted regularly to the respective credit committees and BIRMC.

Developments in 2020

- The Bank revised its Delegated Authority within the Credit Risk policy to facilitate the new credit vertical and expedite the credit approval process whilst being more focused on the credit proposal underwritten.
- The centralised Credit Administration department (CAD) functions with the aim of standardising, improving efficiency, ensuring compliance and control in preparing and safeguarding security documents. To further strengthen this function a separate dedicated Credit Administration procedure manual was finalised which was hitherto part of the Credit procedure manual. This function will benefit from this manual as all the procedures are now being detailed in line with credit policies of the Bank.

- The Valuation Policy of the Bank too was reviewed to be in line with the latest guidelines issued by CBSL and suite the current strategies of the Bank in delivering informed and timely credit.
- Covid-19 pandemic impacted the credit risk function of the Bank too, with lockdowns compelling the staff to work from home. Credit Risk Department introduced simplified e-mail based formats for communication and approvals to support customers based in different geographies and who were in need of assistance by way of CBSL and Bank approved concessions in a timely manner. These approvals were in turn used by CAD who were working from their homes to update the systems completing customer requests within the mandated timelines.

Exposure by Segment



Banking sector NPAs continued to rise with the impact of Covid-19 and the related slowdown of economy affecting the cash flows of customers. The Bank was aware of the severe impact the present condition will have on the portfolio which compelled the Bank to take further steps to contain NPAs and included the following:

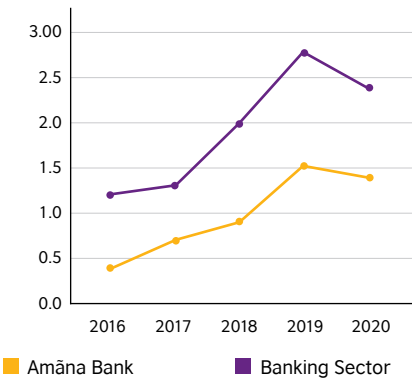
- Target monitoring of customers who were accommodated with moratorium and other concessions by the Bank during the Covid-19 situation to ensure commitments are met on time and where further support was required to intervene and partner in business revival.
- Though the movement of recovery teams were restricted due to the pandemic situation and also because market conditions impacted businesses which restricted hard recovery, the remedial division continued to pursue on recovering long overdue balances and customers who had minimal impact from the negative market situation that prevailed. Such efforts brought in positive results for the Bank as reflected in the NPA statistics.

Risk Management

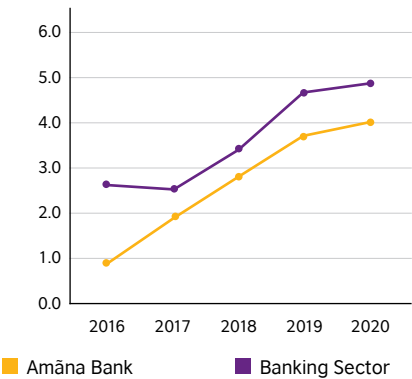
- With the portfolio witnessing growth, the Bank has identified the need for an automated collection module which can track collection end-to-end up to legal recoveries. This will immensely support the Credit risk, Business units, remedial management and legal functions to streamline the processes and thereby make a positive impact on portfolio performance. As a first step, a vendor has been identified for implementation of the module which is expected to be introduced in the near future in line with the strategic objectives of the Bank.
- The legal department of the Bank has been strengthened with additional resources to streamline the process of initiating action against defaulters and closely engage remedial, legal and business units through regular meetings to identify and iron out any issues which impact the recovery process.

As a result of close monitoring and engagement with the customers and implementing the above steps, the Bank's Net NPA ratio was contained at 1.4%, being well below the industry average of 2.4% whilst the Gross NPA also stood below industry average. These results were achieved amidst difficult market conditions which demonstrate the Bank's resilience to external challenges.

Net NPA (%)



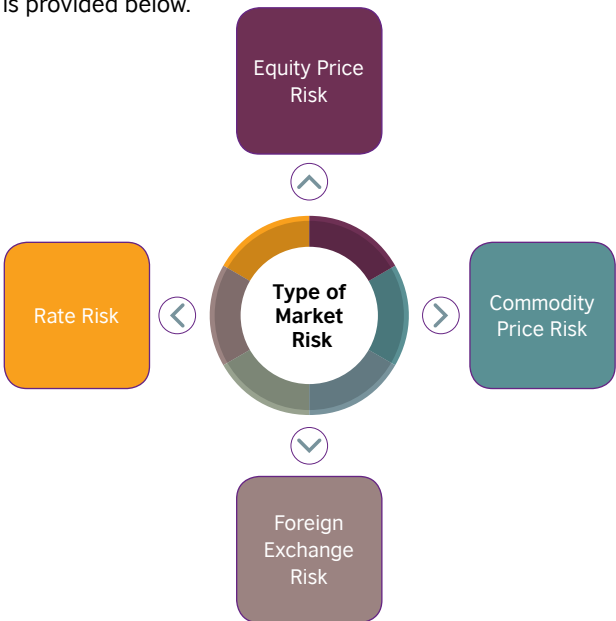
Gross NPA (%)



MARKET RISK MANAGEMENT

Market Risk

Market risk is the risk of loss from changes in market prices and rates (including rates, credit spreads, foreign exchange rates, equity prices and commodity prices), the correlations among them and their levels of volatility. A description of each market risk category is provided below.



Rate Risk

The risk of loss due to changes in the level, slope and curvature of the yield curve, volatility of rates and prepayments.

Foreign Exchange Rate Risk

The risk of loss due to changes in spot and forward prices and the volatility of currency exchange rates.

Equity Risk

The risk of loss due to changes in the prices and the volatility of individual equity instruments and equity indices.

Commodity Risk

The risk of loss due to changes in spot and forward prices and the volatility of precious and base metals.

Market risk mainly arises from activities undertaken by the Bank's Treasury, Foreign Exchange, Equity, Commodity and Money Market portfolios. A Board approved limit structure has been adopted by the Bank to mitigate and monitor its market risk. Further, the BOD and the Management have ensured effective monitoring and management of market risk with the following:

- i. BIRMC reviews market risk policies and limits and approval is obtained from the BOD for any changes necessary. An annual review of treasury related policies and limits also takes place to ensure such policies and limits are in line with regulatory requirements.
- ii. BIRMC and ALCO monitor and manage market risk of the Bank in accordance with the Board approved risk framework.

- iii. Risk Middle Office independently monitors all significant market risks and submits reports to CEO, ALCO and BIRMC.
- iv. Risk Middle Office conducts stress testing for foreign exchange exposures, equity investments, gold facilities and liquidity on a periodic basis. Aggregate level of stress testing is conducted on a quarterly basis.

As required by CBSL, the Bank uses the Internal Measurement Approach to calculate Market Risk under Basel regulations. The Bank maintains quoted equity exposures at fair value with changes in fair value recognised either through Profit or Loss or through Other Comprehensive Income (OCI) and manages those portfolios separately based on the requirements of Sri Lanka Accounting Standards. Market risk for the portfolios is monitored based on a VaR methodology and also using other sensitivity analyses.

OBJECTIVES OF THE METHODOLOGIES USED TO ASSESS MARKET RISK

Value at Risk (VaR)

VaR is a method of measuring market risk based on a common confidence interval and time horizon. It is a statistical estimate of expected potential loss that is derived by translating the risk of any financial instrument into a common standard.

The Bank calculates general market risk and equity specific risk VaR using historical simulation based on 365 days of market data. Changes in VaR between reporting periods are generally due to changes in levels of exposure,

volatilities and/or correlations among asset classes. VaR is also used to evaluate risks arising in certain funding and investment portfolios. Back testing is also an important and necessary part of the VaR process, by validating the quality and accuracy of the Bank's VaR model.

Stress Testing

VaR measures potential losses in normally active markets. Accordingly, stress testing examines the impact that abnormally large swings in market factors and periods of prolonged inactivity might have on portfolios. The stress testing programme is designed to identify key risks and quantify potential losses from abnormal events. The Bank subjects its portfolios to stress tests on a periodic basis, using stress tests based on risk factor sensitivities and specific market events. The stress testing programme is an essential component of the Bank's comprehensive risk management framework which complements the current VaR methodology and other risk measures and controls employed by the Bank. Risk Middle Office conducted the stress testing on an aggregate level and reported to ALCO and BIRMC on a quarterly basis.

Sensitivity Analysis

Sensitivity analysis assesses the effect of changes in rates on current earnings and on the economic value of shareholders' equity. It is applied to each of the major currencies within the Bank's operations.

Risk Management

Gap Analysis

Gap analysis is used to assess the rate sensitivity of the Bank's operations. Under gap analysis, rate sensitive assets and liabilities and off balance sheet instruments are assigned to defined time periods on the basis of expected re-pricing dates.

Rate Risk Analysis

Earnings perspective involves analysing the impact of changes in the profit rate on accrual or reported earnings in the near term, measured by changes in the net financing income. Economic value perspective involves analysing the changes of impact of profit on the expected cash flows on assets minus the expected cash flows on liabilities plus the net cash flows arising from off balance sheet items. The level of profit rate changes is an important factor to choose fixed/floating rate assets/liabilities, their maturities and hedging decisions.

VaR Assumptions

The VaR that the Bank measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market risk positions were to be held unchanged for one day. The use of a 99% confidence level means that, within a one day horizon, losses will be below the VaR limit on average under normal market conditions, for 99 out of 100 days.

Since VaR is an integral part of the Bank's market risk management, VaR figures are reviewed monthly against loss limits by ALCO and at every BIRMC.

In practice, the actual trading results may differ from the VaR calculation and in particular the calculation does not provide a meaningful indication of profits and losses in stressed market situations.

		VaR of Foreign Exchange Exposures (LKR million)	Approved Loss Limits for FX Operations (LKR million)	VaR of Equity Portfolio (LKR million)	Approved Loss Limits for Equity Operations (LKR million)
2020	End December	6.05	11.22	3.01	35
	Daily Average	4.14		3.88	
	High	12.98		4.83	
	Low	0.40		2.99	
2019	End December	1.07	7.27	3.57	35
	Daily Average	3.85		4.75	
	High	9.12		5.46	
	Low	0.28		3.55	

Foreign Exchange Risk

Foreign Exchange Risk is a monetary loss that arises because of unhedged or not fully hedged foreign currency positions. Foreign exchange risk results from imperfect correlations in currency price movements as well as changes in international market rates. Potential large losses could reduce the extent of a bank's foreign investment and also put it at a competitive disadvantage compared to its competitors.

Such risks are primarily due to changes in foreign exchange rates which are managed by setting and monitoring dealer, currency, counterparty and settlement limits for on and off balance sheet instruments.

Foreign exchange exposures in individual currencies are managed in accordance with the limits approved by the BOD. In addition, this is also managed and monitored against the regulatory limits set by CBSL.

The Bank engages in interbank forward transactions to cover positions created due to customer transactions and mismatches in balance sheet positions. In addition, the Bank's activities in the trade financing business result in off balance sheet exposures. Cash flows of currencies are managed by undertaking promissory buy/sell transactions on a matching basis.

The concentration of on and off balance sheet foreign currency risk as at 31 December 2020 and 31 December 2019 are given in the tables shown below:

As at 31 December 2020

Currency	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
	Assets	Liabilities	Net	Assets	Liabilities	Net				
U.S. Dollar	40,656,177	(40,659,986)	(3,809)	125,550,000	(128,430,229)	(2,880,229)	(2,884,039)	-	(2,884,039)	(530,309,736)
Pound Sterling	873,324	(837,205)	36,119	-	-	-	36,119	-	36,119	9,008,970
Euro	219,038	(238,963)	(19,924)	-	-	-	(19,924)	-	(19,924)	(4,587,426)
Japanese Yen	16,862,180	(254,173)	16,608,007	1,200,000	(16,040,610)	(14,840,610)	1,767,397	-	1,767,397	3,208,292
Indian Rupee			-			-	-	-	-	-
Australian Dollar	95,279	(121,806)	(26,526)	-	-	-	(26,526)	-	(26,526)	(3,860,185)
Canadian Dollar	-	-	-	-	-	-	-	-	-	-
Other Currencies										43,453,197
Total Exposure										594,427,806
Total Capital Funds as per 31.12.2020 Financial Statements										12,450,876,388
Total Exposure as a % of Total Capital Funds (should not exceed 30%)										4.77%

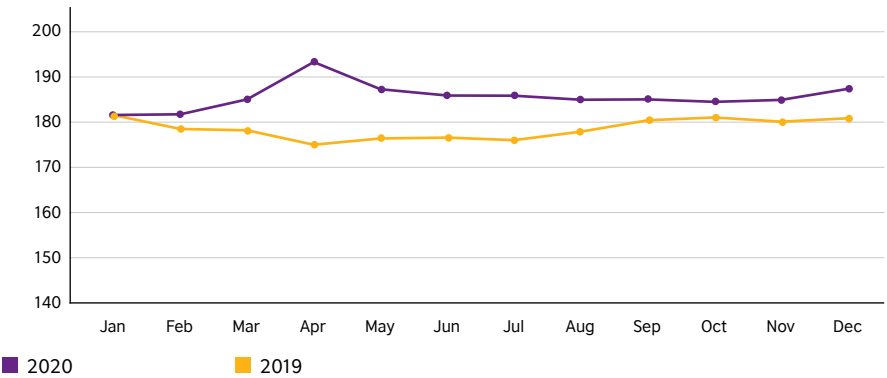
As at 31 December 2019

Currency	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
	Assets	Liabilities	Net	Assets	Liabilities	Net				
U.S. Dollar	105,241,879	(41,851,442)	63,390,436	75,950,000	(139,171,992)	(63,221,992)	168,445	-	168,445	33,506,405
Pound Sterling	1,336,829	(1,269,335)	67,494	60,000	-	60,000	127,494	-	127,494	29,885,343
Euro	457,480	(153,110)	304,370	-	(7,821)	(7,821)	296,549	-	296,549	60,307,702
Japanese Yen	(965,123)	(2,610,599)	(3,575,772)	6,350,000	(1,049,718)	5,300,282	1,724,560	-	1,724,560	2,879,540
Indian Rupee	-	-	-	-	-	-	-	-	-	-
Australian Dollar	337,952	(1444,00)	193,953	-	-	-	193,953	-	193,953	24,665,490
Canadian Dollar	-	-	-	-	-	-	-	-	-	-
Other Currencies										60,442,534
Total Exposure										211,687,013
Total Capital Funds as per 31.12.2019 Financial Statements										11,833,327,210
Total Exposure as a % of Total Capital Funds (should not exceed 30%)										1.79%

Risk Management

During the year 2020, the LKR depreciated by 3.35% against the US Dollar, based on average middle rates.

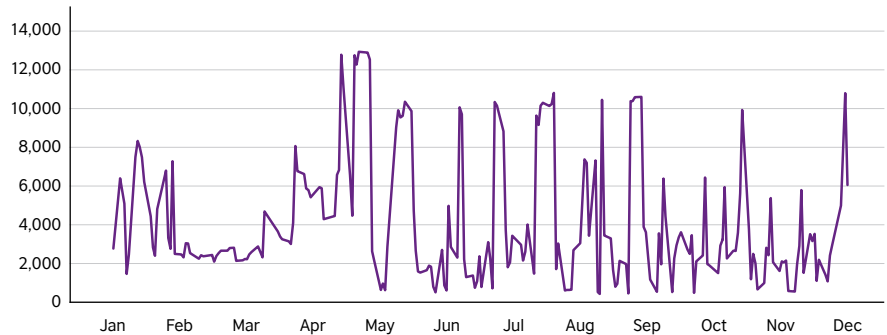
Exchange Rate – USD/LKR (LKR)



Revaluation of all foreign currency assets and liabilities is carried out daily by i-MAL core banking system according to accepted market best practices.

A graph giving daily VaR figures of the foreign currency exposure is given below.

FX VaR 2020 (LKR '000)



Equity Position Risk

The Bank holds equity portfolios for trading and investment purposes. These portfolios expose the Bank to rate risks, credit spread and equity risks. Equity position risk arises due to changes in individual equity prices. The Bank's equity portfolio is held at fair value where such changes in fair value are recognised either through Profit or Loss or Other Comprehensive Income. The portfolio of equity where fair value is recognised through Profit or Loss is purchased with a view to hold them in the short term and equities where fair value is recognised through OCI are purchased in order to hold them in the medium term. Recognition and measurement of these portfolios are in accordance with SLFRS 9 principles.

The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC) and ALCO. The Board of Directors has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the Guidelines issued by CBSL regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The Bank conducts transactions only in white-listed equities.

The sectoral exposure of equity portfolio comparing with previous year is given below:

Equity/Sector	2020		
	Total Cost as at 31 December LKR	Mark-to-Market Value as at 31 December LKR	Maximum Exposure Limit for Sector LKR
Consumer Discretionary	25,029,418	35,402,166	52,500,000
Consumer Staples	5,002,930	4,907,475	87,500,000
Industrials	723,090	1,028,970	70,000,000
Telecommunication Services	22,190,680	22,940,000	87,500,000
Sub Total	52,946,118	64,278,611	
Strategic Investments	143,148,654	288,998,226	
Total Equity Portfolio	196,094,772	288,998,226	
Total Approved Portfolio Limit			710,000,000

Equity/Sector	2019		
	Total Cost as at 31 December LKR	Mark-to-Market Value as at 31 December LKR	Maximum Exposure Limit for Sector LKR
Construction	5,640,000	8,720,000	52,000,000
Beverage & Food	6,543,300	5,002,930	52,500,000
Trading	37,452,822	38,382,705	52,500,000
Telecom	17,267,236	19,885,964	52,500,000
Sub Total	66,903,358	71,991,599	
Strategic Investments	184,685,504	143,946,055	
Total Equity Portfolio	251,588,862	215,937,654	
Total Approved Portfolio Limit			710,000,000

The Bank's Treasury system carries out daily marking to market of the equity portfolio against the closing weighted average prices published by the Colombo Stock Exchange.

Risk Management

A graph indicating the daily VaR figures for Equity portfolio (excluding the strategic investment portfolio) is given below:

Equity VaR 2020 (LKR ‘000)



Rate Risk

Rate risk arising from the Bank’s financing and investment activities is managed in accordance with the Board approved policies and limits, which are designed to control the risk to net financing income and economic value of shareholders’ equity.

Mismatches in maturity of assets and liabilities that mature or are re-priced during a specified time period, does have an impact on the Bank’s exposure to rate risk. In order to manage and mitigate such risks, ALCO reviews the re-pricing of assets and liabilities on a monthly basis. The Bank’s rate risk is limited due to the business model adopted where customer deposits have been taken on the basis of sharing actual profits and losses earned.

However, rate risk is monitored by measuring the impact on rate sensitive maturity gaps with yield curve shifts of parallel and non-parallel nature.

	1 to 30 Days %	1-3 Months %	3-6 Months %	6-9 Months %	9-12 Months %	1-3 Years %	3-5 Years %	5-10 Years %	10-15 Years %	Over 15 Years %	Unclassified %
Scenario I	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
Scenario II	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)
Scenario III	(1.50)	(1.50)	(1.25)	(1.25)	(1.00)	1.00	1.00	1.25	1.25	1.50	1.50
Scenario IV	1.50	1.50	1.25	1.25	1.00	(1.00)	(1.00)	(1.25)	(1.25)	(1.50)	(1.50)
Scenario V	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25

Impact of yield curve shifts on rate sensitive assets and liabilities on contractual and behavioural basis are given below based on the above scenarios:

2020				2019		
Behavioural Basis						
Scenario	Rate Risk (LKR million)	Impact on CAR		Scenario	Rate Risk (LKR million)	Impact on CAR
Scenario I	189.76	0.27%		Scenario I	(106.72)	-0.16%
Scenario II	(412.42)	-0.58%		Scenario II	116.93	0.18%
Scenario III	234.24	0.33%		Scenario III	(164.78)	-0.25%
Scenario IV	(246.91)	-0.35%		Scenario IV	166.32	0.25%
Scenario V	48.42	0.07%		Scenario V	(246.16)	-0.37%
Contractual Basis						
Scenario I	(157.09)	-0.22%		Scenario I	(280.1)	-0.42%
Scenario II	348.04	0.49%		Scenario II	608.49	0.92%
Scenario III	(58.02)	-0.08%		Scenario III	(332.5)	-0.50%
Scenario IV	74.91	0.11%		Scenario IV	351.96	0.53%
Scenario V	(40.25)	-0.06%		Scenario V	(1,259.58)	-1.89%

The details of the impact of 1% increase in market rates on Economic Value of Equity (EVE) and Earnings at Risk (EaR) calculated based on Behavioural and Contractual maturities are given in the table below:

	2020	2019
Economic Value of Equity (EVE) - (100 bps shift)		
Behavioural - % of Total Capital	1.61%	0.94%
- Value in LKR million	189.76	(106.72)
Contractual - % of Total Capital	1.33%	2.47%
- Value in LKR million	(157.09)	(280.10)
Earnings at Risk (EaR) - (100bps shift)		
Behavioural - % of Total Capital	0.35%	0.11%
- Value in LKR million	41.69	12.44
Contractual - % of Total Capital	0.76%	0.67%
- Value in LKR million	(89.81)	(75.83)

Risk Management

MATURITY GAPS OF ASSETS AND LIABILITIES (BEHAVIOURAL BASIS) AS AT 31 DECEMBER 2020

	Upto 3 Months LKR	3 - 12 Months LKR	1-3 Years LKR	3-5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Assets							
Cash and Cash Equivalents	6,859,970,358	-	-	-	-	6,859,970,358	Yes
Balance with Central Bank of Sri Lanka	10,759,959,266	380,975,982	144,759,833	79,342,168	45,433,314	11,410,470,563	Yes
Placements with Banks	551,519,350	11,028,837,371	-	-	-	11,580,356,721	Yes
Placements with Licensed Finance Companies	19,126,502	3,088,942,779	-	-	-	3,108,069,281	Yes
Derivative Financial Assets	21,620,938	206,894,206	-	-	-	228,515,144	Yes
Financial Assets Measured at Fair Value through Profit or Loss	55,921,805	-	-	-	-	55,921,805	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	11,790,207,138	27,386,338,354	13,315,526,727	6,192,563,195	3,882,328,866	62,566,964,280	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	291,991,226	291,991,226	Yes
Other Assets - Financial	294,713,609	719,697,962	34,065,630	-	-	1,048,477,201	Yes
Property, Plant, Equipment and Right-of-Use Assets	-	-	-	-	2,354,607,910	2,354,607,910	No
Intangible Assets	-	-	-	-	257,240,323	257,240,323	No
Other Assets - Non-Financial	51,216,721	341,803,384	16,762,878	-	-	409,782,983	No
Total Assets	30,404,255,689	43,153,490,037	13,511,115,067	6,271,905,363	6,831,601,639	100,172,367,795	
Liabilities							
Due to Banks	1,967,893,100	-	-	-	-	1,967,893,100	Yes
Derivative Financial Liabilities	52,645,467	59,236,378	-	-	-	111,881,845	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	9,233,254,853	43,526,777,193	16,575,803,718	9,065,910,613	5,152,494,611	83,554,240,988	Yes
Other Liabilities - Financial	1,281,518,762	5,843,836	-	-	-	1,287,362,598	Yes
Current Tax Liabilities	-	420,490,984	-	-	-	420,490,984	No
Dividend Payable	6,526,286	-	-	-	-	6,526,286	No
Deferred Tax Liability	-	-	-	-	70,265,535	70,265,535	No
Retirement Benefit Liability	-	-	-	-	170,664,374	170,664,374	No
Other Liabilities - Non-Financial	115,763,735	-	-	-	-	115,763,735	No
Total Liabilities	12,657,602,203	44,012,348,391	16,575,803,718	9,065,910,613	5,393,424,520	87,705,089,445	
Maturity Gap	17,746,653,486	(858,858,354)	(3,064,688,650)	(2,794,005,250)	1,438,177,119	12,467,278,350	

MATURITY GAPS OF ASSETS AND LIABILITIES (CONTRACTUAL BASIS) AS AT 31 DECEMBER 2020

	Upto 3 Months LKR	3 - 12 Months LKR	1-3 Years LKR	3-5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Assets							
Cash and Cash Equivalents	6,859,970,358	-	-	-	-	6,859,970,358	Yes
Balance with Central Bank of Sri Lanka	11,410,470,563	-	-	-	-	11,410,470,563	Yes
Placements with Banks	551,519,350	11,028,837,371	-	-	-	11,580,356,721	Yes
Placements with Licensed Finance Companies	19,126,502	3,088,942,779	-	-	-	3,108,069,281	Yes
Derivative Financial Assets	21,620,938	206,894,206	-	-	-	228,515,144	Yes
Financial Assets Measured at Fair Value through Profit or Loss	55,921,805	-	-	-	-	55,921,805	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	11,790,207,138	27,386,338,354	13,315,526,727	6,192,563,195	3,882,328,866	62,566,964,280	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	291,991,226	291,991,226	Yes
Other Assets - Financial	294,713,609	719,697,962	34,065,630	-	-	1,048,477,201	Yes
Property, Plant and Equipment	-	-	-	-	2,354,607,910	2,354,607,910	No
Intangible Assets	-	-	-	-	257,240,323	257,240,323	No
Other Assets - Non-Financial	51,216,721	341,803,384	16,762,878	-	-	409,782,983	No
Total Assets	31,054,766,985	42,772,514,055	13,366,355,235	6,192,563,195	6,786,168,325	100,172,367,795	
Liabilities							
Due to Banks	1,967,893,100	-	-	-	-	1,967,893,100	Yes
Derivative Financial Liabilities	52,645,467	59,236,378	-	-	-	111,881,845	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	35,373,290,560	26,951,767,310	13,486,759,772	6,070,395,753	1,672,027,593	83,554,240,988	Yes
Other Liabilities - Financial	1,281,518,762	5,843,836	-	-	-	1,287,362,598	Yes
Current Tax Liabilities	-	420,490,984	-	-	-	420,490,984	No
Dividend Payable	6,526,286	-	-	-	-	6,526,286	No
Deferred Tax Liability	-	-	-	-	70,265,535	70,265,535	No
Retirement Benefit Liability	-	-	-	-	170,664,374	170,664,374	No
Other Liabilities - Non-Financial	115,763,735	-	-	-	-	115,763,735	No
Total Liabilities	38,797,637,910	27,437,338,508	13,486,759,772	6,070,395,753	1,912,957,502	87,705,089,445	
Maturity Gap	(7,742,870,924)	15,335,175,547	(120,404,538)	122,167,442	4,873,210,823	12,467,278,350	

Risk Management

MATURITY GAP ANALYSIS FOR LOCAL CURRENCY DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2020

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR	6 - 9 Months LKR	9 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR
Inflows									
Cash in Hand	3,630,767,643	-	-	-	-	-	-	-	3,630,767,643
Balance with Central Bank of Sri Lanka	10,729,153,485	73,718,015	79,653,822	85,739,015	88,968,562	75,263,016	76,239,443	201,735,205	11,410,470,563
Balances Due from Other Banks and Financial Institutions	622,104,706	5,715,000,000	5,025,000,000	950,000,000	1,450,000,000	-	-	-	13,762,104,706
Derivative Financial Assets	228,515,144	-	-	-	-	-	-	-	228,515,144
Investments	347,913,031	-	-	-	-	-	-	-	347,913,031
Overdrafts	313,273,728	313,273,728	313,273,728	313,273,728	313,273,728	870,204,800	870,204,800	870,204,800	4,176,983,040
Financing and Receivables to Other Customers	7,768,545,018	5,329,298,064	3,311,185,746	4,673,534,353	3,357,273,988	10,286,443,184	5,238,535,586	11,498,272,023	51,463,087,962
Non-Performing Advances	-	-	-	-	477,645,144	-	-	1,432,935,431	1,910,580,574
Other Assets	900,497,393	114,439,551	15,393,903	15,393,903	575,184,916	62,403,628	-	2,847,308,021	4,530,621,315
Total (a)	24,540,770,149	11,545,729,358	8,744,507,199	6,037,940,999	6,262,346,338	11,294,314,628	6,184,979,828	16,850,455,479	91,461,043,979
Outflows									
Demand Deposits	1,042,168,119	1,042,168,119	781,626,089	521,084,060	521,084,060	-	-	1,302,710,149	5,210,840,596
Savings Deposits	1,422,958,208	1,462,581,114	1,413,307,957	1,413,537,260	1,421,022,046	7,261,232,174	7,248,103,668	8,431,982,798	30,074,725,224
Balance Due to Other Banks	1,967,893,100	-	-	-	-	-	-	-	1,967,893,100
Derivative Financial Liabilities	111,881,845	-	-	-	-	-	-	-	111,881,845
Time Deposits	2,699,807,749	5,029,320,346	5,945,782,088	6,828,008,796	7,150,587,681	430,738,319	543,658,807	10,882,886,961	39,510,790,746
Profit Payable	29,788,887	46,906,985	53,172,822	59,548,974	61,933,837	55,578,037	56,299,080	139,558,850	502,787,473
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	745,207,721	20,141,511	453,074,318	133,487,321	442,390,790	1,042,092,856	300,269,589	275,787,120	3,412,451,226
Other Liabilities	1,570,211,154	-	-	-	-	-	-	-	1,570,211,154
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	593,135,962	1,186,271,925	1,779,407,887	1,779,407,887	1,779,407,887	-	-	-	7,117,631,547
Letters of Credit/Guarantees/Acceptances	477,331,509	895,194,390	481,213,602	559,154,668	539,349,798	4,329,573	-	-	2,956,573,540
Repo/Bills Rediscounted/Swaps/Forward Contracts	(1,293,117,729)	449,920,212	1,086,482,353	(1,168,750,000)	1,794,598,242	(280,500,000)	-	-	588,633,078
Others	-	-	-	-	-	-	-	11,937,963,358	11,937,963,358
Total (b)	9,367,266,525	10,132,504,601	11,994,067,118	10,125,478,965	13,710,374,340	8,513,470,960	8,148,331,143	32,970,889,236	104,962,382,889
Gap = (a) - (b)	15,173,503,624	1,413,224,757	(3,249,559,919)	(4,087,537,966)	(7,448,028,002)	2,780,843,669	(1,963,351,315)	(16,120,433,757)	(13,501,338,909)
Cumulative Gap	15,173,503,624	16,586,728,381	13,337,168,462	9,249,630,496	1,801,602,494	4,582,446,163	2,619,094,847	(13,501,338,909)	

MATURITY GAP ANALYSIS FOR U.S. DOLLAR DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2020

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR	6 - 9 Months LKR	9 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR
Inflows									
Cash in Hand	461,823	-	-	-	-	-	-	-	461,823
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-	-	-	-
Balances Due from Other Banks and Financial Institutions	14,638,029	-	2,700,000	-	-	-	-	-	17,338,029
Derivative Financial Assets	-	-	-	-	-	-	-	-	-
Investments	-	-	-	-	-	-	-	-	-
Overdrafts	7,382	7,382	7,382	7,382	7,382	20,506	20,506	20,506	98,430
Financing and Receivables to Other Customers	10,858,020	4,734,499	1,035,368	4,749,642	394,497	3,099,575	1,391,562	380,118	26,643,282
Non-Performing Advances	-	-	-	-	20,872	-	-	62,617	83,490
Inter Branch Transactions	-	-	-	-	-	-	-	-	-
Other Assets	5,110	-	17,550	-	-	-	-	-	22,660
Total (a)	25,970,363	4,741,881	3,760,301	4,757,025	422,752	3,120,081	1,412,068	463,241	44,647,713
Outflows									
Demand Deposits	293,587	293,587	220,190	146,794	146,794	-	-	366,984	1,467,935
Savings Deposits	559,527	555,273	560,202	559,769	559,047	2,811,896	2,787,934	2,886,428	11,280,076
Balance Due to Other Banks	59,092	-	-	-	-	-	-	-	59,092
Derivative Financial Liabilities	-	-	-	-	-	-	-	-	-
Time Deposits	7,557,055	5,697,330	3,863,966	4,737,366	2,107,358	20,300	-	5,575,578	29,558,953
Net Inter-Branch Transactions	-	-	-	-	-	-	-	-	-
Profit Payable	54,319	41,845	29,608	35,450	17,845	18,954	18,658	56,631	273,310
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	8,554	-	-	-	-	33,105	-	-	41,659
Other Liabilities	(16,572,894)	-	-	-	-	-	-	-	(16,572,894)
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	-	-	-	-	-	-	-	-	-
Letters of Credit/Guarantees/Acceptances	11,295,261	12,246,793	819,203	104,133	558,826	130,000	-	-	25,154,216
Repo/Bills Rediscounted/Swaps/Forward Contracts	6,905,479	(2,262,524)	(5,773,178)	6,250,000	(9,500,000)	1,500,000	-	-	(2,880,223)
Others	-	-	-	-	-	-	-	2,854,470	2,854,470
Total (b)	10,159,979	16,572,304	(280,009)	11,833,512	(6,110,130)	4,514,254	2,806,592	11,740,091	51,236,593
Gap = (a) - (b)	15,810,384	(11,830,422)	4,040,310	(7,076,487)	6,532,882	(1,394,173)	(1,394,524)	(11,276,850)	(6,588,880)
Cumulative Gap	15,810,384	3,979,962	8,020,272	943,785	7,476,667	6,082,494	4,687,970	(6,588,880)	

Risk Management

SENSITIVITY ANALYSIS FOR LOCAL CURRENCY DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2020

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR	6 - 12 Months LKR	1 - 2 Years LKR	2 - 3 Years LKR	
Inflows							
Cash in Hand	-	-	-	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-	
Balances Due from Other Banks and Financial Institutions	13,204,733,484	-	504,900,000	-	-	-	
Derivative Financial Assets	228,515,144	-	-	-	-	-	
Investments	-	-	-	-	-	-	
Overdrafts	4,176,983,040	-	-	-	-	-	
Financing and Receivables to Other Customers	6,757,544,617	5,849,833,738	4,619,257,879	5,394,076,640	4,946,490,872	7,402,133,014	
Non-Performing Advances	-	-	-	-	190,351,815	-	
Fixed Assets	-	-	-	-	-	-	
Accrued Profit	-	-	-	-	-	-	
Other Assets	-	-	-	-	-	-	
Total (a)	24,367,776,285	5,849,833,738	5,124,157,879	5,394,076,640	5,136,842,687	7,402,133,014	
Outflows							
Demand Deposits	-	-	-	-	-	-	
Savings Deposits	27,205,965,514	105,580,729	56,307,573	120,558,536	238,782,613	237,447,638	
Time Deposits	3,764,221,922	6,924,300,874	8,238,992,657	19,196,794,344	251,053,242	360,499,388	
Other Deposits	-	-	-	-	-	-	
Other Borrowings/Balance Due to Other Banks	300,000,000	-	-	-	-	-	
Derivative Financial Liabilities	111,881,845	-	-	-	-	-	
Profit Payable	-	-	-	-	-	-	
Provisions (Others)	-	-	-	-	-	-	
Capital	-	-	-	-	-	-	
Reserves	-	-	-	-	-	-	
Retained earnings	-	-	-	-	-	-	
Others (Liabilities)	-	-	-	-	-	-	
FRAs	(1,293,117,729)	449,920,212	1,086,482,353	625,848,242	(280,500,000)	-	
Total (b)	30,088,951,552	7,479,801,816	9,381,782,583	19,943,201,122	209,335,855	597,947,026	
Gap = (a) - (b)	(5,721,175,267)	(1,629,968,078)	(4,257,624,703)	(14,549,124,482)	4,927,506,832	6,804,185,988	

	3 - 4 Years LKR	4 - 5 Years LKR	5 - 7 Years LKR	7 - 10 Years LKR	10 - 15 Years LKR	15 - 20 Years LKR	Non Sensitive LKR	Total LKR
	-	-	-	-	-	-	3,630,767,643	3,630,767,643
	-	-	-	-	-	-	11,410,470,563	11,410,470,563
	-	-	-	-	-	-	52,471,222	13,762,104,706
	-	-	-	-	-	-	-	228,515,144
	-	-	-	-	-	-	347,913,031	347,913,031
	-	-	-	-	-	-	-	4,176,983,040
	5,135,961,765	3,674,391,371	2,502,991,482	1,840,473,745	1,130,959,601	550,482,110	-	49,804,596,835
	-	265,278,819	371,468,196	-	-	-	873,534,465	1,700,633,295
	-	-	-	-	-	-	2,611,848,234	2,611,848,234
	-	-	-	-	-	-	1,868,438,408	1,868,438,408
	-	-	-	-	-	-	1,918,773,081	1,918,773,081
	5,135,961,765	3,939,670,190	2,874,459,678	1,840,473,745	1,130,959,601	550,482,110	22,714,216,646	91,461,043,979
	-	-	-	-	-	-	5,210,840,596	5,210,840,596
	242,339,242	220,762,503	449,198,921	541,000,508	567,538,088	89,243,359	-	30,074,725,224
	162,237,060	612,691,260	-	-	-	-	-	39,510,790,746
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	1,667,893,100	1,967,893,100
	-	-	-	-	-	-	-	111,881,845
	-	-	-	-	-	-	502,787,473	502,787,473
	-	-	-	-	-	-	3,412,451,226	3,412,451,226
	-	-	-	-	-	-	5,058,848,667	5,058,848,667
	-	-	-	-	-	-	162,449,804	162,449,804
	-	-	-	-	-	-	6,716,664,887	6,716,664,887
	-	-	-	-	-	-	1,570,211,154	1,570,211,154
	-	-	-	-	-	-	-	588,633,078
	404,576,302	833,453,763	449,198,921	541,000,508	567,538,088	89,243,359	24,302,146,907	94,888,177,802
	4,731,385,463	3,106,216,427	2,425,260,757	1,299,473,237	563,421,513	461,238,751	(1,587,930,261)	(3,427,133,822)

Risk Management

SENSITIVITY ANALYSIS FOR U.S. DOLLAR DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2020

	Up to 1 Month USD	1 - 3 Months USD	3 - 6 Months USD	6 - 12 Months USD	1 - 2 Years USD	2 - 3 Years USD	
Inflows							
Cash in Hand	-	-	-	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-	
Balances Due from Other Banks and Financial Institutions	14,638,029	-	2,700,000	-	-	-	
Derivative Financial Assets	-	-	-	-	-	-	
Investments	-	-	-	-	-	-	
Overdrafts	98,430	-	-	-	-	-	
Financing and Receivables to Other Customers	10,775,815	4,734,984	1,035,368	4,750,128	394,497	1,692,263	
Non Performing Advances	-	-	-	-	-	-	
Fixed Assets	-	-	-	-	-	-	
Accrued Profit	-	-	-	-	-	-	
Other Assets	-	-	-	-	-	-	
Total (a)	25,512,274	4,734,984	3,735,368	4,750,128	394,497	1,692,263	
Outflows							
Demand Deposits	-	-	-	-	-	-	
Savings Deposits	11,107,341	124	5,054	8,521	23,289	12,867	
Time Deposits	8,049,675	6,841,759	5,380,921	6,324,237	2,933,361	29,000	
Other Deposits	-	-	-	-	-	-	
Other Borrowings/Balances Due to Other Banks	-	-	-	-	-	-	
Derivative Financial Liabilities	-	-	-	-	-	-	
Profit Payable	-	-	-	-	-	-	
Provisions (Others)	-	-	-	-	-	-	
Capital	-	-	-	-	-	-	
Reserves	-	-	-	-	-	-	
Retained earnings	-	-	-	-	-	-	
Others (Liabilities)	-	-	-	-	-	-	
FRAs	6,905,479	(2,262,524)	(5,773,178)	(3,250,000)	1,500,000	-	
Total (b)	26,062,495	4,579,360	(387,204)	3,082,758	4,456,649	41,867	
Gap = (a) - (b)	(550,221)	155,624	4,122,572	1,667,370	(4,062,152)	1,650,396	

	3 - 4 Years USD	4 - 5 Years USD	5 - 7 Years USD	7 - 10 Years USD	10 - 15 Years USD	15 - 20 Years USD	Non Sensitive USD	Total USD
	-	-	-	-	-	-	461,823	461,823
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	(0)	17,338,029
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	98,430
	1,407,312	897,046	494,516	378,903	-	-	-	26,560,833
	-	-	-	-	-	-	82,969	82,969
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	82,970	82,970
	-	-	-	-	-	-	22,660	22,660
	1,407,312	897,046	494,516	378,903	-	-	650,422	44,647,713
	-	-	-	-	-	-	1,467,935	1,467,935
	7,179	5,014	41,071	28,232	38,757	2,628	-	11,280,076
	-	-	-	-	-	-	-	29,558,953
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	273,310	273,310
	-	-	-	-	-	-	41,659	41,659
	-	-	-	-	-	-	(1,403,698)	(1,403,698)
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	4,258,168	4,258,168
	-	-	-	-	-	-	(16,513,802)	(16,513,802)
	-	-	-	-	-	-	-	(2,880,223)
	7,179	5,014	41,071	28,232	38,757	2,628	(11,876,429)	26,082,377
	1,400,133	892,032	453,445	350,670	(38,757)	(2,628)	12,526,850	18,565,336

Risk Management

Liquidity Risk

Liquidity risk is the risk that the Bank is unable to meet its financial obligations in a timely manner without incurring high cost.

Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, manage cost of funds, and to enable business units to continue to generate revenue, even under adverse circumstances.

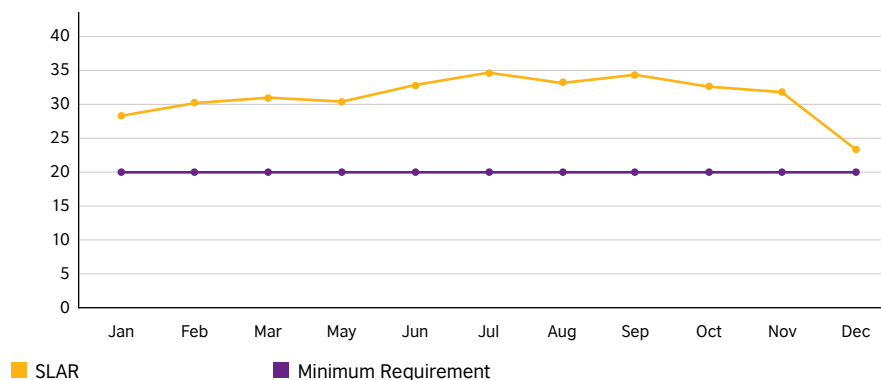
Liquidity risk is managed within the framework of policies and limits that are approved by the BOD. The BOD receives reports on risk exposures and performance against approved limits. ALCO provides senior management oversight of liquidity risk and meets at least monthly to discuss the Bank's liquidity profile.

Adequate liquid assets are maintained by the Bank to ensure that the Statutory Liquid Assets Ratio (SLAR) is maintained in accordance with the regulatory requirements. Liquid assets defined for purposes of the liquidity ratio mainly include cash holdings, bank balances and short-term interbank deposits. The maintenance of SLAR is given below:

Liquid Assets to Liabilities Ratios

	2020	2019
Year-end	23.31%	27.74%
Minimum	23.31%	22.01%
Maximum	34.89%	27.98%

SLAR 2020 (%)



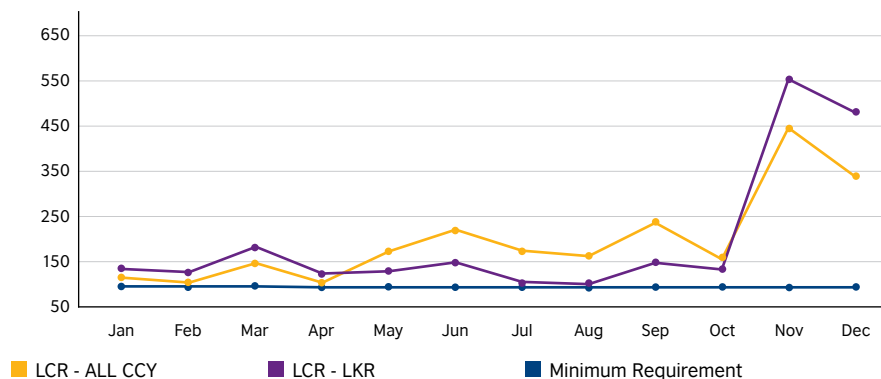
Liquidity Coverage Ratio (LCR)

Regulations require banks to maintain LCR in respect of Rupee Liquidity for local currency operations and All Currency Liquidity for overall operations. This ratio was introduced under Basel III Liquidity Standards and CBSL expects banks to maintain a minimum ratio of 100%. However based on extraordinary regulatory measures due to Covid-19, CBSL reduced the minimum requirement for LCR to 90% until 30 June 2021.

During 2020, the Bank maintained its LCR well above the minimum requirement.

	2020		2019	
	ALL CCY	LKR	ALL CCY	LKR
Year-end	340.28%	483.00%	122.40%	148.14%
Minimum	100.27%	97.00%	103.65%	117.64%
Maximum	450.25%	558.00%	139.25%	199.62%

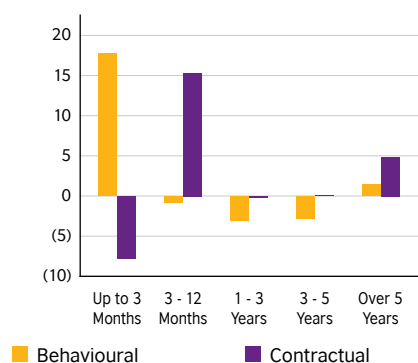
LCR 2020 (%)



Asset and Liability Maturity Gaps

The contractual and behavioural assets and liability maturity gaps as at end of year are indicated below:

Asset and Liability Maturity Gaps (LKR Bn)



Stress Testing

Stress testing is carried out based on Board approved stress testing guidelines and the results are reviewed by BIRMC and ALCO regularly. Stress testing is carried out for areas in relation to exchange exposure, equity portfolio and liquidity to ascertain the impact if the markets faced stressed situations.

i. Foreign Exchange

Amāna Bank's foreign exchange exposure has been stress tested using three scenarios which are based on LKR appreciating/depreciating by 10%, 15% and 20% respectively, in order to assess adverse rate movements of exchange rates, for which the result would impact upon the Capital Adequacy Ratio (CAR). The stress testing results of exchange exposures as of 31 December 2020 are given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Exchange Rate (%)	10	15	20
Net Exposure (LKR)	554,583,160	554,583,160	554,583,160
Exchange Loss (LKR)	55,458,316	83,187,474	110,916,632
Capital Funds - Dec 2020 (LKR)	12,450,876,388	12,450,876,388	12,450,876,388
Capital Adjusted for Loss (LKR)	12,395,418,072	12,367,688,914	12,339,959,756
Risk Weighted Assets - Dec 2020 (LKR)	71,646,116,975	71,646,116,975	71,646,116,975
Adjusted Risk Weighted Assets (LKR)	71,590,658,659	71,562,929,501	71,535,200,343
Revised Capital Adequacy Ratio (%)	17.31	17.28	17.25
Capital Adequacy Ratio as at 31 Dec 2020 (%)	17.38	17.38	17.38
Decline in CAR	0.06	0.10	0.13

ii. Equity Portfolio

Amāna Bank's equity portfolio has been stress tested using three scenarios which are based on a 10%, 20% and 30% reduction in equity prices, in order to assess adverse price movements of equities, for which the result would impact upon the CAR. The stress testing results of the equity portfolio as of 31 December 2020 are given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Equity Price (%)	10	20	30
Market Value of Equity Portfolio (LKR)	207,948,843	207,948,843	207,948,843
Revaluation Loss (LKR)	20,794,884	41,589,769	62,384,653
Capital Funds - Dec 2020 (LKR)	12,450,876,388	12,450,876,388	12,450,876,388
Capital Adjusted for Loss (LKR)	12,430,081,503	12,409,286,619	12,388,491,735
Risk Weighted Assets - Dec 2020 (LKR)	71,646,116,975	71,646,116,975	71,646,116,975
Adjusted Risk Weighted Assets (LKR)	71,625,322,091	71,604,527,207	71,583,732,322
Revised Capital Adequacy Ratio (%)	17.35	17.33	17.31
Capital Adequacy Ratio as at 31 Dec 2020 (%)	17.38	17.38	17.38
Decline in CAR	0.02	0.05	0.07

iii. Liquidity

The Bank's ability to maintain regulatory liquidity requirements is undertaken based on stress testing due to the concentration of liquidity which could lead to the impact of large outflows due to customer withdrawals.

Risk Management

OPERATIONAL RISK MANAGEMENT

Management of Operational Risk

Operational Risk is defined as the risk of losses resulting from inadequate or failed internal processes, people and systems or from external events, which includes legal risk. This definition excludes Strategic and Reputation Risks. Therefore, in line with Basel's risk management framework and leading practices, operational risk in the Bank comprises of the following risk types: operations risk, legal risk, regulatory compliance risk, financial crime risk, people risk, property risk, technology risk, vendor risk, financial risk and environmental risk. While the overall Operational Risk management responsibility is with RMD, different departments such as Legal, Compliance and IT manage the individual risks, which can be classified as operational risk.

Operational Risk exposure is managed through a comprehensive set of internal controls and management processes that include risk assessment (identification, description and estimation), risk evaluation, reporting, mitigation, residual risk reporting and monitoring & control associated with the Bank's business operations as an on-going activity. Operational Risk is recognised as a distinct risk category, which the Bank strives to manage within acceptable levels through sound operational risk management practices. The Bank's approach to managing Operational Risk is to adopt practices that are fit and prudent to suit the organisational maturity and relevant business environments.

Managing Operational Risk forms a part of the day to day responsibilities of management at all levels. The objectives in managing Operational Risk are to increase the efficiency and effectiveness of the Bank's resources, minimise losses and optimise opportunities. The Bank's framework defines the minimum requirements for Operational Risk management and is supported by specific policies and procedures. Business units implement the Bank's framework, policies and procedures but may customise these to better suit the Bank's unique model.

Business unit/line management as the first line of defence is ultimately responsible for managing risks that arise within the scope of their respective areas. Both centralised and decentralised Operational Risk management functions are independent from business line management and work in partnership as the second line of defence. Their role is to monitor, manage and report on risks to ensure Operational Risk exposure remains within the policy parameters as mandated by the BOD and Senior Management. These independent functions are also responsible for developing and implementing the Operational Risk management framework and for promoting sound risk management practices across the Bank. Internal Audit is the Bank's third line of defence and performs an independent review of the Operational Risk management framework, policies and practices to ensure that Operational Risk practices are adequate, comprehensive, consistent and efficiently implemented.

Operational Risk Identification



As shown in the above diagram, risk management starts with risk identification. Risks that have the potential to affect the Bank are identified through analysis of internal factors, such as key control lapses and external factors such as environmental threats.

The Bank has established different processes that identify the nature and types of Operational Risk and their causes along with resulting effects on the Bank. Proper Operational Risk identification supports the reporting and maintenance of capital for Operational Risk exposure and events, facilitates the establishment of mechanisms to mitigate or control the risks, and ensures that management is fully aware of the sources of emerging Operational Risk loss events.

Risk identification is performed at all levels of units in the Bank. Risks that have the potential to impact the Bank is identified through analysis of internal factors and external factors. Risk identification takes into consideration the following:

- risks arising from control lapses
- risks identified through root cause analysis of operational events in a timely manner
- risks arising from potential infrequent but severe events
- risks arising from change initiatives
- external events with risk implications to the Bank

The Bank uses the following tools for Operational risk identification:

Risk Control and Self-Assessments

Risk Control and Self-Assessment (RCSA) is a structured means for a business line, supporting unit, product line or process to identify and assess its own risks and introduce measures aimed at improving risk control. It focuses on Operational Risks. In addition, the ownership of key risks - and measures introduced to mitigate unacceptable risk exposure - is clearly defined.

RCSA is conducted by staff of the Bank's unit being assessed (i.e. those who know the process best) with the guidance of the Operational Risk Management Unit. As a consequence, RCSA has been introduced to all Business and Support units of the Bank, which is regarded as an effective Operational Risk Management tool. On-going monitoring of identified operational risk exposures through RCSA takes place via Operational Risk Management Committee. Further, regular feedback and guidance are received from Management and Board sub Committees for continuous improvement of the RCSA process.

RCSAs will assist business and support units to self-identify and assess operational risks for certain key processes for which they are responsible. RCSA will also help to address those risks by evaluating the effectiveness of controls and, if necessary, establishing action plans to address any identified process gaps.

Since the business units have expertise in their functions and processes, Operational Risk coordinators of respective units, conduct the RCSA which is reviewed and evaluated by RMD along with the heat map for escalation to the Management and Board Sub-Committees for their comments and suggestions.

Key Risk Indicators

The function of Key Risk Indicators (KRI) is to allow the early detection of Operational Risk before actual failure occurs. It serves as an early warning signal for the Bank to initiate proactive controls or preventive measures for risk exposures.

Data collection, analysis and reporting of key risk indicators are carried out on a periodic basis along with root cause identification and follow-up on corrective actions. In the event of a threshold breach, it is escalated to ORMC to oversee and recommend required remedial actions. Exceptions identified through data collection are reported to BIRMC for its review. Further, a KRI Dash board covering Credit Risk, Market Risk and Operational Risk is circulated to the BIRMC for its review on a monthly basis.

New KRIs are identified based on the historical data, scenarios, and potential risk exposures identified through risk assessment.

Risk Management

Internal Operational Risk Events and Losses

Departments report all Operational Risk events and losses to the Operational Risk Management Unit which maintains a centralised database on all internal risk events and losses (both historical and current). This data is then classified into various risk categories.

Loss event database is maintained in line with Basel regulations and CBSL requires the Bank to identify operational loss trends from internal loss data collection and prepare analysis for management reporting. Root cause of operational losses to facilitate control/process/system improvements are identified and monitored for resolution.

External Risk Events Data

External events which have Operational Risk implication to the Bank are monitored as a source of potential Operational Risk.

New/Change Initiatives Risk Analysis

Operational risks are identified and assessed in the evaluation and implementation of new/change initiatives such as new products, strategies, strategic partnerships and projects.

In line with Amāna Bank's goal towards Digitalisation of customer servicing tools, the Bank has set up a dedicated team to drive Digital Banking Projects. Thus digitalisation enables upgraded service delivery to the customer and since Cyber Risk and Technology Risk have emerged as significant risks in the recent past, respective stakeholders are working together with Information

Technology and Digital Banking Team to understand and minimise the vulnerability to Cyber Risk and Technology Risk.

Operational Risk Assessment

All risks identified are assessed using the Operational Risk grading matrix. Risks are assigned risk grades (high, medium and low) based on the assessments of likelihood and impact of the risks. Impact is assessed qualitatively and quantitatively against the Operational Risk tolerance and limits set for the five dimensions of impacts: financial, reputational, regulatory, human resources and business disruption. The use of the said dimensions ensures a comprehensive assessment of the impact.

The risk grades of the assessed risks reflect the status of adherence to the risk appetite of the Bank. Qualitative and quantitative methodologies and tools are applied to identify and assess operational risks and to provide management with information for determining appropriate mitigating measures.

Operational Risk Mitigation and Control

All risks must have mitigation plans established to reduce the inherent risks within the risk appetite of the Bank. Actions to mitigate or control identified risks are prioritised based on assessed impact of the risks, and are directed at the root cause of the risk. All action plans are assigned to owners. Mitigation plans are captured and progress is monitored. Risk grades are reassessed periodically to appropriately reflect

changes in the environment and the progress of the mitigation plans.

There are different levels of operational controls in the Bank. The following levels of control are distinguished in this respect:

- Individual level
- Management control
- Assessments carried out by specialist units such as Internal Audit, Sharia Audit and Compliance.
- Assessments carried out by external parties (External Auditors and Supervisory Authorities).

Together, these four levels of risk control form the basis for the Operational Risk control system.

The Banking industry uses insurance as a highly developed operational risk management and mitigation tool. Insurance (Takaful) policies of the Bank are reviewed on a periodic basis and the same process is monitored by Operational Risk Management through RCSCA as the use of insurance helps to transfer the risk on low frequency and high severity losses that might occur as a result of events such as fire, theft, damage to physical assets by natural disaster, etc.

Operational Risk Monitoring

The final step of the risk management process is to monitor unresolved risks until the point when the risk exposures are within the risk appetite of the Bank. This involves periodic reassessment of risk grades to capture changes in environment that may increase or decrease potential impact of the risks.

Risk reviews on new products, processes and external suppliers including outsourced service providers are undertaken by the Bank. Outsourced activities are carried out based on CBSL guidelines from the Direction on Outsourcing of Business Operations of Licensed Commercial Banks. A report on outsourced activities is submitted to CBSL on a periodical basis.

Details of Outsourced Activities

To be the catalyst for alternate banking industry in Sri Lanka, the Bank has focused its efforts on its strengths and therefore is constantly exploring ways to refine its operations whilst outsourcing non-critical areas wherever possible. With a view to streamline the processes and activities of the Bank and to facilitate transactions that would give a competitive advantage, the Bank continued to seek outsourcing options. This process is guided by a well-defined policy on outsourcing functions and falls under the purview of Administration function of the Bank.

The implementation of the Outsourcing Policy is monitored to ensure compliance with CBSL Directive No.7 of 2010 on Outsourcing of Business Operations of Licensed Commercial Banks and related guidelines. Under the provisions of the policy, the below mentioned areas are the outsourced activities of the Bank.

Service	Basis of Payment
Corporate Web Site Maintenance	Per annum
Seizing of Vehicles	Per Service
Cash Management	Based on agreed tariff
Tax Consultancy Services	Per service transaction / Per assignment
Actuarial Services	Per assignment
Central Mail room	Number of mails processed
Data Entry	Per document
ATM /VISA PIN Mailer Stuffing	Number of mails processed
Legal Process	Per assignment
Data Centre UPS System Maintenance	Per annum
Registrars to the Bank	Monthly Fee
Bank CSIRT SLA	Per annum
CEFTS	Per annum
Cash Transportation	Transport - Per agreed rate based on the distance Counting - Per bundle
Cheque book printing	Per cheque book
Payroll functions	Monthly Fee
Central Alarm system	Based on agreed tariff
Archiving Documents	Per carton
Valuation of Vehicle	Based on agreed tariff
DCC Scanner Hardware Maintenance	Per annum

The Bank conducts detailed KYC and due diligence tests prior to selecting a new service provider or renewing an existing contract. A comprehensive report on all such outsourced activities is annually submitted to CBSL for their review.

Managing Operational Risks in New Product Development

A process is in place to identify the operational risks of new products along with possible mitigants prior to launch of such products. Risk management is a key aspect of product development, as the Bank thrives on innovation to deliver new products that would cater to the growing and evolving needs of Consumer, SME and Corporate customers. A Product Development Policy approved by the Board of Directors is in place that outlines the policies and activities to be undertaken in respect of Product Development.

Risk Management

Information Security Risk

Information Security Risk is the Risk of exposure to a threat, which arises due to the existence of vulnerabilities in information assets. Bank has initiated a holistic Data Protection programme covering Data Classification, Data Leakage Prevention, Encryption, Network Access Control, Mobile Device Management, Rights Management and Database Security solutions to protect key customer data and to prevent breaches that adversely affect the business and customers. The Bank has implemented numerous risk mitigation techniques to maintain and improve its brand value and strengthen business. The Bank has also invested on Data Protection programmes in strengthening the trust of relevant stakeholders.

Business Continuity Management (BCM)

As an integral component of the risk management framework, the Bank has deployed a Business Continuity Policy which enables it to plan the Business Continuity in a desired manner while identifying the critical Business units and Support units, formulating key roles with required responsibilities in order to act upon adequately in the event of a disaster. This planning is done annually fulfilling the requirement of regulatory guidelines and best practices in BCM. The Bank's Business Continuity Plan (BCP) is structured to ensure centralised monitoring & reporting and decentralised execution, which is supported by a robust governance process.

The BCPs developed are backed by infrastructure to support key services, core systems and critical business functions.

The Business Continuity Management Policy approved by the Board of Directors defined the roles and responsibilities of different departments/units of the Bank during a contingency situation. The Bank's Executive Risk Management Committee (ERMC) acts as a BCM Steering Committee that establishes appropriate strategies and processes for continuity of the Bank. The BCM Working Committee is appointed by the BCM Steering Committee to implement the BCM Policy.

The Bank gives primary importance to ensuring safety of its stakeholders. In this regard, depending on the crisis situation, Management appoints the Incident and Crisis Management team who is responsible for response and recovery activities. The Bank's BCP is periodically reviewed to accommodate organisational changes and ensure Business Continuity Plan is tested minimum once a year. During the pandemic, the Bank put in place various strategies and processes such as work from home/alternate sites, remote access, video conferencing and etc. to enable continuity of critical services and operations while ensuring strict adherence to the health and safety guidelines.

Responding To the Covid-19 Pandemic

With the outbreak of Covid-19 pandemic, the Bank proactively put in place a plan on systems and people readiness which ensured that the Bank's core operations continued with minimal interruptions, assisting internal and external stakeholders of the Bank during the crisis situation that the country experienced.

All members engaged in critical operations were provided with remote access to Bank's networks and worked from home when the country went into a lockdown or as and when quarantine curfew was imposed during the 2nd wave of the pandemic. Critical operations were also performed from remote locations and arrangements were made for staff within their functions to work from different locations, to ensure safety of staff and continuity of operations/processes at the same time.

BCP Testing/Activation Drills

The BCM team of the Bank identified alternative locations for selected units/functions and successfully conducted BCP/Disaster Recovery (DR) Testing in March 2020 from such locations in respect of its Critical Business Functions and in line with regulatory requirements.

Report on results of the BCP/DR Drill with business and support units, issues encountered, lessons learnt and risk mitigation measures adopted during the testing process were reported to the Regulator with the review and recommendations of BIRMC and approval of the BOD well within stipulated deadlines.



We were honoured to receive
recognition for our leadership and
innovation, by being ranked 11th in
the Ranking Index of Most Awarded
Sri Lankan Entities...
RESILIENCE, OUR WAY

Corporate Governance

CORPORATE GOVERNANCE AT THE BANK

Amāna Bank firmly believes in good corporate governance. Good corporate governance is a necessary condition above and beyond the legal and regulatory requirements, which is the system of rules, processes and practices that guide corporate behaviour. This is the foundation for financial integrity, sustainable performance and investor confidence.

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance of Licensed Commercial Banks in Sri Lanka issued by the Central Bank as the chief regulator, along with the Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

Amāna Bank is firmly rooted in its values to ensure optimum management of compliance risk and ensure that tacit governance is practiced. This includes the need to constantly seek new avenues in ensuring that Compliance consists of going beyond mere regulatory compliance. The Bank has kept Corporate Governance at the forefront of its activities by actively and emphatically promoting ethics training, practicing and demonstrating

our values in action and by recognising employees who are determined to live the Bank's values in the most coherent and cohesive manner. This includes leveraging the different platforms available to the Bank such as whistleblowing, encouraging engagement and constructive criticisms at all levels and forums including, but not limited to, a number of We Care initiatives as well as training and awareness sessions. After the launch of the interactive E-Learning module for Whistleblowing last year, our staff were actively involved in completing such modules showing great enthusiasm for learning and development.

The Board Sub-Committees are in place to assist the Board's responsibilities with the Corporate Governance principles. The Board of Directors is fully committed to ensure that good governance is practiced right from the apex and have presented their report to shareholders on pages 161 to 165 in this Annual Report. The detailed report is set out below on Bank's compliance with the requirements of sound governance as set out by Direction No. 11 of 2007 issued by Central Bank of Sri Lanka and subsequent amendments thereof. Accordingly, during the period under review the Bank was in compliance with all of the provisions of the above direction.

Statement of External Auditors

The External Auditors have performed an audit of agreed upon procedures on the Corporate Governance Principles from 3(1) to 3(8) specified in Banking Act Direction No. 11 of 2007 and amendments thereto on Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka.

Rule Number	Rule	Status of Compliance
3 (1)	THE RESPONSIBILITIES OF THE BOARD	
3 (1) (i)	The Board shall strengthen the safety and soundness of the Bank by ensuring the implementation of the following:-	
3 (1) (i) (a)	Approve and oversee the Bank's strategic objectives and corporate values and ensure that these are communicated throughout the Bank.	Complied. The strategic objective and corporate values of the Bank are incorporated in the Board approved Strategic Plan. Annual Budget has been approved by the Board and prepared based on the Strategic Plan. Strategic objectives and Corporate values are assessed at regular meetings with the Management Committee and cascaded down to all staff levels by each Management Committee member through regular meetings, briefings and discussions.
3 (1) (i) (b)	Approve the overall business strategy of the Bank, including the Risk Policy and Risk Management procedures and mechanisms with measurable goals, for at least for the next three years.	Complied. The Bank's overall Strategic Plan was prepared for the next five years which includes business strategy and measurable goals were approved by the Board subsequent to detailed deliberation. This includes the financial projections too. Board approved Integrated Risk Management (IRM) Framework includes risk management procedures, mechanism and measurable goals based on the Strategic Plan. These are monitored regularly and annually reviewed to dynamically and effectively manage the risk appetite of the Bank.
3 (1) (i) (c)	Identify the principal risks and ensure implementation of appropriate systems to manage the risks prudently.	Complied. A stringent risk management process has been established in the Risk Policy and appropriate strategies have been adopted according to Bank's risk appetite. The Board Integrated Risk Management Committee (BIRMC) uses a comprehensive dashboard to monitor the IRM Framework prudently and reports to the Board through a well-structured Risk reporting system. BIRMC Chairman's report consisting of deliberation and minutes of the BIRMC are submitted to the Board periodically. The Board has a process where Board members discuss new strategies and products in detail, which is to be introduced during the year.
3 (1) (i) (d)	Approve implementation of a policy of communication with all stakeholders, including depositors, creditors, shareholders and borrowers.	Complied. A comprehensive communication policy approved by the Board is in place. This covers the communication to all stakeholders, depositors, creditors, shareholders and clients.

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Rule Number	Rule	Status of Compliance
3 (1) (i) (e)	Review the adequacy and the integrity of the Bank's internal control systems and management information systems.	Complied. Board Audit Committee (BAC) reviews the adequacy and the integrity of the Bank's internal control system and management information system (MIS) on a regular basis. The adequacy and the integrity of the Bank's internal control system and MIS are determined by the Internal Audit Department regularly who submit a report to the BAC. The Board and the BAC have examined the report for 2020 and have expressed their satisfaction on the adequacy and integrity of the MIS.
3 (1) (i) (f)	Identify and designate Officers Performing Executive Functions of Licensed Commercial Banks (LCB) as referred to in the Banking Act Determination No. 01 of 2019 on Assessment of Fitness and Propriety of Chief Executive Officer and Officers Performing Executive Functions in Licensed Banks.	Complied. The Bank has identified and designated Key Management Personnel (KMP) as per the Banking Act Determination No. 01 of 2019. The CEO, CFO, SVPs, VPs, Chief Compliance Officer, Head of Legal, Company Secretary, Chief Information Officer, Chief Internal Auditor and Chief Risk Officer have been identified as KMP as per the CBSL Guideline.
3 (1) (i) (g)	Define the areas of authority and key responsibilities for the Board Directors themselves and for Key Management Personnel.	Complied. Segregation of duties and authorities between the Board of Directors and KMPs is in place, where Directors are responsible for strategic decisions and the KMPs are responsible for carrying out the decisions. Article 29 of the Bank's Articles of Association, stipulates the authority and key responsibilities of the Board of Directors. Board approved functions and responsibilities of the CEO are in place. Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the BNC and approved by the Board. Delegated authorities of the KMPs have been approved by the Board through the amendment to the Credit Risk Policy.

Rule Number	Rule	Status of Compliance
3 (1) (i) (h)	Ensure that there is appropriate oversight of the affairs of the Bank by Key Management Personnel that is consistent with Board's policy.	Complied. Board of Directors has oversight on the KMPs at Board and Board sub-committee meetings, where KMPs are called or present to make regular presentations to the Board on matters under their purview and explain matters relating to their concerns. All policies are also reviewed and approved by the Board, thereby ensuring appropriate Board oversight.
3 (1) (i) (i)	Periodically assess the effectiveness of the Board of Directors' own governance practices, including (i) the selection, nomination and election of Directors and Key Management Personnel: (ii) the management of conflicts of interest and (iii) the determination of weaknesses and implementation of changes where necessary	Complied. The Board Nomination Committee (BNC) is delegated with the functions of selecting, nominating and election of Directors and KMPs in line with the approved Terms of Reference (TOR) of the BNC by the Board. Further, Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors Article 34 of the Bank's Articles of Association cover Directors' interests and a Directors' interest register is maintained at the Board meeting. Furthermore, management of conflict of interest is covered in the Board approved Policy of Related Party transactions. Bank has a self-evaluation process in place for the Board of Directors, which evaluates the Directors' own governance practices. The Company Secretary submits a summary of the self-evaluation to the Board for their review and action if necessary.
3 (1) (i) (j)	Ensure that the Board has an appropriate succession plan for Key Management Personnel	Complied. A succession plan for Key Management Personnel approved by the Board is in place.
3 (1) (i) (k)	Meet regularly, on a needs basis, with the Key Management Personnel to review policies, establish communication lines and monitor progress towards corporate objectives.	Complied. KMPs are called or present to make regular presentations to the Board or Board Sub-Committees relating to matters under their purview and bring up any concerns, thus, establishing communication and monitoring progress towards corporate objectives. All policies are also reviewed and approved at the Board, thereby ensuring appropriate Board oversight.

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Rule Number	Rule	Status of Compliance
3 (1) (i) (l)	Understand the regulatory environment and ensure that the Bank maintains an effective relationship with regulators	Complied. The Company Secretary is statutorily responsible for communications with the Registrar of Companies and also furnishes the Board Orientation Pack which includes CBSL guidelines, Regulatory guidelines, determinations and rules of Corporate Governance to a new Director for his/her information, on being appointed to the Board. An awareness programme was conducted by Senior Partner of Ernst & Young on regulations concerning Related Party Disclosures on 17 October 2020. The Chief Compliance Officer (CCO) submits quarterly Compliance report to the Board through BIRMC that assists the Board to identify the regulatory environment and requirements. Furthermore, the CCO also updates the BIRMC with the latest regulatory changes on a quarterly basis which is escalated to the Board for their information. Board ensures that effective relationships with the regulators are maintained by way of active participation at the meetings with the regulators by the CEO and Board members.
3 (1) (i) (m)	Exercise due diligence in the hiring and oversight of external auditors.	Complied. The Board has delegated this process for hiring and oversight of the External Auditors to the BAC as per the approved TOR of the BAC. Furthermore, Article 44 of the Bank's Articles of Association covers the appointment of the External Auditors who are appointed at the Annual General Meeting (AGM).
3 (1) (ii)	The Board shall appoint the Chairman and the Chief Executive Officer and define and approve the functions and responsibilities of the Chairman and the Chief Executive Officer in line with direction 3 (5) of these directions	Complied. The functions and responsibilities of the Chairman and CEO are appropriately defined and approved by the Board in line with Direction 3 (5). The positions of the Chairman and CEO are separated.

Rule Number	Rule	Status of Compliance
	BOARD PROCEDURE	
3 (1) (iii)	The Board shall meet regularly and Board meetings shall be held at least twelve times a year at approximately monthly interval. Such regular Board meetings shall normally involve active participation in person of a majority of Directors entitled to be present. Obtaining the Board's consent through the circulation of written resolutions/papers shall be avoided as far as possible.	Complied. The Board ensures that it meets on a regular basis and has held twelve (12) meetings during the year. There were six (6) circular resolutions passed for the year which was subsequently ratified by Board.
3 (1) (iv)	The Board shall ensure that arrangements are in place to enable all Directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of business and the management of risks of the Bank.	Complied. Agenda, Minutes and Board Papers are forwarded to the Directors in line with Corporate Governance directive and Board approved procedure, which enables the Directors to raise matters related to promotion of business and the management of risk and inform such matters and proposals to the Board Secretary to include in the Board meetings.
3 (1) (v)	The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all Directors an opportunity to attend. For all other Board meetings, reasonable notice may be given.	Complied. Board Meeting Notice and Board Papers are circulated at least 7 days prior to the Board meeting to the Directors providing them an opportunity to attend the meeting.
3 (1) (vi)	The Board procedure shall ensure that a Director, who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a Director. Participation at the Directors' meetings through an alternative Director shall, however, be acceptable as attendance.	Complied. The Board Meetings have been duly attended and the Directors have attended the required number of the meetings during the year 2020 in accordance with the Corporate Governance code. The attendances of the Directors are set out in Page 153 of the Annual Report.
3 (1) (vii)	The Board shall appoint a Company Secretary who satisfies the provisions of Section 43 of the Banking Act No 30 of 1988, whose primary responsibilities shall be to handle the secretarial services to the Board and shareholder meetings and to carry out other functions specified in the statutes and other regulations.	Complied. The Board has appointed a Company Secretary, a Fellow of the Institute of Chartered Secretaries UK and a Fellow of the Chartered Corporate Secretaries of SL who satisfies the provisions of Section 43 of the Banking Act No. 30 of 1988 (as amended).
3 (1) (viii)	All Directors shall have access to advice and services of the Company Secretary with a view to ensure that Board procedures and all applicable rules and regulations are followed.	Complied. All Directors have equal opportunity to access the Company Secretary to advice and services. A Board approved policy is in place in this regard.

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Rule Number	Rule	Status of Compliance
3 (1) (ix)	The Company Secretary shall maintain the minutes of the Board meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any Director.	Complied. Comprehensive minutes of the Board meetings are maintained by the Company Secretary and there is a Board approved procedure that enables all Directors to have access to such minutes as per the Corporate Governance code.
3 (1) (x)	Minutes of Board meetings shall be recorded in sufficient detail so that it is possible to gather from the minutes, as to whether the Board acted with due care and prudence in performing its duties. The minutes shall also serve as a reference for regulatory and supervisory authorities to assess the depth of deliberations at the Board meetings. Therefore, the minutes of a Board meeting shall clearly contain or refer to the following; - A summary of data and information used by the Board in its deliberations. - The matters considered by the Board. - The fact-finding discussions and the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence. - The testimonies and confirmations of relevant executives which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations. - The Board's knowledge and understanding of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted. - The decisions and Board resolutions.	Complied. Comprehensive Minutes of the Board meetings are recorded with sufficient details and maintained by the Company Secretary in order to enable the assessment made of the depth of the Board deliberation, decisions, matters considered by the Board and also on approval of resolutions. The Board minutes also captures the fact-finding discussions, compliance with Board's Strategies and Policies and adherence to relevant laws and regulations. The understandings of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted are also captured in the Board minutes.
3 (1) (xi)	There shall be a procedure agreed by the Board to enable Directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the Bank's expense. The Board shall resolve to provide separate independent professional advice to Directors to assist the relevant Director or Directors to discharge his/her/their duties to the bank.	Complied. A Board approved procedure is in place for Directors to obtain independent professional advice in appropriate circumstances, at the Bank's expense.

Rule Number	Rule	Status of Compliance
3 (1) (xii)	Directors shall avoid conflicts of interests, or the appearance of conflicts of interest in their activities with, and commitments to, other organisations or related parties. If a Director has a conflict of interest in a matter to be considered by the Board, which the Board has determined to be material, the matter should be dealt with at a Board meeting, where Independent Non-Executive Directors who have no material interest in the transaction, are present. Further, a Director shall abstain from voting on any Board resolution in relation to which he/she or any of his/her close relation or a concern, in which a Director has substantial interest, is interested and He/She shall not be counted in the quorum for the relevant agenda item at the Board meeting.	Complied. The Board approved Policy of Related Party Transactions includes provision to manage avoiding conflicts of interests, or the appearance of conflicts of interest, which is in accordance to the Corporate Governance Direction No. 11 of 2007. This procedure further evidences that the Director concerned is to abstain from voting and not participate in the discussion in a relationship / concern in which he has an interest. Furthermore, the Director disclosures of interest (if any) are tabled at Board meetings and a register is maintained by the Board Secretary to record such interests and recorded in the Board minutes. In line with the procedure, the Directors abstain from participating in discussions, opinion or approving situations where there is a conflict of interest. The concerned Director shall leave the room during the time of discussion and approval on the subject matter in which the Director has an interest. Such Director is not counted in the quorum.
3 (1) (xiii)	The Board shall have a formal schedule of matters specifically reserved to it for decision to ensure that the direction and control of the Bank is firmly under its authority.	Complied. The Board has a formal schedule of matters specifically reserved to the Board for its decision to ensure that the direction and control of the Bank is within the Board's authority.
3 (1) (xiv)	The Board shall, if it considers that the Bank is, or is likely to be, unable to meet its obligations or is about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith inform the Director of Bank Supervision of the situation of the Bank prior to taking any decision or action.	Complied. Such a situation has not arisen during the year 2020. The Board is aware of the requirement to inform the Director of Bank Supervision if such a situation arises at the Bank prior to taking any decision or action in this regard.
3 (1) (xv)	The Board shall ensure that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential grounds.	Complied. The Bank is in compliance with the regulatory and prudential requirements relating to Capital Adequacy Ratio as specified by the Central Bank of Sri Lanka (CBSL). Furthermore, the Board monitors the Capital Adequacy Ratio and other prudential requirements on a monthly basis.

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Rule Number	Rule	Status of Compliance
3 (1) (xvi)	The Board shall publish in the Bank's Annual Report, an annual corporate governance report setting out the compliance with Direction 3 of these Directions.	Complied. The Corporate Governance Report is published on Pages 120 to 153 of the Annual Report.
3 (1) (xvii)	The Board shall adopt a scheme of self-assessment to be undertaken by each Director annually, and maintain records of such assessments.	Complied. The Board has a process of self-assessment of each Director which is performed by the Directors annually and is filed with the Company Secretary.
3 (2)	THE BOARD'S COMPOSITION	
3 (2) (i)	The number of Directors on the Board shall not be less than 7 and not more than 13.	Complied. The Board comprises of 11 Directors which is in line with the regulation.
3 (2) (ii)	The total period of service of a Director other than a Director who holds a position of a Chief Executive Officer shall not exceed nine years, and such period in office shall be inclusive of the total period of service served by such Director up to 1st January 2008.	Complied. During the year 2020, retirement of Directors who completed the Statutory 9 year period are as follows; • Mr. Osman Kassim (Founder Chairman - 10 August 2020) • Mr. Tyeab Akbarally (Former Deputy Chairman - 18 July 2020) • Mr. Mohamed Jazri Magdon Ismail (Former Senior Director - 10 August 2020) • Mr. Harsha Amarasekara, PC (Former Director - 17 February 2020) Resigned Dr. Mostafa Hassan Mohamed Hassan Al Sabban (Former Director - 15 February 2020)
3 (2) (iii)	An employee of a Bank may be appointed, elected or nominated as a Director of the Bank (hereinafter referred to as an "Executive Director") provided that the number of Executive Directors shall not exceed one-third of the number of Directors of the Board. In such an event, one of the Executive Directors shall be the Chief Executive Officer of the Bank.	Complied. There are no Executive Directors on the Board, thus the Bank complies with the requirement.

Rule Number	Rule	Status of Compliance
3 (2) (iv)	The Board shall have at least three Independent Non-Executive Directors or one third of the total number of the Directors, whichever is higher. This sub-direction shall be applicable from 1st January 2010 onwards. A Non-Executive Directors shall not be considered independent if he/she has; - directly and indirectly shareholdings of more than 1% of the Bank. - currently has or had during the period of two years immediately preceding his/her appointment as Director, any business transactions with the Bank as described in Direction 3 (7) hereof, exceeding 10% of the regulatory capital of the Bank. - has been employed by the Bank during the two year period immediately preceding the appointment as Director. - has a close relation who is a Director or CEO or a member of Key Management Personnel or a material shareholder of the Bank or another bank. For this purpose, a “close relation” shall mean the spouse or a financially dependent child. - represents a specific stakeholder of the Bank. - is an employee or Director or a material shareholder in a company or business organisation: - which currently has a transaction with the Bank as defined in Direction 3(7) of these Directions, exceeding 10% of the regulatory capital of the Bank, or - in which any of the other Directors of the Bank are employed or are Directors or are material shareholder; or - in which any of the other Directors of the Bank have a transaction as defined in Direction 3 (7) of these Directions, exceeding 10% of the regulatory capital of the Bank.	Complied. The Board consists of four Independent Non-Executive Directors out of a total of 11 Directors as at end December 2020, which constitute to more than one third of the total number of Directors, hence complying with the requirement.

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Rule Number	Rule	Status of Compliance
3 (2) (v)	In the event an Alternate Director is appointed to represent an Independent Director, the person so appointed shall also meet the criteria that apply to the Independent Director.	Complied. No Alternative Director has been appointed to represent the Independent Directors during the year 2020.
3 (2) (vi)	Non-Executive Directors shall be persons with credible track records and/or have necessary skills and experience to bring an independent judgment to bear on issues of strategy, performance and resources.	Complied. Board Nomination Committee (BNC) has a formal documented procedure in place to appoint Non-Executive Directors to the Board, who possess the necessary skills and experience to bring an independent judgment on Bank issues and all such Board appointment have been carried out accordingly. Further, Article 28 of the Articles of Association stipulates appointment of Directors.
3 (2) (vii)	A meeting of the Board shall not be duly constituted, although the number of Directors required to constitute the quorum at such meeting is present, unless more than one half of the number of Directors present at such meeting are Non-Executive Directors.	Complied. This concern does not arise as the Board of the Bank comprises entirely of Non-Executive Directors, hence the quorum of the meeting has been in line with the Direction.
3 (2) (viii)	The Independent Non-Executive Directors shall be expressly identified as such in all corporate communications that disclose the names of Directors of the Bank. The Bank shall disclose the composition of the Board, by category of Directors, including the names of the Chairman, Executive Directors, Non-Executive Directors and Independent Non-Executive Directors in the annual corporate governance report.	Complied. The compositions of the Board by category of Directors are disclosed on Page 153 and Pages 28 to 33 in the Annual Report.
3 (2) (ix)	There shall be a formal, considered and transparent procedure for the appointment of new Directors to the Board. There shall also be procedures in place for the orderly succession of appointment of the Board.	Complied. Board Nomination Committee (BNC) has a formal documented procedure in place to appoint Directors to the Board, who possess the necessary skills and experience to bring an independent judgment on Bank issues and all such new Board appointment have been carried out accordingly. Further, Article 28 of the Articles of Association stipulates appointment of Directors.
3 (2) (x)	All Directors appointed to fill a casual vacancy shall be subject to election by shareholders at the first general meeting after their appointment.	Complied. Article 28 of Bank's Articles of Association covers the appointment of Directors to fill a casual vacancy and all such appointments for the year are subject to election at the next AGM.

Rule Number	Rule	Status of Compliance
3 (2) (xi)	If a Director resigns or if removed from office, the Board shall: a) Announce the Director's resignation or removal and reasons for such removal or resignation including but not limited to information relating to the relevant Director's disagreement with the Bank, if any; and b) Issue a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders.	Complied. Resignations or removal of Directors are communicated to the Regulators, shareholders and CSE together with a statement confirming whether or not any matters should be brought to the attention of shareholders, including the reasons for such resignations or removal. Retirement of Directors as per end of Statutory 9 years period and Resignations of below mentioned Directors were communicated to the relevant authorities accordingly. Retirement of Directors as per end of Statutory 9 years period • Mr. Osman Kassim (Founder Chairman - 10 August 2020) • Mr. Tyeab Akbarally (Former Deputy Chairman - 18 July 2020) • Mr. Mohamed Jazri Magdon Ismail (Former Senior Director - 10 August 2020) • Mr. Harsha Amarasekara, PC (Former Director - 17 February 2020) Resigned Dr. Mostafa Hassan Mohamed Hassan Al Sabban (Former Director - 15 February 2020)
3 (2) (xii)	A Director or an employee of a Bank shall not be appointed, elected or nominated as a Director of another bank except where such bank is a subsidiary company or an associate company of the first mentioned bank.	Complied. Such a situation has not arisen during the year 2020. None of the Directors of the Bank are Directors of another Bank. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (3)	CRITERIA TO ASSESS THE FITNESS AND PROPRIETY OF DIRECTORS	
	In addition to provisions of Section 42 of the Banking Act No. 30 of 1988, the criteria set out below shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a Director of a bank. Non-compliance with any one of the criteria as set out herein shall disqualify a person to be appointed, elected or nominated as a Director or to continue as a Director.	

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Rule Number	Rule	Status of Compliance
3 (3) (i)	The age of a person who serves as a Director shall not exceed 70 years.	Complied. None of the Directors' age exceeds 70 years, during the year under review.
3 (3) (ii)	A person shall not hold office as a Director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank.	Complied. None of the Directors holds Directorships of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank, in the year under review.
3 (3) (iii)	A Director or a Chief Executive Officer of a licensed bank operating in Sri Lanka shall not be appointed as a Director or a Chief Executive Officer of another licensed bank operating in Sri Lanka before the expiry of a period of 6 months from the date of cessation of his/her office at the licensed bank in Sri Lanka. Any variation thereto in exceptional situations such as where expertise of retiring bankers may be required when reconstituting Boards of licensed banks which need restructuring, shall be subject to the prior approval of the Monetary Board. In this regard, licensed banks shall ensure to adhere to the requirement of the cooling-off period when appointing Directors or Chief Executive Officer. If a Director is appointed to the licensed bank by an appointing authority violating these Directions, the licensed bank shall take steps to prevent such appointee from exercising any powers or enjoying any privileges or benefits.	Complied. Such a situation has not arisen during the year 2020. None of the Directors of the Bank are Directors of another Bank. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (4)	MANAGEMENT FUNCTIONS DELEGATED BY THE BOARD	
3 (4) (i)	The Directors shall carefully study and clearly understand the delegation arrangements in place.	Complied. Article 31 of the Articles of Association empowers the delegation powers of the Board of Directors. Further, all delegation arrangements are approved by the Board after due consideration and are periodically reviewed to ensure that the extent of delegation addresses the needs of the Bank.
3 (4) (ii)	The Board shall not delegate any matters to the Board Committee, CEO, Executive Directors or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	Complied. The Board has not delegated powers to Board Committees, CEO or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.

Rule Number	Rule	Status of Compliance
3 (4) (iii)	The Board shall review the delegation process in place on a periodic basis to ensure that they remain relevant to the needs of the Bank.	Complied. The Board periodically reviews and approves the delegation arrangements in place and ensures that the extent of delegation is in accordance to the needs of the Bank based on the recommendations made by the management.
3 (5)	THE CHAIRMAN AND THE CHIEF EXECUTIVE OFFICER	
3 (5) (i)	The roles of the Chairman and the Chief Executive Officer shall be separated and shall not be performed by the same individual.	Complied. The roles of the Chairman and the CEO are separate and are held by two individuals appointed by the Board. Chairman provides leadership to the Board and CEO manages the day to day operations of the Bank giving effect to the strategies and policies approved by the Board.
3 (5) (ii)	The Chairman shall be a Non-Executive Director and preferably an independent Director as well. In the case where the Chairman is not an Independent Director, the Board shall designate an Independent Director as the Senior Director with suitably documented terms of reference to ensure a greater independent element. The designation of Senior Director shall be disclosed in the Bank's Annual Report	Complied. The Chairman is a Non-Executive Director. Since the Chairman is a Non-Independent Director, the Board has appointed an Independent Director, Mr. Rajiv Nandlal Dvivedi as the Senior Director. Designation of Senior Director is disclosed on Page 30 of the Annual Report.
3 (5) (iii)	The Board shall disclose in its Corporate Governance report, which shall be an integral part of its Annual Report, the identity of the Chairman and the CEO and the nature of the relationship (including financial, business, family or other material/relevant relationship(s), if any, between the Chairman and the CEO and the relationships among members of the Board.	Complied. A process is in place to identify relationship of the Board Members and is maintained at the Board Secretary's Division. Further, the Company Secretary obtains an annual declaration from all Board Members to this effect and the Directors' interest register is updated regularly. The relationships among the Directors are given below: <u>Family Ties</u> 1. The Chairman, Mr. Ali Asghar Akbarally and Mr. Mohamed Adamaly <u>Business Relationship</u> 1. The Chairman, Mr. Ali Asghar Akbarally and Mr. Dilshan Hettiaratchi

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Rule Number	Rule	Status of Compliance
3 (5) (iv)	The Chairman shall; a) Provide leadership to the Board b) Ensure that the Board works effectively and discharges its responsibilities; and c) Ensure all key and appropriate issues are discussed by the Board in a timely manner.	Complied. A self-evaluation process is in place, which ensures that Chairman provides leadership to the Board, the Board works effectively and discharges its responsibilities and all key and appropriate issues are discussed by the Board in a timely manner.
3 (5) (v)	The Chairman shall be primarily responsible for drawing up and approving the agenda for each Board Meeting, taking into account where appropriate, any matters proposed by the other Directors for inclusion in the agenda. The Chairman may delegate the drawing up of the agenda to the Company Secretary.	Complied. The Chairman has delegated the drawing of the agenda to the Company Secretary, which is drawn in consultation / approval with the Chairman.
3 (5) (vi)	The Chairman shall ensure that all the Directors are properly briefed on issues arising at Board meetings and also ensure that Directors receive adequate information in a timely manner.	Complied. The Board papers are forwarded to the Board members 7 days prior to the meeting and the Chairman ensures that the Board is adequately briefed and informed of all matters arising at the Board. Further, minutes of the previous Board meeting are distributed to the Board members and tabled at the next Board meeting for confirmation.
3 (5) (vii)	The Chairman shall encourage all the Directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interest of the Bank.	Complied. The Chairman encourages all Directors to make full and active contribution to the affairs of the Bank. This requirement is addressed in the self-evaluation process where all Directors disclose their full and active contribution to the affairs of the Bank based on their field of expertise.
3 (5) (viii)	The Chairman shall facilitate the effective contribution of Non-Executive Directors in particular and ensure constructive relations between Executive and Non-Executive Directors.	Complied. The Chairman ensures that the Non-Executive Directors actively contribute to make decisions at the Board. Further, the self-evaluation process is evident that the Non-Executive Directors assess the contributions made by them to the Bank.
3 (5) (ix)	The Chairman shall not engage in activities involving direct supervision of Key Management Personnel or any other executive duties whatsoever.	Complied. The Chairman is a Non-Executive Director and does not get directly involved in the supervision of KMPs or any other executive duties.
3 (5) (x)	The Chairman shall ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.	Complied. The Chairman ensures effective communication with the shareholders at the AGM, which is the main forum where the Board discusses shareholders' issues.

Rule Number	Rule	Status of Compliance
3 (5) (xi)	The CEO shall function as the apex executive-in-charge of the day-to-day management of Bank's operations and business.	Complied. The CEO functions as the apex executive-in-charge of the day-to-day management of Bank's operations and business.
3 (6)	BOARD APPOINTED COMMITTEES	
3 (6) (i)	Each Bank shall have at least four Board committees as set out in the following Direction; 3(6)(ii) –Audit Committee 3(6)(iii) – Human Resources and Remuneration Committee 3(6)(iv) – Nomination Committee 3(6)v) – Integrated Risk Management Committee Each Committee shall report directly to the Board Each Committee shall appoint a Secretary to arrange the meetings and maintain, minutes, records etc. under the supervision of the Chairman of the Committee. The Board shall present a report of the performance on each Committee, on their duties and roles at the Annual General meeting.	Complied. The Board has established the following mandatory Board Sub-Committees as per regulatory requirement: 1. Board Audit Committee (BAC) 2. Board Human Resources and Remuneration Committee (BHRRC) 3. Board Nomination Committee (BNC) 4. Board Integrated Risk Management Committee (BIRMC). In addition the Board has also appointed Board Credit Committee and Board Related Party Transactions Review Committee. Reports / Minutes of the above Committees are submitted to the Board for discussion and ratification at the monthly Board meetings. Each Committee has appointed a Secretary to arrange the meetings and maintain minutes under the supervision of the Chairman of the Sub-Committees. Report of each Board Committee is presented in the Annual Report. Refer Pages 168 to 176 of the Annual Report.
3 (6) (ii)	Audit Committee	
3 (6) (ii) (a)	The Chairman of the committee shall be an Independent Non-Executive Director who possesses qualifications and experience in accounting and/or audit.	Complied. The Chairman of the BAC is a Non-Executive, Independent Director who is a Fellow of the Institute of Chartered Accountants of Sri Lanka and possesses the required qualifications and experience.
3 (6) (ii) (b)	All members of the committee shall be Non-Executive Directors.	Complied. All members of the BAC are Non-Executive Directors.

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Rule Number	Rule	Status of Compliance
3 (6) (ii) (c)	The committee shall make recommendations on matters in connection with; a) The appointment of external auditor for audit services to be provided in compliance with the relevant statutes; b) The implementation of the Central Bank guidelines issued to auditors from time to time; c) The application of the relevant accounting standards; and d) The service period, audit fees and any resignation or dismissal of the auditor, provided that the engagement of the Audit partner shall not exceed five years, and that the particular Audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.	Complied. The appointment of External Auditors for audit services is in compliance with the relevant statutes as recommended by the BAC. The BAC has discussed the implementation of the CBSL guidelines issued to the External Auditors from time to time and any issues raised by the External Auditors in line with CBSL guidelines have been responded accordingly. The BAC reviews, discusses and makes recommendations where necessary in relation to the application of the relevant accounting standards at least on quarterly basis. The BAC discussed and agreed to a change in the Engagement Partner during the year 2020. Further, all matters related to the service period of the Engagement Partner are discussed and recommendations made where necessary. The BAC reviews and recommends to the Board with regard to the audit fees.
3 (6) (ii) (d)	The committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.	Complied. The External Auditor's scope, objectivity and the effectiveness of the audit process carried out has been discussed by the BAC and is in accordance with the applicable SLAuS. The External Auditor's independence is evidenced through the Engagement Letter and their reports presented to the BAC directly.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (e)	The committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the relevant statutes, regulations, requirements and guidelines. In doing so, the committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the committee shall consider: (i) whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; (ii) whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and (iii) whether the nature of the non-audit services, the related fee levels and the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor.	Complied. A policy on engagement of the External Auditors to provide non-audit services reviewed and recommended by the BAC was approved by the Board of Directors.
3 (6) (ii) (f)	The committee shall, before the audit commences, discuss and finalise with the external auditors the nature and scope of the audit, including: (i) an assessment of the Bank's compliance with the relevant Directions in relation to corporate governance and the management's internal controls over financial reporting; (ii) the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and (iii) the co-ordination between firms where more than one audit firm is involved.	Complied. The BAC has discussed in detail and finalised the nature and scope of the audit with the External Auditors in accordance with the SLAuS on their presentation of the financial statement audit plan for 2020, outlining the scope and deliverable of their engagement.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (6) (ii) (g)	The committee shall review the financial information of the Bank, in order to monitor the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure and the significant financial reporting judgments contained therein. In reviewing the Bank's annual report and accounts and quarterly reports before submission to the Board, the committee shall focus particularly on; (i) Major judgemental areas (ii) Any changes in accounting policies and practices (iii) Significant adjustments arising from the audit (iv) The going concern assumption; and (v) The compliance with relevant accounting standards and other legal requirements.	Complied. The BAC has a process to review, discuss and approve the quarterly financial statements, year-end audited financial statements and reports for disclosure that are presented by the CFO. Such financial statements are recommended by the BAC for approval of the Board of Directors.
3 (6) (ii) (h)	The committee shall discuss issues, problems and reservations arising from the financial audit, and any matters the auditor may wish to discuss including those matters that may need to be discussed in the absence of the Key Management personnel, if necessary.	Complied. The Committee has met with the External Auditors twice in the year 2020, in the absence of the executive management to discuss issues, problems and reservation arising from the financial audit.
3 (6) (ii) (i)	The committee shall review the external auditor's management letter and the management's response thereto.	Complied. The Committee has reviewed the External Auditor's Management Letter and the management's response thereto.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (j)	The committee shall take the following steps with regard to the internal audit function of the Bank; (i) Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work; (ii) Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department; (iii) Review any appraisal or assessment of the performance of the head and senior staff member of the internal audit department; (iv) Recommend any appointment or termination of the head, senior staff members and outsourced service providers to the internal audit function; (v) Ensure that the committee is appraised of resignations of senior staff members of the internal audit department including the Chief Internal Auditor and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced services providers to submit reasons for resigning; (vi) Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care;	Complied. The BAC reviews and approves the Internal Audit Plan at the beginning of the year, which covers the scope and resource requirements relating to audit plan and satisfy itself that the Internal Audit Department (IAD) has the necessary authority to carry out its work. The BAC also monitors the IAD function and the progress of the internal audit plan. During the year 2020, the BAC also approved a revised Internal Audit Plan in May 2020 considering the changing risk landscape further to the outbreak of the Covid-19 pandemic. Internal Audit Programmes are discussed by the BAC as part of the review of the Internal Audit Policy Manual. Further, the Internal Audit Scope and Findings related to specific engagements are discussed by the BAC on an on-going basis. The Committee also monitors whether appropriate actions are taken by the management based on the IAD recommendations as well as on further actions which are sanctioned by the BAC. The Performance appraisal of the Chief Internal Auditor and senior staff members were carried out at the BAC meeting held on 13 February 2020. There were no appointments or termination of the Head or Senior Staff members during the year 2020. Any resignation or retirement of senior staff members in the Internal Audit Department are appraised to the BAC. Internal Audit Department is an independent function reporting directly to the BAC. The audits are performed with impartiality, proficiency and due professional care.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (6) (ii) (k)	The committee shall consider the major findings of internal investigation and management's responses thereto.	Complied. The BAC discusses in detail the major findings of internal investigation and management's responses thereto are also discussed with suitable action points agreed upon and recorded in the minutes of the BAC meeting.
3 (6) (ii) (l)	The CFO, CIA and a representative of the External Auditors may normally attend meetings. Other Board members and the CEO may also attend meetings upon invitation of the committee. However, at least twice a year, the committee shall meet the External Auditors without the Executive Directors being present.	Complied. The CFO, CIA and a representative of the External Auditors attend meetings regularly. The CEO and other Senior Management have attended meetings by invitation as appropriate. The BAC met the External Auditors twice during the year 2020 in the absence of all members of the Executive Management. Currently, there are no Executive Directors on the Board.
3 (6) (ii) (m)	The committee shall have (i) Explicit authority to investigate into any matter within its terms of reference; (ii) The resources which it needs to do so; (iii) Full access to information; and (iv) Authority to obtain external professional advice and invite outsiders with relevant experience and attend, if necessary.	Complied. The Board approved Terms of Reference of the BAC covers the requirements as stipulated.
3 (6) (ii) (n)	The committee shall meet at regularly, with due notice of issues to be discussed and shall record its conclusions in discharging its duties and responsibilities.	Complied. The BAC has had seven meetings in the year 2020 and all conclusions are recorded comprehensively in the minutes.
3 (6) (ii) (o)	The Board shall disclose in an informative way, (i) Details of the activities of the audit committee; (ii) The number of audit committee meetings held in the year; and (iii) Details of attendance of each individual Director at such meetings.	Complied. The Board has disclosed the required information in Pages 168 to 170 in the Annual Report.
3 (6) (ii) (p)	The Secretary of the Committee (who may be the Company Secretary or the head of Internal Audit function) shall record and keep detailed minutes of the meetings.	Complied. The Chief Internal Auditor has been appointed as the Secretary to the BAC who maintains detailed minutes of all meetings.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (q)	The committee shall review arrangements by which employees of the bank may, in confidence raise concerns about possible improprieties in financial reporting, internal control or other matters. Accordingly, the committee shall ensure that proper arrangements are in place for the fair and independent investigation of such matters and for appropriate follow-up action and to act as the key representative body for overseeing the bank's relations with the external auditor.	Complied. The Board approved 'Whistle Blowing' policy is in place which covers the improprieties in financial reporting, internal control or other matters, fair and independent investigation of such matter and appropriate follow-up action. The BAC is the key representative for overseeing the Bank's relations with the External Auditors.
3 (6) (iii)	Human Resource And Remuneration Committee	
3 (6) (iii) (a)	The committee shall determine the remuneration policy (salaries, allowances and other financial payments) relating to Directors, CEO and Key Management Personnel of the Bank.	Complied. The Board approved benefit policy determines the remuneration relating to Directors, CEO and Key Management Personnel of the Bank.
3 (6) (iii) (b)	The committee shall set goals and targets for the Directors, CEO and Key Management Personnel.	Complied. The BHRRRC has discussed and approved the goals and targets of each KMP for the year 2020 aligned to the Strategic Plan. The BHRRRC has agreed that the 2020 Business Plan be considered as the KPI for the CEO. Board approved goals and targets for Directors are in place.
3 (6) (iii) (c)	The committee shall evaluate the performance of the CEO and Key Management Personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.	Complied. The BHRRRC has assessed the evaluation of the performance of the CEO and the KMPs against the goals and targets set out for the year 2020.
3 (6) (iii) (d)	The CEO shall be present at all meetings of the committee, except when matters relating to the CEO are being discussed.	Complied. The CEO was not present at meetings when matters relating to the CEO were being discussed. The Board approved Terms of Reference of the BHRRRC addresses this rule.

Corporate Governance

Rule Number	Rule	Status of Compliance												
3 (6) (iv)	Nomination Committee													
3 (6) (iv) (a)	The committee shall implement a procedure to select/appoint new Director, CEO and Key Management Personnel.	Complied. The Board has reviewed and approved the policy / procedure on selection and appointment of new members to the Board, Chairman and CEO and on the recommendation of the Board Nomination Committee (BNC) on 18 August 2020. Accordingly, Board has approved the following appointments with the recommendation of the BNC. <table><tr><th>Director</th><th>Approved on</th></tr><tr><td>Mr. Ali Asghar Akbarally</td><td>8 January 2020</td></tr><tr><td>Mr. Mohamed Adamally</td><td>8 January 2020</td></tr><tr><td>Mr. Omar Kassim</td><td>8 January 2020</td></tr><tr><td>Mr. Paul Mercer</td><td>16 May 2020</td></tr><tr><td>Mr. Tishan Subasinghe</td><td>8 July 2020</td></tr></table>	Director	Approved on	Mr. Ali Asghar Akbarally	8 January 2020	Mr. Mohamed Adamally	8 January 2020	Mr. Omar Kassim	8 January 2020	Mr. Paul Mercer	16 May 2020	Mr. Tishan Subasinghe	8 July 2020
Director	Approved on													
Mr. Ali Asghar Akbarally	8 January 2020													
Mr. Mohamed Adamally	8 January 2020													
Mr. Omar Kassim	8 January 2020													
Mr. Paul Mercer	16 May 2020													
Mr. Tishan Subasinghe	8 July 2020													
3 (6) (iv) (b)	The committee shall consider and recommend (or not recommend) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board’s responsibilities.	Complied. The Committee has considered the services rendered by the existing Directors and recommended the re-appointment accordingly for the year 2020.												
3 (6) (iv) (c)	The committee shall set criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.	Complied. A Board approved eligibility criteria for appointment or promotion to the post of CEO and KMPs are in place. All such appointments are recommended by the BNC and subsequently approved at the Board.												
3 (6) (iv) (d)	The committee shall ensure that Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria given in Direction 3 (3) and as set out in the Statutes.	Complied. The Directors’, CEO’s and Key Management Personnel’s affidavits and declarations were submitted to BNC during the year 2020 for recommendation prior to submitting to the Central Bank of Sri Lanka for approval to ensure that the Directors, CEO and Key Management Personnel are fit and proper persons to hold office. Further, fit and proper certificate from Central Bank of Sri Lanka has been obtained for all appointments of Directors and KMP.												

Rule Number	Rule	Status of Compliance
3 (6) (iv) (e)	The committee shall consider and recommend from time to time, the requirement of additional/ new expertise and the succession arrangements for retiring Directors and Key Management Personnel.	Complied. Policy & Procedure approved by the Board is in place for the appointment of new Directors. BNC has considered the requirements for succession arrangements for Directors and KMPs during the year 2020. The Succession Plan for the Management Committee has been reviewed and recommended by the BNC and subsequently approved by the Board.
3 (6) (iv) (f)	The committee shall be chaired by an Independent Director and preferably be constituted with a majority of Independent Directors. The CEO may be present at the meeting by invitation.	Complied. The Committee is Chaired by an Independent Director and comprises of three Independent Directors and two Non-Independent Director. The CEO is present at meetings only by invitation.
3 (6) (v)	Integrated Risk Management Committee	
3 (6) (v) (a)	The committee shall consist of at least three Non-Executive Directors, CEO and Key Management Personnel supervising Board risk categories, i.e., credit, market, liquidity, operational and strategic risks. The committee shall work with Key Management Personnel very closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the committee.	Complied. The BIRMC consists of 3 Non-Executive Directors, CEO and CRO who satisfy the said criteria. Further, KMPs are called or present to make regular presentations to the Committee on matters under their purview and explain matters relating to their subject.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (6) (v) (b)	The committee shall assess all risks, i.e., credit, market, liquidity, operational and strategic risks to the Bank on a monthly basis through appropriate risk indicators and management information. In the case of subsidiary companies and associate companies, Risk Management shall be done, both on a bank basis and group basis.	Complied. BIRMC assesses the risk profile of the Bank through the use of dashboards which is circulated on a monthly basis. This dashboard which covers the below mentioned risks are shared with BIRMC members:- • Credit Risk • Market Risk • Liquidity Risk • Operational Risk • Rate Risk • Concentration Risk • Strategic Risk Not applicable as the Bank does not have any subsidiaries or associate companies.
3 (6) (v) (c)	The committee shall review the adequacy and effectiveness of all management level committees, such as the credit committee and asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee.	Complied. The BIRMC reviews the adequacy and effectiveness of the management committees under its purview, namely ERM, ALCO and ECC 1. The committee ensures that the Executive Risk Management Committee, Asset & Liability Management Committee and Executive Credit Committee under BIRMC are functioning adequately and effectively, through review of the minutes of the sub committees. Further, the key functions of the committees are evaluated and reviewed through the IRMF by the BIRMC annually.
3 (6) (v) (d)	The committee shall take prompt corrective action to mitigate the effects of specific risks in the case such risks are at levels beyond the prudent levels decided by the committee on the basis of the Bank's policies and regulatory and supervisory requirements.	Complied. Risks are monitored and reviewed by the BIRMC through the dashboard on the risk tolerance/appetite and considered all risk indicators which have gone beyond the prudent limits decided by the committee on the basis of the Bank's policies, regulatory and supervisory requirements and corrective actions are taken promptly for any deviations to mitigate the effects.

Rule Number	Rule	Status of Compliance
3 (6) (v) (e)	The committee shall meet at least quarterly to assess all aspects of Risk Management including updated business continuity plans.	Complied. The Committee has met four times during the year 2020 and reviewed all aspects of Risk Management. The continuity plan that was adopted during the Covid-19 pandemic was extensively discussed at meetings during 2020 and the committee assessed that the Bank continued the daily and critical operations without causing customer inconvenience and much interruption.
3 (6) (v) (f)	The committee shall take appropriate action against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the committee, and/or as directed by the Director of Bank Supervision.	Complied. The Bank among other processes has a mechanism through which risk tools such as Stress Test, KRI and RCSA are used to measure and identify risks proactively. These tools have been used effectively and have now been incorporated as key components of the performance evaluation of the Senior management thereby strengthening the process of accountability. The Bank's specific risks and the limits are identified by the relevant committees and as such the decisions are taken collectively.
3 (6) (v) (g)	The committee shall submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions.	Complied. The BIRMC Chairman's report contains a Risk assessment, which is submitted at the subsequent Board meeting informing the BIRMC's deliberations and decisions and seeking the Board's views, concurrence and/or for specific directions.
3 (6) (v) (h)	The committee shall establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from Key Management Personnel shall carry out the compliance function and report to the committee periodically.	Complied. An independent compliance function has been established, headed by a dedicated Compliance Officer to assess and ensure the Bank's compliance with laws, regulations and regulatory guidelines and reports to the BIRMC regularly through comprehensive quarterly compliance status reports. The Compliance function also performs monthly / quarterly independent verifications and testing for compliance with CBSL requirements. The Compliance function also assesses the Bank's internal controls and policies in all areas of business operations.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (7)	RELATED PARTY TRANSACTIONS	
3 (7) (i)	The Bank shall take necessary steps to avoid any conflicts of interest that may arise from any transaction of the Bank with any person, and particularly with the following categories of persons who shall be considered as “related parties” for the purpose of this Direction; a) Any of the Bank’s subsidiary companies; b) Any of the Bank’s associate companies; c) Any of the Directors of the Bank; d) Any of the Bank’s Key Management Personnel; e) A close relation of any of the Bank’s Directors or Key Management Personnel; f) A shareholder owning a material interest in the Bank. g) A concern in which any of the Bank’s Directors or a close relation of any of the Bank’s Directors or any of its material shareholders has a substantial interest.	Complied. The Board takes necessary steps in line with the Banking Act, Corporate Governance Direction and the Bank’s Policy on Related Party Transactions to avoid any conflicts of interest that may arise from any transaction of the Bank with its related parties. A Board approved Policy on Related Party Transactions is in place which manages the conflict of interest that may arise from any transactions of the Bank. The Board Related Party Transaction Review Committee meets quarterly to identify and review such transactions.
3 (7) (ii)	The type of transactions with related parties that shall be covered by this Direction shall include the following: a) The grant of any type of accommodation, as defined in the Monetary Board’s Directions a maximum amount of accommodation. b) The creation of any liabilities of the Bank in the form of deposits, borrowings and investments. c) The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank. d) The creation or maintenance of reporting lines and information flows between the Bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.	Complied. The Board approved Policy on Related Party Transactions covers types of specific related parties and related party transactions as noted in the Direction to avoid any conflicts of interest that may arise from any related party transactions.

Rule Number	Rule	Status of Compliance
3 (7) (iii)	The Board shall ensure that the Bank does not engage in transactions with related parties as defined in Direction 3 (7) (i) above, in a manner that would grant such parties 'more favourable treatment' than that accorded to other constituents of the Bank carrying on the same business. In this context, 'more favourable treatment' shall mean and include treatment, including the; a) Granting of "total net accommodation" to related parties, exceeding a prudent percentage of the Bank's regulatory capital, as determined by the Board. For purposes of this sub-direction; i) "Accommodation" shall mean accommodation as defined in the Banking Act Directions, No 7 of 2007 on Maximum Amount of Accommodation. ii) The "total net accommodation" shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the Bank's share capital and debt instruments with a maturity of 5 years or more. b) Charging a lower rate than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty. c) Providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions that extend beyond the terms granted in the normal course of business undertaken with unrelated parties. d) Providing services to or receiving services from a related-party without an evaluation procedure. e) Maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.	Complied. Please refer comment in 3 (7) (i) and 3 (7) (ii) above. The formal policy approved by the Board on Related Party Transactions enhances transparency and contains provisions of this rule to ensure compliance. Further, to strengthen the corporate governance of the Bank, the Board Related Party Transactions Review Committee reviews the related party transactions in line with the policy to avoid any 'favourable treatment' granted to such parties.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (7) (iv)	The Bank shall not grant any accommodation to any of the Directors or to a close relation of such Director unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation. This accommodation shall be secured by such security as may from time to time be determined by the Monetary Board as well.	Complied. Any accommodation granted to related party is approved at the Board meetings with not less than 2/3 of the number of Directors other than the Directors concerned, voting for such accommodation granted as per the Board approved Policy on Related Party Transactions. All accommodation granted to KMPs of the Bank are subject to staff financing schemes of the Bank.
3 (7) (v)	a) Where any accommodation has been granted by a bank to a person or a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a Director of the Bank, steps shall be taken by the Bank to obtain the necessary security as may be approved for that purpose by the Monetary Board, within one year from the date of appointment of the person as a Director. b) Where such security is not provided by the period as provided in Direction 3(7)(v)(a) above, the Bank shall take steps to recover any amount due on account of any accommodation, together with interest, if any within the period specified at the time of the grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of such Director, whichever is earlier. c) Any Director who fails to comply with the above sub-directions shall be deemed to have vacated the office of a Director and the Bank shall disclose such fact to the public. d) The sub-direction, however, shall not apply to a Director who at the time of grant of the accommodation was an employee of the Bank and the accommodation was granted under a scheme applicable to all employees of the Bank.	Complied. The Bank did not encounter such a situation during the year under review.

Rule Number	Rule	Status of Compliance
3 (7) (vi)	The Bank shall not grant any accommodation or 'more favourable treatment' relating to the waiver of fees and/or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.	Complied. The Bank has a process in the RPT system to capture KMPs transactions, as and when such transactions take place. Additionally, such transactions are verified by the relevant authorities (Finance Department). No accommodation was granted to any employees or to any concern in which the employee or close relation has a substantial interest on more 'favourable treatment' other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.
3 (7) (vii)	No accommodation granted by the Bank under Direction 3(7)(v) and 3(7)(vi) above, nor any part of such accommodation, nor any interest due thereon shall be remitted without the prior approval of the Monetary Board and any remission without such approval shall be void and of no effect.	Complied. The Bank did not encounter such a situation during the year under review.
3 (8)	DISCLOSURE	
3 (8) (i)	The Board shall ensure that; a) Annual audited statements and quarterly financial statements are prepared and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable accounting standards and that b) Such statements are published in the newspapers in an abridged form, in Sinhala, Tamil and English.	Complied. Annual audited financial statements and quarterly financial statements are prepared and published in accordance with the regulatory requirements and as per the accounting standards. Financial statements are published in all three languages.

Corporate Governance

Rule Number	Rule	Status of Compliance																		
3 (8) (ii)	The Board shall ensure that the following minimum disclosures are made in the Annual Report; a) A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures. b) A report by the Board on the Bank's internal control mechanism that confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements. c) To obtain the External Auditor's certification on the effectiveness of the internal control mechanism referred to in Direction 3(8)(ii)(b) above. d) Details of Directors, including names, qualifications, age, experience fulfilling the requirements of the guidelines fitness and propriety, transactions with the Bank and the total of fees/remuneration paid by the Bank.	Complied. Refer Statement of Directors' Responsibility, on Pages 179 and 180. Refer Directors' Statement on Internal Control over Financial Reporting on Pages 157 and 158. Refer 'Independent Assurance Report on Directors' Statement on Internal Control over Financial Reporting' on Pages 159 and 160. Refer Profiles of Directors, on pages 28 to 33. <table border="1"> <thead> <tr> <th>Transactions with the Bank</th><th>As at/Up to Directors' Date of Retirement LKR</th><th>As at/Up to 31 December 2020 LKR</th></tr> </thead> <tbody> <tr> <td>a) Financing and Receivables</td><td>Nil</td><td>Nil</td></tr> <tr> <td>b) Financing Income</td><td>Nil</td><td>Nil</td></tr> <tr> <td>c) Deposits</td><td>78,389,411</td><td>Nil</td></tr> <tr> <td>d) Financing Expenses</td><td>2,819,647</td><td>2,819,647</td></tr> <tr> <td>e) Commitment and Contingencies</td><td>Nil</td><td>Nil</td></tr> </tbody> </table> Total fees/remuneration paid by the Bank: Refer Note 13 to the Financial Statements on Page 218.	Transactions with the Bank	As at/Up to Directors' Date of Retirement LKR	As at/Up to 31 December 2020 LKR	a) Financing and Receivables	Nil	Nil	b) Financing Income	Nil	Nil	c) Deposits	78,389,411	Nil	d) Financing Expenses	2,819,647	2,819,647	e) Commitment and Contingencies	Nil	Nil
Transactions with the Bank	As at/Up to Directors' Date of Retirement LKR	As at/Up to 31 December 2020 LKR																		
a) Financing and Receivables	Nil	Nil																		
b) Financing Income	Nil	Nil																		
c) Deposits	78,389,411	Nil																		
d) Financing Expenses	2,819,647	2,819,647																		
e) Commitment and Contingencies	Nil	Nil																		

Rule Number	Rule	Status of Compliance		
3 (8) (ii) (Contd...)	e) Total net accommodation as defined in 3(7)(iii) granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the Bank's regulatory capital.	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital
		Directors of the Bank	Nil	Nil
		KMPs	136,996,458	1.1%
		A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	Nil	Nil
		A close relation of any of the Bank's Directors or Key Management Personnel	Nil	Nil
		Material Shareholder	Nil	Nil

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (8) (ii) (Contd...)	f) The aggregate values of remuneration paid by the Bank to its Key Management Personnel and the aggregate values of the transactions of the Bank with its Key Management Personnel, set out by Board categories such remuneration paid, accommodation granted and deposits or investments made in the Bank.	Nature of Transaction KMPs (LKR) Remuneration: 195,590,026 Accommodation granted: 136,996,458 Deposits: 201,394,685
	g) To obtain the External Auditor's certification of the compliance with these Corporate Governance Directions.	The Bank has obtained External Auditor's certification on compliance with these Corporate Governance Directions. Board confirms that all the findings of the 'Factual Findings Report' of auditors have been incorporated in the Corporate Governance Report.
	h) A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliance.	Refer Bank's Compliance with Prudential Requirements, on Pages 154 to 156.
	i) A statement of the regulatory and supervisory concerns on lapses in the Bank's risk management, or non-compliance with these Directions that have been pointed out by the Director of Bank Supervision, if so directed by the Monetary Board to be disclosed to the public, together with the measures taken by the Bank to address such concerns.	The Director of Bank Supervision or the Monetary Board has not directed the Bank to disclose any non-compliance issues to the public.

ATTENDANCE OF DIRECTORS DURING 2020

Name of Director	Main Board		Board Audit Committee		Board Credit Committee		Board Nomination Committee		Board Integrated Risk Management Committee		Board Human Resources and Remuneration Committee		Board Related Party Transactions Review Committee	
	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility
Mr. Osman Kassim ¹ (retired w.e.f. 10 August 2020)	7	7	-	-	4	4	-	-	-	-	-	-	-	-
Mr. Ali Asghar Akbarally ¹ (appointed w.e.f. 18 July 2020)	5	5	-	-	5	5	1	1	-	-	1	1	-	-
Mr. Tyeab Akbarally ² (retired w.e.f. 18 July 2020)	5	6	-	-	4	4	3	4	-	-	1	1	-	-
Mr. Jazri Magdon Ismail ³ (retired w.e.f. 10 August 2020)	7	7	5	5	-	-	4	4	2	2	1	1	2	2
Mr. Harsha Amarasekera ⁴ (retired w.e.f. 17 February 2020)	2	2	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Rajiv Nandlal Dvivedi ³	12	12	7	7	-	-	4	5	4	4	-	-	4	4
Mr. Dilshan Hettiaratchi ⁵	10	12	-	-	9	9	5	5	-	-	1	2	4	4
Mr. Aaron Russell-Davison ⁵	9	12	7	7	-	-	-	-	-	-	2	2	3	4
Mr. Mohammed Ataur Rahman Chowdhury ⁴	12	12	7	7	-	-	5	5	4	4	2	2	-	-
Mr. Syed Muhammed Asim Raza ⁴	11	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Khairul Muzamel Perera Bin Abdullah ⁴	12	12	-	-	-	-	-	-	-	-	-	-	-	-
Dr. Mostafa Hassan Mohamed Hassan Al Sabban ⁴ (resigned w.e.f. 15 February 2020)	0	1	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Tishan Subasinghe ⁵ (appointed w.e.f. 26 August 2020)	4	4	2	2	-	-	0	0	2	2	1	1	2	2
Mr. Omar Kassim ⁴ (appointed w.e.f. 26 August 2020)	3	4	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Paul Mercer ⁴ (appointed w.e.f. 26 August 2020)	4	4	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Mohamed Adamaly ⁴ (appointed w.e.f. 27 August 2020)	4	4	-	-	3	3	-	-	-	-	-	-	-	-

Please refer profiles of Board of Directors from pages 28 to 33 for additional details.

- 1 - Chairman, Non-Executive, Non-Independent Director
- 2 - Deputy Chairman, Non- Executive, Non-Independent Director
- 3 - Non-Executive, Independent Senior Director
- 4 - Non-Executive, Non-Independent Director
- 5 - Non-Executive, Independent Director

Bank's Compliance with Prudential Requirements

Amāna Bank places the highest importance in its endeavour to ensure optimum management of compliance risk and prudential requirements. In this regard, the Board of Directors has formulated a Compliance Policy that sets out the Terms of Reference of the Chief Compliance Officer (CCO) and the framework for Compliance function.

Compliance Policy ensures compliances to the extensive laws, rules and regulations, codes of conduct, guidelines issued by regulatory supervisors and self-regulatory standards that the Bank has adopted and thereby ensuring compliance while discharging its normal business activities.

The functions and activities of Compliance are critical to the overall health of the Bank's business and as such the Compliance Division's key performance benchmarks are independent of direct business profitability targets. The CCO directly reports on compliance concerns to the Board Integrated Risk Management Committee (BIRMC).

The Compliance Division's responsibilities include the facilitation of the day-to-day challenges in the interpretation and understanding of regulations; proactively take initiatives to highlight common industry wide compliance concerns, operations and administration of activities are in alignment with laws and regulations pertaining to the banking standards and develop a Compliance culture by emphasising on standards of honesty and integrity.

The Compliance Division, additionally addresses effective Compliance management across the Bank with the support and coordination of the CEO and senior management in order to adhere to the Policies and Processes of the Bank. In this context the division continuously engages with the Management Committee and the executive management to oversee and assess the level of compliance by obtaining management confirmations and where necessary initiating corrective action. Additionally, the division also reviews the level of Compliance to statutory requirements and the internal procedures at branches and other divisions based on periodic reviews conducted by Compliance staff. All exceptions identified during the reviews are escalated to either the Executive Risk Management Committee, BIRMC or the Board of Directors and followed up to ensure that corrective action is taken as appropriate.

MONITORING OF COMPLIANCE

The Compliance Division carried out annual Bank-wide risk assessment function focusing on adherence to laws, regulations and regulatory guidelines. The Division is entrusted with the responsibility of monitoring these requirements on an ongoing basis. The Compliance function takes an overview approach in this and monitors the compliance with statutory requirements through process assurances obtained from relevant divisional heads, based on the sign-off given by the heads of business units on quarterly Compliance reports, and focuses on exception reports to follow-up on non-compliance

issues. In addition, the Compliance Division also carries out regular reviews dependent upon the severity of the potential impact of the risk event. A quarterly Compliance report is submitted to the Board of Directors and BIRMC in this respect, which covers:

- Compliance with Statutory/mandatory reporting requirements
- Status of Compliance with the key Compliance requirements under the Directions issued by the Central Bank of Sri Lanka
- Significant non-compliance events, if any
- Regulatory/potential breaches, if any

ANTI-MONEY LAUNDERING (AML) COMPLIANCE

The Bank has established a sound framework for AML Compliance based on relevant laws enacted by the Government of Sri Lanka to combat money laundering/terrorist financing and in line with the rules governing the conduct of all account relationships issued by Financial Intelligence Unit (FIU) of the Central Bank of Sri Lanka. A separate manual for AML/CFT has been approved by the Board of Directors and is reviewed periodically in line with new rules enacted by the FIU. The Compliance function makes optimal use of the automated AML system to manage AML/CFT risks.

The Compliance Division has taken steps from the inception of the Bank to address the Bank's Compliance with regulations such as Know Your Customer (KYC) and AML functions going beyond mere regulatory

Compliance. Appropriate mechanisms have been devised by the Division to identify and assess the regulatory Compliance requirements which are then disseminated to the business/operations divisions on a regular basis.

Compliance Division pays special attention towards monitoring and reporting of suspected money laundering transactions which include large and structured transactions reported by the business units and carries out investigation to ensure adherence to the Financial Transaction Reporting Act (FTRA).

Training programmes are carried out for all staff periodically to ensure that all employees are adequately aware of the regulatory requirements for combatting money laundering/terrorist financing. During the year, the Compliance function has introduced fresh e-learning modules as part of the Layup e-Learning Management System.

PRODUCT RESPONSIBILITY

The Product Development Committee, comprising representatives from various disciplines of the Bank, ensures that all new products and services introduced and any changes to the Bank's existing products conform to the applicable laws and regulations and reflect ethical practices.

The Compliance Division plays a key role in product development to ensure legal and regulatory Compliance. Therefore, Compliance Division along with the Legal Department ensures that all new product structures are cleared

for regulatory and legal compliance within the normal regulatory and legal framework of the country.

CUSTOMER CHARTER

The corporate website publishes expected deposit rates, financing rates, exchange rates and tariffs and charges. The procedure for comments, complaints and suggestions is also set out in the website. The same has been displayed at branches including contact details of officials of the Bank and the Financial Ombudsman who can also be informed in the event, efforts made by the Bank prove unsatisfactory to the client.

CAPACITY BUILDING ON COMPLIANCE

Capacity building on Compliance through various internal and external training forms a critical building block of the Bank's Compliance plan, to instil an organisation wide compliance culture. Internal training and orientation for new recruits include training modules on Compliance. Existing and new staff are provided training throughout the year to ensure that well-trained staff members are present at all branches and divisions.

Some of the key training programmes that were conducted during the year included:

- A Compliance Forum which was held for all staff as refresher training on the AML/CFT system in connection with Ultimate Beneficial Ownership

- Special Training programme on "Compliance in a Post Covid-19" conducted for all staff via Zoom Technology on recent regulatory changes and combatting of Money Laundering and Terrorism Financing in a post Covid environment.
- Forums on Financial Crime Compliance by an industry practitioner with vast expertise from an International Bank.
- A briefing to the Board of Directors on the latest developments in the regulatory environment.

TECHNOLOGY DRIVEN COMPLIANCE

While most initiatives are taken to comply with various regulations, the Banking Act and the subsequent Directions issued by CBSL in this regard, the Bank constantly seeks to ensure that measures taken go well beyond mere compliance to meet the foreseeable threats in this rapidly evolving aspect. During the year under review, the Bank introduced a revamped Online Learning Management system geared towards learning the latest changes in the AML, Financial Crime areas with essential e-learning modules. This system is used by a leading International Bank and was procured to further strengthen the compliance mechanism and create the right awareness and broaden the knowledge base of the staff who are now better equipped to handle the myriad of complexities faced in today's environment.

Bank's Compliance with Prudential Requirements

CORPORATE GOVERNANCE COMPLIANCE

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance for Licensed Commercial Bank in Sri Lanka issued by the Central Bank as the regulator and Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

The Board of Directors is fully committed to ensure that good governance is practiced and responsible for developing an effective framework. Accordingly, during the period under review the Bank was in compliance to all of the provisions of the above directions.

Directors' Statement on Internal Control over Financial Reporting

RESPONSIBILITY

In line with the Banking Act Direction No 11 of 2007, section 3(8)(ii)(b), the Board of Directors present this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Amāna Bank PLC, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board and accords with the Guidance for Directors of Banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

KEY FEATURES OF THE PROCESS ADOPTED IN APPLYING AND REVIEWING THE DESIGN AND EFFECTIVENESS OF THE INTERNAL CONTROL SYSTEM OVER FINANCIAL REPORTING

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- The Internal Audit Department of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures and highlight significant findings in respect of any non-compliance. Audits are carried out on all units and branches, the frequency of which is determined by the level of risk assessed, to provide an independent and objective report. The annual Audit Plan is reviewed and approved by the Board Audit Committee. Findings of the Internal Audit Department are submitted to the Board Audit Committee for review at their periodic meetings.
- The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Department, the External Auditors, regulatory authorities and the Management: and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 168 to 170.
- Various Committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies and business directions that have been approved.

Directors' Statement on Internal Control over Financial Reporting

- In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn were observed and checked by the Internal Audit Department for suitability of design and effectiveness on an ongoing basis.
- The Bank further strengthened its internal control processes to ensure that the impact on Covid-19 moratorium on financing income and impairment provisions were captured in a timely and reasonably accurate manner as part of financial reporting. The Management also ensured that all critical reconciliations were performed without interruption during the lockdown periods.
- The comments made by the External Auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to rectify them.

CONFIRMATION

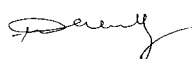
Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting

Standards and regulatory requirements of the Central Bank of Sri Lanka.

REVIEW OF THE STATEMENT BY EXTERNAL AUDITORS

The External Auditors, Messrs Ernst & Young, have reviewed the above Directors Statement on Internal Control over Financial Reporting included in the Annual Report of the Bank for the year ended 31 December 2020 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the internal control over financial reporting of the Bank. Their Report on the Statement of Internal Control over Financial Reporting is given on pages 159 and 160 of this Annual Report.

By Order of the Board,



Ali Asghar Akbarally
Chairman – Board of Directors



Tishan Subasinghe
Chairman – Board Audit Committee

20 February 2021
Colombo

Independent Assurance Report on Directors’ Statement on Internal Control Over Financial Reporting



Ernst & Young
Chartered Accountants
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ey.com

HMAJ/UM/TW

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF AMANA BANK PLC

Report on the Director’s Statement on Internal Control

We were engaged by the Board of Directors of Amāna Bank PLC (“Bank”) to provide assurance on the Directors’ Statement on Internal Control over Financial Reporting (“Statement”) included in the annual report for the year ended 31 December 2020.

Management’s responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the “Guidance for Directors of Banks on the Directors’ Statement on Internal Control” issued in compliance with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our responsibilities and compliance with SLSAE 3050 (Revised)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors’ Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeevani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principals: G B Goudian ACMA A A J R Perera ACA ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Independent Assurance Report on Directors' Statement on Internal Control Over Financial Reporting



For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Summary of work performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

20 February 2021
Colombo

Annual Report of the Board of Directors on the Affairs of the Bank

Contents of this report are in accordance with the statutory requirements, the requirements of relevant regulatory authorities for listed companies in the financial services industry and best accounting practices. This Report was approved by the Directors.

GENERAL

Your Directors have pleasure in presenting their Annual Report on the State of Affairs, together with the Audited Financial Statements for the year ended 31 December 2020. Amāna Bank PLC, a licensed commercial bank was incorporated under the Companies Act No. 07 of 2007 as a public limited liability company in Sri Lanka under the registration number PB 3618. It was listed in the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 under the registration number PB 3618 PQ on 28 August 2014. Amāna Bank PLC is a licensed commercial bank under the Banking Act No. 30 of 1988 and amendments thereto.

PRINCIPAL ACTIVITIES

The principal activities of the Bank are the provision of commercial banking and related services.

COMPLIANCE AND CORPORATE GOVERNANCE FOR LICENSED COMMERCIAL BANKS IN SRI LANKA

The Board of Directors of the Bank has adopted a comprehensive policy on compliance and in accordance with the regulations of the Central Bank of Sri Lanka (CBSL) has established an independent compliance function

in respect of statutory requirements and CBSL Directions relating to licensed commercial banks. Further in accordance with the provisions of the Financial Transaction Reporting Act No. 06 of 2006, the Board has appointed a Compliance Officer at Senior Management level in charge of compliance of the Bank. The Bank has also a Compliance Policy and Guideline on Know Your Customer (KYC) and Anti Money Laundering (AML). The Compliance Division monitors the compliance of the statutory requirements of the Bank and a report is submitted to the Board Integrated Risk Management Committee, Board Audit Committee and the Board of Directors on a quarterly basis ensuring the Bank complies with all such requirements.

The Bank also complies with the Banking Act Direction No.11 of 2007 on Corporate Governance issued by CBSL and is compliant with the provisions of the said Direction. The Corporate Governance Report is disclosed on pages 120 to 153.

In addition, the Bank is currently a listed entity and is in compliance with the Directions of the Securities and Exchange Commission of Sri Lanka, Continuing Listing Rules of the Colombo Stock Exchange and all other relevant authorities. The Board of Directors also hereby confirms that the Bank is compliant with section 9 of the Listing Rules of Colombo Stock Exchange pertaining to Related Party Transactions.

FINANCIAL RESULTS

	2020 LKR	2019 LKR
Net Operating Income	3,720,033,808	3,967,689,719
Total Operating Expenses	(2,565,418,009)	(2,591,015,720)
Operating Profit Before Value Added Tax on Financial Services, Nation Building Tax & DRL	1,154,615,799	1,376,673,999
Value Added Tax on Financial Services, Nation Building Tax & DRL	(393,167,272)	(531,825,986)
Profit Before Tax	761,448,527	844,848,013
Tax Expenses	(297,753,065)	(383,916,616)
Profit for the Year	463,695,462	460,931,397
Other Comprehensive Income/(Loss) for the Year Net of Tax	150,214,857	(32,214,047)
Total Comprehensive Income for the Year	613,910,319	428,717,350

PROPERTY, PLANT AND EQUIPMENT AND DEPRECIATION

Details of the property, plant and equipment of the Bank, additions made during the year and the depreciation charges for the year are shown in Note 26 to the Financial Statements.

Annual Report of the Board of Directors on the Affairs of the Bank

DONATIONS

During the year under review, the Bank made donations amounting to LKR 980,371 (2019 – LKR 1,323,284)

EVENTS AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements except for the events disclosed in Note 47 to the Financial Statements.

ACCOUNTING AND VALUATION METHODS

For the year under review, the financial statements were prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) which have materially converged with the International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

STATED CAPITAL AND SHAREHOLDERS

The Stated Capital of the Bank is LKR 10,819,561,398 (2,601,446,155 shares).

FINANCIAL STATEMENTS

The Financial Statements of the Bank are given on pages 196 to 259.

ACCOUNTING POLICIES

The Accounting Policies adopted in the preparation of Financial Statements are given on pages 201 to 213.

BOARD OF DIRECTORS

The Board is the highest decision making authority of the Bank and is responsible for leadership and strategic direction, whilst the Corporate Management is responsible for daily

operations and implementing effective internal controls.

The Board and Management work with mutual trust, respect and understanding of their respective roles, thus bringing a productive and harmonious environment conducive to effective Corporate Governance.

The Board comprises of 11 Directors, as at 31 December 2020, with the desired Board Balance and consist of eminent professionals in their respective fields with skills and expertise, to constructively deliberate on matters presented to the Board. Collectively they combine expertise in accounting, banking and finance, business and entrepreneurial management, investor and regulatory perspective and law and also bring in independent judgement to bear on matters reserved for the Board.

BOARD PROCESS

Based on a schedule of meeting dates agreed at the beginning of the year, the Board meets at least every calendar month in addition to other meetings convened for specific purposes.

The Chairman is responsible for determining the Agenda which is prepared with the assistance of the Company Secretary and circulated with relevant Board Papers via 'Board Pac' to the Directors. Minutes of deliberations and decisions are maintained in sufficient detail.

The Board plays an active role in strategy formulation by providing direction to the Management on the preparation of the Bank's five year

Strategic Plan. This process was further enhanced by Brainstorming Sessions of the Management Committee and its outcome incorporated into the Plan which was then presented to the Board for approval.

The following were Directors of Amāna Bank PLC during the year ended 31 December 2020:

1. Mr. Ali Asghar Akbarally (Chairman, Non-Executive, Non Independent Director - appointed w.e.f. 18 July 2020)
2. Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Senior Director)
3. Mr. Dilshan Hettiaratchi (Non-Executive, Independent Director)
4. Mr. Aaron Russell-Davison (Non-Executive, Independent Director)
5. Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)
6. Mr. Syed Muhammed Asim Raza (Non-Executive, Non-Independent Director)
7. Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Non-Independent Director)
8. Mr. Tishan Subasinghe (Non-Executive Independent Director - appointed w.e.f. 26 August 2020)
9. Mr. Paul Mercer (Non-Executive, Non-Independent Director - appointed w.e.f. 26 August 2020)
10. Mr. Omar Kassim (Non-Executive, Non-Independent Director - appointed w.e.f. 26 August 2020)
11. Mr. Mohamed Adamaly (Non-Executive, Non-Independent Director - appointed w.e.f. 27 August 2020)

RETIREMENT OF DIRECTORS AS PER END OF 9 YEAR STATUTORY PERIOD AND RESIGNATIONS

1. Mr. Osman Kassim (Founder Chairman - retired w.e.f. 10 August 2020)
2. Mr. Tyeb Akbarally (Former Deputy Chairman - retired w.e.f. 18 July 2020)
3. Mr. Mohamed Jazri Magdon Ismail (Former Senior Director - retired w.e.f. 10 August 2020)
4. Mr. Harsha Amarasekera, PC (Former Director - retired w.e.f. 17 February 2020)
5. Dr. Mostafa Hassan Mohamed Hassan Al Sabban (Former Director - resigned w.e.f. 15 February 2020)

ALTERNATE DIRECTORS

The following were Alternate Directors who ceased to hold office:

1. Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeb Akbarally - 18 July 2020)
2. Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim - 10 August 2020)

ROTATION OF DIRECTORS

In terms of Article 29 (6) of the Articles of Association of the Company one-third of the Directors shall retire from office at each Annual General Meeting. The following Directors retire by rotation and stand for re-appointment at the Annual General Meeting of Amāna Bank.

- a. Mr. Rajiv Nandlal Dvivedi
- b. Mr. Mohammed Ataur Rahman Chowdhury
- c. Mr. Syed Muhammed Asim Raza
- d. Mr. Khairul Muzamel Perera Bin Abdullah

INTEREST REGISTER

The Directors' interest in shares has been disclosed in the Interest Register.

DIRECTORS' REMUNERATION AND OTHER BENEFITS

Directors' remuneration in respect of the Bank for the financial year ended 31 December 2020 is given in Note 13 to the Financial Statements.

DIRECTORS' INTEREST IN CONTRACTS

As at 31 December 2020, none of the Directors had interests in contracts with the Bank, other than those disclosed in Note 46 to the Financial Statements.

As required by the Section 168 (1) (e) of the Companies Act No. 07 of 2007, the Bank maintains an Interests Register. We wish to confirm that all Directors have made declarations as required by the Sections 192 (1) and (2) of the Companies Act aforesaid and all related entries were made in the Interests Register during the year under review. The share ownership of Directors is disclosed below. The Interest Register is available for inspection by shareholders or their authorised representatives as required by the Section 119 (1) (d) of the Companies Act No. 07 of 2007.

DIRECTORS' INVESTMENTS IN SHARES

The shareholdings of Directors who held office as at 31 December 2020 were as follows. Former Directors are denoted by an asterisk.

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Ali Asghar Akbarally	Nil	Nil
Mr. Rajiv Nandlal Dvivedi	Nil	Nil
Mr. Dilshan Hettiaratchi	Nil	Nil
Mr. Aaron Russell-Davison	Nil	Nil
Mr. Mohammed Ataur Rahman Chowdhury	Nil	Nil
Mr. Syed Muhammed Asim Raza	Nil	Nil
Mr. Khairul Muzamel Perera Bin Abdullah	Nil	Nil
Mr. Tishan Subasinghe	Nil	Nil
Mr. Paul Mercer	Nil	Nil
Mr. Omar Kassim	Nil	Nil
Mr. Mohamed Adamaly	Nil	Nil
Mr. Osman Kassim *	63,000,000	2.42
Mr. Tyeb Akbarally *	54	0.00
Mr. Mohamed Jazri Magdon Ismail *	132,079	0.00

Annual Report of the Board of Directors on the Affairs of the Bank

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Harsha Amarasekera, PC *	Nil	Nil
Dr. Mostafa Hassan Mohamed Hassan Al Sabban *	Nil	Nil
Mr. Huzefa Inayetally Akbarally * (Alternate Director to Mr. Tyeab Akbarally)	01	0.00
Mr. Mohamed Faizel Mohamed Haddad * (Alternate Director to Mr. Osman Kassin)	41,598	0.00

BOARD COMMITTEES

The Board of Directors, while assuming the overall responsibility and accountability for the management oversight of the Bank has also appointed Board Committees to ensure oversight and control over certain functions of the Bank conforming to Directions on Corporate Governance issued by the Monetary Board of CBSL. Accordingly the following committees have been constituted by the Board:

Board Audit Committee

1. Mr. Tishan Subasinghe - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Aaron Russell-Davison - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member

The report of the Board Audit Committee is given on pages 168 to 170 which forms part of the Annual Report of the Board of Directors.

Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - Chairman
2. Mr. Tishan Subasinghe - Member
3. Mr. Mohammed Ataur Rahman Chowdhury - Member
4. Mr. Mohamed Azmeer (CEO) - Member
5. Mr. M M S Quvylidh - (CRO) - Member

The report of the Board Integrated Risk Management Committee is given on pages 171 to 173 which forms part of the Annual Report of the Board of Directors.

Board Nomination Committee

1. Mr. Dilshan Hettiaratchi - Chairman
2. Mr. Tishan Subasinghe - Member
3. Mr. Ali Asghar Akbarally - Member
4. Mr. Rajiv Nandlal Dvivedi - Member
5. Mr. Mohammed Ataur Rahman Chowdhury - Member

The report of the Board Nomination Committee is given on pages 175 and 176 which forms part of the Annual report of the Board of Directors.

Board Human Resources and Remuneration Committee

1. Mr. Ali Asghar Akbarally - Chairman
2. Mr. Tishan Subasinghe - Member
3. Mr. Dilshan Hettiaratchi - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member
5. Mr. Aaron Russell-Davison - Member

The report of the Board Human Resources and Remuneration Committee is given on page 174 which forms part of the Annual Report of the Board of Directors.

Board Related Party Transactions Review Committee

1. Mr. Tishan Subasinghe - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Dilshan Hettiaratchi - Member
4. Mr. Aaron Russell-Davison - Member

The report of the Board Related Party Transactions Review Committee is given on pages 177 and 178 which forms part of the Annual Report of the Board of Directors.

In addition to the above mandatory Board appointed Committees, the Board of Directors has also appointed a Board Credit Committee which oversees the Credit approval functions of the Bank.

Board Credit Committee

1. Mr. Dilshan Hettiaratchi - Chairman
2. Mr. Ali Asghar Akbarally - Member
3. Mr. Mohamed Adamaly - Member

AUDITORS

The Financial Statements for the year ended 31 December 2020 have been audited by Messrs Ernst & Young, Chartered Accountants who offer themselves for re-appointment. A resolution relating to their re-appointment and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Auditors Messrs Ernst & Young, Chartered Accountants were paid/ provided with LKR 4,023,756 as Audit fees by the Bank.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor and Tax Consultant) with the Bank. The Auditors also do not have any interest in the Bank.

ANNUAL REPORT

The Directors approved the Financial Statements together with the reviews which forms part of the Annual Report. The appropriate number of copies has been submitted to the Central Bank of Sri Lanka, Sri Lanka Accounting and Auditing Standard Monitoring Board, the Registrar of Companies and the Colombo Stock Exchange.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 23 April 2021 at 3.00 p.m. at the Registered Office, 486 Galle Road, Colombo 3, via a digital platform.

The Notice of the Annual General Meeting is given on page 300.

By Order of the Board



Mrs. Samitha Dayani de Silva
Company Secretary

20 February 2021
Colombo

Directors' Interest in Contracts

Name of Director	Name of Company	Position	Nature of Transaction	Amount 2020 LKR	Amount 2019 LKR
Mr. Ali Asghar Akbarally	Akbar Brothers (Pvt) Limited	Director	Due to Depositors	1,049,667,572	970,451,386
Mr. Ali Asghar Akbarally	Akbar Pharmaceuticals (Pvt) Limited	Director	Due to Depositors	101,888	99,160
Mr. Ali Asghar Akbarally, Chairman of the Bank is also Chairman of Laviyani Holdings (Pvt) Limited, WindForce (Pvt) Limited, Uthurumaafaru Holdings (Pvt) Limited - Maldives, Cocoon Investments (Pvt) Limited - Maldives and Hermitage Resorts (Pvt) Limited and also a Director of Alumex PLC, Akbar Pharmaceutical Holdings (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Falcon Trading (Pvt) Limited, Falcon Development (Pvt) Limited, Chadstone Holdings (Pvt) Limited, Flexi Print (Pvt) Limited, Quick Tea (Pvt) Limited, Land & Building (Pvt) Limited, Stella Plastic India (Pvt) Limited and Renewgen (Pvt) Limited					
Mr. Omar Kassim	Esanjo Capital Limited	Director	Due to Depositors	92,229,090	N/A
Mr. Omar Kassim	Al Bogari IGL DMCC	Director	Due to Depositors	3,740	N/A
Mr. Omar Kassim, a Director of the Bank is also a Director of Esanjo Ventures Limited, Esanjo Limited, Nomod Inc., Nomod Limited and Nomod LLC					
Mr. Tyeab Akbarally*	Amāna Takaful PLC	Chairman	Financing and Receivables to Other Customers	N/A	102,684,902
Mr. Osman Kassim*		Director	Financial Assets Measured at FVPL/FVOCI		143,946,055
			Due to Depositors		265,669,723
			Personnel and Other Operating Expenses		46,997,970
			Net Fee and Commission Income		19,280,387
Mr. Harsha Amarasekera*	Expolanka Holdings PLC and Group	Director	Financing and Receivables to Other Customers	N/A	994,349,676
			Due to Depositors		43,305,563
			Letters of Credit, Letters of Guarantee, Shipping Guarantees and Other		41,504,624
Mr. Osman Kassim*	Aberdeen Holdings Limited and Group	Chairman	Financing and Receivables to Other Customers	N/A	174,816,990
			Due to Depositors		205,298,623
Mr. Osman Kassim*	Alhasan Foundation	Chairman	Due to Depositors	N/A	3,968,346
Mr. Osman Kassim*	Amāna Takaful (Maldives) PLC	Director	Due to Depositors	N/A	2,979,754
Mr. Tyeab Akbarally*		Director			
Mr. Osman Kassim*	Vidullanka PLC	Chairman	Due to Depositors	N/A	1,630,670

Name of Director	Name of Company	Position	Nature of Transaction	Amount 2020 LKR	Amount 2019 LKR
Mr. Harsha Amarasekera*	Delmege Forsyth & Company Limited	Director	Financing and Receivables to Other Customers	N/A	472,517,683
			Due to Depositors		1,514,372
			Letters of Credit, Letters of Guarantee, Shipping Guarantees and Other		39,778,464
Mr. Dilshan Hettiaratchi, a Director of the Bank is also a Director of Asset Trust Management (Pvt) Limited, Faber Capital Lanka (Pvt) Limited, Faber Capital (DIFC) Limited, Southern Gammiris Lanka (Pvt) Limited, Sagasolar Power (Pvt) Limited, Last Mile Delivery (Pvt) Limited, Boda Boda (Pvt) Limited, Premier Solar Group Limited, Premier Solar Lanka (Pvt) Limited, WindForce (Pvt) Limited and Preserving Land and Nature (Guarantee) Limited					
Mr. Rajiv Nandlal Dvivedi, the Senior Director of the Bank is also a Director of Candor Securities Limited					
Mr. Aaron Russell-Davison, a Director of the Bank is also Chairman of Softlogic Finance PLC and Softlogic Asset Management (Pvt) Limited, and also a Director of Softlogic Holdings PLC, Softlogic Capital PLC, Korkula Holdings (Pvt) Limited, Ceylon Cinnamon Corporation (Pvt) Limited, Silk Road Partners (Pvt) Limited, Southern Investment Enterprises, Ashari, Rajan, Sherry Lanka, Arran Holdings, Lidsay Lanka, Oceans Edge, Qwant, Sparkle Sands, Madeleine and Shineon.					
Mr. Khairul Muzamel Perera Bin Abdullah, a Director of the Bank is also a Director of Raeed Holdings SDN BHD and IAP Integrated SDN BHD					
Mr. Tishan Subasinghe, a Director of the Bank is also Chairman of Sanasa General Insurance Company Limited and Sanasa Green Mart (Pvt) Limited, a Director of Moore Stephens Consulting (Pvt) Limited and also a Partner of Moore Stephens Aiyar					
Mr. Mohamed Adamaly, a Director of the Bank is also a Director of Bogala Graphite Lanka PLC, David Pieris Holding (Pvt) Limited, David Pieris Leisure (Pvt) Limited, Synergy Plus (PTE) Limited, Palm Stone (Pvt) Limited, Soul Resorts (Pvt) Limited, Monad (Pvt) Limited, Monad Corporate Services (Pvt) Limited, S A A Lanka (Pvt) Limited, Adamantium Investments (Pvt) Limited and Blue Sky Luxury Apartments (Pvt) Limited					
Mr. Paul Mercer, a Director of the Bank is also a Director of Mercer Consultancy S P C					

* Mr. Osman Kassim, Mr. Tyeab Akbarally and Mr. Harsha Amarasekera ceased to be Directors of the Bank during 2020.

Board Audit Committee Report

COMPOSITION

The Board Audit Committee (BAC) conducts its proceedings in accordance with its terms of reference approved by the Board of Directors. Mr. Mohamed Jazri Magdon Ismail, who was the Chairman of the BAC, retired from the Board of Directors, on 10 August 2020. Mr. Tishan Subasinghe, a Fellow Member of the Institute of Chartered Accountants of Sri Lanka, was appointed to the BAC as the Chairman with effect from 26 August 2020.

The Committee as at the end of the year 2020 comprised of four Non-Executive Directors, three of them being Independent.

Table below shows the list of members of the BAC during the year under review and their attendance at Committee meetings held during the year:

Member	Total Number of Meetings Attended / Total Number of Meetings Eligible to Attend
Mr. Tishan Subasinghe (Chairman - Appointed w.e.f. 26 August 2020) (Non-Executive, Independent Director)	2/2
Mr. Mohamed Jazri Magdon Ismail (Chairman unto his retirement on 10 August 2020) (Non-Executive, Senior Independent Director)	5/5
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Senior Director)	7/7
Mr. Aaron Russell-Davison (Non-Executive, Independent Director)	7/7
Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)	7/7

The Chief Internal Auditor functions as the Secretary to BAC.

ROLE OF THE BOARD AUDIT COMMITTEE

The Committee assists the Board of Directors in carrying out its responsibilities in relation to financial reporting requirements and assessment of internal controls. The role and responsibilities of the Committee is defined in the Committee's "Terms of Reference" document. The Committee amongst other functions performs the following key tasks:

- Reviewing the operations and effectiveness of the Bank's internal control system to ensure that a good financial reporting system is in place to comply with the Sri Lanka Accounting Standards.
- Ensuring that the presentation of Financial Statements satisfies all applicable accounting standards as well as the relevant legal and regulatory requirements.
- Recommending appointment or re-appointment of the External Auditor for audit services in compliance with the relevant statutes.
- Reviewing and monitoring the External Auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.
- Discussing and finalising with the External Auditors the nature and scope of the audit before the commencement of the audit.
- Ensuring that an Internal Audit Charter and a comprehensive Internal Audit Manual comprising of relevant Guidelines are in place.
- Reviewing the adequacy of the scope, functions and resources of the Internal Audit Division and ensuring that appropriate actions are taken on the findings and recommendations of the Division.

REGULATORY COMPLIANCE

The role and functions of the BAC are regulated by the Banking Act Direction No. 11 of 2007, the Mandatory Code of Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka and the Best Practices of Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

MEETINGS

The Committee met Seven times during the year under review. The regular attendees on invitation to the BAC meetings are the Chief Executive Officer and the Chief Financial Officer. On the invitation of the Committee, the Engagement Partner of the Bank's External Auditors, M/s Ernst and Young also attended two (2) meetings held during the year. Further where necessary, Key Management Personnel from pertinent business and support divisions of the Bank were also invited to attend relevant segments of the meetings to enhance the awareness of the Committee with regard to issues and/or developments relating to such departments. Such invitations were extended to ensure that the Committee is provided with all the relevant information to facilitate the discharge of its role and responsibilities.

FINANCIAL REPORTING

The BAC as part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, has reviewed and discussed with the Management, the Annual Financial Statements for the year 2020, prior to release. These Financial Statements have been prepared in line

with the Sri Lanka Accounting Standards (SLFRS & LKAS) and are an integral part of the Bank's Annual Report.

Above review by the Committee included the extent of compliance with the Sri Lanka Accounting Standards, the Companies Act No. 07 of 2007, the Banking Act No. 30 of 1988 and amendments thereto.

RISKS AND INTERNAL CONTROLS

The internal controls within the Bank are designed to provide reasonable but not absolute assurance to the Directors and assist them to monitor the financial position of the Bank. During the year, the Committee reviewed the effectiveness of the Bank's internal control system and assessed the effectiveness of the internal controls over financial reporting as of 31 December 2020, as required by the Banking Act Direction No. 11 of 2007, Corporate Governance for Licensed Commercial Banks in Sri Lanka, Subsection 3 (8) (ii) (b), based on the "Guidance for Directors of Banks on the Directors' Statement of Internal Control" issued by the Institute of Chartered Accountants of Sri Lanka. The result of the assessment is given on pages 157 and 158 of the Annual Report, titled "Directors' Statement on Internal Control over Financial Reporting". The External Auditors have issued an Assurance Report on the Directors' Statement on Internal Control over Financial Reporting. This report is given on pages 159 and 160 of the Annual Report. Based on its assessment of the Internal Control System, the Committee concluded and confirmed to the Board as of 31 December 2020 that the Bank's Internal Control over financial reporting is effective.

EXTERNAL AUDIT

The BAC reviewed and monitored the independence of the External Auditors and the objectivity as well as the effectiveness of the External Audit process and having satisfied itself of the same, assisted the Board with its recommendations to the shareholders on re-appointment of M/s Ernst & Young, Chartered Accountants as external auditors for the financial year ended 31 December 2020. The role played by the BAC with regard to the External Audit and also to ensure the independence of External Auditors is as follows:

- Monitoring and evaluating the independence, objectivity and effectiveness of the External Audit at the planning, execution, completion and reporting phases of the External Audit Assignment.
- BAC discussed the approach and procedures followed by the External Auditors, including matters relating to the audit plan, key risk areas, scope and the methodology proposed to be adopted in conducting the audit, prior to commencement of the annual audit.
- Discussion of the time frame allocated for the External Audit and approving remuneration to be paid to the External Auditors.
- Reviewing the existing non-audit services provided by the External Auditors and also approving any new services to the external auditors by ensuring that such functions do not fall within the restricted services which will impair the External Auditors' independence and objectivity.

Board Audit Committee Report

- BAC met the External Auditors two (2) times during the year without the presence of the executive management to ensure that there was no limitation of scope in relation to the Audit and any other related incidents which could have had a negative impact on the effectiveness of the external audit, and concluded that there was no cause for concern.
- Moreover, the Committee also reviewed the External Auditor's Management Letter – 2019 and the management's responses thereto.

INTERNAL AUDIT

During the year, the BAC reviewed the independence, objectivity and performance of the Internal Audit Function. This review also included the findings from the internal audits completed and the Internal Audit Division's evaluation of the Bank's internal controls. The Committee also reviewed the adequacy of Internal Audit coverage through the Internal Audit Plan and approved the same. It also assessed the Internal Audit Division's resource requirements.

'Management Audit Committee' (MAC) which is an Executive level Management Committee headed by the CEO discusses the Internal Audit reports submitted to the BAC in order to optimise the remedial actions taken to resolve the audit findings therein and to follow-up on actions taken by the auditees to resolve previously agreed audit findings.

OTHER KEY ACTIVITIES/INITIATIVES TAKEN DURING THE YEAR 2020 BY THE BAC

- Recommended the Revised Internal Audit Policy Manual for the Approval of the Board
- Revising Internal Audit Plan in May 2020 to cater to the changing risk landscape further to the onset of the Covid-19 pandemic.

PROFESSIONAL ADVICE

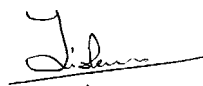
The Committee has the authority to seek external professional advice on matters within its purview.

WHISTLE BLOWING

An internal Whistle Blowing scheme is in place for all staff members to raise any concerns and expose any suspected wrongdoings and provides a process for resolving such wrongdoings without any fear of reprisal or adverse consequences to those associated in disclosure thereof. The Committee has put in place a process to continuously review and investigate the complaints received via this scheme and appropriate directions are provided by the Committee where applicable in relation to the conclusions arrived at, based on such investigations.

COMMITTEE EVALUATION

The annual evaluation of the BAC was carried out by the other members of the Board of Directors and the Committee has taken note of the feedback received.



Tishan Subasinghe
Chairman – Board Audit Committee

20 February 2021
Colombo

Board Integrated Risk Management Committee Report

COMPOSITION OF THE COMMITTEE

The Board Integrated Risk Management Committee (BIRMC) comprising of members listed below conducts its proceedings in accordance with the Terms of Reference approved by the Board of Directors. The Committee was formed by the Board on 30 May 2011 and the current Chairman is Mr. Rajiv Nandlal Dvivedi.

The Committee met four times during the year 2020 and the attendance is as follows:

Member	Participated / Eligibility
Mr. Rajiv Nandlal Dvivedi (Chairman) (Non-Executive, Independent Senior Director)	4/4
Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Senior Director) retired on completion of 9 year statutory period w.e.f. 10 August 2020	2/2
Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)	4/4
Mr. Tishan Subasinghe (Non-Executive, Independent Director) appointed w.e.f. 26 August 2020	2/2
Mr. Mohamed Azmeer (Chief Executive Officer)	4/4
Mr. Ajmal Naleer (Former Chief Risk Officer) was appointed as CCO w.e.f. 1 August 2020	2/2
Mr. Quvylihd (Chief Risk Officer) appointed as CRO w.e.f. 1 August 2020	2/2

REGULATORY COMPLIANCE

The BIRMC was established by the Board of Directors, in compliance with the Section 3 (6) of Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Monetary Board of the Central Bank of Sri Lanka (CBSL) under powers vested in the Monetary Board, in terms of the Banking Act No. 30 of 1988 as amended.

MEETINGS

Vice President – Operations and Manager - Risk Middle Office attended BIRMC meetings by invitation. Key Management Personnel from relevant business and support departments of the Bank including Chief Compliance Officer (CCO) were also invited to attend segments of the meetings to articulate and clarify matters relating to their respective areas. Such invitations were extended to ensure that the BIRMC is provided with all relevant information to facilitate the discharge of its roles and responsibilities. A report from the BIRMC Chairman along with the confirmed BIRMC meeting minutes is forwarded to the Board of Directors for perusal.

ROLES AND RESPONSIBILITIES OF THE BIRMC

The BIRMC is primarily responsible for the effective functioning of the risk management function within the Bank. The BIRMC has the authority to request diverse information from various sources, in order to effectively carry out its responsibilities on the risk management process of the Bank. The committee oversees and controls integrated planning and monitoring of our risk profile and capital capacity, providing an alignment of risk appetite and capital requirements. Its main responsibilities include the following,

- Ensure that the Bank has comprehensive risk management policies and framework and appropriate compliance policies and processes are in place and to continuously monitor their effectiveness so as to inculcate a proactive risk management culture within the Bank.
- Review and recommend the risk appetite/tolerance for the Bank at all levels of business, to the Board for adoption.
- Assess and oversee risks, i.e. credit, market, liquidity, operational and strategic risks to the Bank, on a monthly basis through appropriate risk indicators and management information.
- Review the independence and robustness of risk management processes and internal controls throughout the Bank, with a view to manage the Bank's key risk control and mitigation processes.

Board Integrated Risk Management Committee Report

- v. Oversee management level committees managing risk, such as Executive Risk Management Committee (ERMC), Executive Credit Committee 1 (ECC 1) and the Asset and Liability Committee (ALCO).
- vi. Ensure that there are clear and independent reporting lines and responsibilities for risk management functions.
- vii. Apprise the Board on the proper management of risk, specifically relating to Capital, Market, Credit and Operational risks and seeking the Board's endorsement on any strategic decisions taken relating to such risks.
- viii. Take prompt corrective action to mitigate the effects of specific risks, in case such risks are at levels beyond prudent levels decided by the Committee, on the basis of the Bank's policies and regulatory and supervisory requirements.
- ix. Take appropriate actions against officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the Committee, and/or as directed by the Director of Bank Supervision.
- x. Submit an update on key matters discussed and resolved at the next Board meeting, prior to the issuance of the BIRMC minutes.

- xi. Establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from the Key Management Personnel shall carry out the compliance function and report to the Committee periodically.

The BIRMC has the authority to seek external professional advice on matters within its purview.

RISK MANAGEMENT AND INTERNAL CONTROLS

Risk management controls are implemented across the Bank to provide reasonable assurance to the Board and Senior Management, that effective mitigation action plans are implemented to address all risk exposures. During the year, BIRMC has reviewed and assessed the effectiveness of the Bank's risk management controls for the financial year ended 31 December 2020. In pursuit of managing its risk profile, the Bank has further strengthened the Risk Management Division (RMD) with the objective of effectively managing the core functions of risk: credit, market, liquidity and operational risks.

The Risk management functions cover comprehensive aspects of risk management and it is to provide an increased focus on holistic risk management and cross-risk oversight to further enhance our risk culture and the risk profile.

BIRMC has emphasised the importance of strengthening self-assessment on regulatory aspects and provided a clear direction which will be strictly adhered to.

COMMITTEE EVALUATION

The Risk Management Division has carried out Risk Control and Self-Assessment (RCSA) in the critical business units for identifying, assessing, mitigating, monitoring and reporting of operational risks. The results of such exercises were also escalated to the relevant levels of management and taken up for discussions at BIRMC meetings for creating awareness and appropriate action. It is our aim to continue to strengthen the RCSA process.

The Committee evaluated the continuity of the Bank's operations during the lockdown imposed by the government due to the Covid -19 pandemic and appreciated the efforts of the Management to continue the critical operations of the Bank. It was very well noted that the Bank has taken measures to make sure that the preparedness of the Bank's operations and the staff towards this pandemic situation is adequately provided and managed well.

The Committee reviewed the product papers and approved to implement new initiatives in order to cater the customers who were in need during the pandemic. Committee evaluated the stress testing assessment of the impact due to the pandemic and the same was detailed in the ICAAP prepared in 2020. It was presented and endorsed by the BIRMC.

Risk Management Division has successfully conducted a Business Continuity Plan (BCP) drill with a negligible number of issues. The BCP/DR (Disaster Recovery) test results were validated by the Internal Audit Division and submitted to the Board Audit Committee. BCP/DR test results were recommended by the BIRMC which was tabled for approval of the Board of Directors and submitted to CBSL.

BIRMC has also reviewed major policies during the year 2020 and recommended same for onward submission to Board of Directors for approval. It also reviewed the Directions announced by CBSL which required relevant policies to be amended with immediate effect, and forwarded such policies to Board of Directors with its recommendation.

BIRMC evaluated its management committees and ensured that they are functioning adequately and effectively according to their Terms of Reference.

The Bank continued to grow its balance sheet despite an overall slowdown in economic activity. The Bank managed the overall risk profile successfully, whilst ensuring sustained portfolio growth and income generation which are key ingredients to increasing stakeholder value. The Board and the BIRMC are satisfied with the effective risk management strategies implemented by the Bank, under its Integrated Risk Management Framework (IRMF).

The Bank shall continue to review, monitor and proactively address potential risks identified in all its operations and implement appropriate mitigation strategies, to remain in a steady growth and expansion phase. The Bank shall also continue to function within its approved risk appetite as well as comply with BASEL regulations in line with the CBSL requirements of effective risk management practices.



Rajiv Nandlal Dvivedi
*Chairman - Board Integrated Risk
Management Committee*

20 February 2021
Colombo

Board Human Resources and Remuneration Committee Report

The Board Human Resources and Remuneration Committee (BHRRC) comprises the following members:

1. Mr. Ali Asghar Akbarally - Chairman (Non-Executive, Non-Independent Director - appointed w.e.f. 15 August 2020)
2. Mr. Dilshan Hettiaratchi - Member (Non-Executive, Independent Director)
3. Mr. Aaron Russell-Davison - Member (Non-Executive, Independent Director)
4. Mr. Mohammed Ataur Rahman Chowdhury - Member (Non-Executive, Non-Independent Director)
5. Mr. Tishan Subasinghe - Member (Non-Executive, Independent Director - appointed w.e.f. 26 August 2020)

All five (5) Directors in the Committee are Non-Executive Directors with three (3) being Independent Directors.

AUTHORITY AND RESPONSIBILITIES

The BHRRC has the explicit authority to decide on and review the Bank's Human Resources and Remuneration Policy and Structure within its Terms of Reference on behalf of the Board of Directors. It may however, refer any matter which in the opinion of BHRRC should be decided by the Board of Directors together with its recommendations.

In discharging its duties and functions the BHRRC has all the resources it needs to do so and full and unrestricted access to information and the right to obtain external professional advice and invite outsiders with relevant experience to attend meetings if necessary.

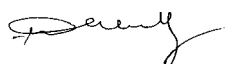
The Roles and Responsibilities of the Committee include:

- (i) Approving the periodic review of Human Resource Policies and Procedures based on Management's recommendation.
- (ii) Approval of Remuneration.
 - a. Directors' emoluments
 - b. Annual salary and bonus based on performance evaluations
 - c. Incentives, allowances and other perquisites
- (iii) Evaluating the performance of the CEO and Key Management Personnel against the set targets and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.

MEETINGS

Meetings are held as and when necessary after providing sufficient notice to all members. The Committee held two meetings during the year under review.

Name	Participated / Eligibility
Mr. Tyeab Akbarally (retired w.e.f. 15 July 2020)	1/1
Mr. Mohamed Jazri Magdon Ismail (retired w.e.f. 10 August 2020)	1/1
Mr. Ali Asghar Akbarally	1/1
Mr. Tishan Subasinghe	1/1
Mr. Dilshan Hettiaratchi	1/2
Mr. Aaron Russell-Davison	2/2
Mr. Mohammed Ataur Rahman Chowdhury	2/2



Ali Asghar Akbarally

Chairman - Board Human Resources and Remuneration Committee

20 February 2021
Colombo

Board Nomination Committee Report

COMPOSITION OF THE COMMITTEE

Amāna Bank's Board Nomination Committee (BNC) constitutes of (5) Non-Executive Directors, majority of whom are Independent Directors as named below:

1. Mr. Dilshan Hettiaratchi - Chairman (Non-Executive, Independent Director)
2. Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Senior Director)
3. Mr. Mohammed Aatur Rahman Chowdhury - Member (Non-Executive, Non-Independent Director)
4. Mr. Ali Asghar Akbarally - Member (Non-Executive, Non-Independent Director - appointed w.e.f. 18 July 2020)
5. Mr. Tishan Subasinghe - Member (Non-Executive, Independent Director - appointed w.e.f. 26 August 2020)

Brief profiles of the Members of the Committee are given on pages 28 to 33 in the Annual Report. The Company Secretary functions as the Secretary of the Committee.

AUTHORITY OF THE COMMITTEE

- The Committee has the authority to discuss issues under its purview and report back to the Board with recommendations, enabling the Board to take a final decision on the matter.
- The Members of the Committee have the authority to express their independent views when making decisions.

- The Committee regularly reviews the structure, size, composition including gender representation and competencies of the Board and makes recommendations to the Board with regard to any changes.
- The Committee recommends to the Board on insurance covers to be taken in respect of all Directors and KMP including indemnity insurance covers.
- If a need arises, professionals from outside may be invited for advice on specific issues.
- Bank staff may be present at Committee meeting for advice or special assignments, on invitation.

RESPONSIBILITIES OF THE BOARD NOMINATION COMMITTEE

According to the Terms of Reference (TOR) given by the Board to the BNC, the following are its key responsibilities:

- (i) Establishing a procedure to select/appoint new Directors, Chief Executive Officer (CEO) and Key Management Personnel (KMP).
- (ii) Considering and recommending (or not recommending) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.
- (iii) Setting the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.

- (iv) Ensuring that the Directors, CEO and KMP are fit and proper persons to hold office as specified and set out in the Banking Act and other relevant Statutes and in terms of the Directions issued by the Central Bank of Sri Lanka (CBSL) from time to time.
- (v) Considering and recommending from time to time, the requirements of additional/new expertise and the succession arrangements for retiring Directors and KMP.

The Quorum necessary for transaction of business is three Members.

FREQUENCY OF MEETINGS

The Committee is required to meet as and when necessary and at least twice during a financial year.

REGULAR ATTENDEES BY INVITATION

Mr. Mohamed Azmeer (Chief Executive Officer) attends BNC Meetings regularly by invitation.

Board Nomination Committee Report

MEETINGS

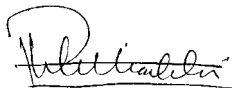
Member	Participated / Eligibility
Mr. Dilshan Hettiaratchi	5/5
Mr. Tishan Subasinghe	0/0
Mr. Ali Asghar Akbarally	1/1
Mr. Rajiv Nandlal Dvivedi	4/5
Mr. Mohammed Ataur Rahman Chowdhury	5/5
Mr. Mohamed Azmeer (By Invitation)	4/5

PERFORMANCE DURING THE YEAR

During the year 2020, the BNC held 5 Meetings.

As mandated under the Corporate Governance Direction issued by the Central Bank of Sri Lanka, the Committee also considered the re-appointment of Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Bank and also Fitness and Propriety of the continuing Directors.

BNC is actively involved in the selection and appointments of Directors and KMP to ensure that they are fit and proper persons to hold their offices.



Dilshan Hettiaratchi
Chairman - Board Nomination Committee

20 February 2021
Colombo

Board Related Party Transactions Review Committee Report

COMPOSITION OF THE BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The Board Related Party Transaction Review Committee (BRPTRC) was formed as a Board Sub-Committee with effect from 28 March 2016 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka (the “Code”) and Section 9 of the Listing Rules of the Colombo Stock Exchange (the “Rules”).

The Committee comprises of the following four Independent, Non-Executive Directors.

- Mr. Tishan Subasinghe - Chairman (Non-Executive, Independent Director - appointed w.e.f. 26 August 2020)
- Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Senior Director)
- Mr. Dilshan Hettiaratchi - Member (Non-Executive, Independent Director)
- Mr. Aaron Russell-Davison - Member (Non-Executive, Independent Director)

REGULAR ATTENDEES BY INVITATION

Mr. Mohamed Azmeer (Chief Executive Officer) attends BRPTRC Meetings regularly by invitation.

The Committee is assisted by the following staff members:

- Mr. M. Ali Wahid (Chief Financial Officer)
- Mr. Irshad Iqbal (VP Business Banking)

- Mr. Ajmal Naleer (Chief Compliance Officer)
- Mr. M. M. S. Quvylidh (Chief Risk Officer)
- Mr. Numair Cassim (Chief Internal Auditor)
- Mr. Fazly Marikar (VP Strategy Management & Product Innovation)

In addition, the Committee summons other Management officials to participate in proceedings on a need basis.

MEETINGS

The committee meets quarterly as stipulated by the regulations. During 2020, the Committee held four meetings.

Member	Participated/ Eligibility
Mr. Tishan Subasinghe	2/2
Mr. Rajiv Nandlal Dvivedi	4/4
Mr. Dilshan Hettiaratchi	4/4
Mr. Aaron Russell-Davison	3/4
Mr. Mohamed Azmeer (By Invitation)	3/4
Mr. Mohamed Jazri Magdon Ismail (retired w.e.f. 10 August 2020 having completed the 9 year statutory period)	2/2

The Company Secretary functions as the Secretary to the Committee.

TERMS OF REFERENCE AND SCOPE OF OPERATIONS

The Committee operates in accordance with the Terms of Reference on monitoring Related Party Transactions as regulated by the “Code” and the “Rules” with a view to determining that they have not received any favourable nor preferential - considerations vis a vis - the other shareholders and customers of the Bank as well as to ascertain that their transactions and dealings are in strict conformity with Statutory and Regulatory requirements, which the Bank is obliged to adhere to.

In discharging the obligations arising out of the Terms of Reference, the Committee adheres to the Bank’s Policy and Procedures on Related Party Transactions when reviewing such transactions.

The Mandate of the Committee includes the following:

- Developing, updating and recommending for adoption by the Board of Directors of the Bank, a Related Party Transactions Policy consistent with that proposed by the SEC.

Board Related Party Transactions Review Committee Report

- Updating the Board of Directors on Related Party Transactions on a quarterly basis.
- Advising the Board in making immediate market disclosures on applicable Related Party Transactions as required by Section 9 of the Continuing Listing Requirements of the CSE.
- Advising the Board in making appropriate disclosures on RPT in the Annual Report as required by Section 9 of the Continuing Listing Requirements of the CSE.

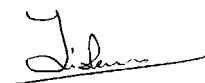
The Committee relies on the integrity of periodically reportable related party transactions of Board Members, Key Management Personnel and other relevant individuals and entities based on the following:

- An updated and detailed list of all Related Parties.
- Confirmations from Business Heads on transactions entered into with Related Parties during each quarter.
- Analysis of terms to ensure that transactions have been at arms-length and no favourable treatment has been offered to the Related Party.

Related Party Transactions during the year were reviewed by the Committee and relevant observations were communicated to the Board of Directors.

REPORTING TO THE BOARD

The Minutes of the Committee Meetings are tabled at the immediately following Board Meeting enabling all Board Members to have access to same.



Tishan Subasinghe
*Chairman - Board Related Party
Transactions Review Committee*

20 February 2021
Colombo

Statement of Directors' Responsibility

The responsibility of the Directors, in relation to the Financial Statements of Amāna Bank PLC (Bank) is set out in this Statement. The responsibilities of the External Auditors in relation to the Financial Statements are set out in the Auditors' Report given on pages 192 to 195.

In terms of Sections 150, 151 and 153 of the Companies Act No. 07 of 2007, the Directors of the Bank are responsible for ensuring that the Bank keeps proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank as at end of each financial year and of the financial performance of the Bank for each year and place them before a general meeting. The Financial Statements comprise of the Statement of Financial Position as at 31 December 2020, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Bank give a true and fair view of:

- (a) the financial position of the Bank as at reporting date; and
- (b) the financial performance of the Bank for the financial year ended on the reporting date.

The Financial Statements of the Bank have been certified by the Bank's Chief Financial Officer, the officer responsible for their preparation, as required by the Sections 150 and 152 of the Companies

Act. In addition, the Financial Statements of the Bank have been signed by two Directors and the Company Secretary of the Bank on 20 February 2021 as required by the Sections 150 and 152 of the Companies Act and other regulatory requirements. Under the Section 148 of the Companies Act, the Directors are also responsible for ensuring that proper accounting records which correctly record and explain the Bank's transactions are maintained and that the Bank's financial position, with reasonable accuracy, at any point of time is determined by the Bank, enabling preparation of the Financial Statements, in accordance with the Act to facilitate proper audit of the Financial Statements.

The Financial Statements for the year 2020, prepared and presented in this Annual Report have been prepared based on new Sri Lanka Accounting Standards which came to effect from 1 January 2012 and are in agreement with the underlying books of accounts conforming with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Banking Act No. 30 of 1988 and amendments thereto and the Directions on Corporate Governance No. 11 of 2007 issued by the Central Bank of Sri Lanka.

In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of Annual Financial Statements of licensed commercial banks.

The Directors have taken appropriate steps to ensure that the Bank maintains proper books of accounts and review the financial reporting system directly by them at their regular meetings and also through the Board Audit Committee. The Report of the said Committee is given on pages 168 to 170.

The Board of Directors accepts responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report. The Directors confirm that in preparing the Financial Statements exhibited on pages 196 to 259 including appropriate Accounting Policies based on the new financial reporting framework, had been selected and applied in a consistent manner, while reasonable and prudent judgements have been made so that the form and substance of the transactions are properly reflected.

The Directors also have taken reasonable measures to safeguard the assets of the Bank and to prevent and detect frauds and other irregularities. In this regard, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the business of banking in an orderly manner and safeguard its assets and secure as far as practicable, the accuracy and reliability of the records. The Directors' Statement on Internal Control over Financial Reporting is given on pages 157 and 158 of this Annual Report.

Statement of Directors' Responsibility

The Board of Directors also wishes to confirm that, as required by the Sections 166 (1) and 167 (1) of the Companies Act, they have prepared this Annual Report in time and ensured that a copy thereof is sent to every shareholder of the Bank, who have expressed desire to receive a hard copy or to other shareholders who can access the Annual Report through the Bank's websites. The Directors also wish to confirm that all shareholders have been treated equally in accordance with the original terms of issue.

The Bank's External Auditors, Messrs Ernst & Young who were appointed in terms of the Section 158 of the Companies Act and in accordance with a resolution passed at the last Annual General Meeting, were provided with every opportunity to undertake the inspections they considered appropriate. They carried out reviews and sample checks on the system of internal controls as they considered appropriate and necessary for expressing their opinion on the Financial Statements and maintaining accounting records. They have examined the Financial Statements made available to them by the Board of Directors of the Bank together with all the financial records, related data and minutes of shareholders' and Directors' meetings and expressed their opinion which appears as reported by them on pages 192 to 195.

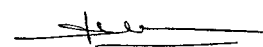
COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank, all contribution, levies and taxes payable on behalf of and in respect of the employees of the Bank, and all other known statutory dues as were due and payable by the Bank as at the reporting date have been paid or, where relevant, provided for. The Directors further confirm that after considering the financial position, operating conditions, regulatory and other factors and relevant matters the Directors have a reasonable expectation that the Bank possesses adequate resources to continue in operation for the foreseeable future.

For this reason, the Directors continue to adopt the Going Concern basis in preparing the Financial Statements.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

20 February 2021
Colombo

Independent Sharia Supervisory Council Report

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

In carrying out the roles and the responsibilities of the Sharia Supervisory Council, we hereby submit our report for the financial year ended 31 December 2020.

The Management is responsible for ensuring that the Bank conducts its business in accordance with the rules and principles of Sharia and it is our responsibility to form an independent opinion, based on our review of the operations of the Bank and to produce this report.

We had two (2) meetings during the financial year in which we reviewed inter alia the contracts relating to the transactions and applications introduced by the Bank.

We have also conducted our review to form an opinion as to whether the Bank has complied with the rules and principles of Sharia and also with the specific rulings and guidelines issued by us. We conducted our review which included examining on a test basis each type of transaction, the relevant documentation and procedures adopted by the Bank. We planned and performed our review so as to obtain all the information and explanations which we considered necessary in order to

provide us with sufficient evidence to give reasonable assurance that the Bank has not violated the rules and principles of Sharia.

Based on the above, in our opinion:

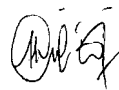
1. The contracts, transactions and deals entered into by the Bank during the financial year ended 31 December 2020, that we have reviewed are in compliance with the rules and principles of Sharia.
2. The allocation of profit and charging of losses relating to Investment Accounts conform to the basis that had been approved by us in accordance with the rules and principles of Sharia.
3. All earnings that have been realised from sources or by means prohibited by the Sharia were disposed to charitable causes upon our approval.

وعليكم السلام ورحمة الله وبركاته

Allah Knows Best.



Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
Chairman



Ash-Sheikh Mohd. Nazri Bin Chik
Vice-Chairman



Ash-Sheikh Mufti Muhammad Hassan Kaleem
Member



Ash-Sheikh Mufti M.I.M. Rizwe
Member

ස්වාධීන ශරියා අධීක්ෂණ සභා වාර්තාව

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ශරියා අධීක්ෂණ සභාවේ කාර්යභාරයන් සහ වගකීම් ඉටුකරමින්, 2020 දෙසැම්බර් 31 දිනෙන් අවසන් මූල්‍ය වර්ෂය සඳහා වන අපගේ වාර්තාව මෙමගින් ඉදිරිපත් කරමු.

ශරියා නීතිරීති සහ මූලධර්ම අනුව බැංකුව විසින් එහි ව්‍යාපාර කටයුතු මෙහෙයවනු ලබන බව සහතික කිරීමේ වගකීම කළමනාකාරිත්වය සතු වන අතර, බැංකුවේ මෙහෙයුම් කටයුතු සම්බන්ධයෙන් අපගේ සමාලෝචනය මත පදනම්ව ස්වාධීන මතයක් ගොඩනැගීම සහ මෙම වාර්තාව ඉදිරිපත් කිරීම අපගේ වගකීම වේ.

මූල්‍ය වර්ෂය ඇතුළත අප විසින් රැස්වීම් දෙකක් (02)ක් පවත්වන ලද අතර, එහිදී අනෙකුත් දෑ අතර, ගනුදෙනු ආශ්‍රිත ගිවිසුම් සහ බැංකුව විසින් හඳුන්වා දෙන ලද යෙදුම් ද අප විසින් සමාලෝචනය කරන ලදී.

ශරියා නීතිරීති සහ මූලධර්ම වලට සහ අප විසින් නිකුත් කරන ලද විශේෂිත නියමයන් සහ මගපෙන්වුම් වලට අනුකූලව බැංකුව කටයුතු කර තිබේදැයි යන්න පිළිබඳව අපගේ මතය ගොඩනැගීම සඳහා ද අපගේ සමාලෝචනය අප විසින් සිදුකරන ලදී. බැංකුව විසින් යොදා ගන්නා ලද එක හා සමාන වර්ගයේ ගනුදෙනු කාණ්ඩයක්, අදාළ ලේඛන සහ ක්‍රියාපටිපාටි පරීක්ෂණ පදනමක් මත විභාගකිරීමක්ද ද සමාලෝචනයේ දී අප විසින් සිදුකරන ලදී. ශරියා නීතිරීති සහ ප්‍රතිපත්ති බැංකුව විසින් උල්ලංඝනය කර නොමැති බවට සාධාරණ සහතිකයක් ලබාදීම පිණිස ප්‍රමාණවත් සාක්ෂි අප වෙත රැස්කරගැනීම උදෙසා අපට අවශ්‍ය යැයි අප විසින් සලකන ලද සියලු තොරතුරු සහ විස්තර කිරීම් ලබාගැනීමට හැකිවන ආකාරයෙන් අප විසින් අපගේ සමාලෝචනය සැලසුම් කර, ක්‍රියාවට නංවන ලදී.

ඉහත කරුණු මත පදනම් වූ අපගේ මතය වන්නේ:

1. අප විසින් සමාලෝචනය කරන ලද, 2020 දෙසැම්බර් 31 දිනෙන් අවසන් වූ මූල්‍ය වර්ෂය තුළ බැංකුව විසින් ඇතිකරගත් ගිවිසුම්, ගනුදෙනු සහ ව්‍යාපාර කටයුතු, ශරියා නීතිරීති සහ ප්‍රතිපත්ති වලට අනුකූලව සිදුකර ඇත.
2. ආයෝජන ගිණුම් ආශ්‍රිත ලාභාංශ වෙන්කිරීම් සහ අලාභ සඳහා අයකිරීම්, ශරියා නීතිරීති සහ මූලධර්ම වලට අනුව අප විසින් අනුමත කරන ලද පදනමට අනුකූල වේ.
3. ශරියා නීතිය මගින් තහනම් කර ඇති ප්‍රභවයන් සහ මාර්ග වෙතින් උපලබ්ධි වූ සියලු උපයාගැනීම් අපගේ අනුමැතිය මත, පුණ්‍යාධාර කටයුතු වෙත බෙදාහරින ලදී.

وعليكم السلام ورحمة الله وبركاته

අල්ලාහ් දෙවියන් සියල්ල දන්නේ ය.

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சுயாதீன ஷரிஆ மேற்பார்வைச் சபையின் அறிக்கை

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ஷரிஆ மேற்பார்வைச் சபையின் பொறுப்புக்கள் மற்றும் பணிகளை நிறைவேற்றும் நாம், 2020 டிசம்பர் 31இல் முடிவடைந்த நிதியாண்டிற்கான எமது அறிக்கையை இத்தால் சமர்ப்பிக்கின்றோம்.

வங்கியின் வியாபார நடவடிக்கைகள் அனைத்தும் ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக மேற்கொள்ளப்படுவதை உறுதிப்படுத்துவது வங்கி முகாமைத்துவத்தின் பொறுப்பாகும். வங்கியின் செயற்பாடுகளை மீளாய்வு செய்து அதன் அடிப்படையில் ஒரு சுயாதீன அபிப்பிராயத்தை உருவாக்கி இந்த அறிக்கையை வெளியிடுவது எமது பொறுப்பாகும்.

நிதியாண்டில் நாம் இரண்டு (2) கூட்டங்களை நடத்தினோம். வங்கியினால் மேற்கொள்ளப்பட்ட கொடுக்கல் வாங்கல்கள் மற்றும் அறிமுகப்படுத்தப்பட்ட செயற்பாடுகள் தொடர்பான ஒப்பந்தங்கள் இக் கூட்டங்களில் எம்மால் மீளாய்வு செய்யப்பட்டன.

வங்கியானது ஷரிஆ விதிகள், கோட்பாடுகள், எம்மால் வழங்கப்பட்ட தீர்ப்புக்கள் மற்றும் வழிகாட்டுதல்களுக்கும் அமைவாகச் செயற்பட்டதா என்பதைக் குறித்து எமது சுயாதீன அபிப்பிராயத்தை உருவாக்குவதற்காகவும் நாம் மீளாய்வை மேற்கொண்டோம். வங்கியினால் மேற்கொள்ளப்பட்ட ஒவ்வொரு வகையான கொடுக்கல் வாங்கல்கள் தொடர்பாகவும் ஏற்புடைய ஆவணப்படுத்தல்கள் மற்றும்

நடைமுறைகள் தொடர்பாகவும் பரிசீலனைகளும் எமது மீளாய்வில் உள்ளடங்கியிருந்தன. வங்கியானது ஷரிஆ விதிகளையும், கோட்பாடுகளையும் மீறவில்லை என்பதற்கு நியாயமான உத்தரவாதத்தை வழங்குவதற்குப் போதுமான சான்றுகள் எமக்குக் கிடைக்க வேண்டும் என்பதற்காக, நாம் அவசியமெனக் கருதிய சகல தகவல்களையும் விளக்கவுரைகளையும் பெற்றுக்கொள்ளும் முறையில் நாம் எமது மீளாய்வைத் திட்டமிட்டு மேற்கொண்டோம்.

மேற்குறிப்பிட்ட மீளாய்வின் அடிப்படையில் எமது அபிப்பிராயம் பின்வருமாறு:

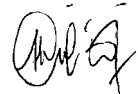
1. 2020 டிசம்பர் 31இல் முடிவடைந்த நிதியாண்டில் வங்கியினால் மேற்கொள்ளப்பட்டு எம்மால் மீளாய்வு செய்யப்பட்ட ஒப்பந்தங்கள், கொடுக்கல் வாங்கல்கள் மற்றும் வியாபாரச் செயற்பாடுகள் யாவும் ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாகவே இருந்தன.
2. முதலீட்டுக் கணக்குகள் தொடர்பான இலாப ஒதுக்கீடும் மற்றும் இழப்புக்களின் அறவீடும், ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக எம்மால் அங்கீகரிக்கப்பட்ட அடிப்படையிலேயே அமைந்திருந்தன.
3. ஷரிஆவினால் தடை செய்யப்பட்ட மூலங்கள் அல்லது வழிகளில் இருந்து பெறப்பட்ட வருவாய்கள் அனைத்தும் எமது அனுமதியின்பேரில் தரம் காரியங்களுக்கு வழங்கப்பட்டன.

و عليكم السلام ورحمة الله وبركاته

அல்லாஹ் அனைத்தையும் நன்கறிவான்.



அஷ்-ஷெய்க் கலாநிதி முப்தி முஹம்மத் இம்ரான் அஷ்ரப் உஸ்மானி
தலைவர்



அஷ்-ஷெய்க் மொஹமட் நஸ்ரி சிக்
உப தலைவர்



அஷ்-ஷெய்க் முப்தி முஹம்மத் ஹஸஸான் கலீம்
அங்கத்தவர்



அஷ்-ஷெய்க் முப்தி எம்.ஐ.எம். ரிஸ்வி
அங்கத்தவர்

Sharia Governance

The cornerstone of the unique business model of Amāna Bank PLC rests on the rules and principles of Sharia which is the foundation for the practice of Islamic Banking. Therefore, the Bank has placed great importance in ensuring that the overall operations are in accordance with the rules and principles of Sharia.

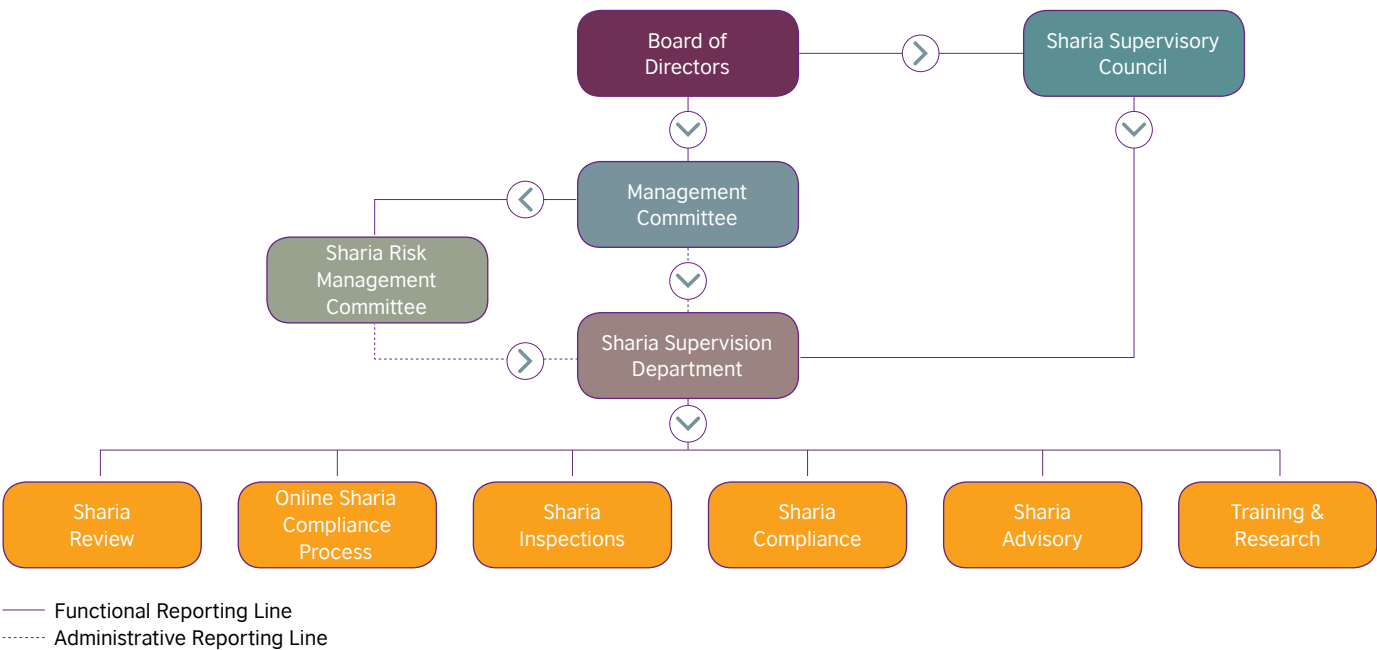
In this regard, the Bank has established a Sharia Governance Framework with the Sharia Supervisory Council (SSC) functioning as the apex body. The standards issued by the Islamic Financial Services Board (IFSB), namely IFSB-10 (2009) Guiding Principles on Sharia

Governance Systems for Institutions offering Islamic Financial Services (IIFS) are taken into consideration in developing the Sharia Governance Framework. A detailed report on the compliance status of Sharia Governance of the Bank to IFSB-10 is depicted at the end of this report.

SHARIA SUPERVISORY COUNCIL (SSC)
The SSC functionally reports to the Board of Directors (BOD). The roles and responsibilities of the SSC are spelt out in the Terms of Reference (TOR) of the SSC.

The SSC is assisted by the Sharia Supervision Department that performs six (6) compliance functions, namely Sharia Review, Online Sharia Compliance Process, Sharia Inspection, Sharia Compliance, Sharia Advisory and Training & Research. At the management level, the Bank has established the Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the Management Committee to discharge the responsibilities of management on Sharia Compliance. The SRMC is chaired by the In-House Sharia Advisor and its membership comprises of several management members.

The diagram below describes the framework:



COMPOSITION OF THE SSC

The composition of the SSC is a minimum of three (3) members. For most part of the year under review, the SSC comprised of five (5) members but with the demise of our local SSC Member Ash-Sheikh M.M.A. Mubarak on 27 October 2020, the composition as at 31 December 2020 stood at four (4) members with one (1) local scholar and three (3) foreign scholars. May Almighty Allah's mercy be upon late Ash-Sheikh M.M.A. Mubarak for his invaluable advice and guidance during his tenure with the Bank. The Board will appoint a suitable replacement in place of the deceased Member shortly.

Coming from diverse backgrounds with wide experience and knowledge, each SSC member is an expert in their specialised field such as Islamic law, Islamic Banking, Capital Market, Takaful, Waqf, Zakat, Halal industry, etc. Additionally, their qualification in Islamic jurisprudence (usul al-fiqh) and Islamic commercial laws (fiqh al-mu'amalat), expertise and vast experience in the academia as well as in the industry, definitely support the depth and breadth of the Sharia deliberations.

RESPONSIBILITIES OF THE BANK TOWARDS SSC AND SHARIA COMPLIANCE

While the SSC is responsible for forming and expressing decisions on the Bank's compliance with the rules and principles of Sharia, the responsibility for compliance therewith rests with the Board and management of the Bank.

Therefore, it is the responsibility of the Management to perform the following:

- (i) to refer all Sharia issues in its business operations to the SSC for decision;
- (ii) to adopt and take necessary measures for implementation of the SSC's decisions;
- (iii) to provide sufficient resources to the SSC including budget allocation, independent expert consultation, reference materials and training;
- (iv) to ensure that the SSC is familiar with the operations and the business of the Bank;
- (v) to provide the SSC with access to all relevant records, transactions, manuals and information, as required by its members in performing their duties; and
- (vi) to recommend the appropriate remuneration to the SSC members which commensurate with and reflect the duties and responsibilities of the SSC.

It is the Bank's responsibility to perform the following with regard to Sharia Compliance:

- (i) to comply with SSC decisions and established Sharia requirements in all its products, services, legal documentations and activities;
- (ii) the Bank shall not act in contravention to the SSC decisions to suit its convenience.

AUTHORITY OF THE SSC

The SSC assumes the following authority based on its TOR:

- (i) the decision of the SSC is binding on the Bank, whilst its recommendation is not binding on it.

- (ii) the SSC has the right to check the Assets and Liabilities of the Bank.
- (iii) the SSC has the right to review the Bank's books, registers and documents at any time and it shall have the right to request to check any data it deems necessary.
- (iv) in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.
- (v) the SSC has the right to accept or reject any activity carried out by the Bank based on the rules and principles of Sharia.

SSC MEETINGS

SSC meetings are scheduled to be held at least three (3) times annually with additional meetings convened as and when warranted, to facilitate important decisions that are required between the scheduled meetings.

Due to the global pandemic situation, two (2) SSC meetings were held during the financial year ended 31 December 2020, as follows:

Date of Meeting	Percentage of Members Attendance
19 February 2020	83%
27 August 2020	67%

Sharia Governance

In between the meetings, the Bank refers its Sharia issues in its daily operations to the Executive Committee of the SSC that is comprised of two (2) appointed members for guidance and the decision. The decisions taken by the Executive Committee are tabled in the SSC meeting for concurrence. The Executive Committee members are Ash-Sheikh Mohd. Nazri Chik and Ash-Sheikh Mufti Muhammad Hassaan Kaleem.

APPOINTMENT AND RE-APPOINTMENT OF SSC MEMBERS

- (i) The shareholders of the Bank shall appoint the member of the SSC based on the recommendation made by the Board of Directors.
- (ii) Each member of the SSC shall have a term of office of one (1) year as appointed by the shareholders. Upon expiry of such term, the members may be reappointed at the approval of the shareholders in conformity with the governance standards defined by the Accounting and Auditing Organisation for Islamic Financial Institution (AAOIFI).
- (iii) Notwithstanding the above, the Board of Directors may appoint new members to the posts which become vacant in the SSC during the year, subject to the approval of the shareholders at the subsequent Annual General Meeting.

IFSB - 10 (2009), GUIDING PRINCIPLES ON SHARIA GOVERNANCE SYSTEMS FOR IIFS

The IFSB-10 defined “Sharia Governance System” as a set of institutional and organisational arrangements through which an IIFS ensures that there is effective independent oversight of Sharia compliance over each of the following structures and processes:

- a) issuance of relevant Sharia pronouncements/resolutions;
- b) dissemination of information on such Sharia pronouncements/resolutions to the operative personnel of the IIFS who monitor the day-to-day compliance with the Sharia pronouncements/resolutions vis-à-vis every level of operations and each transaction;
- c) an internal Sharia compliance review/audit for verifying that Sharia compliance has been satisfied, during which any incident of non-compliance will be recorded and reported, and as far as possible, addressed and rectified;
- d) an annual Sharia compliance review/audit for verifying that the internal Sharia compliance review/audit has been appropriately carried out and its findings have been duly noted by the Sharia board;

The status of Amāna Bank's Sharia Governance to IFSB -10 is summarised as follows:

Guiding Principle		Status
Part I:	General Approach to the Sharia Governance System	
Principle 1.1:	The Sharia governance structure adopted by the IIFS should be commensurate and proportionate with the size, complexity and nature of its business.	(a) A detailed Sharia Governance Framework is adopted by the Bank, which sets the Sharia Supervisory Council (SSC) as the apex body with regard to Sharia. (b) The SSC has wide ranging rights of access to every activity of the Bank. (c) The SSC has also appointed an Executive Committee comprising of two (2) members of the SSC, ensuring timely adequate access to the Bank. (d) The Bank has established a Sharia Supervision Department (SSD), led by the In-House Sharia Advisor to assist SSC in providing daily guidance to the Bank and Sharia Risk Management Committee (SRMC) to discharge the responsibilities of management on Sharia Compliance.
Principle 1.2:	Each IIFS must ensure that the Sharia board has: • clear terms of reference regarding its mandate and responsibility; • well-defined operating procedures and lines of reporting; and • good understanding of, and familiarity with, professional ethics and conduct.	(a) A detailed Terms of Reference (TOR) spells out the roles and responsibilities of the SSC. (b) The TOR outlines operating procedures and lines of reporting that includes having an internal SSD comprising of officers with appropriate qualifications and experience. The SSD is; • the secretariat to the SSC and serves as the first point of reference for Sharia compliance issues, with an advisory/ consultancy role delegated by the SSC; • handle the processing and secretarial matters relating to issues to be raised to the SSC; and • provide input for executive decisions to be made by the senior management. (c) The SSC comprises of respected and accepted scholars with high standard of professional ethics and conduct.
Part II:	Competence	
Principle 2.1:	The IIFS shall ensure that any person mandated with overseeing the Sharia Governance System fulfils acceptable fit and proper criteria.	The members of the SSC and officers of the SSD have met the "Fit and Proper" criteria which covers; • good character - that is, honesty, integrity, fairness and reputation; and • competence, diligence, capability and soundness of judgment.

Sharia Governance

Guiding Principle		Status
Principle 2.2:	The IIFS shall facilitate continuous professional development of persons serving on its Sharia board, as well as its ISCU and ISRU, if any.	Though the Bank did not invest in training for members of the SSC during the year, the Bank invests on continuous professional development of the staff at SSD.
Principle 2.3:	There should be a formal assessment of the effectiveness of the Sharia board as a whole and of the contribution by each member to the effectiveness of the Sharia board.	A formal assessment is not carried out of the SSC.
Part III:	Independence	
Principle 3.1:	The Sharia board should play a strong and independent oversight role, with adequate capability to exercise objective judgment on Sharia-related matters. No individual or group of individuals shall be allowed to dominate the Sharia board's decision-making.	(a) The independence of the SSC is clearly spelt out in the TOR of the SSC and continued to be respected by the Board of Directors and the Management of the Bank. (b) None of the members of the SSC have blood or intimate relationship with the Bank, its related companies or its officers. (c) None of the members of the SSC are under full-time employment of the Bank or its related companies except for; Ash Sheikh Mohd. Nazri Chik (Vice Chairman - SSC), who is the General Manager, Strategic Relations of Bank Islam Malaysia who has a shareholding of 7.22% in the Bank. It is worth noting that he was independent of Bank Islam during his initial appointment to the SSC in 2010 and later he joined Bank Islam as its Head of Sharia in 2011. (d) None of the members of the SSC, or their family members, accepts any compensation or financing from the Bank or any of its subsidiaries other than compensation for service on the SSC. (e) None of the members of the SSC, or his or her immediate family member, is a substantial shareholder of or a partner in (with a stake of 5% or more), or an executive officer of, or a Director of any for-profit business organisation to which the Bank or any of its subsidiaries made, or from which the Bank or any of its subsidiaries received, significant payments in the current or immediate past financial year.

Guiding Principle		Status
Principle 3.2:	In order to fulfil their responsibilities, the Sharia board should be provided with complete, adequate and timely information prior to all meetings and as an on-going basis.	(a) The SSD which has a direct reporting line to the SSC is entrusted with providing timely and accurate information. (b) Being a direct report, the SSC has direct access to the SSD to check whether internal control and compliance procedures have been appropriately followed and that applicable rules and regulations to which the Bank is subject to have been complied with. (c) Such controls were reviewed through the Risk Control and Self-Assessment (RCSA) exercise. (d) According to the TOR of the SSC, in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, the SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.
Part IV:	Confidentiality	
Principle 4.1:	Sharia board members should ensure that internal information obtained in the course of their duties is kept confidential.	A confidentiality clause is incorporated in the TOR of the SSC.
Part V:	Consistency	All decisions, pronouncements and resolutions of the SSC have been arrived at on consensus of the members.
Principle 5.1:	The IIFS should fully understand the legal and regulatory framework for issuance of Sharia pronouncements/resolutions in the jurisdiction where it operates. It should ensure that its Sharia board strictly observes the said framework and, wherever possible, promotes convergence of the Sharia governance standards.	The SSC takes due care in the dissemination of Sharia pronouncements/resolutions, ensuring that the business intelligence and internal information of the Bank would not be exploited by inappropriate parties.

**We continued to enable growth
and enrich lives of all Sri Lankans
helping them withstand challenges,
living up to our unique and people
friendly approach...
RESILIENCE, OUR WAY**



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Independent Auditors' Report



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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF AMANA BANK PLC

Report on the audit of the Financial Statements

We have audited the financial statements of Amāna Bank PLC ("The Bank"), which comprise the statement of financial position as at 31 December 2020, and the statement of profit or loss and statement of comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements of the Bank give a true and fair view of the financial position of the Bank as at 31 December 2020, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Bank in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide

a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principals: G B Goudian ACMA A A J R Perera ACA ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Key audit matters specific to the Bank

Why significant	How our audit addressed the key audit matter
Provision for credit impairment on financing and receivables carried at amortised cost As described in Note(s) 23, provision for credit impairment on such financial assets carried at amortised cost is determined in accordance with Sri Lanka Accounting Standard – SLFRS 9 Financial Instruments (SLFRS 9). This was a key audit matter due to: • materiality of the reported provision for credit impairment which involved complex manual calculations; and • the degree of assumptions, judgements and estimation uncertainty associated with the calculations. Key areas of significant judgements, estimates and assumptions used by management in the assessment of the provision for credit impairment included the following; • the probable impacts of COVID-19 and related industry responses (e.g. government stimulus packages and debt moratorium relief measures granted by the Bank); • the determination on whether or not customer contracts have been substantially modified due to such COVID – 19 – related stimulus and relief measures granted and related effects on the amount of financing income recognised on affected financing and receivables and • forward-looking macroeconomic factors, including developing and incorporating macroeconomic scenarios, given the wide range of potential economic outcomes and probable impacts from COVID-19 that may impact future expected credit losses.	We assessed the alignment of the Bank’s expected credit loss model computations and underlying methodology with the requirements of SLFRS 9 with consideration of COVID-19 impacts and related industry responses based on the best available information up to the date of our report. Our audit procedures included amongst others the following: • We evaluated the design and implementation of controls over estimation of impairment, which included assessing the level of oversight, review and approval of provision for credit impairment policies and procedures by the Board and management • We checked the completeness and accuracy of the underlying data used in the computations by agreeing significant details to source documents and accounting records of the Bank • We checked the underlying manual calculations • In addition to the above, the following procedures were performed: • For a sample of financing and receivables assessed on an individual basis for impairment: - Assessed the reasonableness and timeliness of internal credit quality assessments based on the borrower’s particular circumstances determined by management; and - Evaluating the associated reasonability of the provisions made with particular focus on the impact of COVID-19 on high risk industries, strategic responsive actions taken, collateral values, and the value and timing of recoveries • For financing and receivables assessed on a collective basis for impairment: - Assessing the reasonability of assumptions and estimates used by Management including the reasonableness of forward-looking information and scenarios - As relevant, the basis for and data used by Management to determine overlays in consideration of the probable effects of the COVID -19 pandemic • For financing and receivables affected by government stimulus and debt moratorium relief measures granted - Assessing the reasonableness of judgements, calculations and data used to determine whether customer contracts have been substantially modified or not and to determine the resulting accounting implications; and - Evaluating the reasonability of the financing income recognised on such affected financing and receivables • We assessed the adequacy of the related financial statement disclosures set out in note 23.

Independent Auditors' Report



Why significant	How our audit addressed the key audit matter
IT systems and controls relevant to financial reporting The Bank uses multiple IT systems in its operations. The COVID -19 pandemic necessitated the Bank to adapt various operating processes and procedures including modification of relevant controls to mitigate the resulting risks. IT systems and controls relevant to financial reporting was a key audit matter due to: • A changed working environment of increased remote access • The Bank's financial reporting process being heavily dependent on information derived from its IT systems and • Key financial statement disclosures involving the use of multiple system – generated reports, collation and spreadsheet – based calculations	Our audit procedures included the following, • Understanding the changes made to security monitoring procedures over IT systems relevant to financial reporting, given the increase in remote access • Understanding and evaluating the design and operating effectiveness of key automated, IT dependent and manual controls implemented by management over generation of multiple system reports and collation of required information in calculating the significant information for financial statements disclosures • Checking the source data of the reports used to generate significant disclosures for accuracy and completeness • Checking the underlying calculations and the reasonableness of classifications made by management • Assessing the reasonability of Management's general ledger reconciliation procedures which includes cross checking to system reports and source data where relevant

Other information included in the 2020 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material

misstatement of this other information, we are required to report that fact. We have nothing to report in this regard

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless

management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Bank.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as

a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes

public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examinations, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1884.



20 February 2021
Colombo

Statement of Profit or Loss

Year ended 31 December	Note	2020 Rs.	2019 Rs.
Financing Income	4	7,211,643,435	7,709,286,294
Financing Expenses	5	(3,757,313,167)	(4,544,370,605)
Net Financing Income		3,454,330,268	3,164,915,689
Net Fee and Commission Income	6	328,562,743	329,040,746
Net Trading Income	7	444,376,037	738,397,355
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	8	3,260,627	4,862,561
Net Gains / (Losses) from Derecognition of Financial Assets	9	928,646	11,150,575
Net Other Operating Income	10	2,302,448	8,251,376
Total Operating Income		4,233,760,769	4,256,618,302
Impairment on Financial Assets	11	(513,726,961)	(288,928,583)
Net Operating Income		3,720,033,808	3,967,689,719
Personnel Expenses	12	1,446,138,333	1,381,445,709
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	281,177,308	256,195,369
Amortisation of Intangible Assets	27	70,374,848	51,025,609
Other Operating Expenses	13	767,727,520	902,349,033
Total Operating Expenses		2,565,418,009	2,591,015,720
Operating Profit Before Value Added Tax on Financial Services, Nation Building Tax & Debt Repayment Levy		1,154,615,799	1,376,673,999
Value Added Tax on Financial Services, Nation Building Tax & Debt Repayment Levy		(393,167,272)	(531,825,986)
Profit Before Tax		761,448,527	844,848,013
Tax Expenses	14	(297,753,065)	(383,916,616)
Profit for the Year		463,695,462	460,931,397
Earnings Per Share - Basic / Diluted	15	0.18	0.18

The Accounting Policies and Notes on pages 201 through 259 form an integral part of the Financial Statements.

Statement of Comprehensive Income

Year ended 31 December	Note	2020 Rs.	2019 Rs.
Profit for the Year		463,695,462	460,931,397
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Assets - Fair Value through Other Comprehensive Income:			
Net Profit / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income		145,849,572	(40,513,770)
Re-measurement Gain / (Loss) on Defined Benefit Plans	34	6,062,897	11,527,393
Deferred Tax Effect on Defined Benefit Plans	33	(1,697,612)	(3,227,670)
Other Comprehensive Income for the Year Net of Tax		150,214,857	(32,214,047)
Total Comprehensive Income for the Year		613,910,319	428,717,350

The Accounting Policies and Notes on pages 201 through 259 form an integral part of the Financial Statements.

Statement of Financial Position

As at 31 December

	Note	2020 Rs.	2019 Rs.
Assets			
Cash and Cash Equivalents	17	6,859,970,358	10,067,003,265
Balance with Central Bank of Sri Lanka	18	11,410,470,563	3,448,797,331
Placements with Banks	19	11,580,356,721	10,625,183,324
Placements with Licensed Finance Companies	20	3,108,069,281	12,053,159
Derivative Financial Assets	21	228,515,144	226,091,973
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	22	55,921,805	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	23	62,566,964,280	57,716,960,999
Financial Assets Measured at Fair Value through Other Comprehensive Income	24	291,991,226	146,141,654
Other Assets - Financial	25	1,048,477,201	888,380,624
Property, Plant, Equipment and Right-of-Use Assets	26	2,354,607,910	2,505,901,128
Intangible Assets	27	257,240,323	237,074,723
Other Assets - Non Financial	28	409,782,983	633,193,251
Total Assets		100,172,367,795	86,579,570,432
Liabilities			
Due to Banks	29	1,967,893,100	1,103,040,822
Derivative Financial Liabilities	30	111,881,845	56,478,657
Financial Liabilities at Amortised Cost - Due to Depositors	31	83,554,240,988	71,614,753,475
Other Liabilities - Financial	32	1,287,362,598	1,110,537,746
Current Tax Liabilities		420,490,984	402,511,650
Dividend Payable		6,526,286	6,891,441
Deferred Tax Liability	33	70,265,535	194,314,961
Retirement Benefit Liability	34	170,664,374	144,987,628
Other Liabilities - Non Financial	35	115,763,735	92,486,021
Total Liabilities		87,705,089,445	74,726,002,400
Shareholders' Funds			
Stated Capital	36	10,819,561,398	10,619,450,156
Statutory Reserve Fund	37	116,458,225	93,273,452
Fair Value Reserve	38	44,879,766	(100,969,806)
Revaluation Reserve	39	817,457,403	818,543,863
Retained Earnings	40	668,921,558	423,270,366
Total Equity		12,467,278,350	11,853,568,031
Total Liabilities and Shareholders' Funds		100,172,367,795	86,579,570,432
Commitments and Contingencies	45	65,337,219,792	54,069,421,453
Net Assets Value Per Share	41	4.79	4.74

We certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.

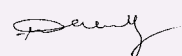


M. Ali Wahid
Chief Financial Officer

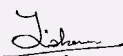


Mohamed Azmeer
Chief Executive Officer

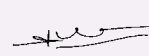
The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



Ali Asghar Akbarally
Chairman



Tishan Subasinghe
Director



Mrs. Dayani De Silva
Company Secretary

The Accounting Policies and Notes on pages 201 through 259 form an integral part of the Financial Statements.

20 February 2021
Colombo

Statement of Changes in Equity

	Note	Stated Capital Rs.	Statutory Reserve Fund Rs.	Fair Value Reserve Rs.	Revaluation Reserve Rs.	Retained Earnings Rs.	Total Rs.
As at 1 January 2019		10,619,450,156	70,226,882	(60,456,036)	819,630,323	185,248,990	11,634,100,314
Impact of Adopting SLFRS 16		-	-	-	-	(9,138,391)	(9,138,391)
Restated Opening Balance		10,619,450,156	70,226,882	(60,456,036)	819,630,323	176,110,599	11,624,961,923
Profit for the Year		-	-	-	-	460,931,397	460,931,397
Other Comprehensive Income	38	-	-	(40,513,770)	-	8,299,723	(32,214,047)
Interim Dividend 2019		-	-	-	-	(200,111,243)	(200,111,243)
Transfers to Statutory Reserve Fund	37	-	23,046,570	-	-	(23,046,570)	-
Transferred to Retained Earnings	40	-	-	-	(1,086,460)	1,086,460	-
As at 1 January 2020		10,619,450,156	93,273,452	(100,969,806)	818,543,863	423,270,366	11,853,568,031
Profit for the Year		-	-	-	-	463,695,462	463,695,462
Other Comprehensive Income	38	-	-	145,849,572	-	4,365,285	150,214,857
Interim Scrip Dividend 2020		200,111,242	-	-	-	(200,111,242)	-
Share Issue Expenses		-	-	-	-	(200,000)	(200,000)
Transfers to Statutory Reserve Fund	37	-	23,184,773	-	-	(23,184,773)	-
Transferred to Retained Earnings	40	-	-	-	(1,086,460)	1,086,460	-
As at 31 December 2020		10,819,561,398	116,458,225	44,879,766	817,457,403	668,921,558	12,467,278,350

The Accounting Policies and Notes on pages 201 through 259 form an integral part of the Financial Statements.

Statement of Cash Flows

Year ended 31 December

	Note	2020 Rs.	2019 Rs.
Cash Flow from Operating Activities			
Financing Income Received		7,211,643,435	7,160,433,762
Fee and Commission Received		50,075,573	329,040,746
Financing Expenses Paid		(3,977,767,966)	(4,499,462,313)
Foreign Exchange Income Received		497,356,054	737,305,876
Gratuity Payments Made	34	(5,664,065)	(14,709,868)
Payments to Employees and Suppliers		(2,590,103,305)	(2,732,597,013)
Operating Profit before Changes in Operating Assets and Liabilities (Note A)		1,185,539,726	980,011,190
(Increase) / Decrease in Operating Assets			
Financing and Receivables to Other Customers		(5,363,730,242)	(4,813,177,353)
Other Financial Assets		(63,080,010)	(83,035,024)
Other Non Financial Assets		223,410,268	(251,141,545)
Balance with Central Bank of Sri Lanka		(7,961,673,232)	94,647,450
Increase / (Decrease) in Operating Liabilities			
Due to Depositors		12,199,263,852	9,804,054,143
Due to Banks		864,852,278	(107,800,000)
Other Liabilities		(223,939,036)	(1,316,928,160)
Net Cash Flow from Operating Activities before Income Tax		860,643,604	4,306,630,701
Income Tax Paid		(198,638,012)	(345,688,902)
Net Cash Flow from Operating Activities		662,005,592	3,960,941,799
Cash Flows From / (Used In) Investing Activities			
Acquisition of Property, Plant and Equipment		(29,130,963)	(277,670,943)
Proceeds from Sale of Property, Plant and Equipment		-	964,652
Acquisition of Intangible Assets		(90,540,449)	(49,788,947)
Placements with Licensed Finance Companies		(2,960,869,081)	2,403,218,172
Placements with Banks		(810,904,622)	(1,177,298,188)
Dividend Received from Financial Assets		2,302,448	7,431,422
Financial Assets Recognised through Profit or Loss - Measured at Fair Value		20,127,822	57,564,723
Net Cash Flows Used in Investing Activities		(3,869,014,845)	964,420,891
Cash Flows From / (Used In) Financing Activities			
Rights Issue of Shares		-	-
Share Issue Expenses		(200,000)	-
Dividend Paid		(365,154)	(196,781,871)
Net Cash Flows From Financing Activities		(565,154)	(196,781,871)
Net Increase / (Decrease) in Cash and Cash Equivalents		(3,207,574,407)	4,728,580,819
Cash and Cash Equivalents at the Beginning of the Year		10,068,030,937	5,339,450,118
Cash and Cash Equivalents at the End of the Year	17	6,860,456,530	10,068,030,937
A. Reconciliation of Operating Profit			
Profit Before Tax		761,448,527	844,848,013
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	281,177,308	256,195,369
Amortisation of Intangible Assets	27	70,374,848	51,025,609
(Profit) / Loss on Disposal of Property, Plant and Equipment	10	-	(819,954)
Impairment for Financing and Receivables to Other Customers and Financial Assets	11	513,726,961	288,928,583
Provision for Gratuity	34	37,403,708	43,707,162
(Increase) / Decrease in Placement Income Receivable		(279,415,816)	(170,487,106)
Increase / (Decrease) in Profit Payable		(259,776,339)	88,652,712
Other Non Cash Items		71,827,669	(399,897,909)
Dividend Income (Net)		(2,302,448)	(7,431,422)
Gratuity Payments	34	(5,664,065)	(14,709,868)
(Profit) / Loss on Mark to Market Valuation		(3,260,627)	-
		1,185,539,726	980,011,190

The Accounting Policies and Notes on pages 201 through 259 form an integral part of the Financial Statements.

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 General

Amāna Bank PLC ('the Bank') is a licensed commercial bank established under the Banking Act No. 30 of 1988 ('Banking Act') and amendments thereto. It is a public limited liability company incorporated on 5 February 2009 and is domiciled in Sri Lanka. The registered office of the Bank is located at No. 486, Galle Road, Colombo 3. The Bank commenced commercial banking operations on 1 August 2011. The shares of the Bank are listed on the Colombo Stock Exchange.

The Bank's network comprised of 32 (2019 – 31) branches whilst its staff strength was 869 (2019 – 901).

1.2 Principal Activities

The principal activities of the Bank continue to be providing banking and related activities such as accepting customer deposits, personal banking, lease financing, home and property financing, gold facilities, resident and non-resident foreign currency operations, trade financing, import and export financing, equipment and machinery financing, working capital financing and project financing.

1.3 Parent Entity and Ultimate Parent Entity

The Bank does not have an identifiable parent of its own.

1.4 Date of Authorisation of Issue

The Financial Statements of Amāna Bank PLC for the year ended 31 December 2020 were authorised for issue in accordance with a resolution of the Board of Directors on 20 February 2021.

2.1 Basis of Preparation

2.1.1 Basis of Measurement

The Financial Statements are prepared under the historical cost basis, except for, Derivative Financial Instruments, Financial Assets recognised through Profit or Loss, Financial Assets recognised through Other Comprehensive Income, Freehold Land and Building and Retirement Benefit Liability, all of which have been measured at fair value.

The Financial Statements are presented in Sri Lankan Rupees (Rs.), except as otherwise indicated.

2.1.2 Statement of Compliance

The Financial Statements of the Bank which comprise of the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Significant Accounting Policies and notes, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto.

2.1.3 Presentation of Financial Statements

The Bank presents its Statement of Financial Position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the Statement of Financial Position date (current) and more than 12 months after the Statement of Financial Position date (non-current) is presented in Note 44.

Financial Assets and Financial Liabilities are offset and the net amount is reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expense is not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Bank.

The Financial Statements of the Bank provide comparative information in respect of the previous period.

2.1.4 Going Concern

The Board of Directors of the Bank has made an assessment of its ability to continue as a going concern after considering the impact of Covid-19 and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board of Directors is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Bank in conformity with Sri Lanka Accounting Standards, requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Uncertainty about these assumptions and estimates could

Notes to the Financial Statements

result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Bank are as follows:

a. Fair Value of Property, Plant and Equipment

The Freehold Land and Buildings of the Bank are reflected at fair value. The management determined that these constitute class of assets under SLFRS 13, based on the nature, characteristics and risks of the properties. The Bank engages independent valuers to determine fair value of Freehold Land and Building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The valuation techniques and assumption used to determine the fair value of Property, Plant and Equipment and the sensitivity on the amounts presented are disclosed in Note 26 to the Financial Statements.

b. Fair value of Financial Instruments

Where the fair values of Financial Assets and Financial Liabilities are recorded in the Statement of Financial Position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of Financial Instruments is described in more detail in Note 42.

c. Impairment losses on Financing and Receivables to Other Customers

The Bank reviews its individually significant Financing and Receivables to Other Customers at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Financing and Receivables to Other Customers that have been assessed individually and found not to be impaired and all individually insignificant Financing and Receivables to Other Customers are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to Expected Credit Loss (ECL), events for which there is objective evidence, but the effects of which are not yet evident.

The impairment loss on Financing and Receivables to Other Customers is disclosed in more detail in Note 11 and Note 23.4

The Bank's recognition of default corresponds with Banking Act Direction No 3 of 2008 issued by Central Bank of Sri Lanka, governing Classification of Loans and Advances, Income recognition and Provisioning.

Collateral Valuation

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy.

To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers.

d. Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Details on deferred tax assets are disclosed in Note 33.

e. Defined Benefit Plans

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, salary increment rate, age of retirement, and mortality rates. Due to the long term nature of these plans, such estimates are subject to significant uncertainty.

Assumptions used are reviewed at each reporting date and disclosed in Note 34.

f. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

Commitments and Contingencies are subject to ECL and relevant details are disclosed in Note 45.

2.3 Summary of Significant Accounting Policies

2.3.1 Foreign Currency Transactions and Balances

These Financial Statements are presented in Sri Lankan Rupees (Rs.) which is the Bank's functional and presentation currency.

Transactions in foreign currencies are initially recorded at the spot rate of exchange prevailing at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange, at the reporting date. All differences arising on non-trading activities are taken to 'Net Other Operating Income' in the Statement of Profit or Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Promissory Forward Exchange transactions are valued at the forward market rates ruling on the date of the reporting date. The resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss.

2.3.2 Derivative Financial Instruments

Derivatives are financial instruments that derive their value in response to changes in market rates, financial instrument prices, commodity prices, foreign exchange rates and credit risk indices.

Derivatives are initially recognised at fair value at the date the derivative transaction is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit or Loss immediately.

Derivative assets/liabilities represent the Promissory Forward Exchange transactions as at the reporting date.

2.3.3 Non-Derivative Financial Instruments

a. Date of Recognition

All Non-Derivative Financial Assets and Liabilities are initially recognised on the trade date (i.e. the date that the Bank becomes a party to the contractual provisions of the instrument). This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

b. Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of Financial Assets and Financial Liabilities which are recorded at Fair Value through Profit or Loss. Transaction costs in relation to Financial Assets and Financial Liabilities at Fair Value through Profit or Loss are dealt within the Statement of Profit or Loss.

Notes to the Financial Statements

c. 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Bank immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in Statement of Profit or Loss. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

d. Financial Instruments

(i) Classification of Financial Instruments

The Bank classifies its Financial Assets into the following measurement categories:

Measured at fair value (either through other Comprehensive Income, or through Profit or Loss); and Measured at amortised cost.

The classification depends on the Bank's business model for managing Financial Assets and the contractual terms of the Financial Assets' cash flows.

The Bank classifies its Financial Liabilities at amortised cost unless it has designated liabilities at fair value through Profit or Loss or is required to measure liabilities at fair value through Profit or Loss such as Derivative Liabilities.

(ii) Financial Assets Measured at Amortised Cost

Placements, Financing and Receivables to Other Customers and Other Financial Assets are measured at amortised cost where they have contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and profits on the principal amount outstanding; and are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost. The measurement of credit impairment is based on the three-stage expected credit loss model described below in Note (v) Impairment of Financial Assets.

(iii) Financial Assets Measured at Fair Value through Other Comprehensive Income

Equity instruments

Investment in equity instruments that are neither Trading Financial Assets recognised through Profit or Loss, nor contingent consideration recognised by the Bank in a business combination to which SLFRS 3 'Business Combination' applies, are measured at fair value through other Comprehensive Income, where an irrevocable election has been made by management. For portfolios where management does not consider an irrevocable election of adopting fair value through Other Comprehensive Income, by default such investments shall be measured at fair value through Profit and Loss.

Amounts presented in Other Comprehensive Income are not subsequently transferred to Profit or Loss. Dividends on such investments are recognised in Profit or Loss.

(iv) Fair Value through Profit or Loss

Fair Value through Profit or Loss comprise:

Financial Investments - For Trading; and Instruments with contractual terms that do not represent solely payments of Principal and Profit.

Financial Instruments held at fair value through Profit or Loss are initially recognised at fair value, with transaction costs recognised in the Statement of Profit or Loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the Statement of Profit or Loss as they arise.

Where a Financial Asset is measured at fair value, a credit valuation adjustment is included to reflect the credit worthiness of the counterparty, representing the movement in fair value attributable to changes in credit risk.

(a) Financial Investments - For Trading

A Financial Investment is classified as Financial Assets recognised through Profit or Loss if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of Financial Instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative not in a qualifying hedge relationship.

Trading derivatives and trading securities are classified as Financial Assets recognised through Profit or Loss and recognised at fair value. Refer Note 21 & 30 for Trading Derivative Assets and Liabilities, and Note 22 for Trading securities.

(b) Financial Instruments Designated as Measured at Fair Value through Profit or Loss

Upon initial recognition, Financial Instruments may be designated as measured at fair value through Profit or Loss. A Financial Asset may only be designated at fair value through Profit or Loss if doing so eliminates or significantly reduces measurement or recognition inconsistencies (i.e. eliminates an accounting mismatch) that would otherwise arise from measuring Financial Assets or Liabilities on a different basis.

A Financial Liability may be designated at fair value through Profit or Loss if it eliminates or significantly reduces an accounting mismatch or host contract contains one or more embedded derivatives; or Financial Assets and Liabilities are both managed and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Where a Financial Liability is designated at Fair Value through Profit or Loss, the movement in fair value attributable to changes in the Bank's own credit quality is calculated by determining the changes in credit spreads above observable market rates and is presented separately in Other Comprehensive Income.

(v) Impairment of Financial Assets

The Bank applies a three-stage approach to measuring Expected Credit Losses (ECLs) for the following categories of financial assets that are not measured at fair value through profit or loss:

Debt Instruments

- Instruments measured at Amortised Cost and Fair Value through Other Comprehensive Income;
- Financing and Receivables commitments; and
- Financial Guarantee Contracts

ECL is not recognised on equity instruments.

Financial Assets migrate through the following three stages based on the change in credit risk since initial recognition:

Stage 1: 12-months ECL

For exposures where there has not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the portion of the lifetime ECL associated with the probability of default events occurring within the next 12 months is recognised. Bank determines 12 month ECL from customers who are not significantly credit deteriorated (i.e. less than 30 days past due)

Stage 2: Lifetime ECL – not Credit Impaired

For exposures where there has been a significant increase in credit risk since initial recognition but are not credit impaired, a lifetime ECL (i.e. reflecting the remaining lifetime of the Financial Asset) is recognised.

In being consistent with the policies of the Bank, significant deterioration is measured through the rebuttable presumption of 30 days past due in line with the requirements of the standard.

Stage 3: Lifetime ECL – Credit Impaired

Exposures are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. For exposures that have become credit impaired, a lifetime ECL is recognised and Financing Income is calculated by applying the Effective Rate to the amortised cost (net of provision) rather than the gross carrying amount.

Determining the Stage for Impairment

At each reporting date, the Bank assesses whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Bank considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and also, forward-looking analysis.

Notes to the Financial Statements

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the provision for impairment loss reverts from lifetime ECL to 12-months ECL. Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Bank's investment grade criteria, or which are less than 30 days past due, are considered to have a low credit risk. The provision for impairment loss for these Financial Assets is based on a 12-months ECL. When an asset is uncollectible, it is written off against the related provision. Such assets are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off reduce the amount of the expense in the Statement of Profit or Loss.

The Bank assesses whether the credit risk on an exposure has increased significantly on an individual or collective basis. For the purposes of a collective evaluation of impairment, Financial Instruments are grouped on the basis of shared credit risk characteristics, taking into account instrument type, credit risk ratings, date of initial recognition, remaining term to maturity, industry, geographical location of the borrower and other relevant factors.

Measurement of ECLs

ECLs are derived from unbiased and probability-weighted estimates of expected loss, and are measured as follows:

- Financial Assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls over the expected life of the Financial Asset discounted by the effective rate. The cash shortfall is the difference between the cash flows due to the Bank in accordance with the contract and the cash flows that the Bank expects to receive.
- Financial Assets that are credit-impaired at the reporting date is calculated as the difference between the gross carrying amount and the present value of estimated future cash flows discounted by the effective rate.
- Undrawn commitments: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive.
- Financial Guarantee Contracts: as the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

For further details on how the Bank calculates ECLs including the use of forward looking information, refer to the Credit quality of Financial Assets section in Note 23. For details on the effect of modifications of Financing and Receivables on the measurement of ECL refer to note on Provision for expected credit loss.

ECLs are recognised using a provision for impairment loss account in Statement of Profit and Loss. The Bank recognises the provision charge in Statement of Profit or Loss, with the corresponding amount recognised in other Comprehensive Income, with no reduction in the carrying amount of the asset in the Statement of Financial Position, where applicable.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD: The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD: The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of capital and financing income, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued financing income from missed payments.

LGD: The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Bank would expect to receive, including the realisation of any collateral.

(vi) Recognition and Derecognition of Financial Instruments

A Financial Asset or Financial Liability is recognised in the Statement of Financial Position when the Bank becomes a party to the contractual provisions of the instrument, which is generally on trade date. Financing and Receivables are recognised when cash is advanced (or settled) to the borrowers.

Financial Assets at fair value through Profit or Loss are recognised initially at fair value. All other Financial Assets are recognised initially at fair value plus directly attributable transaction costs.

The Bank derecognises a Financial Asset when the contractual cash flows from the asset expire or it transfers its rights to receive contractual cash flows on the Financial Asset in a transaction in which substantially all the risks and rewards of ownership are transferred. Any income in transferred Financial Assets that is created or retained by the Bank is recognised as a separate asset or liability.

A Financial Liability is derecognised from the Statement of Financial Position when the Bank has discharged its obligation or the contract is cancelled or expires.

(vii) Offsetting

Financial Assets and Liabilities are offset and the net amount is presented in the Statement of Financial Position when the Bank has a legal right to offset the amounts and intends to settle on a net basis or to realise the asset and settle the liability simultaneously.

e. Critical Accounting Assumptions and Estimates Applicable for Financial Assets

The application of the Bank's accounting policies requires the use of judgements, estimates and assumptions. If different assumptions or estimates were applied, the resulting values would change, impacting the net assets and income of the Bank.

Assumptions made at each reporting date are based on best estimates at that date. Although the Bank has internal control systems in place to ensure that estimates are reliably measured, actual amounts may differ from those estimates. Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The accounting policies which are most sensitive to the use of judgement, estimates and assumptions are specified below.

(i) Fair value measurement

A significant portion of Financial Instruments are carried on the Statement of Financial Position at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Where the classification of a Financial Asset or Liability results in it being measured at fair value, wherever possible, the fair value is determined by reference to the quoted bid or offer price in the most advantageous active market to which the Bank has immediate access. An adjustment for credit risk is also incorporated into the fair value as appropriate.

Fair value for a net open position that is a Financial Liability quoted in an active market is the current offer price, and for a Financial Asset the bid price, multiplied by the number of units of the instrument held or issued.

Where no active market exists for a particular asset or liability, the Bank uses a valuation technique to arrive at the fair value, including the use of transaction prices obtained in recent arm's length transactions, discounted cash flow analysis, option pricing models and other valuation techniques, based on market conditions and risks existing at reporting date. In doing so, fair value is estimated using a valuation technique that makes maximum use of observable market inputs and places minimal reliance upon entity-specific inputs.

The best evidence of the fair value of a Financial Instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Bank recognises the difference between the transaction price and the fair value in profit or loss on initial recognition (i.e. on day 1).

Notes to the Financial Statements

(ii) **Impairment Charges on Financing and Receivables**

Judgment is required by management in the estimation of the amount and timing of future cash flows when determining an impairment loss for Financing and Receivables. In estimating these cash flows, the Bank makes judgments about the customer's financial situation and the net realisable value of collateral. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

A collective assessment of impairment takes into account data from the advance portfolio (such as credit quality, levels of arrears, credit utilisation, advances to collateral ratios, etc.), and concentrations of risk and economic data (including levels of Unemployment, Inflation, GDP Growth Rate, country risk and the performance of different individual groups). The impairment loss on Financing and Receivables is disclosed in more detail in Note 23 - Financial Assets at Amortised Cost - Financing and Receivables to Other Customers.

2.3.4 Other Assets - Financial

Other Financial Assets are stated at cost less impairment for unrecoverable amount.

2.3.5 Other Assets - Non Financial

Other Non-Financial Assets are valued net of specific provision, where necessary, so as to reduce the carrying value of such assets to their estimated realisable value.

2.3.6 Property, Plant and Equipment and Right-of-Use Assets

Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used during more than one period.

(a) Valuation

Freehold Land and Buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in Statement of Other Comprehensive Income and credited to the asset revaluation surplus in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in Statement of Profit or Loss, the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying

amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

(b) Cost

Property, Plant and Equipment other than Freehold Land and Building is stated at cost, excluding the costs of day to day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the Property, plant and equipment when that cost is incurred, if the recognition criteria are met.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all Property, Plant and Equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal instalments.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The useful lives of the assets are estimated as follows:

	2020	2019
Freehold Buildings	40 years	40 years
Furniture and Fittings	5 years	5 years
Office and Other Equipment	5 - 6 years	5 - 6 years
Computer Equipment	5 - 6 years	5 - 6 years
Motor Vehicles	4 years	4 years
Computer Servers	5 years	5 years
Improvements to Leasehold Premises	Over the Period of Lease or Useful Life whichever is lower	Over the Period of Lease or Useful Life whichever is lower

(d) De-recognition

An Item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss in the year the asset is de-recognised.

(f) Right-of-Use Assets

SLFRS 16 supersedes LKAS 17 Leases, IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases-Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the Statement of Financial Position.

Lessor accounting under SLFRS 16 is substantially unchanged from LKAS 17. Lessors will continue to classify leases as either operating or finance leases using similar principles as in LKAS 17. Therefore, SLFRS 16 did not have an impact for leases where the Bank is the lessor.

The Bank has lease contracts for various branches. Before the adoption of SLFRS 16, the Bank classified each of its leases (as lessee) at the inception date as either a finance lease or an operating lease.

Upon adoption of SLFRS 16, the Bank applied a single recognition and measurement approach for all leases except for short-term leases and leases of low-value assets. The standard provides specific transition requirements and practical expedients, which have been applied by the Bank.

The Bank also applied the available practical expedients wherein it:

- Used a single discount rate to a portfolio of leases with reasonably similar characteristics
- Relied on its assessment of whether leases are onerous immediately before the date of initial application
- Applied the short-term leases exemptions to leases with lease term that ends within 12 months of the date of initial application
- Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- Used hindsight in determining the lease term where the contract contained options to extend or terminate the lease

2.3.7 Intangible Assets

The Bank’s Intangible Assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits attributable to it will flow to the Bank.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

	2020	2019
Computer Software	10 years	10 years

Notes to the Financial Statements

De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss in the year the item is de-recognised.

2.3.8 Leasing

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a) Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases.

The Bank has no agreement that is to be recognised as finance lease as at the reporting date.

b) Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Bank includes the assets subject to operating leases in 'Property, Plant and Equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

2.3.9 Retirement Benefit Liability

(a) Defined Benefit Plan – Gratuity

Based on the Sri Lanka Accounting Standard LKAS 19 - Employee Benefits, the Bank has adopted the actuarial valuation technique to ascertain the retirement benefit liability. An Actuarial Valuation has been carried out as at 31 December 2020 by a qualified actuary using projected unit credit method.

The principal assumptions, which have the most significant effects on the valuation, are the rate of discount, rate of increase in salary, rate of turnover at the selected ages, rate of disability, death benefits and expenses.

The defined benefit plan liability is discounted using rates equivalent to the market yields at the reporting date that are denominated in the currency in which benefits will be paid, and that have a maturity approximating to the terms of the related pension liability.

The Bank recognises the total actuarial gains and losses that arise in calculating the Bank's obligation in respect of the plan in the Statement of Comprehensive Income during the period in which it occurs.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Details of the key assumptions used in the estimates are contained in Note 34 to the Financial Statements.

(b) Defined Contribution Plan - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective Statutes and Regulations. The Bank contributes 12% and 3% of gross salary, respectively.

2.3.10 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

2.3.11 Taxes

(a) Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for Income Tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and amendments thereto at the rates specified in Note 14 to the Financial Statements.

(b) Deferred Tax

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised, except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

(c) Value Added Tax on Financial Services

The Bank's total value addition is subjected to a 15% Value Added Tax on Financial Services as per Section 25A of the Value Added Tax Act No. 14 of 2002 and amendments thereto.

(d) IFRIC Interpretation 23 “Uncertainty over Income Tax Treatment”

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to finance cost and penalties associated within certain tax treatments. The Interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

The Bank determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Bank applies significant judgement in identifying uncertainties over income tax treatments. Since the Bank operates in a complex environment, it assessed whether the interpretation had an impact on its Financial Statements. Upon adoption of the interpretation, the Bank considered whether it has any uncertain tax positions, particularly those relating to transfer pricing.

The Bank determined, based on its tax compliance and transfer pricing study, that it is probable that its tax treatments will be accepted by the taxation authorities. The interpretation did not have an impact on the Financial Statements of the Bank.

Except for the changes mentioned above, the Bank has consistently applied the accounting policies for all periods presented in these Financial Statements.

2.3.12 Recognition of Financial Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(a) Income

Financing income and expenses are recognised in Statement of Profit or Loss using the Effective Profit Rate (EPR).

Notes to the Financial Statements

The EPR is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the Financial Asset or Liability (or, where appropriate, a shorter period) to the carrying amount of the Financial Asset or Liability.

When calculating the EPR, the Bank estimates future cash flows considering all contractual terms of the Financial Instrument, but not future credit losses. The calculation of the EPR includes all fees and points paid or received that are an integral part of the effective profit rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a Financial Asset or Liability.

(b) Fee and Commission Income

Fee and Commission Income and expense that are integral to the EPR on a Financial Asset or Liability are included in the measurement of the EPR.

The Bank earns Fee and Commission Income from a diverse range of services it provides to its customers comprising of fees receivable from customers for issuing Letters of credit, guarantees, account servicing fees, legal fees and other services provided by the Bank and are recognised as the related services are performed.

(c) Dividend Income

Dividend Income is recognised when the Bank's right to receive the payment is established.

(d) Net Trading Income

Results arising from gains and losses on spot and promissory forward transactions.

(e) Short Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided, and are included under Personnel Expenses in the Statement of Profit or Loss. A liability is recognised for the amounts expected to be paid under short-term bonus if the Bank has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

2.3.13 Financial Guarantees

In the ordinary course of business, the Bank gives Financial Guarantees, consisting of letters of credit, guarantees and acceptances. Financial Guarantees are initially recognised in the Financial Statements (within 'Other Liabilities') at fair value, being the premium received. Subsequent to initial recognition, the Bank's Liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the Liability relating to Financial Guarantees is recorded in the Statement of Profit or Loss under Impairment on Financial Assets. The premium received is recognised in the Statement of Profit or Loss in 'Net Fees and Commission Income' on a straight line basis over the life of the guarantee.

2.3.14 Segment Reporting

A Segment is a distinguishable component of the Bank that is engaged in providing services (Business Segments) or in providing services within a particular economic environment (Geographical Segment) which is subject to risks and rewards that are different from those of other segments.

In accordance with the Sri Lankan Accounting Standard SLFRS 8 - 'Segmental Reporting', segmental information is presented in respect of the Bank based on Bank's management and internal reporting structure.

The Bank's segmental reporting is based on the following operating segments.

- Consumer Banking: Individual customers' deposits and consumer financing including overdrafts, asset financing, lease financing, gold facilities, home and property financing.
- Business Banking: Deposits of corporate and SME customers, trade financing, overdraft, equipment and machinery financing, working capital financing, lease financing and other credit facilities.
- Treasury: Placements of funds with other banks and financial institutions, equity investments and managing exposures in foreign exchange.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss of respective segment.

Details of segment reporting are given in Note 3 to the Financial Statements.

2.3.15 Earnings Per Share

Earnings Per Share is calculated by dividing profit or loss attributable to Ordinary Shareholders of the Bank by the weighted average number of ordinary shares outstanding for the period.

Details of Earnings Per Share are given in Note 15 to the Financial Statements.

2.3.16 Cash Flow Statement

The cash flow statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS 7) - Statement of Cash Flows whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value.

The cash and cash equivalents include cash in hand and balances with banks.

2.3.17 New Accounting Standards

The following new accounting standards and amendments/improvements to existing standards which have been issued by the Institute of Chartered Accountants of Sri Lanka (CASL) are not effective as at 31st December 2020.

2.3.17.1 Standards issued but not yet Effective

The new and amended standards that are issued, but not yet effective to the date of issuance of these financial statements are disclosed below. Management is in the process of assessing the probable impacts from the below not yet effective standards:

(a) SLFRS 17 - Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace IFRS 4 Insurance Contracts (SLFRS 4). SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features.

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2023.

The Bank does not have a material impact from the above standard.

(b) Amendments to SLFRS 9, LKAS 39, SLFRS 7, SLFRS 4 and SLFRS 16 – Interest Rate Benchmark Reform (Phase 1 & 2)

The amendments to SLFRS 9 & LKAS 39 provide a number of reliefs, which apply to all hedging relationships that are directly affected by interest rate benchmark reform. A hedging relationship is affected if the reform gives rise to uncertainty about the timing and/or amount of benchmark-based cash flows of the hedged item or the hedging instrument.

Interbank Offered Rate Reforms Phase 2 include number of reliefs and additional disclosures. Amendments supports companies in applying SLFRS when changes are made to contractual cashflows or hedging relationships because of the reform.

These amendments to various standards are effective for the annual reporting periods beginning on or after 1 January 2021.

(c) Amendments to SLFRS 16 - Covid-19 Related Rent Concessions

The amendments provide relief to lessees from applying SLFRS 16 guidance on lease modification accounting for rent concessions arising as a direct consequence of the Covid-19 pandemic.

Notes to the Financial Statements

3. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

	Consumer Banking 2020 Rs.	Business Banking 2020 Rs.	Total Banking 2020 Rs.	Treasury 2020 Rs.	Unallocated/ Elimination 2020 Rs.	Total 2020 Rs.
Income						
Financing Income	2,066,027,574	3,977,079,171	6,043,106,745	1,168,536,690	-	7,211,643,435
Net Fee and Commission Income	169,886,799	137,667,852	307,554,651	6,365,365	14,642,727	328,562,743
Net Trading Gain	-	-	-	444,376,037	-	444,376,037
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	3,260,627	-	3,260,627
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	928,646	-	928,646
Net Other Operating Income	-	-	-	2,302,448	-	2,302,448
Total Income	2,235,914,373	4,114,747,023	6,350,661,396	1,625,769,813	14,642,727	7,991,073,936
Less						
Financing Expenses			(3,708,293,011)	(9,698,616)	(39,321,540)	(3,757,313,167)
Impairment on Financial Assets			(514,295,499)	568,539		(513,726,961)
Total Operating Expenses			(1,796,685,375)	(739,165,979)	(29,566,655)	(2,565,418,009)
Operating Profit Before VAT on Financial Services			331,387,512	877,473,757	(54,245,468)	1,154,615,799
Value Added Tax on Financial Services						(393,167,272)
Profit Before Tax						761,448,527
Tax Expenses						(297,753,065)
Profit for the Year						463,695,462
Total Assets	17,774,381,387	44,792,582,894	62,566,964,281	22,123,714,496	15,481,689,019	100,172,367,795
Total Liabilities	73,107,326,380	10,457,964,809	83,565,291,189	411,919,078	3,727,879,178	87,705,089,445

	Consumer Banking 2019 Rs.	Business Banking 2019 Rs.	Total Banking 2019 Rs.	Treasury 2019 Rs.	Unallocated/ Elimination 2019 Rs.	Total 2019 Rs.
Income						
Financing Income	2,245,667,216	4,844,791,937	7,090,459,153	579,510,588	39,316,553	7,709,286,294
Net Fee and Commission Income	169,496,563	150,607,401	320,103,964	6,688,517	2,248,266	329,040,746
Net Trading Gain	-	-	-	738,397,355	-	738,397,355
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	4,862,561	-	4,862,561
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	11,150,575	-	11,150,575
Net Other Operating Income	-	-	-	7,431,422	819,954	8,251,376
Total Income	2,415,163,779	4,995,399,337	7,410,563,117	1,348,041,019	42,384,773	8,800,988,907
Less						
Financing Expenses	-	-	(4,469,122,131)	(31,504,054)	(43,744,420)	(4,544,370,605)
Impairment on Financial Assets	-	-	(288,928,583)	-	-	(288,928,583)
Total Operating Expenses	-	-	(1,814,612,680)	(746,541,368)	(29,861,671)	(2,591,015,720)
Operating Profit Before VAT on Financial Services, NBT & DRL	-	-	837,899,722	569,995,596	(31,221,319)	1,376,673,999
VAT on Financial Services, NBT & DRL						(531,825,986)
Profit Before Tax						844,848,013
Tax Expenses						(383,916,616)
Profit for the Year						460,931,397
Total Assets	16,601,515,416	41,115,445,583	57,716,960,999	21,149,262,375	7,713,347,058	86,579,570,432
Total Liabilities	63,056,531,180	8,558,222,295	71,614,753,475	1,103,040,822	2,008,208,103	74,726,002,400

4. FINANCING INCOME

	2020 Rs.	2019 Rs.
Financing Income	6,043,106,745	7,129,775,706
Placement Income	1,168,536,690	579,510,588
Total	7,211,643,435	7,709,286,294

Accrued Income from Impaired Financial Assets amounting to Rs. 25,649,561 (2019 - Rs. 83,288,497) has been deducted from Financing Income.

Notes to the Financial Statements

5. FINANCING EXPENSES

	2020 Rs.	2019 Rs.
Expenses on Due to Depositors	3,708,293,011	4,469,122,131
Expenses on Due to Banks	9,698,616	31,504,054
Finance Expense on Lease Liability	39,321,540	43,744,420
Total	3,757,313,167	4,544,370,605

6. NET FEE AND COMMISSION INCOME

	2020 Rs.	2019 Rs.
Trade Related Services	134,057,183	126,337,113
Other Banking and Financial Services	194,505,560	202,703,633
Total	328,562,743	329,040,746

7. NET TRADING INCOME

	2020 Rs.	2019 Rs.
Foreign Exchange Income		
- From Banks	407,649,526	706,676,442
- From Customers	36,726,511	31,720,913
Total	444,376,037	738,397,355

Foreign Exchange Income includes Gains and Losses from Spot and Promissory Forward transactions.

8. NET GAINS / (LOSSES) FROM FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	2020 Rs.	2019 Rs.
Equity Securities	3,260,627	4,862,561
Total	3,260,627	4,862,561

The above consists of Unrealised Gains and Losses from changes in the Fair Value of Equity Securities.

9. NET GAINS / (LOSSES) FROM DERECOGNITION OF FINANCIAL ASSETS

	2020 Rs.	2019 Rs.
Equity Securities	928,646	11,150,575
Total	928,646	11,150,575

The above consists of Derecognition of Equity Securities classified at Fair Value Through Profit or Loss.

10. NET OTHER OPERATING INCOME

	2020 Rs.	2019 Rs.
Income from Dividends	2,302,448	7,431,422
Gain/(Loss) on Disposal of Property, Plant and Equipment	-	819,954
Total	2,302,448	8,251,376

11. IMPAIRMENT ON FINANCIAL ASSETS

The table below shows the ECL charges on Financial Instruments for the Year 2020

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.1)	(541,500)	-	-	(541,500)
Placements with Banks (Note 19.1)	(980,993)	-	-	(980,993)
Placements with Licensed Finance Companies (Note 20.1)	412,454	-	-	412,454
Commitments and Contingencies (Note 45.2.1)	245,924	29,720	11,892	287,536
Financing and Receivables to Other Customers (Note 23.4)	94,370,610	193,433,096	226,745,757	514,549,463
	93,506,495	193,462,816	226,757,649	513,726,961

The table below shows the ECL charges on Financial Instruments for the Year 2019

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.1)	(331,810)	-	-	(331,810)
Placements with Banks (Note 19.1)	265,796	-	-	265,796
Placements with Licensed Finance Companies (Note 20.1)	(165,369)	-	-	(165,369)
Commitments and Contingencies (Note 45.2.1)	1,476,203	178,400	71,384	1,725,988
Financing and Receivables to Other Customers (Note 23.4)	4,959,141	141,964,691	140,510,146	287,433,978
	6,203,961	142,143,091	140,581,530	288,928,583

Notes to the Financial Statements

12. PERSONNEL EXPENSES

	2020 Rs.	2019 Rs.
Salaries and Bonus	984,322,330	949,103,675
Defined Contribution Plan - EPF/ETF	125,120,515	121,427,353
Defined Benefit Plan - Gratuity (Note 34)	37,403,708	43,707,162
Other Staff Related Expenses	299,291,780	267,207,519
Total	1,446,138,333	1,381,445,709

13. OTHER OPERATING EXPENSES

	2020 Rs.	2019 Rs.
Directors' Emoluments	9,671,516	11,985,423
Auditors' Remuneration		
- Audit Fee and Expenses	4,023,756	4,076,568
- Non Audit Services	2,250,914	2,428,412
Professional Fees	33,390,671	34,881,639
Office Administration and Establishment Expenses	441,681,959	513,151,311
Advertising and Promotion	38,223,987	83,756,259
Deposit Insurance Premium	79,017,785	67,287,528
System Support Fee	94,586,986	91,859,853
Others	64,879,946	92,922,040
Total	767,727,520	902,349,033

14. TAX EXPENSES

	2020 Rs.	2019 Rs.
Current Tax:		
Tax Expense (Note 14.1)	411,768,293	393,788,948
(Over)/Under Provision in respect of Previous Year	11,731,811	20,577,325
Deferred Tax:		
Deferred Taxation Charged/(Reversal) (Note 33)	(125,747,039)	(30,449,657)
Tax Expense	297,753,065	383,916,616

14.1 Reconciliation of Accounting Profit to Tax Expense

	2020 Rs.	2019 Rs.
Accounting Profit before Income Tax	761,448,527	844,848,013
Statutory Tax Rate	14% & 28%	14% & 28%
At the Statutory Income Tax Rate	213,205,588	236,557,444
Income Exempt from Tax	(25,190,458)	(2,310,385)
Non Deductible Expenses	547,131,290	625,418,146
Deductible Expenses	(323,378,127)	(465,876,256)
Tax Expense	411,768,293	393,788,948

The Effective Income Tax rate for 2020 is 39.10% (2019 - 45.44%).

15. EARNINGS PER SHARE

Earnings Per Share is calculated by dividing the net Profit or Loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and data on shares used in the Earnings Per Share computation.

	2020 Rs.	2019 Rs.
Amount used as the Numerator:		
Net Profit Attributable to Ordinary Shareholders	463,695,462	460,931,397
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue (Note 15.1)	2,601,446,155	2,601,446,155
Earnings Per Share - Basic / Diluted	0.18	0.18

15.1 Weighted Average Number of Ordinary Shares for Basic and Diluted Earnings per Share

	Outstanding 2020	No. of Shares 2019	Weighted average 2020	No. of Shares 2019
Number of Shares in Issue as at 1 January	2,501,390,534	2,501,390,534	2,501,390,534	2,501,390,534
Add				
Scrip Dividends	100,055,621	100,055,621	100,055,621	100,055,621
Weighted Average Number of Ordinary Shares for Diluted Earnings Per Ordinary Share Calculation	2,601,446,155	2,601,446,155	2,601,446,155	2,601,446,155

Notes to the Financial Statements

16. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

16.1 Analysis of financial instruments by measurement - as at 31.12.2020

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

As at 31 December 2020	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total Rs.
Financial Assets				
Cash and Cash Equivalents	-	6,859,970,358	-	6,859,970,358
Balance with Central Bank of Sri Lanka	-	11,410,470,563	-	11,410,470,563
Placements with Banks	-	11,580,356,721	-	11,580,356,721
Placements with Licensed Finance Companies	-	3,108,069,281	-	3,108,069,281
Derivative Financial Assets	228,515,144	-	-	228,515,144
Financial Assets recognised through Profit or Loss - Measured at Fair Value	55,921,805	-	-	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	62,566,964,280	-	62,566,964,280
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	291,991,226	291,991,226
Other Assets - Financial	-	1,048,477,201	-	1,048,477,201
Total Financial Assets	284,436,949	96,574,308,404	291,991,226	97,150,736,579
Financial Liabilities				
Due to Banks	-	1,967,893,100	-	1,967,893,100
Derivative Financial Liabilities	111,881,845	-	-	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	-	83,554,240,988	-	83,554,240,988
Other Liabilities - Financial	-	1,287,362,598	-	1,287,362,598
Total Financial Liabilities	111,881,845	86,809,496,686	-	86,921,378,531

16.2 Analysis of financial instruments by measurement - as at 31.12.2019

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

As at 31 December 2019	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total Rs.
Financial Assets				
Cash and Cash Equivalents	-	10,067,003,265	-	10,067,003,265
Balance with Central Bank of Sri Lanka	-	3,448,797,331	-	3,448,797,331
Placements with Banks	-	10,625,183,324	-	10,625,183,324
Placements with Licensed Finance Companies	-	12,053,159	-	12,053,159
Derivative Financial Assets	226,091,973	-	-	226,091,973
Financial Assets recognised through Profit or Loss - Measured at Fair Value	72,789,000	-	-	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	57,716,960,999	-	57,716,960,999
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	146,141,654	146,141,654
Other Assets - Financial	-	888,380,624	-	888,380,624
Total Financial Assets	298,880,973	82,758,378,702	146,141,654	83,203,401,329
Financial Liabilities				
Due to Banks	-	1,103,040,822	-	1,103,040,822
Derivative Financial Liabilities	56,478,657	-	-	56,478,657
Financial Liabilities at Amortised Cost - Due to Depositors	-	71,614,753,475	-	71,614,753,475
Other Liabilities - Financial	-	1,110,537,746	-	1,110,537,746
Total Financial Liabilities	56,478,657	73,828,332,043	-	73,884,810,700

17. CASH AND CASH EQUIVALENTS

	Note	2020 Rs.	2019 Rs.
Cash in Hand		3,786,665,745	2,378,960,082
Balances with Banks		3,073,790,785	7,689,070,855
Cash and Cash Equivalents before Allowance for Impairment *		6,860,456,530	10,068,030,937
Less: Allowance for Impairment - Stage 1	17.1	(486,172)	(1,027,672)
Total		6,859,970,358	10,067,003,265

* as per Statement of Cash Flows

Notes to the Financial Statements

17.1 Impairment Allowance for Balances with Banks

	2020 Rs.	2019 Rs.
ECL allowance as at 1 January	1,027,672	1,359,482
Charge/(Write Back) for the year	(541,500)	(331,810)
Amounts written off	-	-
As at 31 December	486,172	1,027,672

18. BALANCE WITH CENTRAL BANK OF SRI LANKA

	2020 Rs.	2019 Rs.
Statutory Deposit with the Central Bank of Sri Lanka	11,410,470,563	3,448,797,331
	11,410,470,563	3,448,797,331

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2020, the minimum cash reserve requirement was 2.0% (2019 - 5.0%) of Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The statutory deposit with Central Bank of Sri Lanka is not available for financing the Bank's day to day operations and therefore it is not considered as part of Cash and Cash Equivalents.

19. PLACEMENTS WITH BANKS

	Note	2020 Rs.	2019 Rs.
Saving Deposits		157,617	152,995
Term Deposits		11,580,962,583	10,626,774,801
Less: Allowance for Impairment			
- Stage 1	19.1	(763,479)	(1,744,472)
Total		11,580,356,721	10,625,183,324

19.1 Impairment Allowance for Placements with Banks

	2020 Rs.	2019 Rs.
ECL allowance as at 1 January	1,744,472	1,478,676
Charge/(Write Back) for the year	(980,993)	265,796
Amounts written off	-	-
As at 31 December	763,479	1,744,472

20. PLACEMENTS WITH LICENSED FINANCE COMPANIES

	Note	2020 Rs.	2019 Rs.
Saving Deposits		19,475,867	12,054,267
Term Deposits		3,089,006,976	-
Less: Allowance for Impairment			
- Stage 1	20.1	(413,562)	(1,108)
Total		3,108,069,281	12,053,159

20.1 Impairment Allowance for Licensed Finance Companies

	2020 Rs.	2019 Rs.
ECL allowance as at 1 January	1,108	166,477
Charge/(Write Back) for the year	412,454	(165,369)
Amounts Written Off	-	-
As at 31 December	413,562	1,108

21. DERIVATIVE FINANCIAL ASSETS

	2020 Rs.	2019 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	228,515,144	226,091,973
Total	228,515,144	226,091,973

22. FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE

	2020 Rs.	2019 Rs.
Investment in Equity Securities - Quoted (22.1)	55,921,805	72,789,000
	55,921,805	72,789,000

Notes to the Financial Statements

22.1 Investment in Equity Securities - Quoted

	No. of Ordinary Shares		Carrying Value	Carrying Value
	2020	2019	2020 Rs.	2019 Rs.
Access Engineering PLC	-	400,000	-	8,720,000
Amāna Takaful PLC	-	150,453	-	797,401
C.W. Mackie PLC	416,670	852,949	20,000,160	38,382,705
Dialog Axiata PLC	1,850,000	1,616,745	22,940,000	19,885,964
Hemas Holdings PLC	10,300	-	1,028,970	-
Nestle Lanka PLC	3,849	3,849	4,907,475	5,002,930
Textured Jersey Lanka	185,400	-	7,045,200	-
Total Carrying Value			55,921,805	72,789,000

23. FINANCIAL ASSETS AT AMORTISED COST - FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

Summary	2020 Rs.	2019 Rs.
Gross Financing and Receivables to Other Customers		
Stage 1	51,324,558,537	48,685,702,850
Stage 2	10,132,406,320	8,059,899,089
Stage 3	2,801,545,725	2,267,683,578
	64,258,510,582	59,013,285,517
Less: Accumulated Impairment		
Stage 1	(353,622,387)	(259,251,777)
Stage 2	(635,181,361)	(441,748,265)
Stage 3	(702,742,554)	(595,324,476)
Total	62,566,964,280	57,716,960,999

23.1 By Product

Summary	2020 Rs.	2019 Rs.
Overdraft	4,636,478,914	5,490,122,787
Trade Finance	1,032,136,628	1,657,610,885
Lease Receivables	5,910,584,973	6,517,988,514
Staff Facilities	703,572,502	627,745,816
Term Financing:		
- Short Term	14,725,757,789	14,077,073,972
- Long Term	29,905,474,807	25,652,224,799
Gold Facilities	5,821,825,258	4,023,755,811
Others	1,522,679,711	966,762,933
	64,258,510,582	59,013,285,517
Less: Accumulated Impairment		
Stage 1	(353,622,387)	(259,251,777)
Stage 2	(635,181,361)	(441,748,265)
Stage 3	(702,742,554)	(595,324,476)
Total	62,566,964,280	57,716,960,999

23.2 By Currency

	2020 Rs.	2019 Rs.
Sri Lanka Rupees	59,057,183,391	53,393,041,439
United States Dollars	5,201,327,191	5,620,244,077
	64,258,510,582	59,013,285,517
Less: Accumulated Impairment		
Stage 1	(353,622,387)	(259,251,777)
Stage 2	(635,181,361)	(441,748,265)
Stage 3	(702,742,554)	(595,324,476)
Total	62,566,964,280	57,716,960,999

Notes to the Financial Statements

23.3 By Industry

	2020 Rs.	2019 Rs.
Agriculture, Forestry and Fishing	8,927,916,871	9,399,617,922
Manufacturing	11,329,996,609	11,838,807,661
Tourism	481,798,719	747,721,539
Transportation and Storage	1,802,040,680	608,970,386
Construction	8,409,068,532	7,630,043,590
Wholesale and Retail Trade	17,943,025,660	14,986,296,999
Information Technology and Communication Services	112,839,809	218,983,449
Financial and Business Services	545,178,517	701,860,264
Infrastructure Development	773,318,380	543,615,375
Other Services	871,594,471	794,005,170
Consumption	13,061,732,334	11,543,363,159
	64,258,510,582	59,013,285,517
Less: Accumulated Impairment		
Stage 1	(353,622,387)	(259,251,777)
Stage 2	(635,181,361)	(441,748,265)
Stage 3	(702,742,554)	(595,324,476)
Total	62,566,964,280	57,716,960,999

23.4 Impairment Allowance for Financing and Receivables to Other Customers

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31.12.2020 is as follows:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Impairment Rs.
ECL Allowance as at 1 January 2020 under SLFRS9	259,251,777	441,748,265	595,324,476	1,296,324,518
Charge/(Write Back) for the year	94,370,610	193,433,096	226,745,757	514,549,463
Amounts Written Off	-	-	(119,327,679)	(119,327,679)
As at 31 December 2020	353,622,387	635,181,361	702,742,554	1,691,546,302

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31.12.2019 is as follows:

	Stage 1 Impairment Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
ECL Allowance as at 1 January 2019 under SLFRS9	254,292,636	299,783,574	498,527,109	1,052,603,319
Charge/(Write Back) for the year	4,959,141	141,964,691	140,510,146	287,433,978
Amounts Written Off	-	-	(43,712,779)	(43,712,779)
As at 31 December 2019	259,251,777	441,748,265	595,324,476	1,296,324,518

Based on the requirements of the SLFRS 9, the Bank applies the amortised cost method to measure the Financial Instruments in instances where the Bank's business model is to hold the Financial Asset to collect the contractual cash flows. The characteristics of the contractual cash flows herein refers to repayment of capital and profits/income only (referred to as "SPPI" test under SLFRS 9). Capital is the fair value of the instrument at initial recognition.

Profit/Income is the return within a basic financing arrangement and typically consists of consideration for the credit risk and may also include consideration for other basic risks such as liquidity risk as well as a financing margin.

The Bank manages its Financial Assets to achieve its business objective having carried out the appropriate business model assessment.

24. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Financial Assets held under the category of Fair Value through other Comprehensive Income (FVOCI) consists of equity investments. Gains or Losses arising due to changes in fair value are recognised in OCI. Realised Gains or Losses are not recognised to the Statement of Profit or Loss and is also not subject to any impairment assessment. Dividends earned whilst holding FVOCI Financial Assets are recognised in the Statement of Profit or Loss under 'Net Other Operating Income' when the right to receive the dividend is established.

	2020 Rs.	2019 Rs.
Investments in Securities		
Equities - Quoted (24.1)	288,998,226	143,148,654
Equities - Unquoted (24.2)	2,993,000	2,993,000
	291,991,226	146,141,654

24.1 Investment in Equity - Quoted

	No. of Ordinary Shares		Carrying Value 2020 Rs.	Carrying Value 2019 Rs.
	2020	2019		
Amāna Takaful PLC	27,009,180	27,009,180	288,998,226	143,148,654
Total			288,998,226	143,148,654

24.2 Investment in Equity - Unquoted

	No. of Ordinary Shares		Carrying Value 2020 Rs.	Carrying Value 2019 Rs.
	2020	2019		
LankaClear (Private) Limited	50,000	50,000	2,000,000	2,000,000
Credit Information Bureau of Sri Lanka	300	300	993,000	993,000
Total Carrying Value			2,993,000	2,993,000

All unquoted investments are recorded at cost and the Bank intends to hold them for the long term.

Notes to the Financial Statements

25. OTHER ASSETS - FINANCIAL

	2020	2019
Refundable Deposits and Other Debtors	186,207,856	160,542,512
Pre paid Staff Costs	283,955,506	222,681,629
Other Receivables	578,313,839	505,156,483
Total	1,048,477,201	888,380,624

26. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS

	Freehold Land and Building Rs.	Improvements to Leasehold Premises Rs.	Furniture and Fittings Rs.	Office Equipment Rs.	Computer Equipment Rs.	Motor Vehicles Rs.	Computer Servers Rs.	Right-of-Use Assets Rs.	Total Rs.
Cost or Valuation:									
As at 1 January 2019	1,506,001,095	264,011,978	200,713,273	411,223,163	269,984,567	24,043,675	163,010,734	-	2,838,988,485
Effect of adoption of SLFRS 16 as at 1 January 2019	-	-	-	-	-	-	-	715,854,463	715,854,463
Additions	-	41,959,787	16,833,240	24,404,262	61,297,235	281,230	11,280,437	-	156,056,191
Revaluation	-	-	-	-	-	-	-	-	-
Transfer*	-	(1,653,372)	1,653,372	-	-	-	-	-	-
Disposals	-	-	(171,427)	(1,251,110)	(12,732)	(8,333)	-	-	(1,443,602)
As at 31 December 2019	1,506,001,095	304,318,394	219,028,457	434,376,315	331,269,070	24,316,572	174,291,171	715,854,463	3,709,455,537
Additions	-	17,710,568	12,442,646	11,252,965	49,131,587	-	18,872,421	20,473,904	129,884,091
Revaluation	-	-	-	-	-	-	-	-	-
Transfer	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-
As at 31 December 2020	1,506,001,095	322,028,962	231,471,103	445,629,281	380,400,657	24,316,572	193,163,592	736,328,367	3,839,339,627
Depreciation									
As at 1 January 2019	3,957,487	160,146,268	139,371,333	335,366,457	194,441,851	10,743,222	104,767,713	-	948,794,332
Disposals	-	-	(171,427)	(1,242,800)	(12,732)	(8,333)	-	-	(1,435,292)
Depreciation Charge for the Year	2,823,727	31,022,234	23,413,539	29,882,996	29,865,100	1,094,819	16,469,891	121,623,063	256,195,369
Transfer*	-	(78,154)	78,154	-	-	-	-	-	-
As at 31 December 2019	6,781,214	191,090,348	162,691,599	364,006,653	224,294,219	11,829,708	121,237,604	121,623,063	1,203,554,409
Disposals	-	-	-	-	-	-	-	-	-
Depreciation Charge for the Year	2,823,727	28,563,804	21,924,811	27,297,936	39,374,598	168,262	34,525,723	126,498,446	281,177,308
Transfer	-	-	-	-	-	-	-	-	-
As at 31 December 2020	9,604,941	219,654,152	184,616,411	391,304,589	263,668,817	11,997,970	155,763,328	248,121,509	1,484,731,717
Net Book Value:									
As at 31 December 2020	1,496,396,153	102,374,809	46,854,692	54,324,693	116,731,840	12,318,602	37,400,264	488,206,858	2,354,607,910
As at 31 December 2019	1,499,219,881	113,228,046	56,336,857	70,369,663	106,974,851	12,486,865	53,053,567	594,231,400	2,505,901,128

*This transfer relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

- 26.1** During the year, the Bank acquired Property Plant and Equipment to the aggregate value of Rs.129,884,091/- (2019 - Rs.156,056,191). Cash payments amounting to Rs. 29,130,963/- (2019 - Rs.156,047,880) were made during the year for purchase of Property, Plant and Equipment.
- 26.2** Property, Plant and Equipment includes fully depreciated assets with a gross carrying amount of Rs. 888,872,173/- (2019 - Rs. 825,434,838/-) which are still in use at the date of the Statement of Financial Position.
- 26.3** There were no Property, Plant and Equipment identified as temporarily idle as at the date of the Statement of Financial Position.
- 26.4** No assets have been pledged by the Bank.
- 26.5** The Bank measures land and buildings at revalued amounts with gains in fair value being recognised in Statement of Comprehensive Income and losses in the Statement of Profit or Loss. An independent valuation specialist was engaged to assess the fair value as at 1 July 2017 for the revalued land and buildings. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The key assumptions used to determine the fair value of the revalued land and buildings and the sensitivity analyses are further discussed below.

The revalued land and buildings consists of a land comprising three office buildings located in 486, Galle Road, Colombo 3, Sri Lanka. Management determined that these constitute one class of asset under SLFRS 13, based on the nature, characteristics and risks of the property.

Valuation Methods, Assumptions and Measurement Hierarchy

Fair value of the land and building is determined at Rs. 1,499,000,000 that falls under Level 3 (Significant unobservable inputs) of the fair value measurement hierarchy. The fair value was determined using the market comparable method. This means that valuations performed by the valuer are based on market prices, significantly adjusted for differences in the nature, location or condition of the specific property. The property's fair values are based on valuations performed by Mr. P.P.T. Mohideen (Chartered Valuation Surveyor and Fellow of the Institute of Valuers of Sri Lanka), an accredited independent valuer and having recent experience in the location and category of the Land and Building.

Key Valuation Assumptions used are:

Significant Unobservable Valuation Input:

Land : Price per perch Rs. 20,000,000

Building : Price per square foot Rs. 3,150 - Rs. 3,850

Significant increases / (decreases) in estimated price per perch and square foot in isolation would result in a significantly higher / (lower) fair value.

Reconciliation of Fair Value of Revalued Land and Buildings:

	2020 Rs.	2019 Rs.
As at 1 January	1,141,877,030	1,141,877,030
Level 3 Revaluation Recognised due to Revaluation Model	-	-
As at 31 December	1,141,877,030	1,141,877,030

Notes to the Financial Statements

If Freehold Land and Buildings were Measured using the Cost Model, the Carrying Amounts would be as follows:

	Cost Rs.	2020 Accumulated Depreciation Rs.	Net Carrying Amount Rs.	Cost Rs.	2019 Accumulated Depreciation Rs.	Net Carrying Amount Rs.
Freehold Land	300,299,702	-	300,299,702	300,299,702	-	300,299,702
Building	67,390,603	(12,858,213)	54,532,390	67,390,603	(11,120,947)	56,269,657
Net Carrying Amount	367,690,305	(12,858,213)	354,832,092	367,690,305	(11,120,947)	356,569,358

26.6 The Details of the Land and Building Owned by the Bank are as follows;

	Extent Land (Perches)	Building (Sq.ft)	2020 Valuation Land Rs.	Building Rs.	2019 Valuation Land Rs.	Building Rs.
486, Galle Road, Colombo 3	70.80	22,718	1,499,000,000	83,269,200	1,499,000,000	83,269,200

26.7 Cash payments amounting to Rs. 131,337,105/- (2019 - Rs. 121,558,143/-) was paid relating to lease liabilities recognised under SLFRS 16 - Leases

27. INTANGIBLE ASSETS

	2020 Rs.	2019 Rs.
Computer Software		
Cost:		
As at 1 January	553,370,991	503,582,044
Additions	90,540,448	49,788,947
Disposal	-	-
As at 31 December	643,911,439	553,370,991
Amortisation		
As at 1 January	316,296,268	265,270,659
Amortisation Charge for the Year	70,374,848	51,025,609
Disposal	-	-
As at 31 December	386,671,116	316,296,269
Net Book Value:		
As At 31 December	257,240,323	237,074,722

28. OTHER ASSETS - NON FINANCIAL

	2020 Rs.	2019 Rs.
Stationery Stock	3,562,344	4,742,872
Prepayments and Advances	230,223,633	301,204,201
Tax Receivables	175,997,006	327,246,178
Total	409,782,983	633,193,251

29. DUE TO BANKS

	2020 Rs.	2019 Rs.
Vostro Balances	11,050,204	-
Balance Due to CBSL (Saubagya Renaissance Facility)	1,656,805,663	-
Balances Due to Banks	300,037,233	1,103,040,822
Total	1,967,893,100	1,103,040,822

30. DERIVATIVE FINANCIAL LIABILITIES

	2020 Rs.	2019 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	111,881,845	56,478,657
Total	111,881,845	56,478,657

31. FINANCIAL LIABILITIES AT AMORTISED COST - DUE TO DEPOSITORS

	2020 Rs.	2019 Rs.
31.1 Total Amount Due to Depositors	83,554,240,988	71,614,753,475
31.2 By Product		
Demand Deposits	5,442,469,913	3,780,911,461
Savings Deposits	32,334,821,670	24,300,940,024
Time Deposits	45,776,949,405	43,532,901,990
Total	83,554,240,988	71,614,753,475

Notes to the Financial Statements

31.3 By Currency

	2020 Rs.	2019 Rs.
Sri Lanka Rupees	75,299,107,807	63,733,425,854
United States Dollars	7,962,510,238	7,516,024,856
Great Britain Pounds	218,058,202	313,360,379
Others	74,564,741	51,942,386
Total	83,554,240,988	71,614,753,475

32. OTHER LIABILITIES - FINANCIAL

	2020 Rs.	2019 Rs.
Accrued Expenses	399,833,965	225,205,346
Balances Held in Margin	115,540,371	112,417,976
Cheques Pending Realisation	152,480,855	116,144,545
Impairment Provision for ECL - Credit related Commitment and Contingencies (Note 45)	4,562,565	4,275,029
Other Liabilities	120,992,853	82,406,662
Lease Liability	487,600,565	563,901,441
Sundry Creditors	6,351,424	6,186,747
Total	1,287,362,598	1,110,537,746

33. DEFERRED TAX

	Deferred Tax Liability/ (Asset) Rs.	2020 Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.	Deferred Tax Liability/ (Asset) Rs.	2019 Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.
Deferred Tax Liability						
Capital Allowances for Tax purposes	139,392,189	(54,178,023)	-	193,570,224	10,331,868	-
Capital Gain for Tax purposes	314,184,209	-	-	314,184,209	-	-
Impact of Adopting SLFRS 16	(11,847,750)	(17,586,307)	-	5,738,557	5,738,557	-
Deferred Tax Assets						
Defined Benefit Plans	(47,786,025)	(8,887,100)	1,697,612	(40,596,536)	(8,119,242)	3,227,670
Provision for Impairment Losses	(323,677,089)	(45,095,608)	-	(278,581,493)	(38,400,840)	-
Total	70,265,535	(125,747,039)	1,697,612	194,314,961	(30,449,657)	3,227,670

34. RETIREMENT BENEFIT LIABILITY

	Note	2020 Rs.	2019 Rs.
At 1 January		144,987,628	127,517,727
Expenses Recognised in the Statement of Profit or Loss	34.1	37,403,708	43,707,162
Actuarial Gain	34.2	(6,062,897)	(11,527,393)
Benefits Paid		(5,664,065)	(14,709,868)
At 31 December		170,664,374	144,987,628
34.1 Expenses Recognised in the Statement of Profit or Loss			
Current Service Cost		22,542,477	25,016,468
Finance Cost		14,861,231	18,690,694
Components Recognised in the Statement of Profit or Loss		37,403,708	43,707,162
34.2 Expenses Recognised in the Statement of Comprehensive Income			
Recognition of Actuarial (Gain)/Loss		(6,062,897)	(11,527,393)
Components Recognised in the Statement of Comprehensive Income		(6,062,897)	(11,527,393)
Total		31,340,811	32,179,769

As at 31 December 2020 the Gratuity Liability of the Bank was actuarially valued under Projected Unit Credit Method by Messrs. Piya S Goonetilleke & Associates, a firm of professional actuaries.

	2020	2019
Discount Rate	8.05%	10.25%
Salary Increment Rate	4%	6%
Age of Retirement	55	55
Mortality	GA 1983 Mortality Table	GA 1983 Mortality Table

Notes to the Financial Statements

34. RETIREMENT BENEFIT LIABILITY (CONTD...)

34.3 Sensitivity of Assumptions Employed in Actuarial Valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the Employment Benefit Liability measurement.

The sensitivity of the Statement of Profit or Loss and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

	Increase/ (decrease) in Discount rate	Increase/ (Decrease) in Salary Increment	Sensitivity Effect on Comprehensive Income Increase/(Reduction) in results for the year (Rs. Mn)		Sensitivity Effect on Employment Benefit obligation Increase/(Decrease) in the Liability (Rs. Mn)	
			2020	2019	2020	2019
	1%	-	10.08	8.29	(10.08)	(8.29)
	(1%)	-	11.50	(9.45)	(11.50)	9.45
		1%	(12.71)	(9.48)	12.71	9.48
		(1%)	11.30	8.46	(11.30)	(8.46)

34.4 Distribution of Defined Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting date.

	2020 Rs.	2019 Rs.
Less than 1 year	17,886,356	9,596,481
Between 1 and 2 years	37,684,148	39,108,526
Between 3 and 5 years	41,803,433	35,864,962
Beyond 5 years	150,246,954	148,972,085
Total Expected Payments	247,620,891	233,542,054

35. OTHER LIABILITIES - NON FINANCIAL

	2020 Rs.	2019 Rs.
Statutory Payable	115,763,735	92,486,021
Total	115,763,735	92,486,021

The above balances consists of statutory taxes payable.

36. STATED CAPITAL

	2020		2019	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	2,601,446,155	10,819,561,398	2,501,390,534	10,619,450,156
Total	2,601,446,155	10,819,561,398	2,501,390,534	10,619,450,156

36.1 Fully Paid Ordinary Shares

	2020		2019	
	Number	Rs.	Number	Rs.
Balance as at 1 January	2,501,390,534	10,619,450,156	2,501,390,534	10,619,450,156
Scrip shares	100,055,621	200,111,242	-	-
Balance as at 31 December	2,601,446,155	10,819,561,398	2,501,390,534	10,619,450,156

37. STATUTORY RESERVE FUND

The Statutory Reserve Fund is maintained as required by Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to 5% of the Profit for the year should be transferred to the Reserve until the reserve is equal to 50% of the paid up capital of the Bank and thereafter a sum equivalent to 2% of such profits until the amount of reserve is equal to the paid up capital of the Bank. This Reserve Fund will be used only for the purpose specified in Section 20 (2) of the Banking Act No. 30 of 1988.

Statutory Reserve Fund	2020 Rs.	2019 Rs.
Balance as at 1 January	93,273,452	70,226,882
Transfers during the Year	23,184,773	23,046,570
Balance as at 31 December	116,458,225	93,273,452

38. FAIR VALUE RESERVE

	2020 Rs.	2019 Rs.
As at 1 January	(100,969,806)	(60,456,036)
Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	145,849,572	(40,513,770)
As at 31 December	44,879,766	(100,969,806)

Notes to the Financial Statements

39. REVALUATION RESERVE

	2020 Rs.	2019 Rs.
As at 1 January	818,543,863	819,630,323
Transferred to Retained Earnings	(1,086,460)	(1,086,460)
As at 31 December	817,457,403	818,543,863

40. RETAINED EARNINGS

	2020 Rs.	2019 Rs.
As at 1 January	423,270,366	185,248,990
SLFRS 16 impact	-	(9,138,391)
Profit for the Year	463,695,462	460,931,397
Transfers to Statutory Reserve Fund	(23,184,773)	(23,046,570)
Transfer from Other Comprehensive Income	4,365,285	8,299,723
Transfer from Revaluation Reserve	1,086,460	1,086,460
Dividends	(200,111,242)	(200,111,243)
Share Issue Expenses	(200,000)	-
	668,921,558	423,270,366

41. NET ASSETS VALUE PER SHARE

	2020 Rs.	2019 Rs.
Amount used as the Numerator:		
Total Equity Attributable to Equity Holders of the Bank	12,467,278,350	11,853,568,031
Number of Ordinary Shares used as Denominator:		
Total Number of Shares	2,601,446,155	2,501,390,534
Net Assets Value Per Share	4.79	4.74

42. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments comprise financial assets, financial liabilities, derivative financial instruments and off-balance sheet instruments. Fair value is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk. The information presented herein represents the determination of fair values as at the reporting date.

42.1 Financial Instruments carried at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value as at the reporting date. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Fair Value Hierarchy

SLFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Bank's market assumptions. The fair value hierarchy is as follows:

Level 1: Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and debt instruments with significant unobservable components.

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

As at 31 December 2020	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	228,515,144	-	228,515,144
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	55,921,805	-	-	55,921,805
Financial Assets Measured at Fair Value through Other Comprehensive Income	288,998,226	-	2,993,000	291,991,226
	344,920,031	228,515,144	2,993,000	576,428,175
Financial Liabilities				
Derivative Financial Liabilities	-	111,881,845	-	111,881,845
	-	111,881,845	-	111,881,845

Notes to the Financial Statements

42. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (CONTD...)

As at 31 December 2019	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	226,091,973	-	226,091,973
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	72,789,000	-	-	72,789,000
Financial Assets Measured at Fair Value through Other Comprehensive Income	143,148,654	-	2,993,000	146,141,654
	215,937,654	226,091,973	2,993,000	445,022,627
Financial Liabilities				
Derivative Financial Liabilities	-	56,478,657	-	56,478,657
	-	56,478,657	-	56,478,657

42.2 Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	2020		2019	
	Carrying Value Rs.	Fair Value Rs.	Carrying Value Rs.	Fair Value Rs.
Financial Assets				
Cash and Cash Equivalents	6,859,970,358	6,859,970,358	10,067,003,265	10,067,003,265
Balance with Central Bank of Sri Lanka	11,410,470,563	11,410,470,563	3,448,797,331	3,448,797,331
Placements with Banks	11,580,356,721	11,581,120,200	10,625,183,324	10,626,927,796
Placements with Licensed Finance Companies	3,108,069,281	3,108,482,843	12,053,159	12,054,267
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	62,566,964,280	51,276,294,904	57,716,960,999	52,864,701,310
Other Assets - Financial	1,048,477,201	1,048,477,201	888,380,624	888,380,624
	96,574,308,404	85,284,816,069	82,758,378,702	77,907,864,594
Financial Liabilities				
Due to Banks	1,967,893,100	1,967,893,100	1,103,040,822	1,103,040,822
Financial Liabilities at Amortised Cost - Due to Depositors	83,554,240,988	83,554,240,988	71,614,753,475	71,614,753,475
Other Liabilities - Financial	1,287,362,598	1,287,362,598	1,110,537,746	1,110,537,746
	86,809,496,686	86,809,496,686	73,828,332,043	73,828,332,043

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with maturities of less than 12 months, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

43. RISK MANAGEMENT

43.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her areas of responsibility. The Bank is mainly exposed to;

1. Credit Risk
2. Liquidity risk
3. Market risk

43.2 Risk Management Structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. Risk Management Department (RMD) oversees the risks faced by the Bank in its internal operations and from external environment.

The Board Integrated Risk Management Committee

The Board Integrated Risk Management Committee (BIRMC) is a subcommittee of the Board, meets quarterly or more regularly as required to review and assess the Bank's overall risk and to focus on policy recommendations and strategies in an integrated manner.

Assets and Liabilities Committee

The Bank's Assets and Liabilities Committee (ALCO) regularly reviews and monitors the maintenance of liquidity position of the Bank and the concentration of large deposits in order to avoid undue dependence on individual deposits. Bank monitors liquidity by way of various ratios as required by the Board approved Asset and Liability Management Policy.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects the expected loss likely to arise in normal circumstances. These are an estimate of the ultimate actual loss based on statistical models.

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the BIRMC, and the head of each business unit.

The report includes aggregate credit exposure, Value at Risk (VaR), liquidity ratios and risk profile changes.

Risk Concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry.

Notes to the Financial Statements

43. RISK MANAGEMENT (CONTD...)

43.3 Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Bank manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

a) Impairment Assessment

The approach used for the assessment of impairment is elaborated under Accounting Policies (Note No. 2.3.3)

b) Credit related Commitment Risk

The risk arising from transactions relating to contingent liabilities (Letters of Credit, Letters of Guarantees and undrawn amounts under approved authorisations) is included under this caption. Notwithstanding the non-funded nature of these products, the Bank is prone to a resultant financial loss due to the nature of such products, i.e. claim on guarantees, negotiation of LCs and non-utilisation of facilities.

c) Collateral and Other Credit Enhancement

An assessment of the credit risk of an individual at the time of issuing or enhancing a facility shall determine the amount and type of collateral that is required.

In the event of default, the Bank may, as a remedial measure, exercise its charge of the collateral obtained at the time of approval of credit facilities. Hence, the credit risk is eliminated to the extent of the net realisable value of such collateral, which has a weightage depending on nature of the collateral. Management monitors the market value of such collateral and requests additional collateral if required when reviewing the adequacy of the allowance for impairment.

d) Credit Quality by Class of Financial Assets (Gross)

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset for all financial assets exposed to credit risk, based on the Bank's internal credit rating system. The amounts presented are gross of impairment allowances.

Financial Assets as at 31 December 2020	Current/Past Due (Stage 1 and Stage 2)				Stage 3		Total Rs.
	High Grade Rs.	Standard Grade Rs.	Sub-Standard Grade Rs.	Un-Rated Rs.	Past Due But Not Individually Impaired Rs.	Individually Impaired* Rs.	
Cash and Cash Equivalents	6,859,970,358	-	-	-	-	-	6,859,970,358
Balance with Central Bank of Sri Lanka	11,410,470,563	-	-	-	-	-	11,410,470,563
Placements with Banks	11,580,356,721	-	-	-	-	-	11,580,356,721
Placements with Licensed Finance Companies	3,108,069,281	-	-	-	-	-	3,108,069,281
Derivative Financial Assets	224,994,757	3,520,387	-	-	-	-	228,515,144
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	31,014,170	24,907,635	-	-	-	-	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	27,341,382,540	34,082,861,105	32,721,212	-	1,298,916,583	1,502,629,142	64,258,510,582
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	288,998,226	-	2,993,000	-	-	291,991,226
Other Assets - Financial	10,319,283	-	-	1,038,157,918	-	-	1,048,477,201
Total	60,566,577,674	34,400,287,353	32,721,212	1,041,150,918	1,298,916,583	1,502,629,142	98,842,282,881

Financial Assets as at 31 December 2019	Neither Past Due Nor Impaired				Past Due But Not Individually Impaired Rs.	Individually Impaired* Rs.	Total Rs.
	High Grade Rs.	Standard Grade Rs.	Sub-Standard Grade Rs.	Un-Rated Rs.			
Cash and Cash Equivalents	10,067,003,265	-	-	-	-	-	10,067,003,265
Balance with Central Bank of Sri Lanka	3,448,797,331	-	-	-	-	-	3,448,797,331
Placements with Banks	10,625,183,324	-	-	-	-	-	10,625,183,324
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	-	12,053,159
Derivative Financial Assets	225,748,192	343,781	-	-	-	-	226,091,973
Financial Assets Measured at Fair Value through Profit or Loss	19,885,964	52,903,037	-	-	-	-	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	26,483,698,572	30,121,916,190	25,960,501	-	899,410,151	1,482,300,100	59,013,285,514
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	143,148,654	-	2,993,000	-	-	146,141,654
Other Assets - Financial	10,015,774	-	-	878,364,850	-	-	888,380,624
Total	50,892,385,581	30,318,311,661	25,960,501	881,357,850	899,410,151	1,482,300,100	84,499,725,844

* Age Analysis of Past due but not individually impaired financing by class of Financial Assets

	Past Due But Not Individually Impaired				Total Rs.
	Less than 30 days Rs.	30 to 59 days Rs.	60 to 89 days Rs.	More than 89 days Rs.	
Financing and Receivables to Other Customers - 31 December 2020	-	-	-	1,298,916,583	1,298,916,583
Financing and Receivables to Other Customers - 31 December 2019	37,057,626	42,314,965	55,365,797	764,671,762	899,410,151

Notes to the Financial Statements

43. RISK MANAGEMENT (CONTD...)

e) Analysis of Risk Concentration

Maximum exposure to credit risk is reviewed/monitored without taking account of any collateral and other credit enhancements. The concentration risk is monitored by industry. The following table shows the maximum exposure to credit risk for the components of the Statement of Financial Position, including sector.

Industry Analysis

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Financial Assets as at 31 December 2020

	Government Rs.	Financial Services Rs.	Agriculture, Forestry and Fishing Rs.	Manufacturing Rs.	Tourism Rs.
Cash and Cash Equivalents	-	6,859,970,358	-	-	-
Balance with Central Bank of Sri Lanka	11,410,470,563	-	-	-	-
Placements with Banks	-	11,580,356,721	-	-	-
Placements with Licensed Finance Companies	-	3,108,069,281	-	-	-
Derivative Financial Assets	48,684,735	176,310,022	-	2,781,080	-
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	11,952,675	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	545,178,517	8,927,916,871	11,329,996,609	481,798,719
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	291,991,226	-	-	-
Other Assets - Financial	716,804,923	21,307,596	-	-	-
Total	12,175,960,221	22,583,183,721	8,927,916,871	11,344,730,364	481,798,719

Financial Assets as at 31 December 2019

	Government Rs.	Financial Services Rs.	Agriculture Forestry and Fishing Rs.	Manufacturing Rs.	Tourism Rs.
Cash and Cash Equivalents	-	10,067,003,265	-	-	-
Balance with Central Bank of Sri Lanka	3,448,797,331	-	-	-	-
Placements with Banks	-	10,625,183,324	-	-	-
Placements with Licensed Finance Companies	-	12,053,159	-	-	-
Derivative Financial Assets	-	225,748,192	-	258,839	-
Financial Assets Measured at Fair Value through Profit or Loss	-	797,401	-	5,002,930	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	701,860,263	9,399,617,922	11,838,807,661	747,721,539
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	146,141,654	-	-	-
Other Assets - Financial	487,048,853	138,751,653	-	-	-
Total	3,935,846,184	21,917,538,911	9,399,617,922	11,844,069,430	747,721,539

Transportation and Storage Rs.	Construction Rs.	Wholesale and Retail Trade Rs.	Information Technology and Communication Services Rs.	Infrastructure Development Rs.	Other Services Rs.	Consumption Rs.	Total Rs.
-	-	-	-	-	-	-	6,859,970,358
-	-	-	-	-	-	-	11,410,470,563
-	-	-	-	-	-	-	11,580,356,721
-	-	-	-	-	-	-	3,108,069,281
-	-	739,307	-	-	-	-	228,515,144
-	-	21,029,130	22,940,000	-	-	-	55,921,805
1,802,040,680	8,409,068,532	17,943,025,660	112,839,809	773,318,380	871,594,471	13,061,732,334	64,258,510,582
-	-	-	-	-	-	-	291,991,226
-	-	-	-	-	26,409,176	283,955,506	1,048,477,201
1,802,040,680	8,409,068,532	17,964,794,097	135,779,809	773,318,380	898,003,647	13,345,687,840	98,842,282,881
Transportation and Storage Rs.	Construction Rs.	Wholesale and Retail Trade Rs.	Information Technology and Communication Services Rs.	Infrastructure Development Rs.	Other Services Rs.	Consumption Rs.	Total Rs.
-	-	-	-	-	-	-	10,067,003,265
-	-	-	-	-	-	-	3,448,797,331
-	-	-	-	-	-	-	10,625,183,324
-	-	-	-	-	-	-	12,053,159
-	-	84,942	-	-	-	-	226,091,973
-	-	38,382,705	19,885,964	8,720,000	-	-	72,789,001
608,970,386	7,630,043,590	14,986,296,999	218,983,449	543,615,375	794,005,170	11,543,363,159	59,013,285,514
-	-	-	-	-	-	-	146,141,654
-	-	-	-	-	39,898,489	222,681,629	888,380,624
608,970,386	7,630,043,590	15,024,764,646	238,869,412	552,335,375	833,903,659	11,766,044,788	84,499,725,845

Notes to the Financial Statements

43. RISK MANAGEMENT (CONTD...)

f) Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by collateral.

Financial Assets as at 31 December	2020		2019	
	Maximum Exposure to Credit Risk Rs.	Net Exposure Rs.	Maximum Exposure to Credit Risk Rs.	Net Exposure Rs.
Financial Assets at Amortised Cost -				
Financing and Receivables to Other Customers	64,258,510,582	10,118,580,331	59,013,285,517	8,729,871,968
Total	64,258,510,582	10,118,580,331	59,013,285,517	8,729,871,968

43.4 Liquidity Risk and Funding Management

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Internal control processes and contingency plans for managing liquidity risk have been developed by the Bank under the Asset and Liability Management Policy of the Bank. This incorporates an assessment of expected cash flows and the availability of liquid funds which could be used if required.

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2020, the minimum cash reserve requirement was 2.0% (2019 - 5.0%) of the Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The Bank monitors the mix of deposits closely and concentrates on mobilising zero or low cost deposits such as current accounts and savings accounts as a source of major funding.

Liquid assets are defined for the purposes of the liquidity ratio which are mainly Cash and Cash equivalents and Placements with Banks. Adequate liquid assets are maintained based on the Bank's business model adopted and ensure the Statutory Liquid Asset Ratio is maintained as per regulatory requirements.

a) Liquidity Ratios

	2020	2019
Financing and Receivables to Other Customers to Due to Other Customers Ratio (Net)	74.88%	80.59%
Statutory Liquid Assets Ratio	23.31%	27.74%

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows (Gross) of the Bank's Financial Assets and Financial Liabilities as at the end of the reporting period.

Statement of Financial Position as at 31 December 2020	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	6,859,970,358	-	-	-	-	6,859,970,358
Balance with Central Bank of Sri Lanka	11,410,470,563	-	-	-	-	11,410,470,563
Placements with Banks	551,519,351	11,028,837,370	-	-	-	11,580,356,721
Placements with Licensed Finance Companies	19,126,502	3,088,942,779	-	-	-	3,108,069,281
Derivative Financial Assets	21,620,939	206,894,205	-	-	-	228,515,144
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	55,921,805	-	-	-	-	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	29,828,538,108	25,920,116,313	16,569,173,927	7,406,200,971	4,751,464,309	84,475,493,628
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	291,991,226	291,991,226
Other Assets - Financial	294,713,609	719,697,962	34,065,630	-	-	1,048,477,201
Total Undiscounted Financial Assets	49,041,881,235	40,964,488,629	16,603,239,557	7,406,200,971	5,043,455,535	119,059,265,927
Financial Liabilities						
Due to Banks	1,967,893,100	-	-	-	-	1,967,893,100
Derivative Financial Liabilities	52,645,467	59,236,378	-	-	-	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	44,687,824,271	17,637,233,599	13,486,759,772	6,070,395,753	1,672,027,593	83,554,240,988
Other Liabilities - Financial	1,281,518,762	5,843,836	-	-	-	1,287,362,598
Total Undiscounted Financial Liabilities	47,989,881,600	17,702,313,813	13,486,759,772	6,070,395,752	1,672,027,593	86,921,378,531
Total Net Financial Assets/(Liabilities)	1,051,999,635	23,262,174,816	3,116,479,784	1,335,805,219	3,371,427,942	32,137,887,396

Notes to the Financial Statements

43. RISK MANAGEMENT (CONTD...)

Statement of Financial Position as at 31 December 2019	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	10,067,003,265	-	-	-	-	10,067,003,265
Balance with Central Bank of Sri Lanka	3,448,797,331	-	-	-	-	3,448,797,331
Placements with Banks	6,678,452,913	3,946,730,411	-	-	-	10,625,183,324
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	12,053,159
Derivative Financial Assets	118,762,344	107,256,981	72,648	-	-	226,091,973
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	72,789,000	-	-	-	-	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	29,825,577,929	17,405,962,286	17,018,881,162	8,630,427,964	4,715,114,245	77,595,963,586
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	146,141,654	146,141,654
Other Assets - Financial	363,197,788	491,117,207	34,065,630	-	-	888,380,625
Total Undiscounted Financial Assets	50,586,633,729	21,951,066,885	17,053,019,440	8,630,427,964	4,861,255,899	103,082,403,917
Financial Liabilities						
Due to Banks	1,103,040,822	-	-	-	-	1,103,040,822
Derivative Financial Liabilities	32,710,194	23,768,463	-	-	-	56,478,657
Financial Liabilities at Amortised Cost - Due to Depositors	33,207,893,316	27,388,756,219	6,881,806,819	2,614,043,012	1,522,254,109	71,614,753,475
Other Liabilities - Financial	543,115,237	21,190	25,298,535	-	542,102,784	1,110,537,746
Total Undiscounted Financial Liabilities	34,886,759,569	27,412,545,872	6,907,105,354	2,614,043,012	2,064,356,893	73,884,810,700
Total Net Financial Assets/(Liabilities)	15,699,874,160	(5,461,478,987)	10,145,914,086	6,016,384,952	2,796,899,004	29,197,593,217

c) Contractual Maturities of Commitments & Contingencies

As at 31 December 2020	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	2,935,084,775	282,624,979	-	-	-	3,217,709,754
Letters of Credit	1,074,216,235	7,762,894	-	-	-	1,081,979,129
Guarantees, Bonds	1,726,464,540	1,476,911,450	134,890,191	-	-	3,338,266,181
Outward Clearing Receivable	427,293,224	-	-	-	-	427,293,224
Promissory Forward Sales	13,254,959,196	9,207,527,479	-	-	-	22,462,486,675
Promissory Forward Purchases	9,864,250,000	13,090,000,000	-	-	-	22,954,250,000
Commitments for Unutilised Facilities	3,558,815,774	5,338,223,661	-	-	-	8,897,039,435
Bills for Collection and Others	2,962,757,961	-	-	-	-	2,962,757,961
Total	35,803,841,705	29,403,050,463	134,890,191	-	-	65,341,782,359

As at 31 December 2019

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,598,651,787	63,854,940	-	-	-	1,662,506,727
Letters of Credit	2,334,674,145	121,233,157	-	-	-	2,455,907,302
Guarantees, Bonds	873,177,191	1,493,123,101	460,974,354	3,481,573	-	2,830,756,219
Outward Clearing Receivable	370,848,745	-	-	-	-	370,848,745
Promissory Forward Sales	4,839,102,214	18,050,175,000	1,361,250,000	-	-	24,250,527,214
Promissory Forward Purchases	12,534,102,805	-	-	-	-	12,534,102,805
Commitments for Unutilised Facilities	2,391,220,775	3,586,831,162	-	-	-	5,978,051,937
Bills for Collection and Others	3,934,551,055	-	-	-	-	3,934,551,055
Total	28,876,328,717	23,315,217,360	1,822,224,354	3,481,573	-	54,017,252,004

43.5 Market Risk

Market Risk denotes the risk of losses arising out of balance sheet positions due to changes in market prices. Market risk mainly arises from activities undertaken by the Bank's treasury and foreign exchange, equity, commodity and money market portfolios, which mainly contribute towards market risk of the Bank. A Board approved comprehensive limit structure has been adopted by the Bank to mitigate and monitor the market risk of the Bank.

a) Rate Risk

The rate risk arises due to changes in value of financial instruments arising due to changes in market rates. The Bank is exposed to this risk due to the mismatches in maturities of assets and liabilities that mature or are re-priced during a specified time period. In order to manage and mitigate rate risk, the Bank's ALCO reviews the re-pricing of assets and liabilities at ALCO meetings held regularly. Bank's rate risk is limited due to the model adopted where all of its Due to Depositors (customer deposits) have been accepted on Profit and Loss sharing basis.

Notes to the Financial Statements

43. RISK MANAGEMENT (CONTD...)

RATE SENSITIVE ASSETS AND LIABILITIES MATURITY GAPS (CONTRACTUAL BASIS) AS AT 31 DECEMBER 2020

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non-Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	6,859,970,358	6,859,970,358
Balance with Central Bank of Sri Lanka	-	-	-	-	-	11,410,470,563	11,410,470,563
Placements with Banks	551,519,351	11,028,837,370	-	-	-	-	11,580,356,721
Placements with Licensed Finance Companies	19,126,502	3,088,942,779	-	-	-	-	3,108,069,281
Derivative Financial Assets	-	-	-	-	-	228,515,144	228,515,144
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	55,921,805	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	11,790,207,138	27,386,338,354	13,315,526,727	6,192,563,195	3,882,328,866	-	62,566,964,280
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	291,991,226	291,991,226
Other Assets - Financial	-	-	-	-	-	1,048,477,201	1,048,477,201
Total Assets	12,360,852,991	41,504,118,503	13,315,526,727	6,192,563,195	3,882,328,866	19,895,346,297	97,150,736,579
Due to Banks	1,967,893,100	-	-	-	-	-	1,967,893,100
Derivative Financial Liabilities	-	-	-	-	-	111,881,845	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	39,245,354,358	17,637,233,599	13,486,759,772	6,070,395,753	1,672,027,593	5,442,469,913	83,554,240,988
Other Liabilities - Financial	-	-	-	-	-	1,287,362,598	1,287,362,598
Total Liabilities	41,213,247,458	17,637,233,599	13,486,759,772	6,070,395,753	1,672,027,593	6,841,714,356	86,921,378,531
Rate Sensitivity Gap	(28,852,394,468)	23,866,884,905	(171,233,045)	122,167,442	2,210,301,272	13,053,631,941	

RATE SENSITIVE ASSETS AND LIABILITIES MATURITY GAPS (CONTRACTUAL BASIS) AS AT 31 DECEMBER 2019

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non-Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	5,338,090,636	5,338,090,636
Balance with Central Bank of Sri Lanka	-	-	-	-	-	3,543,444,781	3,543,444,781
Placements with Banks	6,593,054,455	2,671,644,794	-	-	-	-	9,264,699,249
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	-	2,427,970,097
Derivative Financial Assets	-	-	-	-	-	445,732,740	445,732,740
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	113,249,108	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	16,641,745,655	15,874,253,408	12,085,437,671	5,420,460,641	2,831,765,981	-	52,853,663,356
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	186,655,424	186,655,424
Other Assets - Financial	-	-	-	-	-	585,704,833	585,704,833
Total Assets	25,662,770,207	18,545,898,203	12,085,437,671	5,420,460,641	2,831,765,981	10,212,877,522	74,759,210,225
Due to Banks	1,210,204,847	-	-	-	-	-	1,210,204,847
Derivative Financial Liabilities	-	-	-	-	-	1,441,005,622	1,441,005,622
Financial Liabilities at Amortised Cost - Due to Depositors	34,287,159,867	21,539,930,419	700,289,874	576,986,485	1,332,611,103	3,285,704,847	61,722,682,595
Other Liabilities - Financial	-	-	-	-	-	480,628,881	480,628,881
Total Liabilities	35,497,364,714	21,539,930,419	700,289,874	576,986,485	1,332,611,103	5,207,339,350	64,854,521,945
Rate Sensitivity Gap	(9,834,594,507)	(2,994,032,217)	11,385,147,797	4,843,474,156	1,499,154,878	5,005,538,172	

43.6 Foreign Exchange Risk

Foreign Exchange risk which arises due to the changes in foreign exchange rates is managed by the Bank by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Bank's activities in the Trade Finance business results in Off Balance Sheet financial instruments. In addition, the Bank engages in interbank promissory forward foreign exchange transactions to cover the positions created due to customer transactions. Such transactions are carried out on a matched basis to manage the cash flows of currencies.

The currency risk is managed and monitored against the regulatory limits approved for the Bank by the Central Bank of Sri Lanka. The foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors.

Notes to the Financial Statements

43. RISK MANAGEMENT (CONTD...)

43.7 Currency Risk

Currency risk arises as a result of price fluctuations in assets due to change in exchange rates. The Board of Directors has set limits for currency wise exposures. The currency exposures are monitored on a daily basis as required by the Risk Management Policy of the Bank.

The table below indicates the exposures in currencies the Bank carried as at 31.12.2020. and the effect of the gains/losses if the market rates appreciate/depreciate by 5%. The calculation indicates a reasonably practical movement of currency rates against Sri Lankan Rupees.

If market rates appreciate or depreciate by 5% the effect of the same to the exchange gain/(loss) would be:

Currency	2020		2019	
	5% Appreciation Rs.	5% Depreciation Rs.	5% Appreciation Rs.	5% Depreciation Rs.
Australian Dollars	(191,267)	191,267	1,207,508	(1,207,508)
Great Britain Pounds	469,230	(469,230)	953,889	(953,889)
Japanese Yen	160,415	(160,415)	143,946	(143,946)
United States Dollars	(28,982,901)	28,982,901	518,836	(518,836)
Other Currencies	815,365	(815,365)	6,008,608	(6,008,608)
Total	(27,729,157)	27,729,157	8,832,787	(8,832,787)

43.8 Equity Price Risk

Equity price risk arises due to changes in individual equity prices.

The Board of Directors of the Bank has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the guidelines issued by Central Bank of Sri Lanka regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC), ALCO and the Board of Directors. The Bank engages in transactions only in white-listed equities.

Daily Mark-to-Market of portfolios are carried out based on the weighted average closing prices of the Colombo Stock Exchange.

44. MATURITY ANALYSIS

As at 31 December 2020

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Cash and Cash Equivalents	6,859,970,358	-	-	-	-	6,859,970,358
Balance with Central Bank of Sri Lanka	10,759,959,266	380,975,982	144,759,833	79,342,168	45,433,314	11,410,470,563
Placements with Banks	551,519,351	11,028,837,370	-	-	-	11,580,356,721
Placements with Licensed Finance Companies	19,126,502	3,088,942,779	-	-	-	3,108,069,281
Derivative Financial Assets	21,620,939	206,894,205	-	-	-	228,515,144
Financial Assets Recognised at Fair Value through Profit or Loss - Measured at Fair Value	55,921,805	-	-	-	-	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	11,790,207,138	27,386,338,354	13,315,526,727	6,192,563,195	3,882,328,866	62,566,964,280
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	291,991,226	291,991,226
Other Assets - Financial	294,713,609	719,697,962	34,065,630	-	-	1,048,477,201
Property, Plant, Equipment and Right-of-Use Assets	-	-	-	-	2,354,607,910	2,354,607,910
Intangible Assets	-	-	-	257,240,324	257,240,324	-
Other Assets - Non Financial	51,216,721	341,803,383	16,762,879	-	-	409,782,983
Total Assets	30,404,255,690	43,153,490,035	13,511,115,068	6,271,905,363	6,831,601,640	100,172,367,796
Liabilities						
Due to Banks	1,967,893,100	-	-	-	-	1,967,893,100
Derivative Financial Liabilities	52,645,467	59,236,378	-	-	-	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	9,233,254,853	43,526,777,193	16,575,803,718	9,065,910,613	5,152,494,611	83,554,240,988
Other Liabilities - Financial	1,281,518,762	5,843,836	-	-	-	1,287,362,598
Current Tax Liabilities	-	420,490,984	-	-	-	420,490,984
Dividend Payable	6,526,287	-	-	-	-	6,526,287
Deferred Tax Liability	-	-	-	-	70,265,534	70,265,534
Retirement Benefit Liability	-	-	-	-	170,664,374	170,664,374
Other Liabilities - Non Financial	115,763,735	-	-	-	-	115,763,735
Total Liabilities	12,657,602,204	44,012,348,391	16,575,803,718	9,065,910,613	5,393,424,519	87,705,089,445
Maturity Gap	17,746,653,486	(858,858,356)	(3,064,688,649)	(2,794,005,250)	1,438,177,121	12,467,278,351

Notes to the Financial Statements

As at 31 December 2019

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Cash and Cash Equivalents	10,067,003,265	-	-	-	-	10,067,003,265
Balances with Central Bank of Sri Lanka	1,285,843,004	1,532,895,926	393,534,316	149,378,965	87,145,120	3,448,797,331
Placements with Banks	6,678,452,913	3,946,730,411	-	-	-	10,625,183,324
Placements with Licensed Finance Companies	12,053,159	-	-	-	-	12,053,159
Derivative Financial Assets	118,762,344	107,256,981	72,648	-	-	226,091,973
Financial Assets Recognised at Fair Value through Profit or Loss - Measured at Fair Value	72,789,000	-	-	-	-	72,789,000
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	16,324,596,976	19,355,688,572	12,493,835,619	6,245,612,310	3,297,227,522	57,716,960,999
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	146,141,654	146,141,654
Other Assets - Financial	363,197,788	491,117,207	34,065,630	-	-	888,380,625
Property, Plant, Equipment and Right-of-Use Assets	-	-	-	-	2,505,901,129	2,505,901,129
Intangible Assets	-	-	-	-	237,074,723	237,074,723
Deferred Tax Assets	542,433,384	63,006,686	27,753,182	-	-	633,193,252
Other Assets - Non Financial	-	-	-	-	-	-
Total Assets	35,465,131,833	25,496,695,783	12,949,261,395	6,394,991,275	6,273,490,148	86,579,570,434
Liabilities						
Due to Banks	1,103,040,822	-	-	-	-	1,103,040,822
Derivative Financial Liabilities	32,710,194	23,768,463	-	-	-	56,478,657
Financial Liabilities at Amortised Cost - Due to Depositors	19,240,120,594	34,324,196,140	9,163,750,229	4,818,657,403	4,068,029,109	71,614,753,475
Other Liabilities - Financial	543,115,237	21,190	25,298,535	-	542,102,784	1,110,537,746
Current tax liabilities	-	402,511,650	-	-	-	402,511,650
Dividend Payable	6,891,441	-	-	-	-	6,891,441
Other Liabilities - Non Financial	-	-	-	-	194,314,961	194,314,961
Deferred Tax Liability	-	-	-	-	144,987,628	144,987,628
Retirement Benefit Liability	92,486,021	-	-	-	-	92,486,021
Total Liabilities	21,018,364,309	34,750,497,443	9,189,048,764	4,818,657,403	4,949,434,482	74,726,002,401
Maturity Gap	14,446,767,524	(9,253,801,660)	3,760,212,631	1,576,333,872	1,324,055,666	11,853,568,033

45. COMMITMENTS AND CONTINGENCIES

45.1 Capital Expenditure Commitments

The Bank does not have significant capital commitments as at the reporting date.

45.2 Contingencies

In the normal course of business the Bank makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations are not recognised on the Statement of Financial Position, they do contain credit risk and therefore form part of the overall risk profile of the Bank.

As at 31 December 2020	Note	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Commitments on Direct Advances and Indirect Advances:					
Commitments for Unutilised Facilities		7,301,874,329	367,825,362	1,227,339,743	8,897,039,434
		7,301,874,329	367,825,362	1,227,339,743	8,897,039,434
Contingent Liabilities					
Letters of Credit		1,016,626,379	47,393,635	17,959,115	1,081,979,129
Guarantees, Bonds		3,257,834,581	24,601,689	55,829,910	3,338,266,180
Outward Clearing Cheques	45.2.2	427,293,224			427,293,224
Acceptances		3,082,021,198	27,113,951	108,574,606	3,217,709,755
Bills for Collection and Others		2,962,757,961	2,962,757,961		
		10,746,533,344	99,109,275	182,363,630	11,028,006,249
Gross Credit related Commitments and Contingencies					
		18,048,407,673	466,934,637	1,409,703,373	19,925,045,683
Impairment for Expected Credit Losses	45.2.1	(4,165,428)	(313,452)	(83,687)	(4,562,566)
Net Credit related Commitments and Contingencies					
		18,044,242,245	466,621,185	1,409,619,687	19,920,483,117
Promissory Forward Foreign Exchange Transactions					
Promissory Forward Sales					22,462,486,675
Promissory Forward Purchases					22,954,250,000
					45,416,736,675
Total Commitments and Contingencies					65,337,219,792

Notes to the Financial Statements

45. COMMITMENTS AND CONTINGENCIES (CONTD...)

45.2.1 Impairment Allowance for Commitment and Contingencies

	2020 Rs.	2019 Rs.
ECL Allowance as at 1 January	4,275,030	2,549,043
Charge/(Write Back) for the year	287,536	1,725,987
Amounts Written Off	-	-
As at 31 December	4,562,566	4,275,030

The Table below shows the total Commitment and Contingencies as at 31 December 2019

	Note	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Commitments on Direct Advances and Indirect Advances:					
Commitments for Unutilised Facilities		5,287,746,944	505,952,887	184,352,106	5,978,051,937
		5,287,746,944	505,952,887	184,352,106	5,978,051,937
Contingent Liabilities					
Letters of Credit		2,383,595,009	72,312,293	-	2,455,907,303
Guarantees, Bonds		2,737,734,731	91,271,486	1,750,001	2,830,756,218
Outward Clearing Cheques	45.2.2	427,293,224	-	-	427,293,224
Acceptances		1,534,451,898	128,054,829	-	1,662,506,727
Bills for Collection and Other		3,925,145,271	8,407,534	998,250	3,934,551,055
		11,008,220,133	300,046,143	2,748,251	11,311,014,527
Gross Credit related Commitments and Contingencies					
		16,295,967,077	805,999,030	187,100,357	17,289,066,464
Impairment for Expected Credit Losses	45.2.1	(3,919,504.00)	(283,731.49)	(71,794.46)	(4,275,029.95)
Net Credit related Commitments and Contingencies					
		16,292,047,573	805,715,299	187,028,563	17,284,791,434
Promissory Forward Foreign Exchange Transactions					
Promissory Forward Sales					24,250,527,214
Promissory Forward Purchases					12,534,102,805
					36,784,630,018
Total Commitment and Contingencies					54,069,421,453

45.2.2 Outward Clearing Cheques represent the cheques deposited in current accounts but pending realisation as at the reporting date.

45.3 Lease Receivables

As at 31 December 2020

	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	2,963,136,424	630,550,788	2,332,585,636
1 - 5 Years	4,190,576,723	635,644,310	3,554,932,413
More than 5 Years	25,054,215	1,987,291	23,066,924
	7,178,767,362	1,268,182,389	5,910,584,973

As at 31 December 2019

	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	3,376,194,467	722,009,223	2,654,185,244
1 - 5 Years	4,579,272,941	750,103,955	3,829,168,986
More than 5 Years	38,721,630	4,087,346	34,634,284
	7,994,189,037	1,476,200,523	6,517,988,514

46. RELATED PARTY DISCLOSURES

The Bank carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with its related parties as defined under LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the risk profile and the pricing model of the Bank which is in line with what is applied to transactions between the Bank and its non-related customers.

46.1 Parent and Ultimate controlling party

The Bank does not have an identifiable parent of its own.

Notes to the Financial Statements

46. RELATED PARTY DISCLOSURES (CONTD...)

46.2 Transactions with Key Management Personnel (KMPs)

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director of that entity.

Accordingly the Bank's KMPs include the Board of Directors and selected key employees who meet the criteria above.

Key Management Personnel Compensation

	2020 Rs.	2019 Rs.
Short-term Employee Benefits including Directors' Emoluments	62,913,320	60,981,175
Total	62,913,320	60,981,175

No other benefits have been paid to KMPs other than those which are statutory in nature.

46.3 Transactions, Arrangements and Agreements involving KMPs & their Close family members (CFMs)

Close members of the family of an individual are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include: the individual's domestic partner and children; children of the individual's domestic partner; and dependents of the individual or the individual's domestic partner.

	2020 Rs.	2019 Rs.
Statement of Financial Position		
Financing and Receivables to Other Customers	30,708,102	55,058,272
Due to Depositors	21,844,605	84,071,815
Statement of Profit or Loss		
Financing Income	2,523,260	4,669,839
Financing Expenses	1,491,431	7,046,581
Dividend	1,600	5,511,590

Terms and Conditions of Transactions with Related Parties

The above mentioned outstanding balances arose from the ordinary course of business. The rates charged from/paid to related parties are at normal commercial rates.

46.4 Transaction, Arrangements & Agreements Involving Entities which are Controlled and Jointly Controlled by the KMPs or their CFMs.

In addition to transactions with Key Management Personnel and their Close Family Members, the Bank enters into transactions, arrangements and agreements with entities which are controlled and jointly controlled by the KMPs or their CFMs over the Bank. The transactions below were made in the ordinary course of business on substantially the same terms, including financing/commission rates and security, as for comparable transactions with unrelated counterparties. The Bank has not made any provision for impairment losses on amounts owed by related parties.

	2020 Rs.	2019 Rs.
Statement of Financial Position		
Due to Depositors	104,331,986	11,210,153
Statement of Profit or Loss		
Financing Expenses	5,942,018	1,179,496

47. EVENTS AFTER REPORTING DATE

As instructed by the Ministry of Finance, the Department of Inland Revenue has informed that Income Tax rate of 28% will reduce to 24% with effect from 1 January 2020. Since legislation in this regard is still to be enacted, no changes have been made to the Deferred Tax Liability as at 31 December 2020, which was computed at 28%.

Other than the above, there were no events after the reporting date which requires adjustments or disclosures in the Financial Statements.

48. CAPITAL

The Bank maintains an actively managed capital base to cover risks inherent in the business and meet the capital requirements of the local prudential regulator, Central Bank of Sri Lanka. The adequacy of the Bank's Capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision and adopted by the Central Bank of Sri Lanka.

Capital Management

The Bank's capital management objectives can be summarised as follows:

1. Maintain sufficient capital to meet minimum regulatory capital requirements.
2. Hold sufficient capital to support the Bank's risk appetite.
3. Allocate capital to businesses to support the Bank's strategic objectives.
4. Ensure that the Bank maintains capital in order to achieve rating objectives and withstand the impact of potential stress events.

Regulatory Capital

The Bank manages its capital considering regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors Capital Requirements for Licensed Banks in Sri Lanka based on the Basel Framework. Thus the Bank's operations are directly supervised by the CBSL and the Bank is required to comply with the provisions of the Basel III framework in respect of Regulatory Capital and capital to cover any additional risk. Commercial banks in Sri Lanka with total assets of less than Rs. 500 billion need to maintain a minimum Common Equity Tier 1 Capital Ratio of 7.00% (2019 - 7.00%) and minimum Total Capital Ratio of 12.50% (2019 - 12.50%) for the year 2020. The Bank has maintained its Capital Ratios well above the regulatory minimum.

Enhancement of Minimum Capital Requirement

In accordance with Central Bank of Sri Lanka's Direction issued regarding enhancement of minimum capital requirement, all locally incorporated licensed commercial banks should raise their capital funds to Rs. 20 billion by 31 December 2022. In this regard, the Board of Directors is in the process of evaluating suitable options to comply with this requirement before the stipulated deadline.

Notes to the Financial Statements

49. MATERIAL LITIGATION AGAINST THE BANK

In the normal course of business, the Bank has recourse to litigation for purposes of recovery of facilities when there are customers who have not honoured the terms and conditions stipulated in their respective facility documentation and where parate procedure is not available. On the other hand, there are actions instituted against the Bank as well. In all these cases Bank obtains professional advise and adjustments are made to the Financial Statements, if required.

The Bank is of the opinion that all such litigation which is currently pending will not have a material impact on the Financial Statements reported herein or the assumption of going concern of the Bank.

50. DIVIDENDS

	2020 Rs.	2019 Rs.
Dividends declared - Cash	-	200,111,243
Dividends declared - Scrip	200,111,242	-
Dividend per Ordinary Share	0.08	0.08

51. COVID-19 - PANDEMIC

The Covid-19 pandemic severely impacted countries around the globe, compelling many advanced and emerging economies to adopt various policy measures to mitigate the adversities whilst being resilient to external shocks.

The Bank, proactively undertook comprehensive stress testing to assess the impact of the Covid-19 pandemic. As per the guidance of BIRMC and ALCO, the Risk Management Division (RMD) carried out stress tests on liquidity management/deposit concentration, financing portfolio including moratorium concessions announced by CBSL and capital adequacy of the Bank. Such analyses were carried out and reported to the relevant committees on a more regular basis during the peak of the pandemic as the external environment remained turbulent with many events unfolding, regulatory and otherwise.

The Bank offered moratoria to its customers based on various Circulars issued by CBSL to provide relief to customers affected by the impact of Covid-19. Repayment of credit facilities were deferred for a period of upto 6 months as the Bank approved moratoria requests totalling to almost 50% of the overall financing portfolio. The Bank also processed and disbursed facilities under the Saubagya Covid-19 Renaissance Facility Scheme which was extended by CBSL to businesses as working capital assistance during this period of stress. Further to receipt of relevant CBSL Circulars, the Bank computed and appropriately provided for 'Day 1' losses arising out of the differential between the market rate and the mandated relief rate for facilities under moratoria.

In terms of liquidity, the Bank ensured that it maintained adequate funds over and above the minimum requirement mandated by CBSL to meet regulatory as well as customer requirements after the outbreak of Covid-19 in the country. The CBSL intervened in a timely manner to assist the Banking industry by adopting various extraordinary measures to maintain and enhance the stability of banks and other financial institutions. Key highlights among others were the reduction of the minimum requirement of Liquidity Coverage Ratio from 100% to 90% till 30 June 2021 and favourable changes to the qualifying criteria of Statutory Liquid Asset Ratio which were offered considering the market conditions faced in the wake of the pandemic. The Statutory Reserve Requirement was also reduced from 5% in the beginning of the financial year to 2% by June 2020 to expand credit growth and revive economic activity.

The above changes including the effect of moratoria was factored into the Bank's stress testing analysis on liquidity, earnings & capital adequacy all of which remained healthy and above the minimum requirement where applicable, as the Bank stood resilient in the face of the challenges posed by the Covid-19 pandemic. The Bank will continue to be vigilant of the external developments and implement suitable strategies to sustain its level of performance.

Management Assessment of Impairment Provisioning for Financial Assets

The impact of Covid-19 has necessitated changes to the existing approach of computing ECL for the financing portfolio of the Bank. The Management has adopted prudent measures under multiple scenario analysis by applying a higher weightage to the worst case scenario with a corresponding decrease in the best case category after taking into consideration the changes in the macro-environment indicators which have deteriorated due to the current crisis. Additionally, the Bank has further increased the weightage on the worst case scenario by way of management overlay to increase the buffer for expected credit losses and absorb any shocks from the external environment. The same was reduced from the best case scenario due to adverse market conditions resulting from the Covid-19 pandemic.

The Bank also analysed its portfolio based on sectors and special emphasis has been placed on those sectors which are most susceptible to the effects of Covid-19 by establishing additional credit buffers to withstand any adverse impact to the cash flow generating ability of such customers. Based on potential risk, the Bank proactively downgraded customers in such sectors from Stage 1 to Stage 2 when computing ECL, significantly enhancing the impairment provision.

The above measures led to the increase in the Economic Factor Adjustment and thereby an increase in impairment charge of financial assets for the financial year ended 31 December 2020. The Management is of the view that sufficient buffers are in place to effectively mitigate any risks arising from potential credit losses.

Financial Summary

For the Year ended 31 December	2020 LKR	2019 LKR	2018 LKR	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Operating Results										
Financing Income	7,211,643,435	7,709,286,294	6,883,221,870	5,544,237,256	4,039,624,179	2,885,931,540	2,407,652,724	1,768,061,705	1,300,618,090	352,037,757
Financing Expenses	3,757,313,167	4,544,370,605	3,522,889,356	2,790,618,052	2,115,335,249	1,405,258,772	1,198,032,200	1,050,007,868	732,071,273	205,127,217
Net Financing Income	3,454,330,268	3,164,915,689	3,360,332,514	2,753,619,204	1,924,288,930	1,480,672,768	1,209,620,524	718,053,837	568,546,817	146,910,540
Net Fee and Commission Income	328,562,743	329,040,746	297,048,806	236,134,326	246,568,285	168,555,950	138,484,328	100,223,308	68,923,319	14,951,675
Net Trading Income	444,376,037	738,397,355	461,155,830	388,699,264	257,454,611	390,234,591	287,377,278	219,719,256	621,773,009	(91,633,252)
Net Gains/(Losses) from Financial Assets at Fair Value Through Profit or Loss	3,260,627	4,862,561	(22,436,152)	-	-	-	-	-	-	-
Net Gains/(Losses) from Derecognition of Financial Assets	928,646	11,150,575	1,892,185	-	-	-	-	-	-	-
Net Other Operating Income/(Loss)	2,302,448	8,251,376	6,662,241	9,467,520	4,961,144	27,659,037	33,213,115	21,579,603	(5,353,087)	3,133,721
Total Operating Income	4,233,760,769	4,256,618,302	4,104,655,424	3,387,920,314	2,433,272,970	2,067,122,346	1,668,695,245	1,059,576,004	1,253,890,058	73,362,684
Impairment on Financial Assets	513,726,961	288,928,583	476,765,687	289,782,674	217,177,926	2,817,355	94,680,026	100,820,541	16,093,890	27,062,702
Net Operating Income	3,720,033,808	3,967,689,719	3,627,889,737	3,098,137,640	2,216,095,044	2,064,304,991	1,574,015,219	958,755,463	1,237,796,168	46,299,982
Personnel Expenses	1,446,138,333	1,381,445,709	1,246,223,287	1,095,792,424	1,025,032,323	896,614,338	858,179,900	720,351,418	438,453,212	140,504,480
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	281,177,308	256,195,369	126,685,717	148,879,193	162,620,642	150,818,192	150,665,594	121,287,043	125,557,539	20,621,964
Amortisation of Intangible Assets	70,374,848	51,025,609	47,939,212	48,967,708	78,634,792	40,881,465	39,373,883	36,995,102	25,472,863	4,704,727
Other Operating Expenses	767,727,520	902,349,033	884,804,269	745,933,727	678,729,131	605,026,871	526,776,102	504,942,745	396,567,577	250,085,709
Total Operating Expenses	2,565,418,009	2,591,015,720	2,305,652,485	2,039,573,052	1,945,016,888	1,693,340,866	1,574,995,479	1,383,576,308	986,051,191	415,916,880
Operating Profit/(Loss) Before Value Added Tax on Financial Services, NBT & DRL	1,154,615,799	1,376,673,999	1,322,237,252	1,058,564,588	271,078,156	370,964,125	(980,260)	(424,820,845)	251,744,977	(369,616,898)
Value Added Tax on Financial Services, NBT & DRL	393,167,272	531,825,986	420,038,265	319,245,989	168,266,306	152,248,222	79,288,996	13,184,143	45,941,033	-
Profit/(Loss) Before Tax	761,448,527	844,848,013	902,198,987	739,318,599	102,811,850	218,715,903	(80,269,256)	(438,004,988)	205,803,944	(369,616,898)
Tax Expenses/(Reversal)	297,753,065	383,916,616	345,753,279	236,490,936	62,171,499	60,086,657	-	(120,971,087)	59,809,292	(87,583,329)
Profit/(Loss) for the Year	463,695,462	460,931,397	556,445,708	502,827,663	40,640,351	158,629,246	(80,269,256)	(317,033,901)	145,994,652	(282,033,569)

As at 31 December	2020 LKR	2019 LKR	2018 LKR	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Assets										
Cash and Cash Equivalents	6,859,970,358	10,067,003,265	5,338,090,636	5,859,766,950	5,686,924,056	5,016,458,817	1,627,383,695	2,444,552,371	3,866,793,015	1,053,061,115
Balance with Central Bank of Sri Lanka	11,410,470,563	3,448,797,331	3,543,444,781	4,127,811,572	2,816,770,223	2,292,887,937	1,036,425,974	685,320,420	865,294,214	717,763,029
Placements with Banks	11,580,356,721	10,625,183,324	9,264,699,249	5,285,796,238	4,662,466,350	3,624,928,993	3,306,210,009	1,737,895,772	825,235,383	1,518,571,708
Placements with Licensed Finance Companies	3,108,069,281	12,053,159	2,427,970,097	2,112,166,496	20,517	954,528,071	1,172,213,115	661,958,238	1,661,226,754	3,113,721,106
Derivative Financial Assets	228,515,144	226,091,973	445,732,740	127,616,662	59,483,044	61,037,310	23,269,364	21,470,669	104,181,576	1,394,227
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	55,921,805	72,789,000	113,249,108	-	-	-	-	-	-	-
Financial Investments - Held for Trading	-	-	-	41,645,557	45,181,589	59,474,357	48,998,818	175,334,631	59,768,906	404,170,143
Investment in Gold Bullion	-	-	-	-	-	-	-	-	-	799,582,509
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	62,566,964,280	57,716,960,999	52,853,663,356	42,914,143,571	38,451,662,449	33,073,596,195	25,426,941,810	15,015,318,081	7,165,461,019	4,974,971,905
Financial Assets Measured at Fair Value through Other Comprehensive Income	291,991,226	146,141,654	186,655,424	-	-	-	-	-	-	-
Financial Investments - Available for Sale	-	-	-	323,264,501	394,775,149	432,056,080	427,582,574	600,337,971	486,122,612	545,349,490
Other Assets - Financial	1,048,477,201	888,380,624	585,704,833	388,890,295	307,321,725	315,749,183	295,502,221	519,546,392	553,493,038	390,688,206
Property, Plant, Equipment and Right-of-Use Assets	2,354,607,910	2,505,901,129	1,890,194,155	1,795,135,517	1,247,590,879	1,271,732,452	794,829,469	852,960,574	636,709,910	481,382,002
Intangible Assets	257,240,323	237,074,723	238,311,383	230,675,871	269,376,298	236,502,947	270,615,476	283,027,619	224,382,174	135,470,343
Deferred Tax Assets	-	-	-	-	146,355,559	145,702,993	161,426,033	159,355,340	36,496,739	87,583,329
Other Assets - Non Financial	409,782,983	633,193,251	382,051,706	333,169,325	227,058,761	257,216,898	306,189,958	240,777,613	232,258,744	272,468,185
Total Assets	100,172,367,795	86,579,570,432	77,269,767,468	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Liabilities										
Due to Banks	1,967,893,100	1,103,040,822	1,210,204,847	-	751,963,513	2,955,277,882	-	-	-	-
Derivative Financial Liabilities	111,881,845	56,478,657	1,441,005,622	29,924,292	98,341,433	67,405,185	7,844,969	3,130,759	4,978,614	-
Financial Liabilities at Amortised Cost - Due to Depositors	83,554,240,988	71,614,753,475	61,722,682,595	50,922,561,081	46,915,289,690	38,467,460,755	29,224,330,525	17,983,111,581	13,302,501,452	11,362,868,664
Other Liabilities - Financial	1,287,362,598	1,110,537,746	480,628,881	680,470,646	566,565,119	341,597,683	557,363,638	290,819,822	304,236,288	111,725,486
Current Tax Liabilities	420,490,984	402,511,650	330,606,614	187,075,365	80,814,263	58,684,717	-	-	-	-
Dividend Payable	6,526,286	6,891,441	3,562,069	-	-	-	-	-	-	-
Deferred Tax Liability	70,265,535	194,314,961	221,536,935	216,241,918	-	-	-	-	-	-
Retirement Benefit Liability	170,664,374	144,987,628	127,517,726	119,241,024	82,606,302	74,070,679	58,202,580	45,071,342	20,648,680	13,051,361
Other Liabilities - Non Financial	115,763,735	92,486,021	97,921,864	70,765,834	31,360,761	54,378,732	23,607,873	13,688,807	13,843,550	7,080,883
Total Liabilities	87,705,089,445	74,726,002,401	65,635,667,153	52,226,280,160	48,526,941,081	42,018,875,633	29,871,349,585	18,335,822,311	13,646,208,584	11,494,726,394
Shareholders' Funds										
Stated Capital	10,819,561,398	10,619,450,156	10,619,450,156	10,619,450,156	5,866,808,141	5,866,808,141	5,866,808,141	5,866,808,141	3,431,611,720	3,431,611,720
Reserves	1,647,716,952	1,234,117,875	1,014,650,159	694,352,239	(78,762,623)	(143,811,541)	(840,569,210)	(804,774,761)	(360,396,220)	(430,160,817)
Total Equity	12,467,278,350	11,853,568,031	11,634,100,315	11,313,802,395	5,788,045,518	5,722,996,600	5,026,238,931	5,062,033,380	3,071,215,500	3,001,450,903
Total Liabilities and Shareholders' Funds	100,172,367,795	86,579,570,432	77,269,767,468	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Commitments and Contingencies	65,337,219,792	54,012,976,973	46,485,430,714	27,813,190,776	26,191,124,490	18,272,602,735	14,978,855,627	7,641,018,045	11,121,347,724	4,167,021,073
Share Information										
Earnings/(Loss) per Share - Basic/Diluted	0.18	0.18	0.22	0.29	0.03	0.13	(0.06)	(0.33)	0.16	(0.35)
Net Assets Value per Share	4.79	4.74	4.65	4.52	4.63	4.58	4.02	4.99	3.4	3.7

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

The following explains the Disclosure Requirements under the prescribed format issued by the Central Bank of Sri Lanka for the Preparation of Annual Financial Statements of Licensed Commercial Banks.

1.	Information about the Significance of Financial Instruments for Financial Position and Performance	
1.1	Statement of Financial Position	
1.1.1	Disclosures on categories of financial assets and financial liabilities.	Note 16 to the Financial Statements - Analysis of Financial Instruments by Measurement Basis.
1.1.2	Other Disclosures	
	(i) Special disclosures about financial assets and financial liabilities designated to be measured at Fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair values attributable to these risks and the methods of measurement.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities. Note 43 to the Financial Statements - Risk Management
	(ii) Reclassifications of financial instruments from one category to another.	Not Applicable.
	(iii) Information about financial assets pledged as collateral and about financial or non-financial assets held as collateral.	Not Applicable.
	(iv) Reconciliation of the impairment allowance account for credit losses by class of financial assets.	Note 17.1 to the Financial Statements - Impairment Allowance for Balances with Banks Note 19.1 to the Financial Statements - Impairment Allowance for Placements with Banks Note 20.1 to the Financial Statements - Impairment Allowance for Licensed Finance Companies Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.
	(v) Information about compound financial instruments with multiple embedded derivatives.	Not Applicable.
	(vi) Breaches of terms of financing agreements.	None.
1.2	Statement of Comprehensive Income	
1.2.1	Disclosures on items of income, expense, gains and losses.	Notes 4 - 14 to the Financial Statements.
1.2.2	Other Disclosures	
	(i) Total financing income and total financing expense for those financial instruments that are not measured at fair value through profit and loss.	Notes 4 and 5 to the Financial Statements - Financing Income and Financing Expenses respectively.
	(ii) Fee income and expense.	Note 6 to the Financial Statements - Net Fee and Commission Income.
	(iii) Amount of impairment losses by class of financial assets.	Note 11 to the Financial Statements - Impairment on Financial Assets.
	(iv) Financing income on impaired financial assets.	Note 4 to the Financial Statements - Financing Income.

1.3 Other Disclosures		
1.3.1	Accounting policies for financial instruments.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies.
1.3.2	Financial liabilities designated as at FVTPL	
	(i) If a bank is presenting the effects of changes in that financial liability's credit risk in other comprehensive income (OCI): - any transfers of the cumulative gain/loss within equity during the period, including the reasons for the transfers; - if the liability is derecognised during the period, then the amount (if any) presented in OCI that was realised at derecognition; - detailed description of the methodologies used to determine whether presenting the effects of changes in a liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss; and (ii) Detailed description, if the effects of changes in a liability's credit risk are presented in profit or loss.	 Not Applicable.
1.3.3	Investments in equity instruments designated as at FVOCI	
	(i) Details of equity instruments that have been designated as at FVOCI and the reasons for the designation;	Notes 2.3.3 d (iii) and 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income.
	(ii) Fair value of each investment at the reporting date;	Note 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income.
	(iii) Dividends recognised during the period, separately for investments derecognised during the reporting period and those held at the reporting date;	Not Applicable.
	(iv) Any transfers of the cumulative gain or loss within equity during the period and the reasons for those transfers;	Not Applicable.
	(v) If investments in equity instruments measured at FVOCI are derecognised during the reporting period, - reasons for disposing of the investments; - fair value of the investments at the date of derecognition; and - the cumulative gain or loss on disposal.	 Not Applicable.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

1.3.4	Reclassifications of financial assets	
	(i) For all reclassifications of financial assets in the current or previous reporting period: • date of reclassification; • detailed explanation of the change in the business model and a qualitative description of its effect on the financial statements; and • the amount reclassified into and out of each category.	} Not Applicable.
	(ii) For reclassifications from FVTPL to amortised cost or FVOCI: • the effective profit rate (EPR) determined on the date of reclassification; and • the financing income recognised.	} Not Applicable.
	(iii) For reclassifications from FVOCI to amortised cost, or from FVTPL to amortised cost or FVOCI: • the fair value of the financial assets at the reporting date; and • the fair value gain or loss that would have been recognised in profit or loss or OCI during the reporting period if the financial assets had not been reclassified.	} Not Applicable.
1.3.5	Information on hedge accounting	Not Applicable.
1.3.6	Information about the fair values of each class of financial asset and financial liability, along with:	
	(i) Comparable carrying amounts. (ii) Description of how fair value was determined. (iii) The level of inputs used in determining fair value.	} Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy.	Not Applicable
	(b) Additional disclosures for financial instruments that fair value is determined using level 3 inputs.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(v) Information if fair value cannot be reliably measured.	Note 24.2 to the Financial Statements - Investment in Equity – Unquoted and Note 42.2 to the Financial Statements - Financial Instruments Not Carried at Fair Value.

2.	Information about the Nature and Extent of Risks Arising from Financial Instruments	
2.1	Qualitative Disclosures	
2.1.1	Risk exposures for each type of financial instrument.	Note 43 to the Financial Statements - Risk Management.
2.1.2	Management's objectives, policies, and processes for managing those risks.	Note 43 to the Financial Statements - Risk Management, and please refer section relating to 'Risk Management' in the Annual Report for additional information.
2.1.3	Changes from the prior period.	Not Applicable.
2.2	Quantitative Disclosures	
2.2.1	Summary of quantitative data about exposure to each risk at the reporting date.	Note 43 to the Financial Statements - Risk Management.
2.2.2	Disclosures about credit risk, liquidity risk, market risk, operational risk, rate risk and how these risks are managed.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(i) Credit Risk	
	(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets.	Note 43.3 to the Financial Statements - Credit Risk.
	(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	Note 43.3 to the Financial Statements - Credit Risk.
	(c) Information about collateral or other credit enhancements obtained or called.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(d) Credit risk management practices: - Information about credit risk management practices and how they relate to the recognition and measurement of expected credit losses (ECL), including the methods, assumptions and information used to measure ECL. - Quantitative and qualitative information to evaluate the amounts in the financial statements arising from ECL, including changes and the reasons for those changes.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets. Note 2.3.3 d. (v), Note 2.3.3 e. (ii) and Note 11 to the Financial Statements - Impairment of Financial Assets, Impairment Charges on Financing and Receivables and Impairment of Financial Assets respectively.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

	• How the Bank determines whether the credit risk of financial instruments has increased significantly since initial recognition, including whether and how financial instruments are considered to have low credit risk, including the classes of financial instruments to which the low credit risk exception has been applied; and the presumption that financial assets with contractual payments more than 30 days past due have a significant increase in credit risk has been rebutted; • The Bank's definitions of default for different financial instruments, including the reasons for selecting those definitions; • How instruments are grouped if ECL are measured on a collective basis; • How the Bank determines that financial assets are credit-impaired; • The Bank's write-off policy, including the indicators that there is no reasonable expectation of recovery; and • How the modification requirements have been applied, including how the Bank determines whether the credit risk of a financial asset that has been modified while subject to a lifetime ECL allowance has improved to the extent that the loss allowance reverts to being measured at an amount equal to 12-month ECL and monitors the extent to which the loss allowance on those assets subsequently reverts to being measured at an amount equal to lifetime ECL.	Note 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment of Financial Assets and Impairment Charges on Financing respectively.
	(e) ECL calculations	
	• Basis of the inputs, assumptions and the estimation techniques used when, - estimating 12-month and lifetime ECL; - determining whether the credit risk of financial instruments has increased significantly since initial recognition; and - determining whether financial assets are credit-impaired. • How forward-looking information has been incorporated into the determination of ECL, including the use of macro-economic information; and • changes in estimation techniques or significant assumptions made during the reporting period and the reasons for those changes.	Note 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment of Financial Assets and Impairment Charges on Financing respectively.
		Not Applicable

	(f) Amounts arising from ECL	
	Provide reconciliation for each class of financial instrument [Financial assets measured at AC, Financial assets mandatorily measured at FVOCI, financing commitments when there is an obligation to extend credit (except those measured at Fair Value through Profit or Loss), Financial guarantee contracts (except those measured at Fair Value through Profit or Loss), Lease receivables within the scope of LKAS 17: Leases, Contract assets within the scope of SLFRS 15: Revenue from contracts with customers etc...] of the opening balance to the closing balance of the impairment loss allowance.	Note 17.1 to the Financial Statements – Impairment Allowance for Balances with Banks, Note 19.1 to the Financial Statements – Impairment Allowance for Placements with Banks, Note 20.1 to the Financial Statements – Impairment Allowance for Licensed Finance Companies, Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers, and Note 45.2.1 to the Financial Statements - Impairment Allowance for Commitment & Contingencies.
	Explain the reasons for changes in the loss allowances in the reconciliation.	Due to the specific credit risks in each of the asset class. Please also refer Note 11 to the Financial Statements - Impairment on Financial Assets, for additional information.
	(g) Collaterals	
	Amount that best represents the Bank's maximum exposure to credit risk at the reporting date, without taking account of any collateral held or other credit enhancements;	Note 43.3.3 (f) to the Financial Statements – Credit Risk.
	- Narrative description of collateral held as security and other credit enhancements (except for lease receivables), including: - discussion on the nature and quality of the collaterals held; - explanation of any significant changes in quality as a result of a deterioration or changes in the Bank's collateral policies during the reporting period;	} Please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	information about financial instruments for which the Bank has not recognised a loss allowance because of the collateral;	None.
	quantitative information about the collateral held as security and other credit enhancements;	Note 43.3.3 (f) to the Financial Statements - Risk Management
	information about the fair value of the collateral and other credit enhancements, or to quantify the exact value of the collateral that was included in the calculation of ECL.	Please refer section relating to 'Risk Management' in the Annual Report for additional Information.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

	(h) Written-off assets Contractual amount outstanding of financial assets written off during the reporting period that are still subject to enforcement activity.	None
	(i) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 269 to 282 and section relating to 'Risk Management' in the Annual Report for additional information.
	(ii) Liquidity Risk	
	(a) A maturity analysis of financial assets and liabilities.	Note 43.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report.
	(b) Description of approach to risk management.	Note 43.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report for additional information.
	(c) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 269 to 282 and section relating to 'Risk Management' in the Annual Report for additional information.
	(iii) Market Risk	
	(a) A sensitivity analysis of each type of market risk to which the Bank is exposed.	Note 43.5 to the Financial Statements - Market Risk and please refer section relating to 'Risk Management' in the Annual Report for additional information.
	(b) Additional information, if the sensitivity analysis is not representative of the Bank's risk exposure.	Not Applicable.
	(c) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 269 to 282 and section relating to 'Risk Management' in the Annual Report for additional information.
	(iv) Operational Risk	
	For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 269 to 282 and section relating to 'Risk Management' in the Annual Report for additional information.

Market Discipline Disclosure Requirements

KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

As at 31 December	2020	2019
Regulatory Capital (LKR '000)		
Common Equity Tier 1	11,209,393	11,054,858
Tier 1 Capital	11,209,393	10,782,015
Total Capital	12,450,876	11,833,327
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	15.6%	15.4%
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	15.6%	15.4%
Total Capital Ratio (Minimum Requirement - 12.5%)	17.4%	16.9%
Leverage Ratio (Minimum Requirement - 3%)	8.01%	9.66%
Regulatory Liquidity		
Statutory Liquid Assets (LKR '000) - Domestic Banking Unit	19,440,923	19,817,531
Statutory Liquid Assets (USD '000) - Offshore Banking Unit	2,524	1,310
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)		
Domestic Banking Unit (%)	23.31%	27.74%
Offshore Banking Unit (%)	25.08%	38.03%
Liquidity Coverage Ratio (%) – Rupee (Min Requirement - 90%/100%)	482.96%	142.92%
Liquidity Coverage Ratio (%) – All Currency (Min Requirement - 90%/100%)	340.28%	110.04%

Market Discipline Disclosure Requirements

BASEL III COMPUTATION OF CAPITAL RATIOS

As at 31 December	2020 LKR '000	2019 LKR '000
Common Equity Tier 1 (CET1) Capital after Adjustments	11,209,393	10,782,015
Common Equity Tier 1 (CET1) Capital *	11,209,393	10,782,015
Equity Capital (Stated Capital)/Assigned Capital	10,819,561	10,619,450
Reserve Fund	116,458	93,273
Published Retained Earnings/(Accumulated Retained Losses)	678,838	443,105
Published Accumulated Other Comprehensive Income (OCI)	26,928	(100,970)
General and other Disclosed Reserves	-	-
Unpublished Current Year's Profit/Loss and Gains reflected in OCI	-	-
Ordinary Shares issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to CET1 Capital	432,393	272,843
Goodwill (net)	-	-
Intangible Assets (net)	257,240	237,075
Others (Net Deferred Tax Asset & Significant investments in the capital of financial institutions where the bank owns more than 10 per cent of the issued ordinary share capital of the entity)	175,153	35,768
Additional Tier 1 (AT1) Capital after Adjustments	-	-
Additional Tier 1 (AT1) Capital	-	-
Qualifying Additional Tier 1 Capital Instruments	-	-
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to AT1 Capital	-	-
Investment in Own Shares	-	-
Others (specify)	-	-
Tier 2 Capital after Adjustments	1,241,483	1,051,312
Tier 2 Capital	1,241,483	1,051,312
Qualifying Tier 2 Capital Instruments	-	-
Revaluation Gains	570,270	570,270
Provisions on Financing and Advances	671,213	481,042
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to Tier 2	-	-
Investment in Own Shares	-	-
Others (specify)	-	-
CET1 Capital *	11,209,393	10,782,015
Total Tier 1 Capital	11,209,393	10,782,015
Total Capital	12,450,876	11,833,327
Total Risk Weighted Assets (RWA)	71,646,117	70,073,499
RWAs for Credit Risk	65,886,079	65,063,221
RWAs for Market Risk	727,486	313,662
RWAs for Operational Risk	5,032,552	4,696,616
CET1 Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	15.65%	15.39%
of which: Capital Conservation Buffer (%)	2.500%	2.500%
of which: Countercyclical Buffer (%)	-	-
of which: Capital Surcharge on D-SIBs (%)	-	-
Total Tier 1 Capital Ratio (%)	15.65%	15.39%
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	17.38%	16.89%
of which: Capital Conservation Buffer (%)	2.500%	2.500%
of which: Countercyclical Buffer (%)	-	-
of which: Capital Surcharge on D-SIBs (%)	-	-
* This represents CET1 Capital after applicable adjustments		
- CET1 Capital before adjustments (LKR '000)	11,641,786	11,054,858

COMPUTATION OF LEVERAGE RATIO

As at 31 December	2020 LKR '000	2019 LKR '000
Tier 1 Capital	11,209,393	10,782,015
Total Exposures	140,012,631	111,623,305
"On-Balance Sheet Items (excluding Derivatives and Securities Financing Transactions, but including Collateral)"	100,951,518	87,232,972
Derivative Exposures	33,200,760	19,527,081
Securities Financing Transaction Exposures	-	-
Other Off-Balance Sheet Exposures	5,860,353	4,863,252
Basel III Leverage Ratio (%) (Tier 1/Total Exposure)	8.01%	9.66%

BASEL III COMPUTATION OF LIQUIDITY COVERAGE RATIO

As at 31 December	2020		2019	
	Total Un-weighted Value LKR '000	Total Weighted Value LKR '000	Total Un-weighted Value LKR '000	Total Weighted Value LKR '000
Total Stock of High-Quality Liquid Assets (HQLA)	14,529,530	14,497,391	3,303,771	3,267,776
Total Adjusted Level 1A Assets	14,529,530	14,497,391	3,303,771	3,267,776
Level 1 Assets	14,465,252	14,465,252	3,231,780	3,231,780
Total Adjusted Level 2A Assets	-	-	-	-
Level 2A Assets	-	-	-	-
Total Adjusted Level 2B Assets	-	-	-	-
Level 2B Assets	64,279	32,139	71,992	35,996
Total Cash Outflows	97,042,418	10,075,900	82,553,281	10,787,603
Deposits	77,846,507	5,596,896	66,793,722	6,679,372
Unsecured Wholesale Funding	5,543,240	3,205,979	4,521,405	2,590,488
Secured Funding Transactions	-	-	-	-
Undrawn Portion of Committed (Irrevocable) Facilities and Other Contingent Funding Obligations	13,617,285	1,237,638	11,230,858	1,510,448
Additional Requirements	35,386	35,386	7,295	7,295
Total Cash Inflows	9,443,497	5,815,514	16,344,272	7,817,918
Maturing Secured Lending Transactions Backed by Collateral	4,411,658	4,411,658	6,739,118	6,739,118
Committed Facilities	-	-	-	-
Other Inflows by Counterparty which are Maturing within 30 Days	2,190,780	1,380,128	2,046,308	1,078,800
Operational Deposits	2,793,604	-	7,558,846	-
Other Cash Inflows	47,455	23,728	-	-
Liquidity Coverage Ratio (%) (Stock of High Quality Liquid Assets/Total Net Cash Outflows over the Next 30 Calendar Days) * 100		340.28	-	110.04

Market Discipline Disclosure Requirements

MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS

Description of the Capital Instrument	Ordinary Shares
Issuer	Amāna Bank PLC
CSE Security Code	ABL.N0000
Original Date of Issuance	Multiple
Par Value of Instrument	N/A
Perpetual or Dated	Perpetual
Original Maturity Date, if Applicable	N/A
Amount Recognised in Regulatory Capital (in LKR '000 as at 31 December 2020)	11,641,786
Accounting Classification (Equity/Liability)	Shareholders' Equity
Issuer Call subject to Prior Supervisory Approval	
Optional Call Date, Contingent Call Dates and Redemption Amount (LKR '000)	N/A
Subsequent Call Dates, if Applicable	N/A
Coupons/Dividends	
Fixed or Floating Dividend/Coupon	N/A
Coupon Rate and any Related Index	N/A
Non-Cumulative or Cumulative	N/A
Convertible or Non-Convertible	
If Convertible, Conversion Trigger (s)	N/A
If Convertible, Fully or Partially	N/A
If Convertible, Mandatory or Optional	N/A
If Convertible, Conversion Rate	N/A

Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements

Please refer Note 48 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report on pages 86 to 118.

CREDIT RISK UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

As at 31 December 2020	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density	
	On-Balance Sheet Amount	Off-Balance Sheet Amount	On-Balance Sheet Amount	Off-Balance Sheet Amount	RWA	RWA Density
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	%
Claims on Central Government and CBSL	12,124,658	12,342,000	12,124,658	504,900	-	0%
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-
Claims on Public Sector Entities	1,564	-	1,564	-	1,564	100%
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-
Claims on Banks Exposures	14,665,230	32,017,387	14,665,230	1,008,685	5,223,692	33%
Claims on Financial Institutions	3,108,419	-	3,108,419	-	1,554,209	50%
Claims on Corporates	23,219,814	11,711,704	23,046,582	3,018,156	25,910,327	99%
Retail Claims	34,490,813	6,397,376	34,025,911	2,355,136	25,060,334	69%
Claims Secured by Residential Property	3,878,551	-	3,878,551	-	2,517,803	65%
Claims Secured by Commercial Real Estate	-	-	-	-	-	0%
Non-Performing Assets (NPAs)	1,934,384	174,247	1,934,384	35,322	1,985,141	101%
Higher-risk Categories	113,845	-	113,845	-	284,614	250%
Cash Items and Other Assets	6,707,768	427,293	6,707,768	427,293	3,348,395	47%
Total	100,245,045	63,070,007	99,606,912	7,349,492	65,886,079	62%

Notes:

- (i) As per Banking Act Directions on Classification of Financing and Receivables to Other Customers, Income Recognition and Provisioning
- (ii) RWA Density - Total RWA/Exposures Post CCF and CRM.

Market Discipline Disclosure Requirements

CREDIT RISK UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

As at 31 December 2020	Risk Weight	Post CCF & CRM								Total Credit Exposures Amount
		0%	20%	50%	60%	75%	100%	150%	>150%	
Asset Classes		LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Claims on Central Government and Central Bank of Sri Lanka		12,629,558	-	-	-	-	-	-	-	12,629,558
Claims on Foreign Sovereigns and their Central Banks		-	-	-	-	-	-	-	-	-
Claims on Public Sector Entities		-	-	-	-	-	1,564	-	-	1,564
Claims on Official Entities and Multilateral Development Banks		-	-	-	-	-	-	-	-	-
Claims on Banks Exposures		-	9,027,449	6,456,527	-	-	189,939	-	-	15,673,915
Claims on Financial Institutions		-	-	3,108,419	-	-	-	-	-	3,108,419
Claims on Corporates		-	-	308,823	-	-	25,755,915	-	-	26,064,738
Retail Claims		2,384,803	3,509,700	-	7,676,944	12,229,488	10,580,112	-	-	36,381,047
Claims Secured by Residential Property		-	-	2,721,495	-	-	1,157,056	-	-	3,878,551
Claims Secured by Commercial Real Estate		-	-	-	-	-	-	-	-	-
Non-Performing Assets (NPAs)		-	-	465,840	-	-	1,007,157	496,709	-	1,969,707
Higher-risk Categories		-	-	-	-	-	-	-	113,845	113,845
Cash Items and Other Assets		3,786,666	-	-	-	-	3,348,395	-	-	7,135,061
Total		18,801,027	12,537,150	13,061,103	7,676,944	12,229,488	42,040,138	496,709	113,845	106,956,404

MARKET RISK UNDER STANDARDISED MEASUREMENT METHOD

As at 31 December 2020	RWA Amount LKR '000
(a) RWA for Rate Risk	-
General Rate Risk	-
(i) Net Long or Short Position	-
(ii) Horizontal Disallowance	-
(iii) Vertical Disallowance	-
(iv) Options	-
Specific Rate Risk	-
(b) RWA for Equity	12,741
(i) General Equity Risk	6,991
(ii) Specific Equity Risk	5,750
(c) RWA for Foreign Exchange & Gold	78,195
Capital Charge for Market Risk [(a) + (b) + (c)] * CAR	727,486

OPERATIONAL RISK UNDER BASIC INDICATOR APPROACH / THE STANDARDISED APPROACH / THE ALTERNATIVE STANDARDISED APPROACH

As at 31 December 2020	Capital Charge Factor	Fixed Factor	Gross Income		
			1st Year LKR '000	2nd Year LKR '000	3rd Year LKR '000
The Basic Indicator Approach	15%		4,104,647	4,244,245	4,232,493
The Standardised Approach					
Corporate Finance	18%		N/A		
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%				
Commercial Banking	15%				
The Alternative Standardised Approach					
Corporate Finance	18%	0.035	N/A		
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%				
Commercial Banking	15%	0.035			
Capital Charges for Operational Risk (LKR'000)					
The Basic Indicator Approach					629,069
The Standardised Approach			N/A		
The Alternative Standardised Approach					
Risk Weighted Amount for Operational Risk (LKR'000)					
The Basic Indicator Approach					5,032,552
The Standardised Approach			N/A		
The Alternative Standardised Approach					

Market Discipline Disclosure Requirements

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES – BANK ONLY

As at 31 December 2020		a	b	c	d	e
	Explanation Reference #	Carrying Values as Reported in Published Financial Statements LKR '000	Carrying Values as under Scope of Regulatory Reporting LKR '000	Subject to Credit Risk Framework LKR '000	Subject to Market Risk Framework LKR '000	Not Subject to Capital Requirements or Subject to Deduction From Capital LKR '000
Assets		100,172,368	100,712,698	99,606,912	55,922	1,070,527
Cash and Cash Equivalents	1	6,859,970	3,786,666	3,786,666	-	-
Balances with Central Bank		11,410,471	11,410,471	11,410,471	-	-
Placements with Banks & Financial Institutions	1	14,688,426	17,298,642	17,298,642	-	-
Derivative Financial Instruments	2	228,515	-	-	-	-
Other Financial Assets Held-For-Trading	3	-	344,920	113,845	55,922	175,153
Financial Assets Designated at Fair Value through Profit or Loss	3	55,922	-	-	-	-
Financing and Receivables to Banks		-	-	-	-	-
Financing and Receivables to Other Customers	4	62,566,964	63,501,472	62,811,060	-	638,134
Financial Investments - Available-For-Sale	3	291,991	-	-	-	-
Financial Investments - Held-To-Maturity	3	-	2,993	2,993	-	-
Investments in Subsidiaries		-	-	-	-	-
Investments in Associates and Joint Ventures		-	-	-	-	-
Property, Plant and Equipment		2,354,608	2,354,608	2,354,608	-	-
Investment Properties		-	-	-	-	-
Goodwill and Intangible Assets		257,240	257,240	-	-	257,240
Deferred Tax Assets		-	-	-	-	-
Other Assets		1,458,261	1,755,686	1,828,626	-	-
Liabilities		87,705,089	87,570,834	-	-	-
Due to Banks	5	1,967,893	-	-	-	-
Derivative Financial Instruments	2	111,882	-	-	-	-
Other Financial Liabilities Held-For-Trading		-	-	-	-	-
Financial Liabilities Designated at Fair Value Through Profit or Loss		-	-	-	-	-
Due to Other Customers	5	83,554,241	83,124,687	-	-	-
Other Borrowings		-	300,000	-	-	-
Debt Securities Issued		-	-	-	-	-
Current Tax Liabilities	5	420,491	520,531	-	-	-
Deferred Tax Liabilities		70,265	70,266	-	-	-
Other Provisions	5	-	-	-	-	-
Other Liabilities	5	1,580,317	3,555,350	-	-	-
Due to Subsidiaries		-	-	-	-	-
Subordinated Term Debts		-	-	-	-	-

As at 31 December 2020

	a	b	c	d	e
	Carrying Values as Reported in Published Financial Statements	Carrying Values as under Scope of Regulatory Reporting	Subject to Credit Risk Framework	Subject to Market Risk Framework	Not Subject to Capital Requirements or Subject to Deduction From Capital
Explanation Reference #	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Off-Balance Sheet Liabilities	65,337,219	65,341,782	63,070,007	-	2,271,775
Guarantees	2,549,169	2,549,169	2,549,169	-	-
Performance Bonds	789,097	789,097	789,097	-	-
Letters of Credit	1,081,979	1,081,979	1,081,979	-	-
Other Contingent Items	51,455,473	51,455,473	49,752,723	-	1,702,750
Undrawn Financing Commitments	8,897,039	8,897,039	8,897,039	-	-
Other Commitments	564,462	569,025	-	-	569,025
Shareholders' Equity	-	-	-	-	-
Equity Capital (Stated Capital)/Assigned Capital	10,819,561	10,819,561	-	-	-
of which Amount Eligible for CET1	10,819,561	10,819,561	-	-	-
of which Amount Eligible for AT1	-	-	-	-	-
Retained Earnings	668,921	-	-	-	-
Accumulated Other Comprehensive Income	44,880	-	-	-	-
Other Reserves	933,916	2,322,304	-	-	571,607
Total Shareholders' Equity	12,467,278	13,141,865	-	-	571,607

EXPLANATIONS OF DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY EXPOSURE AMOUNTS

a. Significant Differences between Amounts in Carrying Values Reported in Published Financial Statements and Regulatory Reporting

Explanation Reference #	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
1 : Cash and Cash Equivalents and Placements with Banks and Financial Institutions				
Cash and Cash Equivalents	6,859,970	3,786,666		
Placements with Banks and Financial Institutions	14,688,426	17,288,323		
	21,548,396	21,074,989	473,407	
Accrued Profits Receivable on Placements		A	475,070	
Expected Credit Losses - Provisions on Cash and Cash Equivalents and Placements with Banks and Financial Institutions		B	(1,663)	
		C = (A+B)	473,407	

Market Discipline Disclosure Requirements

EXPLANATIONS OF DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY EXPOSURE AMOUNTS (CONTD...)

	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Explanation Reference # 2 : Derivative Financial Instruments - Assets and Liabilities				
Derivative Financial Instruments - Assets	228,515	-		
Derivative Financial Instruments - Liabilities	(111,882)	-		
Other Assets	-	116,633		
	116,633	116,633	-	Net Unrealized Revaluation Gains on Forex Contracts has been reported under Other Liabilities in regulatory reporting
Explanation Reference # 3 : Financial Assets Recognised through Profit or Loss - Measured at Fair Value & Financial Assets Measured at Fair Value through Other Comprehensive Income				
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	55,922	-		
Financial Assets Measured at Fair Value through Other Comprehensive Income	291,991	-		
Investments Trading Account	-	344,920		
Investments Held-to- Maturity	-	2,993		
	347,913	347,913	-	
Explanation Reference # 4 : Financing and Receivables to Other Customers				
Financing and Receivables to Other Customers				Difference between Provision requirements of Sri Lanka Accounting Standards and CBSL
	62,566,964	63,501,472	(934,508)	
Impairment Provisions as per Sri Lanka Accounting Standards		D	(1,975,502)	
Central Bank of Sri Lanka Regulatory Provisions		E	(1,040,994)	
		F = (D-E)	(934,508)	

Explanation	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Reference # 5 : Due to Banks, Due to Depositors, Tax Liabilities & Other Liabilities				
Due to Banks / Other Borrowings under Regulatory Reporting	1,967,893	300,000		
Financial Liabilities at Amortised Cost - Due to Depositors	83,554,241	83,124,687		
Profits Payable	-	556,184		
(A)	85,522,134	83,980,871	1,541,263	Saubhagya Renaissance Facility balances due to CBSL has been reported under Other Liabilities in regulatory reporting
Current Tax Liabilities (B)	420,491	520,531	(100,040)	
Other Liabilities (C)	1,650,582	3,069,432	(1,418,850)	
D= (A+B+C)	87,593,207	87,570,834	22,373	Relates to Differences between Sri Lanka Accounting Standards and CBSL reporting requirements
Derivative Financial Liabilities (E)	111,882	-	111,882	Derivative Financial Instruments - Liabilities reported in Published Financial Statements
	87,705,089	87,570,834		

NET STABLE FUNDING RATIO UNDER BASEL III - LIQUIDITY STANDARDS

Calculation of Net Stable Funding Ratio (NSFR)

As at 31 December	2020 LKR '000	2019 LKR '000
Total Available Stable Funding	84,486,814	73,138,938
Required Stable Funding - On Balance Sheet Assets	40,229,464	39,141,042
Required Stable Funding - Off Balance Sheet Items	839,839	658,675
Total Required Stable Funding	41,069,303	39,799,718
NSFR (Minimum Requirement - 90%/100%)	206%	184%

Market Discipline Disclosure Requirements

Total Available Stable Funding

As at 31 December 2020	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Total Available Stable Funding			84,486,814
Liabilities and Capital Assigned a 100% ASF factor			15,719,808
Total Regulatory Capital Before Capital Deductions (Excluding Tier 2 Instruments with Residual Maturity of less than One Year)	11,641,786	100%	11,641,786
Any Other Capital Instrument With Effective Residual Maturity of One Year or More	-	100%	-
Secured and Unsecured Borrowings and Liabilities with Effective Residual Maturities of One Year or More	4,078,023		4,078,023
Net Deferred Tax Liabilities	70,266	100%	70,266
Minority Interest	-	100%	-
Other Liabilities	4,007,757	100%	4,007,757
Liabilities Assigned a 90% ASF Factor	73,603,631		66,243,268
Non-Maturity Deposits and Term Deposits with Residual Maturity of less than One Year Provided by Retail Customers and SME	73,603,631	90%	66,243,268
Liabilities Assigned a 50% ASF Factor	5,047,476		2,523,738
Funding with Residual Maturity of less than One Year Provided by Non-Financial Corporate Customers	246,510	50%	123,255
Operational Deposits	3,861,320	50%	1,930,660
Funding with Residual Maturity of less than One Year from Sovereigns, Public Sector Entities (PSES), and Multilateral Development Banks (MDBs)	-	50%	-
Other Funding with Residual Maturity between Six Months and less than One Year not included in the Above Categories, including Funding Provided by Central Banks and Financial Institutions	939,645	-	469,822
Net Deferred Tax Liabilities	-	50%	-
Minority Interest	-	50%	-
Other Liabilities	939,645	50%	469,822
Liabilities Assigned a 0% ASF Factor	5,430,337		-
All Other Liabilities and Equity not included in the Above Categories including Other Funding with Residual Maturity of less than Six Months from Central Banks and Financial Institutions	339,231	0%	-
Other Liabilities without a Stated Maturity	4,502,474	-	-
Net Deferred Tax Liabilities	-	-	-
Minority Interest	-	-	-
Other Liabilities	4,502,474	0%	-
NSFR Derivative Liabilities Net of Derivative Assets (If NSFR Derivative Liabilities are Greater than NSFR Derivative Assets)	588,633	0%	-
"Trade Date" Payables arising from Purchases of Financial Instruments, Foreign Currencies and Commodities	-	-	-

Required Stable Funding – On Balance Sheet Assets

As at 31 December 2020	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Required Stable Funding - On Balance Sheet Assets			40,229,464
Assets assigned a 0% RSF factor			-
Cash in Hand	3,786,666	0%	-
Central Bank Reserves (Statutory Reserve Ratio (SRR) including Excess SRR)	11,410,471	0%	-
All Claims on Central Banks with Residual Maturities of less than Six Months	-	0%	-
"Trade Date" Receivables arising from Sales of Financial Instruments, Foreign Currencies and Commodities	-	0%	-
Assets Assigned a 5% RSF Factor	-		-
Unencumbered Level 1 Assets	-		-
Qualifying Marketable Securities	-		-
Issued by Sovereigns	-	5%	-
Guaranteed by Sovereigns	-	5%	-
Issued or Guaranteed by Central Banks	-	5%	-
Issued or Guaranteed by BIS, IMF, ECB And European Community or Eligible MDBs	-	5%	-
20% of Derivative Liabilities	-	5%	-
Assets Assigned a 10% RSF Factor	-		-
Unencumbered Financing to Financial Institutions with Residual Maturities of less than Six Months	-	10%	-
Assets Assigned a 15% RSF Factor	-		-
Unencumbered Level 2A Assets	-		-
Qualifying Marketable Securities	-		-
Issued or Guaranteed by Sovereigns	-	15%	-
Issued or Guaranteed by Central Banks	-	15%	-
Issued or Guaranteed By PSEs	-	15%	-
Issued or Guaranteed By MDBs	-	15%	-
Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper and Promissory Notes) and Covered Bonds	-	15%	-
Qualifying Investments in Gilt Unit Trust Backed by Government of Sri Lanka (GoSL) Securities	-	15%	-
All Other Unencumbered Financing to Financial Institutions with Residual Maturities of less than Six Months	-	15%	-
Assets Assigned a 50% RSF Factor	-		8,909,625
Unencumbered Level 2B Assets	-		27,961
Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper And Promissory Notes)	-	50%	-
Qualifying Non-Financial Common Equity Shares	55,921	50%	27,961
Residential Mortgage Backed Securities (RMBs) with a Credit Rating of at least AA	-	50%	-
HQLA Encumbered for a Period of Six Months or more And less than One Year	-	50%	-
Unencumbered Financing to Financial Institutions and Central Banks with Residual Maturity between Six Months and less than One Year	-	50%	-

Market Discipline Disclosure Requirements

Required Stable Funding – On Balance Sheet Assets (Contd...)

As at 31 December 2020	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Deposits held at Other Financial Institutions for Operational Purposes	-	50%	-
All Other Non HQLA not included in the above categories with Residual Maturity of less than One Year	17,763,329	50%	8,881,665
Assets Assigned a 65% RSF Factor	-		1,956,186
Qualifying Unencumbered Residential Mortgages with a Residual Maturity of One Year or More	3,009,518	65%	1,956,186
Other Qualifying Unencumbered Financing Financial Institutions, with a Residual Maturity of One Year or more	-	65%	-
Assets Assigned a 85% RSF Factor	-		24,985,800
Cash, Securities or Other Assets Posted as Initial Margin for Derivative Contracts	-	85%	-
Other Unencumbered Performing Loans	29,395,058	85%	24,985,800
Unencumbered Securities that are not in Default and do not Qualify as HQLA	-	85%	-
Physical Traded Commodities, including Gold	-	85%	-
Assets Assigned a 100% RSF Factor	-		4,377,853
All Assets that are Encumbered for a Period of One Year or more	-	100%	-
NSFR Derivative Assets Net of NSFR Derivative Liabilities If NSFR Derivative Assets are greater than NSFR Derivative Liabilities	-	100%	-
All Other Assets not included in Above	4,377,853	100%	4,377,853

Required Stable Funding – Off Balance Sheet Items

As at 31 December 2020	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Required Stable Funding - Off Balance Sheet Items			839,839
Irrevocable and Conditionally Revocable Credit and Liquidity Facilities to any Client	8,897,039	5%	444,852
Other Contingent Funding Obligations, including Products and Instruments	-		394,987
Unconditionally Revocable Credit and Liquidity Facilities	-	0%	-
Trade Finance-Related Obligations (including Guarantees and Letters of Credit)	7,899,735	5%	394,987
Guarantees Unrelated to Trade Finance Obligations	-	0%	-
Non-Contractual Obligations	-		-
Potential Requests for Debt Repurchases of the Bank's Own Debt or that of Related Conduits, Securities Investment Vehicles and Other such Financing Facilities	-	5%	-
Structured Products where Customers Anticipate Ready Marketability, such as Adjustable Rate Notes and Variable Rate Demand Notes (VRDNs)	-	5%	-
Managed Funds that are Marketed with the Objective of Maintaining a Stable Value	-	5%	-
Any Other Obligations	-	5%	-

Investor Relations

COMPLIANCE REPORT ON THE CONTENTS OF ANNUAL REPORT IN TERMS OF CONTINUING LISTING REQUIREMENTS OF THE COLOMBO STOCK EXCHANGE

The table below summarises the Bank's degree of compliance with the Listing Rules issued by Colombo Stock Exchange.

Rule No.	Disclosure Requirement	Section Reference	Page Reference
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	Annual Report of the Board Directors on the Affairs of the Bank.	161 - 165
7.6 (ii)	Principal activities of the Entity during the year and any changes therein.	Note 1.2 to the Financial Statements - Principal Activities.	201
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Item 3 of Investor Relations.	285
7.6 (iv)	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement.	Item 4 of Investor Relations.	286
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of financial year.	Item 5 of Investor Relations.	286
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Note 43 to the Financial Statements - Risk Management and refer section on 'Risk Management' in the Annual Report.	239 - 250 and 86 - 118
7.6 (vii)	Details of material issues pertaining to employees and industrial relations.	Item 6 of Investor Relations.	286
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	228 - 230
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 36 to the Financial Statements - Stated Capital.	235
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Item 2 of Investor Relations.	284 - 285
7.6 (xi)	Ratios and Market Price information. Equity Ratios Market Value Debt Instruments Credit Rating	Item 1 of Investor Relations. Item 1 of Investor Relations. Not Applicable. Corporate Information.	284 284 Inner Back Cover
7.6 (xii)	Significant changes in the Entity's fixed assets and the market value of land, if the value differs substantially from the book value.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	228 - 230
7.6 (xiii)	Details of funds raised through Public Issues, Rights Issues and Private Placements during the year.	Not Applicable.	
7.6 (xiv)	Information in respect of Employee Share Option Scheme.	Not Applicable.	
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules.	Exempted under section 7.10 of Continuing Listing Requirements since the Bank complies with Directions laid down in the Banking Act Direction No. 11 of 2007 on Corporate Governance.	
7.6 (xvi)	Related Party transactions exceeding 10% of the Equity or 5% of the total assets of the Entity as per Audited Financial Statements, whichever is lower.	Item 7 of Investor Relations.	286
9.3.2 (b)	Disclosure of recurrent Related Party transactions exceeding 10% of the gross revenue/income of the Entity as per the latest Audited Financial Statements.	Item 8 of Investor Relations.	286
9.3.2 (c)	Report of the Board Related Party Transactions Review Committee setting out the specified disclosures.	Please refer report on Board Related Party Transactions Review Committee.	177 - 178
9.3.2 (d)	Declaration by the Board of Directors on Compliance with Rules pertaining to Related Party Transactions.	Please refer the section - Annual Report of the Board of Directors on the Affairs of the Bank.	161 - 165

Investor Relations

The Ordinary Shares of the Bank are listed on the Main Board of Colombo Stock Exchange with Security Code ABL.N0000.

1. RATIOS AND MARKET VALUE INFORMATION

1.1 Equity Ratios

	2020	2019
Dividend Per Share (LKR)*	0.08	0.08
Dividend Pay Out Ratio (%)	43.16	43.41
Net Asset Value Per Share (LKR)	4.79	4.74

* A Scrip Dividend was issued during the year ended 31 December 2020 in proportion of one share for approximately every 25 shares held in the Bank.

1.2 Market Value Per Share

	2020 LKR	2019 LKR
As at 31 December	3.40	2.30
Highest	4.10	3.10
Lowest	1.70	2.00

2. DISTRIBUTION OF SHAREHOLDERS

Range of Shareholding	As at 31 December 2020			As at 31 December 2019		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 To 1,000 Shares	1,166	188,722	0.01	1,997	1,089,464	0.04
1,001 To 10,000 Shares	3,553	10,690,707	0.41	3,112	14,598,126	0.59
10,001 To 100,000 Shares	2,051	51,737,337	1.99	1,589	57,231,462	2.29
100,001 To 1,000,000 Shares	398	88,040,768	3.38	283	87,607,811	3.50
Over 1,000,000 Shares	64	2,450,788,621	94.21	48	2,340,863,671	93.58
	7,232	2,601,446,155	100.00	7,029	2,501,390,534	100.00

2.1 Resident and Non-Resident Shareholding

Shareholder	As at 31 December 2020			As at 31 December 2019		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident	7,189	997,815,980	38.36	6,978	952,065,974	38.06
Non-Resident	43	1,603,630,175	61.64	51	1,549,324,560	61.94
	7,232	2,601,446,155	100.00	7,029	2,501,390,534	100.00

2.2 Individual and Institutional Shareholding

Shareholder	As at 31 December 2020			As at 31 December 2019		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individual	7,127	1,081,524,684	41.57	6,926	1,059,937,177	42.37
Institutional	105	1,519,921,471	58.43	103	1,441,453,357	57.63
	7,232	2,601,446,155	100.00	7,029	2,501,390,534	100.00

3. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER

No.	Name of Shareholder	2020	
		No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	615,242,015	23.65
2	Mr. Hossain Ahmed Ismail	259,884,351	9.99
3	Mr. Mohamed Haji Omar	232,273,931	8.93
4	Bank Islam Malaysia Berhad	187,784,491	7.22
5	AB Bank Limited	187,784,490	7.22
6	Islamic Development Bank	164,384,227	6.32
7	Akbar Brothers (Pvt) Ltd	164,054,018	6.31
8	Mr. Farook Kassim	104,021,227	4.00
9	Millennium Capital Investments (Pte) Ltd	72,946,123	2.80
10	Mr. Osman Kassim jointly with Mrs. K. Kassim	63,000,000	2.42
11	Mr. Shafik Kassim	62,303,953	2.39
12	Mr. Sattar Kassim	60,196,786	2.31
13	Hatton National Bank PLC/Almas Organisation(Pvt) Ltd	42,008,278	1.61
14	Mr. Nagi Saleh Mohammed Al Faqih	38,879,983	1.49
15	Mr. Sathiyamurthy Chandramohan	31,199,999	1.20
16	Hatton National Bank PLC/Carlines Holdings (Pvt) Ltd	23,625,691	0.91
17	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	14,855,567	0.57
18	ABC International Limited	12,396,799	0.48
19	Mr. Abdul Majeed Mohamedu Risvi	8,938,404	0.34
20	Mrs. Nabila Qureshi	8,900,042	0.34
	Sub Total	2,354,680,375	90.50
	Other Shareholders (Number of Shareholders - 7,212)	246,765,780	9.50
	Total	2,601,446,155	100.00

Name of Shareholder	2019	
	No. of Shares	%
IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	591,578,861	23.65
Mr. Hossain Ahmed Ismail	249,888,800	9.99
Mr. Mohamed Haji Omar	206,691,690	8.26
Bank Islam Malaysia Berhad	180,562,011	7.22
AB Bank Limited	180,562,010	7.22
Islamic Development Bank	158,061,757	6.32
Akbar Brothers (Pvt) Ltd.	157,744,249	6.31
Mr. Farook Kassim	94,220,411	3.77
Millenium Capital Investment Pte. Limited	70,140,503	2.80
Mr. Osman Kassim jointly with Mrs K. Kassim	67,474,160	2.70
Mr. Shafik Kassim	62,263,418	2.49
Mr. Sattar Kassim	60,221,203	2.41
Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	1.49
Mr. Sathiyamurthy Chandramohan	30,000,000	1.20
Almas Organisation (Pvt) Ltd.	27,426,100	1.10
Mr. Abdul Majeed Mohamedu Risvi	26,270,421	1.05
Mr. Riyaz Mohamed Sangani	15,450,000	0.62
Mr. Ahamed Mihilar Mohamed Fazal Jiffry	14,284,200	0.57
ABC International Limited	11,920,000	0.47
Amāna Takaful Life Limited	10,937,500	0.43
Sub Total	2,253,081,894	90.07
Other Shareholders (Number of Shareholders - 7,009)	248,308,640	9.93
Total	2,501,390,534	100.00

Investor Relations

4. PUBLIC HOLDING AND MARKET CAPITALISATION AS AT 31 DECEMBER

	2020	2019
Market Capitalisation (LKR)	8,844,916,927	5,753,198,228
Percentage of Public Holding (%)	46.00	42.88
Float Adjusted Market Capitalisation (LKR)	4,107,948,663	2,467,221,604
Number of Public Shareholders	7,214	6,997

The Bank complies with the minimum public holding requirement under option 4 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange.

5. DIRECTORS' HOLDING IN SHARES AS AT 31 DECEMBER

Name of Director	2020 No. of Shares	2019 No. of Shares
Mr. Ali Asghar Akbarally	Nil	N/A
Mr. Rajiv Nandlal Dvivedi	Nil	N/A
Mr. Dilshan Hettiaratchi	Nil	N/A
Mr. Aaron Russell-Davison	Nil	N/A
Mr. Mohammed Ataur Rahman Chowdhury	Nil	N/A
Mr. Syed Muhammed Asim Raza	Nil	N/A
Mr. Khairul Muzamel Perera Bin Abdullah	Nil	N/A
Mr. Paul Mercer	Nil	N/A
Mr. Omar Kassim	Nil	N/A
Mr. Tishan Subasinghe	Nil	N/A
Mr. Mohamed Adamaly	Nil	N/A
Mr. Osman Kassim*	63,000,000	67,474,160
Mr. Tyeab Akbarally*	54	52
Mr. Mohamed Jazri Magdon Ismail*	132,079	127,000
Mr. Harsha Amarasekera, PC*	Nil	Nil
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	1	1
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	41,598	40,000

*Retired upon completion of statutory 9 year period/during the 9th year.

Mr. Mohamed Azmeer, Chief Executive Officer's holding in shares as at 31 December 2020 amounted to 519,999 (31 December 2019 - 500,000).

- There were no material issues pertaining to employees and industrial relations that occurred during the year ended 31 December 2020.
- The aggregate value of non-recurrent related party transactions carried out during 2020 has not exceeded 10% of Equity or 5% of Total Assets of the Bank.
- The aggregate value of recurrent related party transactions carried out during 2020 has not exceeded 10% of Gross Income of the Bank.

Correspondent Banks



- 1

Bangladesh
Bank Name : AB Bank Limited - Dhaka, Bangladesh
SWIFT Code : ABBLBDDH
- 2

Bangladesh
Bank Name : International Finance Investment and Commerce Bank Ltd - Dhaka, Bangladesh
SWIFT Code : IFICBDDH
- 3

Bahrain
Bank Name : Mashreq Bank PSC - Manama, Bahrain
SWIFT Code : BOMLBHBM
- 4

Bahrain
Bank Name :Khaleeji Commercial Bank B.S.C. (C), Bahrain
SWIFT Code : KHCBBHBM
- 5

Brunei
Bank Name : Bank Islam Brunei Darussalam Berhad, Brunei
SWIFT Code : BIBDBNBB
- 6

China
Bank Name : Standard Chartered Bank - Shanghai ,China
SWIFT Code : SCBLCSXSHA
- 7

China
Bank Name : Axis Bank Limited Shanghai Branch, China
SWIFT Code : AXISCNSH
- 8

Egypt
Bank Name : Mashreq Bank - Cairo, Egypt
SWIFT Code : MSHQEGCA
- 9

Germany
Bank Name : Standard Chartered Bank AG - Frankfurt, Germany
SWIFT Code : SCBLDEFX

Correspondent Banks

10 Hong Kong

Bank Name : Standard Chartered Bank,
Hong Kong
SWIFT Code : SCBLHKHH

11 India

Bank Name : AB Bank Limited - Mumbai,
India
SWIFT Code : ABBLINBB

12 India

Bank Name : Standard Chartered Bank -
Mumbai, India
SWIFT Code : SCBLINBB

13 India

Bank Name : Mashreq Bank - Mumbai,
India
SWIFT Code : MSHQINBB

14 India

Bank Name : Axis Bank Limited -
Mumbai, India
SWIFT Code : AXISINBB

15 India

Bank Name : Doha Bank Q.S.C -
Mumbai, India
SWIFT Code : DOHBINBB

16 India

Bank Name : HDFC Bank, India
SWIFT Code : HDFCINBB

17 Indonesia

Bank Name : Standard Chartered Bank -
Jakarta, Indonesia
SWIFT Code : SCBLIDJX

18 Italy

Bank Name : Banca UBAE S.p.A. - Roma,
Italy
SWIFT Code : UBAILTRR

19 Iraq

Bank Name : Cihan Bank For Islamic
Investment and Finance, Iraq
SWIFT Code : CIHBQBA

20 Japan

Bank Name : Standard Chartered Bank -
Tokyo, Japan
SWIFT Code : SCBLJPJT

21 Kuwait

Bank Name : Mashreq Bank PSC -
Kuwait, Kuwait
SWIFT Code : MSHQKWKW

22 Malaysia

Bank Name : Bank Islam Malaysia
Berhad - Kuala Lumpur, Malaysia
SWIFT Code : BIMBMYKL

23 Malaysia

Bank Name : Malayan Banking Berhad
(Maybank) - Kuala Lumpur, Malaysia
SWIFT Code : MBBEMYKL

24 Malaysia

Bank Name : Standard Chartered Bank
Malaysia Berhad, Malaysia
SWIFT Code : SCBLMYKX

25 Maldives

Bank Name : Maldives Islamic Bank-
Maldives
SWIFT Code : MADVMVMV

26 Maldives

Bank Name : Bank of Ceylon - Male,
Maldives
SWIFT Code : BCEYVMVM

27 Oman

Bank Name : Bank Nizwa, Oman
SWIFT Code : BNZWOMRX

28 Pakistan

Bank Name : Meezan Bank Limited -
Karachi, Pakistan
SWIFT Code : MEZNPKKA

29 Pakistan

Bank Name : Standard Chartered Bank -
Karachi, Pakistan
SWIFT Code : SCBLPKKX

30 Pakistan

Bank Name : Faysal Bank Limited -
Karachi, Pakistan
SWIFT Code : FAYSPKKA

31 Qatar

Bank Name : Mashreq Bank - Doha,
Qatar
SWIFT Code : MSHQQAQA

32 Qatar

Bank Name : Al Khalij Commercial Bank
- Doha, Qatar
SWIFT Code : KLJIQAQA

33 Qatar

Bank Name : Abu Dhabi Islamic Bank -
Doha, Qatar
SWIFT Code : ABDIQAQA

34 Qatar

Bank Name : Doha Bank - Doha, Qatar
SWIFT Code : DOHBQAQA

35 Singapore

Bank Name : Standard Chartered Bank
Singapore, Singapore
SWIFT Code : SCBLSG22

36 Singapore

Bank Name : Standard Chartered Bank
Singapore, Singapore (AUD)
SWIFT Code : SCBLSG22

37 Singapore

Bank Name : Axis Bank Ltd, Singapore
SWIFT Code : AXISSGSG

38 Saudi Arabia

Bank Name : Bank Al-Jazira - Jeddah,
Saudi Arabia
SWIFT Code : BJAZSAJE

39 South Korea

Bank Name : Kookmin Bank - Seoul,
South Korea
SWIFT Code : CZNBRKSE

40 Switzerland

Bank Name : Habib Bank AG Zurich -
Zurich, Switzerland
SWIFT Code : HBZUCHZZ

41 Taiwan

Bank Name : Standard Chartered Bank -
Taiwan
SWIFT Code : SCBLTWTP

42 Thailand

Bank Name : Standard Chartered Bank -
Thailand
SWIFT Code : SCBLTHBK

43 Turkey

Bank Name : Turkiye Finans Katilim
Bankasi A.S. - Istanbul, Turkey
SWIFT Code : AFKBTRIS

44 Turkey

Bank Name : Aktif Yatirim Bankasi A.S. -
Istanbul ,Turkey
SWIFT Code : CAYTTRIS

45 United Arab Emirates

Bank Name : Dubai Islamic Bank -
Dubai, UAE
SWIFT Code : DUIBAEAD

46 United Arab Emirates

Bank Name : Standard Chartered Bank -
Dubai, UAE
SWIFT Code : SCBLAEAD

47 United Arab Emirates

Bank Name : Mashreq Bank PSC -
Dubai, UAE
SWIFT Code : BOMLAEAD

48 United Arab Emirates

Bank Name : Noor Islamic Bank - Dubai,
UAE
SWIFT Code : NISLAEAD

49 United Arab Emirates

Bank Name : Abu Dhabi Islamic Bank -
Abu Dhabi, UAE
SWIFT Code : ABDIAEAD

50 United Arab Emirates

Bank Name : Abu Dhabi Commercial
Bank, UAE
SWIFT Code : ADCBAEAA

51 United Arab Emirates

Bank Name : United Arab Bank, UAE
SWIFT Code : UARBAEAA

52 United Arab Emirates

Bank Name : MCB Bank Limited - Dubai,
UAE
SWIFT Code : MUCBAEAD

53 United Arab Emirates

Bank Name : Axis Bank Limited, UAE
SWIFT Code : AXISAEAD

54 United Arab Emirates

Bank Name : Sharjah Islamic Bank, UAE
SWIFT Code : NBSHAEAS

55 United Kingdom

Bank Name : Bank of Ceylon - London,
UK
SWIFT Code : BCEYGB2L

56 United Kingdom

Bank Name : Standard Chartered Bank -
London, UK
SWIFT Code : SCBLGB2L

57 United Kingdom

Bank Name : QIB (UK) PLC, UK
SWIFT Code : EFHLGB2L

58 United States of America

Bank Name : Habib American Bank, USA
SWIFT Code : HANYUS33

59 United States of America

Bank Name : Mashreq Bank PSC - New
York Branch, USA
SWIFT Code : MSHQUS33

60 United States of America

Bank Name : International Finance
Corporation, USA
SWIFT Code : IFCWUS33

61 United States of America

Bank Name : Standard Chartered Bank -
New York, USA
SWIFT Code : SCBLUS33

62 Vietnam

Bank Name : Standard Chartered Bank,
Vietnam
SWIFT Code : SCBLNVX

Glossary of Banking and Financial Terms

A

ACCEPTANCES

Promise to pay created when the drawee of a time draft stamps or writes the words 'accepted' above his signature and a designated payment date.

ACCOUNTING POLICIES

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

ACCRUAL BASIS

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalent.

ACTUARIAL GAINS AND LOSSES

Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

ACTUARIAL VALUATION

Fund value as determined by computing its normal cost, actuarial accrued liability, actuarial value of assets and other relevant costs and value.

AMORTISATION

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

AMORTISED COST

Amount at which the Financial Asset or Financial Liability is measured at initial recognition, minus principal payments, plus or minus the cumulative amortisation using the effective profit rate of any difference

between that initial amount and the maturity amount and minus any reduction for impairment. or un-collectability.

ASSET AND LIABILITY COMMITTEE (ALCO)

A risk management committee in a bank that generally comprises the corporate and senior management levels of the institution. The ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are liquidity risk, market risk, foreign exchange risk and external events that may affect the Bank's forecast and strategic balance sheet allocations.

B

BILLS FOR COLLECTION

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C

CAPITAL ADEQUACY RATIO (CAR)

The ratio between capital and risk weighted assets as defined in the standards developed by the Bank for International Settlement (BIS) and as modified by the Central Bank of Sri Lanka to suit local requirements.

CAPITAL GAIN

The gain on the disposal of an asset calculated by deducting the cost of the asset from the proceeds received on its disposal.

CAPITAL RESERVE

A reserve identified for specific purposes which is not available for distribution.

CARRYING VALUE

Value of an asset or a liability as per books of the organisation before adjusting for fair value.

CASH EQUIVALENTS

Short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

COMMITMENTS

Credit facilities approved but not yet utilised by customers as at the reporting date.

CONTINGENCIES

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only by occurrence or non-occurrence of one or more future events.

CONTRACTUAL MATURITY

Contractual maturity refers to the final payment date of a facility or other financial instrument, at which point all the remaining outstanding capital will be repaid and financing charges is due to be paid.

CORPORATE GOVERNANCE

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and the direction of the Bank, the supervision of executive actions and accountability to stakeholders.

CORRESPONDENT BANK

A bank in a foreign country that offers banking facilities to customers of a bank in another country.

COST TO INCOME RATIO

Operating expenses excluding impairment charge for loans as a percentage of total operating income.

CREDIT RATINGS

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

CREDIT RISK

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations.

CURRENCY RISK

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

D

DEFERRED TAXATION

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year. It arises because of timing differences between tax rules and accounting conventions.

DEPRECIATION

The systematic allocation of the depreciable amount of an asset over its useful life.

DERECOGNITION

Removal of a previously recognised financial asset or financial liability from an entity's Statement of Financial Position.

DERIVATIVES

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

DIVIDEND COVER

Profit after tax divided by gross dividends. This ratio measures the number of times dividends is covered by the current year's distributable profits.

DIVIDEND YIELD

Dividend earned per share as a percentage of its market value.

E

EARNINGS PER SHARE (EPS)

Profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue.

EFFECTIVE PROFIT RATE (EPR)

The rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

EFFECTIVE TAX RATE

Income tax expense for the year divided by the profit before tax.

EQUITY INSTRUMENT

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

EQUITY RISK

The risk arising from positions, either long or short, in equities or equity based instruments, which create exposure to a change in the market price of the equities or equity instruments.

EVENTS AFTER THE REPORTING DATE

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

EXPECTED CREDIT LOSSES

The weighted average of credit losses with the respective risks of a default occurring as the weights.

EXPECTED LOSS (EL)

A regulatory calculation of the amount expected to be lost on an exposure using a 12 month time horizon and downturn loss estimates. EL is calculated by multiplying the probability of default by the exposure at default and loss given default.

EXPOSURE AT DEFAULT (EAD)

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal & profit and expected drawdowns of committed facilities.

F

FAIR VALUE

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (an exit price).

Glossary of Banking and Financial Terms

FAIR VALUE RESERVE

A reserve that captures the cumulative net change in the fair value of an asset as long as it is still recognised on the financial statements of an entity.

FINANCIAL ASSETS MEASURED AT AMORTISED COST

A financial asset is measured at amortised cost if the asset is held within a business model whose objective is to hold assets to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit on the principal amount outstanding.

FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME (FVOCI)

FVOCI include debt and equity instruments measured at fair value through other comprehensive income. A debt instrument is measured at FVOCI, if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit on the principal amount outstanding. Equity investments may be irrevocably classified as FVOCI when they meet the definition of Equity under LKAS 32 Financial Instruments: Presentation, and are not held for trading.

FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS (FVTPL)

All financial assets other than those classified at Amortised Cost or FVOCI are classified as measured at FVTPL. These are held for trading or managed and their

performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

FINANCE LEASE

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

FINANCIAL ASSETS

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

FINANCIAL GUARANTEE CONTRACTS

A contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

FINANCIAL INSTRUMENTS

Any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

FINANCIAL LIABILITY

Financial liability is a contractual obligation to deliver cash to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

FOREIGN EXCHANGE INCOME

The gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which

differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

FORWARD EXCHANGE CONTRACTS

An agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.



GENERAL PROVISIONS

General provisions are established for loans and advances for anticipated losses on aggregate exposures where credit losses cannot yet be determined on an individual facility basis.

GUARANTEES

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable on behalf of whom the guarantee is issued if the individual fails to fulfil the contractual obligations.



HIGH QUALITY LIQUID ASSETS (HQLA)

Assets that are unencumbered, liquid in markets during a time of stress and, ideally, be central bank eligible. These include, for example, cash and claims on central governments and central banks.

HISTORICAL COST CONVENTION

Recording transactions at the actual value received or paid.

I**IMPAIRMENT**

This occurs when the recoverable amount of an asset is less than its carrying amount.

IMPAIRMENT ALLOWANCES

Management's best estimate of losses incurred on its assets as at the reporting date.

IMPAIRMENT CHARGE/(REVERSAL)

The difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset.

INTANGIBLE ASSET

An identifiable non-monetary asset without physical substance.

INVESTING ACTIVITIES

The acquisition and disposal of long term assets and other investments not included in cash equivalents.

K**KEY MANAGEMENT PERSONNEL**

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the Bank.

KEY PERFORMANCE INDICATORS (KPIs)

KPIs are quantifiable measurements, agreed at the commencement of the year that reflect the critical success factors of the Bank.

L**LEASE LIABILITY**

A lease liability is a lessee's obligation to make the lease payments arising from a lease, measured on a discounted basis. Under the new lease accounting standard, the lease liability is calculated as the present value of the lease payments over the lease term discounted, typically, using the lessee's incremental cost of funds.

LETTER OF CREDIT

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

LIQUID ASSETS

Assets that are held in cash or in a form that can be converted to cash readily.

LIQUIDITY COVERAGE RATIO (LCR)

Ratio of stock of high quality liquid assets available to Total net cash outflows over next 30 calendar days. LCR is expected to improve the banking sector's ability to absorb shocks arising from financial and economic stress, thus, reducing the risk of spill over from the financial sector to the real economy.

LIQUIDITY RISK

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

LOSS GIVEN DEFAULT (LGD)

The estimated ratio (percentage) of the loss on an exposure to the amount outstanding at default (EAD) upon default of counterparty.

M**MARKET CAPITALISATION**

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

MARKET RISK

Market risk denotes the risk of losses arising out of positions in the Statement of Financial Position due to changes in market prices.

MATERIALITY

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

MORATORIUM

Moratorium refers to the deferment of capital and/or profit payments which fall due within the respective concession periods.

Moratorium however does not mean a waive-off of capital and /or profit permanently. The customer should pay the capital and/or profit payments which fall due within the concession periods at a later date according to the revised repayment plan.

Glossary of Banking and Financial Terms

N

NET ASSETS VALUE PER SHARE

Shareholders' funds divided by the number of ordinary shares in issue.

NET REALISABLE VALUE

The estimated selling price in the ordinary course of the business, less the estimated cost of completion and the estimated necessary costs to make the sale.

NET FINANCING MARGINS (NFM)

Net Financing income expressed as a percentage of average income earning assets.

NET STABLE FUNDING RATIO (NSFR)

The ratio of available stable funding to required stable funding over a one year time horizon, assuming a stressed scenario. Available stable funding would include items such as equity capital, preferred stock with a maturity of over one year and liabilities with an assessed maturity of over one year.

NON-PERFORMING ADVANCES RATIO

Non-Performing advances expressed as a percentage of the total outstanding advances.

NOSTRO ACCOUNT

A foreign currency current account maintained with another Bank, usually but not necessarily a foreign correspondent Bank.

O

OFF BALANCE SHEET TRANSACTIONS

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to commitments and contingencies.

OPERATIONAL RISK

Operational risk refers to the loss resulting from inadequate or failed internal processes, people and systems or from external events.

P

PAST DUE

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

PROBABILITY OF DEFAULT

Probability of default is an internal estimate for each customer grade of the likelihood that an obligor will default on an obligation.

PROJECTED UNIT CREDIT METHOD

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

PROVISIONS

A provision is an amount set aside for probable, but uncertain, economic obligations of the Bank.

R

RELATED PARTIES

Parties where one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, directly or indirectly.

RETAINED EARNINGS

Retained earnings (RE) is the amount of net income left over for the business after it has paid out dividends to its shareholders.

RETURN ON AVERAGE ASSETS (ROA)

Profit for the year divided by Average Assets.

RETURN ON EQUITY (ROE)

Profit for the year expressed as a percentage of average ordinary shareholders' equity.

REVALUATION RESERVE

Part of the shareholders' equity that arises from changes in the current value of property, plant and equipment.

REVENUE RESERVES

Reserves set aside for future distribution and investment.

RIGHT-OF-USE ASSET

The right-of-use asset, or ROU asset, is an asset that represents a lessee's right to operate, hold, or occupy a leased property, item, or piece of equipment for the lease term. It is calculated as the initial amount of the lease liability, plus lease payments made before lease commencement, plus initial direct costs, less any lease incentives.

RIGHTS ISSUE

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

RISK WEIGHTED ASSETS

On Balance Sheet assets and the credit equivalent of off Balance Sheet assets multiplied by the relevant risk weighting factors.

S

SCRIP DIVIDEND/ BONUS ISSUE

This is a dividend which shareholders have the option to receive in the form of additional shares instead of cash.

SEGMENT REPORTING

Segment reporting indicates the contribution to the revenue derived from business segments.

SHAREHOLDERS' FUNDS

Shareholders' funds consist of stated capital plus capital and revenue reserves.

STATUTORY RESERVE FUND

A capital reserve created in accordance with the provisions of the Banking Act No. 30 of 1988 as amended.

T

TIER I CAPITAL

Core capital representing permanent shareholders' equity and reserves created or increased by appropriations of retained earnings or other surpluses.

TIER II CAPITAL

Supplementary capital representing revaluation reserves, general provisions and other capital instruments, which combine certain characteristics of equity and debt such as hybrid capital instruments and subordinated term debts.

TOTAL CAPITAL

Capital base is summation of the core capital (Tier 1) and the supplementary capital (Tier II).

TRANSACTION COSTS

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

U

UNDRAWN CREDIT LINES

Credit facilities approved but not yet utilised by the clients as at the end of the reporting period

V

VALUE ADDED

Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to Government by way of taxes and retained for expansion and growth.

VALUE ADDED TAXES ON FINANCIAL SERVICES

Value Added Taxes on Financial Services is computed based on profit before tax from financial services subject to adjustment for depreciation and emoluments payable to employees and Directors.

VOSTRO ACCOUNT

A vostro account is an account the reporting bank holds on behalf of another bank. These accounts are an essential aspect of correspondent banking in which the bank holding the funds acts as custodian for or manages the account of a foreign counterpart.

Branch Network Information



BRANCHES



WESTERN



SELF BANKING CENTRES

Main Branch - Colombo 3

📍 No.365, Galle Road, Colombo 3
☎ 011-7756000, 📠 011-4718148
✉ mainbranch@amana.lk

Ladies Branch - Colombo 3

📍 No.365, Galle Road, Colombo 3
☎ 011-7756381, 📠 011-7756389
✉ ladiesbranch@amana.lk

Beruwala

📍 No.5, China Fort Road, Beruwala.
☎ 034-7756250, 📠 034-7756259
✉ beruwala@amana.lk

Dehiwala

📍 No. 28, Galle Road, Dehiwala
☎ 011-7756016, 📠 011-2722505
✉ dehiwala@amana.lk

Colombo 2

📍 No. 113,
Justice Akbar Mawatha,
Colombo 2

Ratmalana

📍 No. 360, Galle Road,
Ratmalana

Thihariya

📍 No. 124, Kandy Road,
Thihariya

Kolonnawa

📍 No. 529, Kolonnawa Road,
Wellampitiya

Kaluthara

📍 No. 437, Galle Road,
Kalutara

Dematagoda

📍 No.7, Kent Road, Dematagoda,
Colombo 9
☎ 011-7756028, 📠 011-7756889
✉ dematagoda@amana.lk

Kirulapone

📍 No. 124, Maya Avenue,
Colombo 6
☎ 011-7756029, 📠 011-7756899
✉ kirulapone@amana.lk

Negombo

📍 No.97, Colombo Road,
Negombo
☎ 031-7756020, 📠 031-2231765
✉ negombo@amana.lk

Mattakkuliya

📍 No. 74, Mutuwella Road,
Colombo 15

Rajagiriya

📍 No. 1576/19, Cotta Road,
Rajagiriya

Dharga Town

📍 No. 241, Mathugama Road,
Dharga Town

Malwana

📍 No.114/1, Main Street,
Malwana

Maligawatte

📍 No.132/1 A,
Jumma Masjid Road,
Maligawatte

Old Moor Street

📍 No.330, Old Moor Street,
Colombo 12
☎ 011-7756027, 📠 011-7756879
✉ oms@amana.lk

Panadura

📍 No.145, Galle Road, Pallimulla,
Keselwatte, Panadura.
☎ 038-7756032, 📠 038-7756259
✉ panadura@amana.lk

Pettah

📍 No.129, Main Street, Colombo 11
☎ 011-7756002, 📠 011-2380688
✉ pettah@amana.lk

Wattala

📍 No. 697A,
Negombo Road, Mabola,
Wattala

Kalubowila

📍 No. 9 B, S.De.S Jayasinghe
Manwatha,
Kalubowila

Hill Street, Dehiwala

📍 No.160 A, D.B. Jayathilake
Mawatha,
Hill Street,
Dehiwala



BRANCHES



EASTERN



SELF BANKING CENTRES

Akkaraipattu

📍 No.102,
Main Street, Akkaraipattu
☎ 067-7756015, 📠 067-2279319
✉ akkaraipattu@amana.lk

Eravur

📍 No.108/5, Punnakuda Road,
Eravur
☎ 065-7756019, 📠 065-2241410
✉ eravur@amana.lk

Kalmunai

📍 No.32, Main Street, Kalmunai
☎ 067-7756006, 📠 067-2223599
✉ kalmunai@amana.lk

Kalmunai Unity Square

📍 KUS Shopping Complex,
Main Street, Kalmunai
☎ 067-7756026, 📠 067-2059779
✉ kalmunaimi@amana.lk

Kattankudy

📍 No.237, Main Street,
Kattankudy
☎ 065-7756004, 📠 065-2247399
✉ kattankudy@amana.lk

Kinniya

📍 No.264, Main Street, Kinniya
☎ 026-7756025, 📠 026-2236656
✉ kinniya@amana.lk

Nintavur

📍 No.40/5, Main Street, Nintavur 24
☎ 067-7756017, 📠 067-2251591
✉ nintavur@amana.lk

Oddamavadi

📍 Main Street, Oddamavadi 1
☎ 065-7756225, 📠 065-2258099
✉ oddamavadi@amana.lk

Sammanthurai

📍 Hajiyar Palace,
Hijra Junction, Viliniyadi 3,
Ampara Road, Sammanthurai.
☎ 067-7756012, 📠 067-2261299
✉ sammanthurai@amana.lk

Batticaloa

📍 No.111, Main Street,
Batticaloa

Trincomalee

📍 No.255, Central Road,
Trincomalee

Mutur

📍 No.146, Main Street,
Mutur



BRANCHES



NORTH WESTERN



SELF BANKING CENTRES

Kuliyaipitiya

📍 No.215 1/1, Main Street,
Kuliyaipitiya
☎ 037-7756018, 📠 037-2282280
✉ kuliyaipitiya@amana.lk

Kurunegala

📍 No.137, Puttalam Road,
Kurunegala
☎ 037-7756014, 📠 037-2221925
✉ kurunegala@amana.lk

Puttalam

📍 No. 23, Colombo Road,
Puttalam
☎ 032-7756024, 📠 032-2267188
✉ puttalam@amana.lk

Pulichchakulam

📍 No.5931, Colombo Road,
Pulichchakulam,
Bathulu Oya
Puttalam

Siyambalagaskotuwa

📍 No.326, Kahatagahamada,
Siyambalagaskotuwa

Branch Network Information



Mawanella
📍 No.22B, New Kandy Road,
Mawanella
☎ 035-7756013, 📠 035-2248181
✉ mawanella@amana.lk

Ratnapura
📍 No.131-133, Main Street,
Ratnapura
☎ 045-7756023, 📠 045-2230245
✉ ratnapura@amana.lk



Hemmathagama
📍 No. 2122/A,
Mawanella Road,
Hemmathagama

SABARAGAMUWA



Akurana
📍 No.204/1, Matale Road,
Akurana
☎ 081-7756010, 📠 081-2304761
✉ akurana@amana.lk

Katugastota
📍 No.93, Kurunegala Road,
Katugastota
☎ 081-7756030, 📠 081-7756289
✉ katugastota@amana.lk

Gampola
📍 No.119, Kandy Road,
Gampola
☎ 081-7756011, 📠 081-2350786
✉ gampola@amana.lk

Matale
📍 No.392-396,
Main Street, Matale.
☎ 066-7756033, 📠 066-7756259
✉ matale@amana.lk

CENTRAL

Kandy
📍 No.105, Kotugodella Veediya,
Kandy
☎ 081-7756003, 📠 081-2200238
✉ kandy@amana.lk



NORTH CENTRAL



BRANCH

Kaduruwela

📍 No.379, Main Street, Kaduruwela
Polonnaruwa

☎ 027-7756022, 📠 027-2227009

✉ kaduruwela@amana.lk



SOUTHERN



BRANCH

Galle

📍 No.24, Old Matara Road,
Galle

☎ 091-7756008, 📠 091-2226610

✉ galle@amana.lk



UVA



BRANCH

Badulla

📍 No.18/1, Lower Kings Street,
Badulla

☎ 055-7756021, 📠 055-2228280

✉ badulla@amana.lk

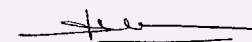
Notice of Annual General Meeting

NOTICE IS HEREBY GIVEN THAT the Twelfth Annual General Meeting (AGM) of Amāna Bank PLC will be held on Friday, 23 April 2021 at 3.00 p.m. at the Registered Office, 486 Galle Road, Colombo 3, as a virtual meeting using a digital platform.

AGENDA

- 1) To receive and consider the Annual Report of the Board and the Financial Statements of the Bank for the financial year ended 31 December 2020 together with the Report of the Auditors thereon.
- 2) To re-elect the following Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Bank.
 - (a) To re-elect Mr. Rajiv Nandlal Divedi (Non-Executive, Independent Senior Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Bank.
 - (b) To re-elect Mr. Mohammed Aatur Rahman Chowdhury (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Bank.
 - (c) To re-elect Mr. Syed Muhammed Asim Raza (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Bank.
 - (d) To re-elect Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Non- Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Bank.
 - (e) To re-elect Mr. Mohamed Adamaly, Non-Executive, Non-Independent Director who has been appointed since the last Annual General Meeting of the Bank in terms of Article 29(13) of the Articles of Association of the Bank.
- 3) To re-elect the following Directors who have been appointed since the last Annual General Meeting of the Bank in terms of Article 29 (13) of the Articles of Association of the Bank.
 - (a) To re-elect Mr. Ali Asghar Akbarally, Non-Executive, Non-Independent Director who has been appointed since the last Annual General Meeting of the Bank in terms of Article 29(13) of the Articles of Association of the Bank.
 - (b) To re-elect Mr. Tishan Subasinghe, Non-Executive, Independent Director who has been appointed since the last Annual General Meeting of the Bank in terms of Article 29(13) of the Articles of Association of the Bank.
 - (c) To re-elect Mr. Paul Mercer, Non-Executive, Non- Independent Director who has been appointed since the last Annual General Meeting of the Bank in terms of Article 29(13) of the Articles of Association of the Bank.
 - (d) To re-elect Mr. Omar Kassim, Non-Executive, Non- Independent Director who has been appointed since the last Annual General Meeting of the Bank in terms of Article 29(13) of the Articles of Association of the Bank.
- 4) To re-appoint Messrs Ernst & Young, Chartered Accountants as the Auditors for the ensuing year and authorise the Directors to determine their remuneration.
- 5) To re-appoint the Sharia Supervisory Council consisting of:
 - a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
 - b) Ash-Sheikh Mohd. Nazri Chik
 - c) Ash-Sheikh Mufti M. I. M. Rizwe
 - d) Ash-Sheikh Mufti Muhammad Hassaan Kaleem
- 6) Any other business.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

20 February 2021
Colombo.

NOTE:

Shareholders/proxy holders are requested to produce their National Identity Cards or any other form of clear/valid identification and present same at the time of registration.

Notes

Notes

Form of Proxy

I/We.....of
..... being shareholder/s of
Amāna Bank PLC hereby appoint:of
.....NIC No:or failing him/her

- | | |
|--|----------------|
| 1. Mr. Ali Asghar Akbarally | or failing him |
| 2. Mr. Rajiv Nandlal Dvivedi | or failing him |
| 3. Mr. Dilshan Hettiaratchi | or failing him |
| 4. Mr. Aaron Russell-Davison | or failing him |
| 5. Mr. Mohammed Ataur Rahman Chowdhury | or failing him |
| 6. Mr. Syed Muhammed Asim Raza | or failing him |
| 7. Mr. Khairul Muzamel Perera Bin Abdullah | or failing him |
| 8. Mr. Tishan Subasinghe | or failing him |
| 9. Mr. Paul Mercer | or failing him |
| 10. Mr. Omar Kassim | or failing him |
| 11. Mr. Mohamed Adamaly | |

as my/our* Proxy to represent and speak for me/us* and vote for me/us* on my/our* behalf at the Annual General Meeting of the Bank to be held on Friday, 23 April 2021 at 3.00 p.m. via a digital platform, at the Registered Office, 486, Galle Road, Colombo 3 and at any adjournment thereof and at every poll which may be taken in consequence thereof.

*Please delete what is inapplicable

Signed this.....day of 2021.

.....
Signature

Please provide the following details:	
Shareholder’s NIC No./Company Registration No. :.....	
Number of Shares held	:.....

Notes:

- 1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his/her place.
- 2. A proxy need not be a member of the Bank.

Form of Proxy

INSTRUCTIONS FOR THE COMPLETION OF FORM OF PROXY

1. The Form of Proxy must be duly completed and signed by the shareholder/s, giving in block capitals, the name and address of shareholder/s and the name, address and NIC of the Proxy holder clearly and legibly. Where necessary delete the inapplicable words indicated by an asterisk.
2. The completed Form of Proxy should be deposited at the office of the Company Secretary, Company Secretarial Division, Amāna Bank PLC, 6th Floor, 403, Galle Road, Colombo 3, Sri Lanka not less than 24 hours before the time appointed for holding of the meeting.
3. If the Proxy has been signed by an Attorney, the relevant Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Bank.
4. In the case of a Company/Corporation, the Proxy must be under its Common Seal (where applicable) which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation signed by two Directors or a Director and Secretary of the Company with the Company rubber stamp placed on it.
5. In case of joint shareholders, only the first named shareholder can sign the Form of Proxy.

Corporate Information

NAME OF THE INSTITUTION

Amāna Bank PLC

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 5 February 2009 under the Companies Act No. 07 of 2007 and listed on the Main Board of the Colombo Stock Exchange and re-registered under the Companies Act No. 07 of 2007 on 28 August 2014. Amāna Bank PLC is a Licensed Commercial Bank under the Banking Act No. 30 of 1988 and amendments thereto

COMPANY REGISTRATION NUMBER

PB 3618 PQ

ACCOUNTING YEAR END

31 December

BUSINESS

Commercial banking and related services

EXTERNAL CREDIT RATING

The Bank is rated by Fitch Ratings Lanka Limited as BB+(lka) With a Stable Outlook

INDUSTRY MEMBERSHIPS

- The Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI)
- The Islamic Financial Services Board (IFSB)
- The Association of Alternate Financial Institutions (AAFI)

REGISTERED OFFICE

486, Galle Road, Colombo 3, Sri Lanka

Tel : (94) - (11) - 7756000

Fax : (94) - (11) - 2574419

SWIFT

AMNALKLX

WEB

www.amanabank.lk

TAX PAYER IDENTIFICATION NUMBER (TIN)

134036184

BOARD OF DIRECTORS (AS AT 31 DECEMBER 2020)

1. Mr. Ali Asghar Akbarally - Chairman (Non-Executive, Non Independent Director)
2. Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Senior Director)
3. Mr. Dilshan Hettiaratchi (Non-Executive, Independent Director)
4. Mr. Aaron Russell-Davison (Non-Executive, Independent Director)
5. Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non Independent Director)
6. Mr. Syed Muhammed Asim Raza (Non-Executive, Non Independent Director)
7. Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Non Independent Director)
8. Mr. Tishan Subasinghe (Non-Executive, Independent Director)
9. Mr. Paul Mercer (Non-Executive, Non Independent Director)
10. Mr. Omar Kassim (Non-Executive, Non Independent Director)
11. Mr. Mohamed Adamaly (Non-Executive, Non Independent Director)

SHARIA SUPERVISORY COUNCIL (AS AT 31 DECEMBER 2020)

- 1) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani - Chairman
- 2) Ash-Sheikh Mohd. Nazri Chik - Vice Chairman
- 3) Ash-Sheikh Mufti M. I. M. Rizwe - Member
- 4) Ash-Sheikh Mufti Muhammad Hassaan Kaleem - Member

BOARD COMMITTEES (AS AT 31 DECEMBER 2020)

Board Audit Committee

1. Mr Tishan Subasinghe - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Aaron Russell-Davison - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member

Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - Chairman
2. Mr. Tishan Subasinghe - Member
3. Mr. Mohammed Ataur Rahman Chowdhury - Member
4. Mr. Mohamed Azmeer (CEO) - Member
5. Mr. M M S Quyyidh (CRO) - Member

Board Nomination Committee

1. Mr. Dilshan Hettiaratchi - Chairman
2. Mr. Tishan Subasinghe - Member
3. Mr. Ali Asghar Akbarally - Member
4. Mr. Rajiv Nandlal Dvivedi - Member
5. Mr. Mohammed Ataur Rahman Chowdhury - Member

Board Human Resources and Remuneration Committee

1. Mr. Ali Asghar Akbarally - Chairman
2. Mr. Tishan Subasinghe - Member
3. Mr. Dilshan Hettiaratchi - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member
5. Mr. Aaron Russell-Davison - Member

Board Related Party Transactions Review Committee

1. Mr. Tishan Subasinghe - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Dilshan Hettiaratchi - Member
4. Mr. Aaron Russell-Davison - Member

COMPANY SECRETARY

Mrs. Samitha Dayani de Silva, FCG

AUDITORS

Messrs Ernst & Young
Chartered Accountants
No. 201, De Saram Place,
Colombo 10, Sri Lanka

LAWYERS

Messrs F J & G de Saram
Attorneys-at-Law & Notaries Public
No. 216, De Saram Place,
Colombo 10, Sri Lanka

For investor relations and clarifications on the Annual Report, please contact:

Company Secretarial Division
6th Floor
403, Galle Road, Colombo 3, Sri Lanka
Tel : +94 11 7757511



It's *Your* Bank



Amāna Bank PLC

486, Galle Road, Colombo 3, Sri Lanka.

Tel: +94 117 756 000 | Fax: +94 112 574 419

Email: feedback@amana.lk | Web: www.amanabank.lk